

Hindustan Constr (HCC)

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Call: May 2023

Santosh Rai : Welcome everyone to the financial results for the Q4 ending March 2023 and also for the financial year ending March 2023. We will start with the order back log position as on the financial year end is 14,772 crores. With transport having the maximum share followed by Hydro, Water and Nuclear. We are well spread out across the geographies where the company is traditionally working. With the leading share again coming from our Hydro projects based in Uttarakhand, followed by Transportation projects in Maharashtra and some water projects and other things from other states. Our bid strategy will continue to be focus on the projects in Urban Infrastructure spaces and also with the trust of the government on the sustainable and renewables, we will be focusing more on the Hydro Power sector. Key highlights for FY23, consolidated group revenue is at 9,857 crores for FY23 vs 10,668 in FY22. Consolidated loss at 89.1 crore in FY23 vs net profit of 637.3 in FY22. We are happy to announce that HCC E&C Standalone turnover is highest ever recorded in the company in FY23 at 5,222 crores vs 4,666 crores in FY22. Also, we have done a net profit of Rs.253.4 crores in the financial year FY23 vs a net loss of 153.1 crores in FY22. EBITDA margin excluding other income is 14% in FY23 vs 17% in FY22. The results are clear testimonies of strong operational performances and the organizational efficiencies which have been brought through lot of organizational restructuring and a complete focus on performance driven organization. Strategic divestments of our BOT assets are strengthening the balance sheet and cash flow. The company has completed the debt carve-out process and we have also made the payment of 308 crores for our debt repayment in FY23. For the coming year we have planned major bid submissions totalling around 11,000 to 15,000 crores in the areas where the company does businesses, mainly urban infra and hydro power space and we have also achieved the project completion certificates for our Hydro project in Arunachal Pradesh and also for some railway tunnels in Mizoram. Some operational updates on ongoing projects, what you see is the Anjikhad bridge, which is the longest cable-stayed bridge being constructed for Indian Railways. The bridge is nearing completion. Out of 47 segments we have completed 46 segments and now the preparations are going on for the last segment lifting; that is a slightly tedious technical process. We will be completing that in a month's time followed by all the other preparatory works. In Delhi Metro, we are in the final stages, plus station base slab is now being completed, cut & cover roof slab is done and project is progressing well. We intend to commission this project by October or November this year. Imphal Ring Road is also progressing, the job is completed around 73% and we are progressing well with all the activities on the project. Another road project in Assam is nearing completion now with almost 90% of the job being completed and what you see on the screen is the completion of Toll Plaza and other structural works at sight. Tehri PSP which is one of the country's largest pumped storage project, these are the pictures showing the progress at the Penstock and Surge Shaft Lining works, so these are now the finishing works going on for commissioning the project of the first unit. Vishnugad Pipalkoti, the project has a big HRT and now the TBM which was stuck has been freed and we expect to start the TBM tunnel driving by July 2023. On the left-hand side what you see is the lining of the head race tunnel which is being done by drill and blast method. Nikachhu, this is the project in Bhutan and the river you can see is diverted through the radial gates. Project is largely commissioned and very few works are left now. This is the railway tunnel in Jammu and Kashmir which is a part of the Udhampur

-Srinagar Baramulla Rail Link and it is in the final stage of completion. What you see on the screen is the finishing works going on with the track laying and there are some Escape tunnels where the final water proofing and concreting will be done very soon. In this month end we expect to close all these jobs. What you see here is also Sawalkote tunnel, this is a tunnel leading to Sawalkote Hydro-electric power plant, the invert and over lining is completed and now the MEP works have started at the project site. This project is also progressing at a good speed and we expect to achieve major completion in this calendar year. This is the Parwan Dam it's an irrigation project in Rajasthan progressing very well and you can see on the screen the work site where the projects are progressing in full swing. Lot of progress has been made after receiving the drawings and all the details from clients. Mumbai Metro, we have completed 90% work at the CST station. We are intending to handover the station by September-October this year. Kalbadevi again 75% of the work is completed and now you can see the work above the underground structure are being undertaken that is ancillary building work. Girgaum station is almost 50% complete, lot of structural work is ongoing, including the tunnels and other things. Grand Road is 62% complete. The tunnels for this whole project are commissioned almost two years ago. This is the Mumbai Coastal Road; we have started the launching of segments for the main bridge which is connected to the existing Bandra-Worli sea link and these are the other marine erections which are ongoing. Coming to the financial performance, the numbers are self-explanatory. We will be covering any questions on that

in the later part of the presentation. Financial performance for FY23 these is year-on-year. The updates on concession business for the Q4 FY23, what you seen on the screen is some of the progress photographs of the structural work which is being undertaken at BFHL site. That is the B hagirathi Bridge super structure works going on in full swing, soon these bridges will be connected. Also, HCC concessions closed its sale of BFHL to Cube Highways at the end of March 2023 at an enterprise value of 1323 crores, including SPV debt of 646 crores. We can witness a minor growth in the average daily PCUs in this quarter. Construction is expected to be completed by December 2024. This will lead to an increase in the toll rates by 45%. Since most of our assets are sold, the concession business is looking to develop new opportunities in transport sector and we are also evaluating opportunities in Ropeways and PRT projects.

Steiner AG, the performance for FY22 is the closing order backlog as on 30th March, 2023 is 8,572 crores. Order intake during FY23 is 3,963 crores and turnover for FY23 is at 4,379.4 crores vs 5,947 crores for FY22. With a loss of 352 crores vs a profit of 312 crores in FY22.

Thank you and I would like to inform you that Mr. Arjun Dhawan our Vice Chairman and our Managing Director, Mr. Jaspreet Bhuller has joined us on this call along with the senior management staff of HCC and we are now open to questions. Thank you very much.

Mahesh : I just wanted to understand the Baharampore -Farakka Highway sale from cash flow basis. So, the buyer will be assuming our debt what will be the cash inflow.

Atul Kumar: So, as we have mentioned in our press release the cash inflow is about 677 crores in the first March and then there are subsequent payments in terms of earn outs and revenue share for additional revenue which the project will be collecting over a certain threshold.

Mahesh : So basically, the debt moves off our books but of the cash that is coming in, some part of it we still have to spend it on construction right.

Atul Kumar: Right. So, the SPV already has cash flows to complete the project. There is a delta of some

amount which is being funded through these cash flows.

Mahesh : So, what is the net cash flow that will come into the company?

Atul Kumar: The delta in cash flows is around 40 to 50 crores which will be required for the completion of the project and the balance will be coming to the company.

Mahesh : And by when would all the money be in ?

Atul Kumar: So as and when the project is getting completed that money will be in, other monies are in, the earn outs are due in the month of November 2023 and May 2024. And the revenue shares will continue on an ongoing basis till the end of the concession period.

Mahesh : Significant money is already in, is that the correct assumption?

Atul Kumar: Yes

Mahesh : So, whatever our March balance sheet is, it is already reflective of the inflow

Atul Kumar: Yes

Mahesh : Ok, Thank you

Sourav : What is the current order book of your company?

Santosh Rai : That is around 14,700 crores.

Sourav : Have you done the bidding right now for a fresh order ?

Santosh Rai : Yes

Sourav : For which project? Can I know

Santosh Rai : There are couple of projects in Transport segment and some in Hydro.

Sourav : And when the Bandra -Kurla complex project will be starting

Santosh Rai : The construction has already started.

Sourav : What is the current debt right now?

Santosh Rai : Post carve-out the standalone debt with HCC would be around 1,900 crores. Rahul you can please correct me on the number.

Rahul Shukla: Standalone is 3,500 crores.

Sourav : What is the performance of your subsidiary company, Steiner AG in this quarter?

Santosh Rai : I have covered this part in the presentation and will be very happy to share that with you. In terms of the turnover and profit and everything related to the subsidiary. This is reported in this presentation.

Sourav : Ok thanks. I will be coming again after sometime

Mohit Kumar : On one of the slides, it is mentioned 11,000 crores bid submitted for FY23.

Santosh Rai : So that is a typo, actually we have submitted bids worth 9,600 crores in FY23 and the identified pipeline for the bidding for FY24 is 11,000 crores in core strategic sectors. Of course, we will be adding few more identified bids for bidding as we go along.

Mohit Kumar : This means we have tenders that are open and where you have most likely submitted the bids. Is that a right assumption?

Santosh Rai : Your right, these are tenders that are identified, we are working on them and we will be submitting.

Mohit Kumar : How much is the top line expected in FY24 on the standalone company from

EPC business and the kind of margin if possible?

Santosh Rai : We are definitely aiming to do better than what we have done this year . This year we have reported a turnover of 5,222 crores and our effort would be to make our turnover better than what we have achieved this year that is at the best. Margins, normally we won't comment so specifically but all I can say that the overall mix would be such that we are within the industry practices. Of our 12 -13% kind of number what you see in industry average. That's the kind of blended EBITDA we can expect.

Mohit Kumar : What is the debt at end of FY23 if the standalone in books is 3,500 crores ? How much is the obligation to pay in FY24 -25? Any repayment?

Rahul Shukla: As per our resolution plan we are basically not required to pay anything till March 2024. And next repayment will come in March 2024, which will be around 400 crores?

Mohit Kumar : In March 2024, right?

Rahul Shukla: Right

Mohit Kumar : Ok understood. Thank you

Chetan Cholera: I think we have become too conservative in taking orders, I see the announcement from other Infra companies, they are getting large orders . Are we becoming too conservative in taking orders?

Santosh Rai : No

Chetan Cholera: I find so many announcements coming from other infra companies , they are getting large orders.

Santosh Rai : No, so I think we are moving well in line with our strategy of consolidating all our operations first and then we are only looking at projects which are well suited to the capability, number one, the kind of margins we are looking to build and with the kind of quality clients whom we would like to work with. So, with all these factors, I think we are moving well as per the plan .

Chetan Cholera: What steps are we going to take in current year to bring down the debt further?

Santosh Rai : The growth of the organization , as you have seen, what kind of operational performances we are bringing. Our objective would be to generate substantial cash flows out of that, so that we can repay the debts to a large extent . All these obligations, I think that's one straight philosophy with which we are working .

Chetan Cholera: I think Arjun can add something , if he is there.

Arjun Dhawan : No No... happy to, so wherever questions are being asked and the answers are not comprehensive I will jump in at the end and compliment, but regard to debt reduction, we clearly have a substantial amount of our receivables with our clients, some of which are arbitration awards and claims. Our settlement process is something that we are always working on with our clients. We have achieved a certain benchmark every year in terms of what we want to settle. We are talking about matters that are sensible for us to do without leaving too much on the table. We also have a lot of our banks interested in putting down guarantees against which we would take out execution petition monies that are lying in court that way it allows us to prepay substantial amount of debt and I don't think you should be surprised to see material debt reductions with savings happened in that route as well which would not only prepay a portion of our fiscal 24 obligations but perhaps even future years obligations. We will evaluate, obviously refinancing proposals because the goal is to actually look at lower cost of finance and refinancing that might also actually generate equity shares and that is something that we will evaluate as a third point. So, a combination of all those three and at the same time you have our operational cash flow which will generate substantial amount of surpluses probably not in this but perhaps next year onwards. I think would actually round out, at least our plan to ensure that we are debt free as early as possible, I mean the resolution plan with our lenders allows for a fairly long elongated debt repayment period, I mean we want to actually be well ahead of that in terms of our strategy.

Chetan Cholera: Finally , I have one more suggestion , as per my understanding we need to raise roughly around 200 crores to fulfil our commitment of resolution plan but if we look at our stock price currently it's not appropriate time to raise capital. What I want to convey to the board or specifically to Ajit Sir, please use this opportunity to raise promoter stake or I have one more suggestion for the same thing , in the interest of all shareholders please issue shares on preferential basis to any strategic investor who can bring industry expertise and also enhance our credibility so it will increase our market position. This is only suggestion .

Arjun Dhawan : So, Chetan, this is any Analyst call, where we are answering questions, appreciate your feedback, feedback is more appropriately given independently to our investor relations and we are happy to always learn more, understand how we can do things

better . So, if we can kindly keep that outside of our investor calls, I think we would appreciate that and certainly I think that we are well situated at this point and time with our management team and our expertise to achieve the goals that we have set before us.

Chetan Cholera: Thank you, this was just a suggestion.

Neeraj Mansingka: Can you tell me

how the debt for the consolidate entity has flowed from the beginning of the year to the end of the year like the starting date and how much repayment and how much is the final consolidated debt.

Girish Gangal: You're asking about the consolidated debt what is at the beginning and at the end right?

Girish Gangal: We have a group debt of consolidated 4,900 crores at the beginning of the year and at the end of the year it is 5 ,200.

Neeraj Mansingka: And this does not include the SPV debt ?

Girish Gangal: No, it includes

Neeraj Mansingka: Does the exit debt of 5 ,200 crores include the Baharampore SPV debt ?

Girish Gangal: Yes, it includes SPV debt.

Neeraj Mansingka: So, after the closure of that deal, I am assuming the deal is closed but when will the deal close and this debt go out of your balance sheet?

Girish Gangal: No debt on account of BFHL pending as on 31st March, doesn't included BFHL debt anymore.

Neeraj Mansingka: So then effectively your debt has gone up from ? Do not include?

Girish Gangal: Debt has not gone up , what has happened at the beginning of the year, the restructuring had not happened ?

Neeraj Mansingka: That I understood

Girish Gangal: So, when restructuring happened, even the interest which was outstanding got converted into loan for issue of NCDs, ok?

Neeraj Mansingka: OK

Girish Gangal: So that's why the debt has gone up. It's not because of any fresh debt we have taken, it is only conversion of interest accrued into a debt because of the resolution plan.

Neeraj Mansingka: Understood. Now how do you see this debt tapering down to the next one year ?

Girish Gangal: First of all, this is a group debt. So, a general answer for a group debt would not be appropriate , one has to see individually. So individual companies have their respective plans to repay those debts. If you are asking especially for HCC and the SPV which will be formed on resolution plan they have a structure for repayment of this debt for a period and Rahul has informed sometime back 31st March 2023 we have repaid around 320 crores of debt, so there is an obligation of 400 crores ok. So as and when this obligation comes which is due as per the resolution plan, we are going to pay that and as our Vice Chairman has suggested that whenever we have additional cash, we will try to repay something.

Neeraj Mansingka: Got it. Just wanted to confirm again, sorry for repetition, there are two SPVs we are talking about, one is the BFHL which is sold to Cube , does this 5 ,200 crores does it include the 646 crores of that SPV debt?

Girish Gangal: That is already taken over by Cube....

Neeraj Mansingka: Got it, got clarity, number two is on the SPV carve -out that you are planning to do, what is the status and when can we expect the closure of that SPV debt transaction ?

Girish Gangal: So, the transfer of SPV debt has already happened

Neeraj Mansingka: I am not talking about the BFHL

Girish Gangal: I am talking about SPV formed under resolution plan only, that transfer has already happened, that has happened effective 1st July, 2022 itself. The only change that is going to come in there, is that post approval from lender, the investor is going to take over the majority of the portion of the equity, that is yet to happen.

Neeraj Mansingka: So, when is that expected to happen?

Girish Gangal: It will happen in the first, at the most second quarter of the current year .

Neeraj Mansingka: The reason I asked is because the last 3 quarters we have been talking about it and it is not completed .

Girish Gangal: You have to appreciate that this is a subject to the approval of lenders, we 25+ lenders who are subject to approval from respective boards . So, it's a process, we can pursue the process, however we cannot guarantee the outcome or date as such.

Arjun Dhawan : I just want to quickly add as to why this was not done alongside

the closure

of the resolution plan, so the lenders require a process whereby they have a public bidding for the process of the investor. Once they conclude that process, they then actually do a

painstaking KYC of that investor because you're looking at considerable assets and debts that are moving, am I happy at the pace at which they are moving, absolutely not. I mean frankly speaking, I would very much like for this process to have been completed before. I respect the fact that they have their process, but we should have actually, to be very honest, we should have got this done earlier to give you comfort. Have we received approvals from a majority, a substantial amount of our consortium already for the SPV investor that's been shortlisted, we have, we are waiting for the balance approvals to come through, post which we will end up closing this transaction as we have envisaged in communicating to our shareholders.

Neeraj Mansingka: Ok and that SPV debt would be how much?

Arjun Dhawan: And by the way, if I may just answer one point, the approval process unfortunately for the investor could not be, so you don't have a qualification process where you actually first shortlist qualified bidders and then you take their bid. You take their bid and then only once the person, the selected bidder, that massive KYC process begins and I think it is a function, frankly if you ask me, since the IBC is come in and since there is auctioning of assets and the banks want to just ensure that the party that comes in is completely above board, that's the reason why I think that their going through this painstaking process. I am completely confident that they will actually get to the finish line, it's just unfortunately taking longer than we would have liked.

Neeraj Mansingka: Got it, and how much would that carve-out debt be today, the value of that debt today.

Girish Gangal: It is around 3,100 crores.

Neeraj Mansingka: So, in all practical purpose if we have to today assume that, that SPV doesn't, obviously I am sure it will go through because we have been tracking it. So, the debt would be 8,300 crores today, right? Including that SPV debt? The consolidated right?

Girish Gangal: No, this 5,200 includes that debt.

Neeraj Mansingka: Ok, so that's what I wanted to clarify, it's, so after the SPV carve-out happens it will be 2,100 and 3,100.

Girish Gangal: You have asked a question about consolidated debt?

Neeraj Mansingka: Ya

Girish Gangal: Now till the time we get an investor the SPV remains to be HCC subsidiary.

Neeraj Mansingka: Yes

Girish Gangal: 100%, so all debts get consolidated into this 5,200. So, this 5,200, includes 3,100 crores of SPV debt.

Neeraj Mansingka: It is clear now, I just wanted to again make the statement that if the SPV is approved today, we would have an SPV debt of 3,100 crores and remaining debt of 2,100 crores? Am I right, on the group?

Girish Gangal: Right

Neeraj Mansingka: Last question is on your order book that you have been talking about, you have applied for 11,000 crores that's an expectation that you will be applying in FY24? Is it right?

Santosh Rai: That's right Neeraj

Neeraj Mansingka: And that amount that you have bid for 9,600 crores in FY23 that decision for those contracts are yet to be announced?

Santosh Rai: Out of that you know, only one is pending and the high-speed rail is already out right, which we have won, so the decision is pending only on one job which is approximately 1,000 crores.

Neeraj Mansingka: And out of those 9,600, 8,600 is gone from there and you got the high-speed rail of 3,600 crores or so on JV?

Santosh Rai: That's right

Neeraj Mansingka: Got it, thank you very much.

Vinay Chaudhary: Good evening, so out of this Consolidated revenue, what would be the interest on arbitration like the other operating income what we report?

Girish

Gangal: Those kinds of details are generally not discussed in this meet, dissecting the revenue into that level or a cost into that level. So kindly excuse.

Vinay Chaudhary: Because it was a little significant amount, so this year like what would be the cash received out of the arbitration which were ongoing, the collections basically?

Girish Gangal: This year, you're talking about last year or are you referring to the current year?

Vinay Chaudhary: So FY23 and what are expecting this year as well?

Girish Gangal: So, expectations are that these are matters with the court, so we can expect that all matters will get settled, that is our wish, but you never know how matter progresses in the court, how the hearing happens and how the orders come in? And how fast the clients, who are again government clients, how much amount they want to pay and how much they want to further appeal and so forth. It is a difficult decision, though we have our

internal estimate, ok, but that is a pure futuristic statement, frankly, I would not be able to estimate or comment on that.

Vinay Chaudhary: Understood. So, for the current year it was roughly 5,523?

Girish Gangal: For current year, I can give a guidance it was 200 crores.

Vinay Chaudhary: Ok, right. So, the other thing like in the net debt, in the annual report, we have cash and cash equivalent so the bank balance other than cash and cash equivalent was not taken into consideration while calculating net debt, so does that imply that all the money lying in that bank is attached to margin money as such for BG?

Girish Gangal: Not really, something could be a margin money plus the cash and cash equivalent balance also consist of few of our project money. That is to be used for that project only. So, unless you point out to me exactly what you are referring to, I will not be able to give a generalized comment on that.

Vinay Chaudhary: So, we have net debt calculation like 821 crores, we have the bank balance in consolidated, 304 in standalone which is other than cash and cash equivalent?

Now these amounts in the net debt calculation, we have not reduced for our net debt basically, so maybe this is somewhere which is not a liquid fund available to us, this is what I am trying to understand?

Girish Gangal: Ok, so this being a consolidated cash balances what you are referring to, there are certain restrictions especially in case of our foreign subsidiary wherein these monies which are lying in my bank account to be used for the project only and cannot be reduced from the debt asset because that is only to be used when we go further construction of a particular project. Sort of a security deposit you can say. If I use a simple language, that you cannot reduce from the debt.

Vinay Chaudhary: Ok. Project specific. Ok got it. The other thing is regarding the subsidiary, the real estate Arm and Swiss, for both FY22 and 23 in the third quarter as well, we could see a big loss, maybe owing to a reversal of some revenue in profits, so what were these exactly? Can you throw some light on this?

Girish Gangal: I think last quarter, when we had this meeting, it was explained, 2022 there was no loss, 2022 the Swiss subsidiary has made a considerable amount of profit rather, the losses have come mainly only in the year 2023 and most specifically in quarter 3 which we discussed in last quarter. This is owing to two situations; one is a normal operational loss due to the slowing down of the economy in Europe due to the Ukraine war and there are certain settlements what we have done in this Swiss subsidiary to get a better cash flow from the project. We have settled some of the legal matter for which we have taken some right down so that's why the loss is appearing in the 3rd quarter. This quarter no such loss.

Vinay Chaudhary: Ok and with respect to the JV projects what would be the rough working capital requirement in days?

Girish Gangal: JV projects are different, I can't generalize the JV projects as there are two types of JV projects, sort of three types of JV, a JV wherein like we have the coastal road, wherein they have their own working capital, they have to manage their own working capital, the other type of JV is wherein two partners come together and it's a pass through entity where individual partner does its own work, for which the individual companies will take care of their own working capital. So, it will be very difficult to generalize, how much working capital, it depends on the type of work as well.

Vinay Chaudhary: Right, for the orders intake what we have right now, are we comfortable on the non-fund limits what we have or do we need to avail some more sanctions.

Girish Gangal: Not right now. Right now, they are sufficient.

Vinay Chaudhary: Ok for FY24 at least

Girish Gangal: Right

Vinay Chaudhary: Ok thank you very much for the answers

Arjun Dhawan: On the limits front there is a substantial amount of limits that we have, so in the last two years, Covid is behind us but there was obviously certain delays and certain projects due to Covid. There is substantial amount of our order back log that is now going to start getting completed, so there is a huge amount of our limits that we are going to be getting back as well that will be redeployed to new jobs.

Vinay Chaudhary: So just coming back to one more point, the award thing, just to understand my level of understanding in terms of accounting recognition, so when the arbitration award is being received, we already have those sit in the receivables or the unbilled revenue. As since we may have been recognizing those based on the percentage of completion method. Is my understanding correct?

Girish Gangal: See whenever one receives an award, at that time it gets recognized in the turnover in books of accounts before that it doesn't get recognized.

Vinay Chaudhary: Ok, say for example a 1,000 crore order, if 20% is being completed, so we would be recognizing based on the percentage of completion method, right?

Girish Gangal: That's right

Vinay Chaudhary: And for example, for that particular completion the arbitration is going on so that would already be sitting up in our top line and the receivables.

Girish Gangal: No, it will not be .

Vinay Chaudhary: Ok

Girish Gangal: It will not be sitting in the top line but indirectly it is sitting into receivables because whatever cost is incurred, see that requires a detailed discussion . There are two methods prescribed for this accounting, all the incomes are expenditure which is called input method and output method . It's an elaborate discussion if at all you want to understand it better, we can have it offline at some point of time instead of explaining it to you now as it is a lengthy process.

Vinay Chaudhary: Ok thanks .

Sandip Sabharwal: There are a couple of questions, one historically I have seen the company for a very long time , so the main issue which comes up with HCC is that you bid for projects may be aggressively, I am not sure . Then because of various issues, the project gets delayed or there are some disputes and in large number of projects you end up having arbitration is sued which traps your cash flows and impacts your entire balance sheet. So, what steps have you taken over the last few years to avoid these things in the future.

Arjun Dhawan : I would like to address a couple of things here, so if you look at HCC's entire amount of arbitration awards that it has which is across the HCC as well the SPV, obviously the SPV, where a substantial shareholder even after the investor comes in we will own 49% and there is a lot of that money that needs to come back , that is a side point, but the fact is of that approximately nearly 6,000 to 7,000 crores of awards that we have, I think you

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ould be surprised to know that half is actually accrued interest. That is a function of the fact that many of our awards, some of the older awards are nearly over 5 years old and from the time a claim is filed and the time the award is received then as it moves to the courts there is obviously the pre -award interest and post -award interest that accrues . So what I am trying to say here is that our claims issue, if you look at the size of our business as it was 5 years ago, it is not large, and yes we have not grown in the last 3 or 4 years because of issues yes, but the fact of the matter is this was not because of the fact that there was aggressive bidding on projects, I think it is the function of the fact that HCC has prided itself on actually doing projects of great complexity. Our DNA is that we have actually involved ourselves in certain projects of national importance that actually bring with them complexity. Now if you look at HCC 's contribution to when the highway program began or effectively even in hydro -electric power, we have completed about 1/3 of India's hydro . From the time of I think I can go back to UPA 1 and UPA 2, you actually had at the fag end of UPA 2 a substantial slowdown in decision making, there was a number of things that happened at that stage, we had as an industry , a number of contractors across the industry , big, small, simple , more complex increased dramatically and at that stage you had a substantial amount of payments go straight into arbitration because nobody wanted to take a decision on payments. Now obviously that's continued to perhaps in some way be an issue in the industry because you know as opposed to just having 5 or 6 or 7 contractors, now you have 20, 50, 100. But there are clients and clients, I experience with certain clients that have continued to challenge matters, NHAI for example is a different client and some of our hydro clients and our nuclear clients. So there has been a learning all around, we have also been very careful about how we think about risk and where we want to bid, depending on the quality of the contract and the kind of client details that sits at the table and settles. Now I am not blaming one of our clients , NHAI but NHAI deals with 100 of contractors across the country. So, it faces an issue where it ends up having to settle, let's say for example, Sandeep's claim , then it should settle somebody else's and so you have a particular issue in terms of the way NHAI views matters versus somebody else. The long story short is this , that our, these were legacy issues that we actually had, they ballooned because those payments have actually not come , the interest on that has actually, dramatically increased and if you actually look at the size of the projects that we took on at that time and the claim today on those projects that were delayed, I think the infrastructure projects that were brought to market 15 -20 years ago were brought with poorer quality DPRs. They were brought with land acquisitions that were not complete , standards of which are much, much higher now for projects that the government brings to market. And so there has been a learning as India's infrastructure program has evolved in the last 20 years. So, I jumped in here simply because I want to imply that when we as HCC have actually entered into jobs, that we don't do simple 100 km black top jobs . Our jobs involve tunneling, they involve a substantial amount of underground work, they involve complexity where the independent engineer and the client needs to sit and end up taking very clear calls when an uncertainty hits a project, when environmental delays or certain disasters at remote areas happen. At that stage, the client has to jump in, take calls, make payments on time or then you actually have the problems that we face. Now is the government and our clients doing

things very differently today than

they did 10-15 years ago, they absolutely are and so I think that what you can certainly expect to see is that the proportion of claims that we will actually have, the dependency in terms of cash flow in terms of claims and awards is going to be less. One because the clients have actually learnt quite substantially as the infrastructure program has actually grown and evolved. This government is extremely proactive with regard to ensuring that performance gets rewarded and at the same time, we feel and we are very clear in terms of our pricing of risks. So, while I think that certainly there might be a little bit of complaint sometimes in the short run as to why we have not perhaps drawn our order book as fast as maybe somebody else. I think that when we actually grew our order book, we actually select those 4 or 5 projects for the year and we are looking at large projects, you will find that those are substantially high margin with excellent clients and where as far as we are concerned free cash flow not only in year one but at the end of the project is actually going to be very strong.

Santosh Rai : Sandeep, I hope it answers your question, I have nothing more to add to what Mr. Dhawan said.

Sandip Sabharwal: Ya that was quite detailed . The second part is that if I look at your P&L accounts, I see the restructuring unfortunately obviously got delayed so much that a lot of interest got accrued which had to be added to your debt otherwise we would be in a much better position right. But still at an interest cost of 200 crores per quarter, given the magnitude and scale of your business, like viability becomes a question matter, like if you're paying 800 crores of interest every year and then your debt repayments also start, so how do you see this moving?

Girish Gangal: I would like to first correct you, that what you are seeing is only the current year's interest which consists of common, as the first point you raised that the RP got delayed , so some amount of interest is already sitting in my P&L account, prior to restructuring, which will not come in the current year.

Sandip Sabharwal: So then how does that impact the quarterly interest pay-outs ?

Girish Gangal: So quarterly it can be anything between, I mean roughly I am saying around 550 to 600 not more than that. So, it is not 200, it is going to be less than 150 per quarter.

Sandip Sabharwal: Ok that's great. And in terms of Steiner which was traditionally did very well when HCC standalone was not doing very well and you explained the reasons why it went into losses . So how do you see the outlook for that going forward into this year.

Girish Gangal: I am a bit afraid of making any forward -looking statement, but of course we hope that things will improve during the year and they will be able to get to their normal level of good turnover and profitability during the year. As I said, there are difficulties with the European market having inflation trends, the Ukraine war that has put in a lot of difficulty , so things, we expect that during the second half of the year at least if not first immediate quarter, second quarter onwards things should improve.

Sandip Sabharwal: But at least you don't think it should be making a loss this year, right?

Girish Gangal: I wish, of course, as I said and have explained earlier also, that the loss last time, last quarter what we made was mainly because of some settlements we have done for cash flow purpose. Plus, it was not such a huge loss as otherwise expected. It is only a cash flow driven loss , majority of it.

Sandip Sabharwal: Alright, thank you very much

Saurabh: I would like to ask this question to Mr. Arjun, what I see from the historic statements , an opportunity to, we were on a loss on a standalone basis. Now in FY23 we are in loss on a consolidated basis. So, Arjun what's your guidance on when we will be profitable

both on standalone and consolidated basis?

Arjun Dhawan : Again I, can't make forward looking statements but certainly I think some of the consolidated numbers that you see historically are a function of some of the legacy issues that we have now put behind us . I am not sure how far you have gone back on consolidated but Girish maybe you can give a sense as to whether there are sort of onetime non-recovering on historical. As far as this year, consolidated has been disappointing on account of the performance in Steiner which we have already talked about in a fair amount of detail. The situation in Europe, the rising rate environment and inflation, I think it all came as a bit of a storm and as far as the performance of our Swiss subsidiary is concerned, hopefully we will continue to, we will surprise you positively as we move forward. But I want to be a little cautious in terms of what I say on a call, that could imply one way or the other . Girish, do you want to comment on perhaps maybe what was driving the consolidated , you know losses before, I mean look I think that frankly we had a delay in RP, that hurt us during which time we could grow so that was pure interest sort of hitting our bottom -line and obviously our productivity was impacted there. I am not sure to what extent the last 2 to 3 years the impact of LAVASA basically flows into those numbers , I think that was squarely

closed once we had taken the write-off a number of years ago. Anything further to add.
Girish Gangal: No, I think we have clearly stated the past 2 to 3 years especially for HCC because of the delay in resolution plan, the entire interest, finance cost was sitting with HCC, plus there were working capital issues because of the difficulties before RP, faced with the lenders or the general working capital situation, which delayed the projects and the cost was, there was an excess cost which was being incurred for a particular project. Now those things have improved, you can see from the current results of HCC with the increase in turnover and so also reduction in cost, things are looking better. Unfortunately, as you rightly pointed out, during the year Steiner, because of the situation at their end, they had some difficulties, but we are quite hopeful that both will run together this year to surprise you as what my Vice Chairman has said already.

Arjun Dhawan: You know I wanted to just by the way, one thing we should have started the call with, I should have started the call with, frankly was to, I mean I think you are all acquainted with and been introduced to Mr. Jaspreet Bhullar who joined us as our CEO over a year ago and he has completed now 13 months with the company, he was appointed the Managing Director of the business and as far as we are concerned, we have a very strong professional leadership led by somebody who lives, breathes construction 24/7. And I think that certainly my expectations are that as you get to know him and the team and look we have been having analyst calls on a quarterly basis and perhaps maybe on a semi-annual basis, we actually do something in person, so that I think the connect of people in person is able to communicate to you a little better than actually having a slightly more impersonal conference call. We will may be plan that on an annual basis if not a semi-annual basis.

Sandeep Sawant: Saurabh anything to add

Saurabh: We will look forward to the positive surprise thanks

Vishal: On the order book that is there of 15,000 odd crore is the mobilization advance received for the full 100% of the order or is there any slow-moving order which may not see light of the day?

Santosh Rai: No, I think the latest addition to our order back log is the bullet train station and there the advances are yet to be collected, remaining are our ongoing jobs in Mumbai and in Uttarakhand. So, where the advances have already been

deployed into the project.

Vishal: Ok and then on arbitration award claim, what is the total amount that is there in the books like?

Rahul Shukla: So, excluding the carved-out portion in HCC as of now we have almost 1,700 crores of awards and almost slightly over 4,000 crores are claims, now all these don't come to our books specially claims because we don't bring claims into our books unless they get converted into awards. So, in books you will not see so many of receivables, but this is the value of awards and claims that we have in HCC.

Vishal: Ok, no but how it exactly works, in the sense if you mention like arbitration awards certain obligation has been done, that's how it will come in the books on a balance sheet side so why there is a difference of the amount that you mention?

Rahul Shukla: No, Vishal, claims and awards are two different things. When we initiate the dispute, we file claim on the client and then subsequently through dispute resolution mechanism where the claim reaches to arbitration tribunal which are generally in most of the cases, 3 arbitrator panels, they analyze those claims and after lot of deliberation they conclude, that ok this is the amount which is actually payable to HCC. Then they pass the award. Then it becomes an award that's why we differentiate between claim and awards and till the time this award is actually passed by arbitration tribunal, we keep it off our books once it is certain that this is the amount that is receivable by HCC we take it into our books.

Vishal: And second, just a clarification, can you further clarify on the breakup of this debt which is there in the book of 5,200 crores, standalone is 3,500 remaining if you can just clarify?

Girish Gangal: Roughly 5,200 crores debt comprises of as far as HCC will have around 3,000 crores, SPV what we have transferred will also have around 2,500 crores and there is some debt for Steiner also, however whenever consolidation happens as you know that cross entries get eliminated so the net result is 5,200 crores roughly.

Vishal: Ok then in this, interest bearing is only the HCC standalone money?

Girish Gangal: No both are interest bearing, all are interest bearing.

Vishal: So, the 2,500 crores, that is the PRPL one, right?

Girish Gangal: That's right

Vishal: I think there was a comment that there is a timeline of equity raising for I think HCC level or PRPL level, can you just clarify on that front?

Rahul Shukla: No basically, obviously this equity raising is something that we will time it as per the requirement of the company. In this resolution plan we....

Arjun Dhawan: Rahul sorry, my apologies, can I just take that. As part of the resolution plan

with lenders, we have discussed various options in terms of how to grow the company and how best to realize the potential of the business. Without going into the nitty-gritties of that, it is something that we are not able to share. HCC has a number of unrealized assets in terms of value whether it is arbitration awards, our claims, whether return of capital from our subsidiaries and so depending on the permutation and combination of how are cash flows evolve in the next few years, we will decide on whether it is necessary or not to actually raise capital and we will actually do that to time certain obligations, certain benefits that we will get, certain further concessions that we will get from our lenders or depending on when we actually require to take advantage of growth opportunities or time along with the fact that our liquidity plan with regard to some of our various assets is how we basically think about our equity raising plans as well as our obligations.

Vishal : Thanks for the clarification, one last thing, though it may not be a right time to ask but Steiner AG has not been making profit at least in this year but going ahead, maybe whenever it becomes profit

able, we want to have HCC standalone which is giving EPC in India as well as this entity which is in Swiss both together or is there any plan to be only focused on India? And we want to have only business focused in India going ahead ?

Arjun Dhawan : So I think the answer is clear, our goal and our focus is to create value for shareholders, that shareholder value gets traded as a function of growing our business, growing earnings, paying dividends and that could happen as a function of realizing values from let's say for example a completed BOT concession assets at premiums and timing, when we want to sell that, it could be combination of receiving dividends from our subsidiaries, including our Swiss subsidiaries and it could also be a combination of even within our Swiss business, the company actually comprises of various parts. We have incubated a very strong digital platform in there and we have our development portfolio which today is nearing about 5 or 6 billion Swiss Francs in size which will generate a substantial net present value over the next let's say 6 to 7 years. So, a combination of how we think about a sale of assets or a diverse or a strategic capital raising in terms of, is how we think about it is, Steiner a construction company is it part of kind of our strategy to be a full services construction group? yes, it is. Is it quite distinct from HCC? yes, it is in terms of its product profile, yes that is also true. So, I think we have committed in the past that our subsidiaries need to generate value and I can understand the impatience our shareholders have in seeing how this value can be reflected in our share price ultimately right. And I think that our goal is very squarely focused on that. We have had a business cycle disruption in Europe in the last couple of years, which we have in the process of kind of correcting. Hopefully in the near future we will be able to achieve the goals that are just innumerable.

Vishal : Yes sure, thanks for this.

Chirag Shah: Thanks for the opportunity, I have some questions that need clarification, for the cube sale, you indicated that we have received some 670 odd crores but when I look at the cash flow statement it shows around 374 crores so how do we reconcile the two numbers?

Atul Kumar: So, Chirag 370 crores is the equity consideration, we can share the details of the other cash flows which are received in terms of payment of liabilities to the related parties and the payments to EPC contractor, those details we can share with you offline.

Chirag Shah: Ok because I was under the impression that 670 crores is the equity value that we are getting over and above the debt that is there in the...

Atul Kumar: The total amount receivable by the group is 677 crores which is divided into equity considerations, payment to related parties of the past liabilities and then the EPC payments which we discussed earlier.

Chirag Shah: Ok, so these 374 crores that we have received is complete right? The 50-crore funding that is required to be done to complete those balance projects, it will not go out of this money?

Atul Kumar: No no

Chirag Shah: Ok, that was one, the second question was on the interest cost, so it was indicated that the normalized interest cost would be around 150 crores a quarter but when I look at again what is the amount of interest booked in P&L, which is around 1,000 odd crores, what is the interest outgo it is only around 300 odd crores? Ok, so why are we saying that our interest cost would be around 600 odd crores on annualized basis?

Girish Gangal: Which 1,000 crores are you referring to? If you have referred to the quarter results in the profit loss account for this March quarter December or whatever you will find this interest cost of around 145, 135 crores respective quarters. So, on that basis I said it is going to be around 600.

Chirag Sh

ah: No sir I am referring to the cash flow statement, consolidated cash flow statement where we have shown 1,000 odd crores of finance cost but when I look at actual

cash outgo which comes in financing activity it is only 300 odd crores. So, I presume actual finance cash outgo would be the actual cash that we are paying, and balance arose because of the arbitration right, that 1,000 crores include good amount of those arbitration interest that accumulates in our interest cost, sorry 400 crores, the cash outgo is 392 crores to be precise.

Girish Gangal: referring this number of 1000 crores from our consolidated accounts ?

Chirag Shah: yes, I am referring to consolidated accounts.

Girish Gangal: Whereas I have told you the interest cost of standalone account because the query earlier was on standalone account. The earlier gentleman that asked the query whether HCC is having, how they can afford an interest cost of 200 crores per quarter going further. So, it was specific to that cost not to the consolidated cost, interest cost.

Chirag Shah: So how should we look at consolidated interest outgo, it should be in this 400 crore range plus minus depending upon how your debt plays out .

Girish Gangal: If you see even the consolidated interest numbers, it is in the range of 200+ crores it is not 400. When you refer to the cash flow , whatever transactions happen during the year also gets reflected, for example when this BFHL was sold, we have cleared all the lenders costs so that will be the cash flow. The impact of P&L and impact on cash flow are different things . So, if you are referring to P&L, I can say the interest cost will be, per quarter cost will be around 270 or so for consolidated account and 150 for standalone account.

Chirag Shah: I am trying to understand the interest cost excluding the arbitration amount?

Because once the SPVs formed and it's a noncash outgo for the point of time it is a noncash outgo because of the accounting, you have to account for it? The actual interest that you pay to the bank for borrowings that you have, I am trying to understand what that amount could be in a normal business scenario? That's why I am not referring to the 1,000 crore interest booking, that expense booking that we are doing in P&L .

Girish Gangal: I think there is some confusion what we are referring to, because arbitration interest is my income whereas the finance cost is the charge for the lender's payment . So, I don't know from where you mixing these two numbers to arrive at some figures?

Chirag Shah: No but on the claims that are there you must be also accounting for interest, right?

Girish Gangal: That is an income, whereas this is a finance cost.

Chirag Shah: So, 1,000 odd crores of finance cost, because last year also for 2022 we had similar amount of interest cost, right?

Girish Gangal: Each year is a separate year , in 2022 we did not have a resolution plan ok. In 2023 part of the year, we had the resolution plan and part of the year it was the full interest sitting into HCC book . The interest sitting into HCC books prior to resolution plan was 200 and odd crores per quarter which has come down to 145 per quarter . As far as consolidation is concerned 3 things would happen in the consolidation, the reflection of reduction in interest cost for HCC post September quarter will be reflected. The repayment of BFHL debt on a receipt of concession of Cube to that extent will get reduced however this payment will be shown in the cash flow statement and the impact of the Steiner debt also be reflected in the cash flow statement of consolidation. So, it is very difficult to make a conclusion that why 2022 was 'X' and why 2023 was 'Y' unless we assess the individual instances that have happened during the year.

Chirag Shah: Sir, if possible, if you could take it offline, it would be helpful to improve my

understanding. Lastly just one clarification, what is the quantum of new claims that we would have filed over last 12 -15 months? Is there any major new claim that we have filed over last 12 -15 months?

Girish Gangal: Normal business process and I don't think we can disclose those numbers as such because these are claims and I can say it is 1,000 or 2,000 it doesn't make sense unless the client accepts it. So, till the time it has some sanctity as far as acceptability by client and discussion and plan allot, dispute resolution, there is no point in discussing those numbers as of now.

Arjun Dhawan : What Girish is not implying that the claims that we file are frivolous , I think just from an analyst call perspective, we can't obviously give you a speculate as to what that is until obviously there is a completion of at least say quasi-judicial process if not a judicial process.

Chirag Shah: Sir let me reframe the question, the 4,000 crore claim that you indicated, 1700 crores awards that you have recognized and 4,000 worth of claims you have filed, these are all old claims or these also includes claims of the last 12 -15 months.

Arjun Dhawan : It is a combination of both but I think what I will let you do which is something you do best, which is to look at the history of the company of this information of the company that has been given to you and then work out exactly what is it that we have actually filed on an annual basis or what is it that we have recognized . I think as I pointed out earlier, we will likely see the amount of claims that we will file have obviously reduced as a function quality of projects we take on and the kind of clients that we pick. Yes, I think

there is a function of covid and some of the extra ordinary environment that we saw in the recent past will certainly have that kind of certain amount of claim filing but as Girish said it is ordinary course of business, I don't think that you should be worried about any ballooning of claims, it is certainly not going to be a driver of our asset value or our cash flows in the future in terms of fresh basically claims filed .

Chirag Shah: Just one clarification, what is the amount of bank guarantee s, I am not looking at the amount that you have because in case you want to bid higher than 15 ,000 crores if the opportunity comes across, do you have the bank guarantees or funds available to go for bidding to qualify for those biddings?

Arjun Dhawan : First of all I think we are quite satisfied with the capital that we have today to grow one, second I am not sure historically whether we have shared that level of detail and I certainly don't believe we have but I think if you work backwards Chirag from, we started with an order back log of over nearly 20 ,000 crores a few years ago , we have not added much except for a few JVs that we have and I think that you seen the ones where we have providing our e ngineering services and support versus the ones that, so I think if you can work out , I mean the fact is that every job requires certain percent of guarantees . You can do the math very simply on exactly the number of guarantees that we already have and to be very honest, I think that we have enough on our plate is that, does that mean that we will not evaluate potential opportunities and consider having additional capita l come towards future growth ? absolutely we will. And today we have that flexibility , we have financial institutions that back us, we have financial institutions that are we are happy to have discussions within terms of further capital that we will need t o grow further if required.

Chirag Shah: Thank you and one last request, if possible, the presentation that you upload on website if you can do before the result call would be helpful . We will have a time to go through that presentation .

Arjun Dhawan : A very reasonable request and I do believe it wa

s uploaded but I don't think

you had more that maybe half an hour to kind of review that along with the numbers so either that or we stagger the call or in fact it's the year end , so it was a slightly longer board meeting, but point noted .

Chirag Shah: Because I don't find it on BSE even no w. Thank you and all the best.

Arjun Dhawan : Thanks so much

Santosh Rai : I think we have received most of the questions which are answered now and I would like to thank all the analyst who came for this year end presentation. Thank you for your faith in us, thank you for the support you have provided and look forward to see you very soon. We will close this call now. Thank you.

Call: Aug 2023

ANALYST MEET Q1 -FY24

Santosh Rai : Good evening, everyone, welcome to the HCC's investor presentation for Q1 - FY24. We will start with the order backlog positions, the order backlog position of the company as on 30th June, 2023 is Rs.13,568 crores. Like the previous quarter, the order is still spread largely across the transport sector, followed by Hydro, then Nuclear & Special projects and Water. We have submitted a couple of bids during the Quarter 1 of FY24 around 2,000 crores. And there are more bids under evaluation to the tune of 3000 crores. The focus of the company will remain again in line with what we have discussed in the past, that we are going to continue to focus on high value jobs in urban -infra, underground structures and hydro power space and couple of selective jobs in nuclear power sector. The key highlights for Q1 FY24 with the consolidated group revenue is at Rs. 2,564 crores in Q1 FY24 versus Rs. 2,228.9 crore in Q1 FY23. We have a consolidated profit of Rs. 52.7 crore in Q1 FY24 versus a loss of Rs. 280.7 crore in Q1 FY23. This quarter the Q1 of FY24, in fact we have done the highest turnover in the Q1 and it is almost 27% more as compared to Q1 FY23. We have a Standalone net profit of Rs. 18.9 crore in Q1 FY24 versus a loss of Rs. 150.8 crore in Q1 FY23. EBITDA margins are standing at 12.6% in Q1 FY24 compared to 10.4% in Q1 FY23. This top line growth what we are witnessing is a result of implementation of various projects streamlining initiatives, very tight control on operations and all the good practices are being put into the projects to speed up the progress. We have also achieved the project completion certificate for Munirka Flyover, it's a project in Delhi. And as a focus on the closing out of completed projects, we have been successful in closing two of our old projects called as Sone bridge and Sainj hydro -electric power plant. The demobilization is completed at these projects. And at Pare HEP at Arunachal Pradesh, the demobilization is in progress. Few of the operational updates, what you see before you is the Anji Khad bridge, almost 85% of the job here is completed. You can clearly see in the picture that the bridge is now connected on the other side, so a very delicate portion of the construction has now been successfully completed. We are completing the remaining connecting portions and we are targeting to complete this job by end of this year. Delhi Metro DC -06, is again our 4th project with Delhi Metro and here almost 90% of the project is completed. The tunnel works are completed and what we are doing is the final concourse slab along with the other finishing activities. The picture on your right is about the cross passages which connects the two tunnels together. This was difficult in this project because of the very high -water table but our project team has very successfully completed this exercise. Tehri PSP, what you see on the screen is that the electro mechanical works are in progress. Upstream surge shaft and lining is also in progress. All the works of civil and electro mechanical are progressing as per the schedule. Vishnugad Pipalkoti HEP which we have been discussing for the last few months, the TBM drive here has recommenced successfully from July 14 and with all the technical precautions we are moving ahead with the tunneling. This is a 12-km-long HRT with 10-meter diameter, construction by TBM has recommenced now. Nikachhu HEP is in Bhutan and you can see in the project that one of the radial gates is open that's basically for the flood control but 2 gates have been commissioned and the remaining one gate which will be completed by October 2023. It's progressing well. This is an important Tunnel project, T -49A in Jammu and Kashmir a part of the Udhampur -Srinagar Baramulla rail link project and this project is also nearly 90% complete. We have completed almost all the

tunneling and lining works, now some remaining ancillary works are in progress. And some variations have been added which we believe we will be in a position to complete by March 2024. Rajasthan Atomic Power plant, now the handing over formalities have begun with department of Atomic Energy. Project stands almost 99% complete. Mumbai Metro, this project is a part of the Line 3 and you can see that the MEP works are in progress at different stations. In the picture on the left, you see the CST Station, where the mechanical, electrical and plumbing work along with finishing works are in progress. Kalbadevi which is NATM station, now we have started the OTE duct erection and other finishing works have already started here. These are the pictures of Girgaon and Grant Road Station, the picture on your right, showing Grant Road station where the final NATM works are in progress now, the lining and the final works will be completed here. Here, finishing works are in full swing along with ancillary building. Girgaon, the NATM here is still in progress, we have some 40 - 50 meters of work pending and that we are targeting to complete over the next few months. Together with this, all structural works will also be completed by August and then the finishing works will start at this station also. This is the picture of Mumbai Coastal Road project, you can see on the slide that the super structure erection and the bridge erection is in progress. We are going to complete the bridge erection in this project by April -May 2024. Followed by the finishing works and the surface level roads are also being targeted to be completed by the end of this year. The works are progressing as per plan. Also, for the

variation work which was introduced into the project, we have been progressing as per schedule and this will also be completed in line with the target completion date of June 2024. These are the financial numbers of the consolidated financials which are on the screen and in line with what we presented in the opening slides. We can discuss this at the end of the presentation. These are HCC's Standalone Financials, as you can see Q1 FY24 revenue is Rs. 1,230 crores up from Q1 FY23. Coming to HCC concessions, this is the BFHL project where the Bhagirathi bridge is almost completed except the left-hand carriageway. Target of the company is to complete all the civil works by December 2023.

Steiner AG the closing order backlog of the company as of June 30, 2023 is 892.5 million Swiss francs amounting to Rs. 8,054 crores. And for the Q1 FY24 the order intake of the company is 59.5 million Swiss francs amounting to Rs. 537 crores INR. Other key financials are given on the slide, thank you very much and now we will take questions.

Arushi Shah : I just wanted to know , the unbilled revenue which is sitting in our balance sheet, what is it basically. If I could get a rough idea of that, the contract assets which usually sits in the asset side.

Girish Gangal : That's right but along with these results, we are not presenting in the balance sheet. The first quarter we don't need to present any balance sheet. So, I am not aware from where you are getting these numbers.

Arushi Shah : No per say it is in the other annual reports, so previously also, I just wanted to get an idea what is it basically.

Girish Gangal: See Wherever its applicable to Work where I am unable to bill it because of the certain norms of a project unless I complete a particular portion I can't bill to the client. So that's in unbilled revenue.

Arushi Shah : Ok thanks.

Mahesh : The first question I have is what is the revised timeline for the debt SPV that we are making. There were some small procedural things that were pending. What is the revised timeline? When will the debt go off our consolidated balance sheet?

Girish Gangal: The company is already separate ; debt will go from the consolidated balance

sheet once the investor is inducted for which it is pending for some approvals from the bank. Now majority of the approvals have been received . So, we can expect by end of current quarter we should be through with separation of the debt from the consolidated balance sheet.

Mahesh : The second question is that if one looks at some of the construction companies, obviously every construction company has its own profile. But there is a lot more order winning activity there. So are we actually, let's say last 6 to 9 months, have we been more internally focussed trying to address the problems inside and have slowed down a bit on the bidding activity, I am talking about last 6 to 9 months.

Santosh Rai : Mahesh to answer your question, we have been through a period where we had taken a conscious call to first streamline our existing operations and focus on our projects delivery. Coupled with the other set s of requirements which were to be met with, especially the banking requirements. We have been working upon that and what you see the decline in order intake of HCC has been a function of that particular case. But as we speaking now, we are fully geared up. In fact, you can see that the company has already submitted direct bids which we are making for our metro clients and also for some of our road sector clients, plus some other sector also we are completely focused. So, you will see a good amount of increase going forward and as you rightly said the focus was, the previous journey was quite calculated and well thought of . Now as a part of our growth strategy, we are very well focussed on bidding for new jobs. We have identified a good set of bidding pipeline for us and we are working on that.

Mahesh : Thanks a lot. One last question, there is always some fluctuation in the profitability but over let's say long term, 6 to 8 quarters. What kind of net profit margin could one expect in Steiner AG?

Arjun Dhawan : Look I think we have not generally given a guidance on profit margins but in the past if you look at Steiner AG's business and what we expect to continue, it is safe to say that we should be doing 3 to 5% margins going forward. Now that's because we have lowered the risk in the business, a typical construction 3rd party TCGC business in Switzerland has been in the range of about 2 to 3% PAD . I think that we will be able to probably see some of that increase as we go forward. But at this stage, I won't say anything further, we can talk about this perhaps in the coming quarters when there is something for us to actually communicate .

Mahesh : Thank you very much and all the best for the future.

Chirag Shah : The first question I have is with respect to order book, can you indicate the number as I missed that during the presentation.

Santosh Rai : So, Chirag, as of Q1 FY24, our order backlog is Rs. 13,700 odd crores.

Chirag Shah : And has there been any inflow in order book.

Santosh Rai : Not in Q1. There are bids under evaluation which we have submitted now.

Chirag Shah : The second question is, how much worth of order you can bid today, given the amount of bank guarantee you have plus other criteria's , so what is the kind of order you can bid today and how many order s have we actually bid and waiting for the outcome ?

Santosh Rai : As we have presented, I think already bids worth Rs.2,000 crores are already submitted which are under evaluation . We are currently in the process of evaluating bids worth Rs.3,000 crores and if you ask me in terms of our preparedness, we are prepared to submit bids to the volume of around Rs. 25,000 to 30 ,000 crores.

Chirag Shah : Ok, so is there , higher competitive intensity or it is more inward looking, house correction activity because the amount of bids that you are putting across and the amount of bi ds that you can put across there seems to be a reasonable gap. So, when the structure of actually

submitting bids as you may not be alone in every bid right, so there would be some areas where you may miss out.

Santosh Rai : I think you have put the points fairly. As we said, we have right now for example in this Q1, in terms of numbers, we have around 5 bids, which are directly HCC bids which are under evaluation, which are already submitted. And we believe that we will be submitting another 15 to 20 bids going forward . You can see the activities picking up also in line with what are observing in to the market and as you might have noticed we have declared that we are going to focus on certain type of jobs which are the inhere nt strength of the organization like large value urban infrastructure projects or projects in underground sector, hydro power space, so those are identified and you can see, I can say a very constant approach from us from Quarter 2 onwards.

Chirag Shah : One last question, one suggestion, can you make some comment on the announcement that you made with respect to fund raise. So, what is the thought process by when do you intend to complete the process, etc.

Girish Gangal: We are waiting for the right opportunity to announce that, right now, immediately, we don't foresee , we have taken in princi ple approval but maybe during the year sometime we will come out with exact plan.

Chirag Shah : Ok it's more of a in principle appro val you're taking right now.

Girish Gangal: Ya that's it

Chirag Shah : One last request, if possible if you could keep sometime between the call and the uploading of results and ppt , so we get a chance to just glance through them.

Santosh Rai : Well, noted. Our apologies for that as due to some technical issue, we lost an hour but we will certainly address this issue.

Chirag Shah : Thank you and all the best

Sunil Shah : My question is what about the second agenda of the raising of fund, I think you have explained we have taken in principle approval. So, nothing much to add, thank you.

Keniel Omkara: So, this year majority of your old projects are going to be completed such as Tehri -PSP, Mumbai Metro and Rajasthan one and al so Nikachu HEP hydro power plant, so should we expect higher revenue booking in coming quarters? Due to Completion timelines? Which will lead to some bump up in margins? Sequentially?

Santosh Rai : So, I think our operational performance is going to be a function of the kind of projects we are into and we can say that our target would be to do better that what we did last year and we are all set in that direction, because we can't make some futuristic statement here. You will appreciate that , but we will make an effo rt that we do better than what we did last year.

Keniel Omkara: Majority of your contracts are old contracts which were at cheaper cost when you had bided due to higher raw material cost and everything, the margins are sequentially lower over the last few years. So as your old contract gets out and the new contract comes in , your margin will sequentially bump up as soon as you get order book closed.

Santosh Rai : Look I think, that is going to be a mix of what we secure and how it happens but you will al so appreciate that the new projects will also take 6 to 7 months to really come to a stage where they start generating margins.

Keniel Omkara: And would like to know for the Cube, have we got some equity consideration?

Atul : Yes, we have received the consideration and we have closed the transaction in March of this year.

Keniel Omkara: And have you received the full amount Rs. 650 crores or is it part consideration now?

Atul : Part of that is for the balance completion of the proj ect, except for that, we have received the consideration.

Keniel Omkara: Would like to know in your results summary you have written that you have generated a good cash -flow amount, is it due to claims coming in or is it due to general

business operations. Worki

ng capital getting reduced and operation margins increasing.

Girish Gangal: Claims plus it is on operational revenues.

Keniel Omkara: What would be the amount? Approximate, if you can provide?

Girish Gangal: We can't segregate in that manner, the cashflow available from the operations separately. I don't know from where you are getting these numbers?

Keniel Omkara: You have written generated a good cashflow amount during this quarter in your results summary on the first page .

Girish Gangal: It is a comment on the basis of the estimated revenue for what we are planning is higher by 27% from that perspective it is a comment that we have generated a better revenue.

Keniel Omkara: Ok understood and on the upcoming project bids, should we expect the bid amount to be in the range of Rs.3,000 to Rs.5,000 crores like your BKC bullet train orders? Or should we expect say around Rs.1,000 – Rs.1,500 crores where the majority of the competition is?

Santosh Rai : Keniel , I think as we have said in the first slide also, we are going to focus on projects where we have inherent strengths. And this is a bit difficult question to answer about what range it would be but I think we will be more focused on jobs which fit our execution capabilities and our strengths. Now, I think Rs.3,000 or Rs.4,000 crores is a kind of number where we are very comfortable executing on our own but if the sizes are big, we will also like to have right kind of joint venture share, partnership and other things. The size is not going to be a parameter basis which we will choose our projects.

Surya : In which segments do you see the most projects coming from in the next one year.

Santosh Rai : I will say urban infrastructure, roads , especially the greenfield express ways will continue to drive the segment . So, to summarize this will be the transport segment where you will see a lot of activities on going.

Surya : And what is the total amount of hydro tenders coming up for bidding in the next 6 months?

Santosh Rai : To our knowledge, I mean if you look at the hydro sector, in hydro we are going to consider pump storage and other things. We are clearly seeing that at least bid worth Rs.30,000 to Rs.40,000 crores are there.

Surya : And which state should contribute the highest?

Santosh Rai : North and North-east

Surya : You mentioned underground structures , what do you mean by underground structures?

Santosh Rai : They are largely metro tunnels for metro train or for example if you see nowadays lot of tunnels are being made which are below the mountain, so that's what we mean by underground structures. Tunnels for transportation and also tunnels for Hydro power projects or tunnels for any other purpose.

Surya : I have a last question for Mr. Arjun Dhawan. That in our resolution, the final stage which was the transfer of SPV debt to the investor has it been completed yet?

Santosh Rai : I think Surya that question was asked by someone else a while ago and we answered that question that there is some minor procedure pending for which these things are waited for.

Surya : So, by when can we expect all the pending approvals to be completed?

Girish Gangal: We expect by this quarter end, we should have the approval

Surya : What is our current debt on HCC consolidated basis?

Girish Gangal: Around Rs.5,200

Surya : And after the transfer of SPV debt to the investor what will be the total debt remaining on the group?

Girish Gangal: Something around Rs.2,600 to Rs.2,700

Surya : Ok so it will be a deduction of around Rs.2,600 or Rs.2700 crores?

Girish Gangal: You can say roughly 50% .

Surya : That's all, thank you

Riddhi: So, my question is regarding LAVASA, after the approval of the resolution plan how will it impact the liabilities which we have in our books?

Girish Gangal: As far as HCC per say is concerned, HCC has already taken a debt related to LAVASA corpo

rate guarantee, so we don't foresee any change as far as HCC is concerned in its books. There is no impact pertaining.

Riddhi: So, I think there is a liability of Rs.1,000 crores in our book which is pertaining to LAVASA right?

Girish Gangal: That's right.

Riddhi: So that won't go away?

Girish Gangal: It has been accepted and it is already converted into NCD. That liability which

we have taken in HCC books has been already converted into Non-Convertible Debentures with a varied payment term, so that cannot go away.

Riddhi: OK and apart from that there will be no other liability?

Girish Gangal: There is no other liability. We have booked everything what we had.

Riddhi: OK thank you.

Mayank: I was going through the results and we see an improvement on the year to year but we are not good at operational performance compared with quarter on quarter. If you compare the results with March, I think there is a stink in revenue and profit. So is there any reason or is it due to the nature of the construction thing.

Santosh Rai : Mayank that is largely the nature because in fact normally if you see for almost all companies the Q4 is normally something which is a very good one. We are seeing this as a good progression over what we did last year versus this year, compared to that nature. So, nothing abnormal here.

Mayank: OK and coming to Steiner AG, the profit is very less, only Rs.11 crores, I think? So, it is very less, like the amount of profit it generates if we compare to that, it is very less. So, is there any significant reason?

Santosh Rai : I think Mayank that is also a function of, I can say the nature of those markets. Specially the nature of construction business in those markets wherein we have fixed but quite lesser value of these profits and the results are reflecting that.

Mayank: And I think you have posted the rights issue for value of Rs.300 crores, so any price will be finalized in the AGM or how does it work?

Girish Gangal: We have mentioned already we have taken in principle approval right now. So, whenever we decide and finally go for it, that time all these things will arise.

Mayank: OK just the value is decided now.

Girish Gangal: Overall value, is the value approval we have taken in principle approval.

Mayank: I think instead of rights issue you mentioned raising capital?

Girish Gangal: When you take a in principle approval, naturally you would like to have various options which are available to raise capital to capital market. So, it can be preferential share, it can be QIP, it can be rights issue, it can be anything.

Mayank: And this amount will be used for further bidding the projects or how will it be?

Because you mention like you have substantial cashflow right, so still require this or how it works? Or is it something like the promoter is looking to raise? Equity shares or how is it?

Girish Gangal: One this is for working capital requirement and growth, what we have shared is that only cashflow good in the sense because we have done a good turnover this quarter, the cash flow appears to be good. That doesn't mean that overall cash flow situation is such that we don't require any funding to come in through equity raising.

Mayank: And final question, we have gone through the restructuring, right? And we are not seeing anything what we expected like interest servicing you said like interest servicing will happen like another couple of quarters, I think. But the benefit is not getting any results like it is not getting transferred now. You mentioned that it will be transferred by end of this quarter.

Girish Gangal: You are linking two different points. As far as interest payouts are concerned, these interest payouts are only annual as per the resolution plan that happens only in March every year. Now what the questions were raised where about the investor, where we create a

Special Purpose Vehicle (SPV) and where we transfer assets and liabilities to a separate company. The questions were raised by the earlier investor that when possibly these liabilities or this company will be de-recognized from HCC group, we are likely to get an investor in that company. So, that is likely to happen by end of this quarter when all the approval process from all the vendors is completed. So, interest payout and liability reduction are separate than the de-recognition of this SPV from HCC group.

Mayank: Correct. So, what is the different in financial obligation because is it going to reduce or something? As we are seeing very less profit now? We were expecting like debt resolution is done and we have passed a couple of quarters and I think it is almost like 9 months now. So, we are not seeing much improvement?

Girish Gangal: Because if you compare this quarter results and turnover with June of last year wherein we had resolution plan we had a loss of Rs.150 crores wherein this quarter we have a profit of Rs.20.

Mayank: OK

Girish Gangal: Similarly, if you compare March of 2022 and 2023, March 2022 we have a loss of Rs.400 maybe I don't remember exact number to the last digit. Whereas in March 2023 we have a profit of Rs.250. So, there is a substantial difference that has happened post resolution plan. I don't know from where you are getting the impression that we did not improve or we did not have results which are reflected.

Mayank: No, I am talking about finance cost

Girish Gangal: Finance cost last quarter if you see, last June, it was Rs.243 crores which has

come down to Rs.137. So, it is a reduction which has already happened.

Mayank: Ok because I was checking the consolidated basis, there I don't see.

Girish Gangal: Till the time the SPV doesn't get de-recognized after the introduction of investor that cost will remain in the Consolidated books.

Mayank: Ok got it. The results were published before this meeting so that's why we didn't get time.

Girish Gangal: We apologize from our side. As there was a technical glitch as when you upload the results .

Mayank: Or else you can schedule the call at 6:30 if it is fine as at least we get an hour to go through it. That's it. All the best. Thank you.

Neeraj : I have just one question on the order book, I think you said, when Chirag was asking the question, you have capability of submitting Rs.25,000 to Rs.30,000 crores of orders, but you have only Rs.2,000 crores orders being submitted and by that run it will be another Rs.7,000-8000 crores additional . So, what is stopping our company to bid on a larger number because capability wise, we do not have any issue, just wanted to understand your thought.

Santosh Rai : We are working on the bids which we have identified and though you are rightly saying there are a lot of bids in the market but maybe they are not where we want to be. For example, we don't want to be on plain vanilla roads, there are a lot of tenders for that or you know there are some other sectors where we are not present. So, the sectors where we have identified the jobs, there are pretty large sized jobs and the work is already in progress. As I said, it is very difficult to say, will this be the thing. Maybe we are looking at job which is in excess of some value as what we are used to. So, we are working on those projects and you will see that our Q2, Q3 and Q4, we believe we will be in a position to submit this and we are also working on bids where we have a good hit ratio. So that we will do a good job and we have higher chances of winning such jobs.

Neeraj : So, I am curious, we won't run into a situation where we have not bid for projects assuming we want to bid on projects in which we have very high hit rates and high margins but those projects may not end up coming in and we may end up with a lower order book. So, I am just thinking o

n those lines, is there a possibility.

Santosh Rai : No, because naturally when we are selecting a bid, I think one of the important parameters is also the bid timelines and the bid scheduled risk. For example, it should not have that as you have rightly said that if we are working on something and it is not just going to come. So, we do this due diligence before finalizing our bid slate also, we are pretty confident that what we are working upon should be something which will get to an order in this financial year. And still there is a lot of time lost.

Neeraj: And what is your internal estimate of the order flow for this year.

Santosh Rai : We are targeting you can say anywhere between Rs.6,000 to Rs.9,000 crores.

Neeraj : Which will be a jump from the last few years of average, am I right?

Santosh Rai : Yes. And most of these bids are going to be for HCC on a standalone basis .

Neeraj : Ok. And the second related question is you have been bidding bids in a joint venture where I think you only required some financial capabilities from another party not obviously on the operational front . So, do you intend to do joint venture bids going forward?

Santosh Rai : No. As just in the initial part of the presentation we said that we are going to focus on bids where HCC has a much larger role in executing those jobs. We are focusing on jobs wherein we are fully in control of the project. Joint ventures, we will only look at projects where from a risk sharing prospective it makes sense for us to go into a JV. Otherwise, our effort is largely going to be to bid the jobs on standalone basis.

Neeraj : Ok, I will come back in the queue , if needed. Thank you.

Sanchita: I just wanted to ask that once this SPV stake sale takes place on a consolidated basis what would be our PAT margins post this deal happens ?

Girish Gangal: Cannot make forward looking statement; And transfer of stake, the profitability cannot be estimated now. Because it is a function of various things, you know it can't be estimated. It is a combination of operational results, combination of arbitration and claim, etc.

Sanchita : Ok thank you.

Vishal: One clarification, initially you mentioned we can bid for Rs.25,000 to Rs.30,000 odd crores worth of projects, so hypothetically if we win everything does our bank guarantee allow us to take that kind of projects or it is only Rs.9,000 or Rs.10,000 that we can do? That's what the target is?

Santosh Rai: Vishal, I think it is a highly unlikely situation that there could be .1% probability that we secure everything that we bid but I don't think so that situation will arise and we do understand what kind of capabilities we have right now to take on our head as a simultaneous operation, so we believe that Rs.9,000 to Rs.10,000 is a good number for us to handle for this current year.

Vishal: So, in a way, one can say that, that is the kind of bank guarantee that is available with us to get the projects.

Santosh Rai : We are bidding for the jobs with a clear back up in our head.

Arjun Dhawan: I just want to interrupt here, while I think that at any point of time your existing sanction limits mathematically determine what your capacity is. It is also dependent on our rapid execution of our existing order backlog, return of those guarantees , that's actually proceeding well . And furthermore it also depends on our access to capital.

Obviously, it goes without saying our internal technical strategic capacity, execution capacity does exist but frankly at this stage the interest that we are seeing with regard to whether it is partnerships, whether their strategic or financial or for that matter our ability to actually access capital, you know once we start to actually generate that , say Rs.6,000 - 8,000 - 10,000 crores of order backlog and execute, I don't think that would be the constraint. So, the goal is to be responsible about the kind of jobs

we take to show the track record that

this company is actually capable of executing and that is something that we plan to do not just when I use the word conservative, it doesn't mean that we will not grow fast but we will do that in a sensible manner.

Vishal: One more clarification,

Arjun Dhawan: Sorry to interrupt, there was a question by a lady before, I think it was by Sanchita, I think that while our finance team is always going to be reluctant to give you that kind of precise mathematical answers in terms of the improvement in margin, it goes without saying that a company, like ours that has actually been shackled to some extent by restrictions that we had to undergo while we were going through our debt carve out. Once we actually have all the parts of our business actually humming well, we have a clear access to capital which we now do, you will certainly see if you compare where our profitability has been historically and I am referring not only to sort of our EBITDA margins, we given the guidance in terms where we expect those to be in the low to mid-teens, along with the fact that we are now free to execute further. We are able to acquire good jobs, in the next year you should probably see some expansion in margins and you should see some of that actually flow to the bottom line.

Vishal: One clarification, I think there are fundraise, you did mention in principle approval, that has been taken and then there is a fundraise for the carve -out of the debt, so they are two separate things or they are one and the same thing?

Arjun Dhawan: Ya, they are two separate things.

Vishal: And what is the amount for the carve -out of the debt for the equity raise on that front.

Girish Gangal: I think the approval what we have taken is only for the equity raise at HCC level. There is no separate approval taken for a SPV for an equity raise. As far as SPV is concerned, the invest or will come in there, that's all.

Arjun Dhawan : Ya they are two different things, the investor process, which is part of our resolution plan and then obviously this is a completely independent HCC in principle approval which is for the purposes of obviously our growth, opportunities that we see as working capital.

Vishal: So, in the carve -out of the debt, so the investor will come, so what is the amount that has been envisaged in that particular thing.

Girish Gangal: So, the expected investor is supposed to take 51% shareholding, depending on the evaluation of the company on particular date. And apart from that the investor is supposed to bring his priority debt of Rs.75 crores. This is the approval which is pending from the lender.

Arjun Dhawan: Basically around Rs.100 crores of capital, is basis on which we proceeded and that covers at least a couple of years of budget expenses and as we have discussed before the commercials are such that while investor is actually putting in a little modest sum compared to the assets on the books of the SPV, the investor's returns are also capped to actually account for the fact that these are largely HCC assets that will come back after the debts are paid and the priority that is repaid.

Vishal: Ok I will come back in the queue for more, thank you so much.

Speaker: My first question is regarding the finance cost so in quarterly results there is finance cost is approximately Rs.250 Cr and consolidated debt is approximately Rs.5,000 to Rs.5,500, so is it correct, or something is missing, as per this mathematics the interest cost coming out around 18 to 20% per annum so can you explain?

Girish Gangal: See finance cost typically is not only the interest cost what you are seeing, it consists of all finance related, bank guarantee cost, it also consists of any finance related fees what you pay to various financial institutions for approval of loan or documentation, so it is not only purely interest.

Speaker: So, inte

rest will be going only on the Rs.5,000 to Rs.5,500 consolidated which is in our books right?

Girish Gangal: that's right

Speaker: Second question is just a clarification that the right issue, we have mentioned that up to 300 Cr. value of right issue will be there, so this Rs.300 crore, is the face value of share or we can say it will be the final price,

Girish Gangal: As I said, this is the in-principle approval, so price and all those things will be determined or will be discussed...

Speaker: That I have understood, I just want to know that these Rs.300 crores of number of share we can say of one rupee each can be issued or total value.

Girish Gangal: total including premium

Speaker: So, including premium the value will be Rs.300 crores, right?

Girish Gangal: Right.

Speaker: And one more request, if it is possible, like in the PPT we are giving the project status by giving pictures, if in addition to that we can add a statement where we can see the total value of a particular project where we can mention executed amount and expected to be executed and balance amount which can be expected by some period like that. So that will be much easier, right now we are saying that we are having Rs.13,000 crore of projects in our hand, so if you can give that kind of slide that will give us a good idea that in a quarter or so, in the coming quarter how our revenue will look like, if you think it can be done like that, just a request.

Girish Gangal: We will review that but just for your information that in the presentation what we are presenting is only the important projects, there maybe 4 or 5 projects, whereas the order book which consists of maybe 40 projects, so in that we may not be able to compare or find out what is the value.

Speaker: So, in that way also, we can like out of Rs.13,000 crores, might be our main projects will be of Rs.6,000 or Rs.5,000 crores, so details can be given for only those?

Girish Gangal: We will review that internally.

Mahesh: In February, sometime, the government had introduced "Vivad Se Vishwas II" which had some sort of implications for construction industry. I am certain you would have analysed the same internally in HCC, what is our take on that?

Santosh Rai: Look this "Vivad Se Vishwas" scheme has been working in the industry for some time and we are aware of that, we are going to evaluate this on a case-to-case basis rather than looking at an entire situation. So, we believe this could be useful but we are in the process of evaluating and we will seek our board approval at the right point of time when we want to enter into it.

Mahesh: But prima facie, are there any cases where the scheme is relevant to us?

Santosh Rai: No, I mean for the industry if you really ask me, the court has appealed the arbitration award, the government is willing to pay 85% plus 9% interest and that will depend on the function, how old or new the award is. I believe there would be takers for that.

Mahesh: I am not talking about the industry, I am talking of HCC because why one of the things, all of the inside of the projects needs to be closed.

Santosh Rai: Mahesh as I said, we are going to evaluate on a case-to-case basis because we have several arbitration awards and they need to be studied in that fashion those which makes sense for us to really take it forward. We will take our board approval and then we will move ahead.

Arjun Dhawan: So, Mahesh, the answer to your question is yes, we have a lot of arbitration awards. It is definitely on one hand very attractive for us to consider the immediate liquidity that will obviously come from "Vivad se Vishwas" and that percentage settlement is ranged from 65 to 85%. As you will appreciate that to the extent that we have to leave a lot of money on the table, we also have an impact on our books that we have to ascertain. So as Santosh said, every award requires an a

analysis, we are in the process of completing that and

we will then determine depending on our cash flow needs right, whether we want to proceed with certain awards or not because obviously the implications of going for it is that we would also have to actually leave certain money on the table and it would actually have an impact on our books. So, we want to do things in a way that maximizes to some extent the liquidity that would be generated for the purposes of growth alongside the money that we would be leaving on the table and at the appropriate time once we have evaluated this and taken board approval, we will be obviously communicating that to you. But yes, it is certainly an option, it is a free option in our hand and the industry's hand to do something, I think that the Finance Ministry has been very bold about, coming up with a one-time settlement scheme. No questions asked of the options of the industry. So, we will come back to you and will give you an assessment of it in a responsible fashion once we have decided internally and we will communicate a draft to you.

Mahesh: I was probing into this because mainly in the past calls, you have always

mentioned the coverage of our claims plus awards viz-a- viz the debt that is outstanding. So, which is what I think is 2.3 to 2.4 times. So that number mentioned about 2.3 and 2.4 times I though implicitly meant that we assume that some of it might not come.

Arjun Dhawan: Are you implying that some might not come in the sense, you believe, I think first of all we have said multiple times before our arbitration awards and claims are in HCC quite boring, in the sense that they are all fairly quite repetitive, they are linked with extension of time where a client has actually given us extensions because of delays on account of the client whether it is land, environmental reasons, other courses that are not the responsibility of the contractor. Very different from other equity type claims or arbitrations and so on and so forth. In that sense they are highly predictable, they are fairly repetitive and that has actually been a function of why we have actually had the kind of support we had to buy some time to get them. Issue is really the process in courts which as you well know is a painfully long process. So as far as our awards are concerned, I fully expect that all of them, unless of course you probably have some freak occurrence to be largely upheld and when we actually consider taking a discount, a write down against any one of them we have to actually measure that very carefully against why we are doing so. The only reason we would do so is not because we don't believe in the strength of them but it's actually a question of saying ok, if we leave 20 -30% on the table of 40% maybe in some cases because a 9% interest is very different from a 12% post award interest that you have perhaps from an old award, so there is a further haircut that you will need to adjust for, we will need to weigh that against our opportunity cost of applying that money to prepay debt or for that matter to growth. And if it makes sense in terms of pros and cons, we will consider.

Mahesh: Fair enough, thanks a lot.

Naitik Mohata : Thank you for the opportunity and congratulations on the progress that the company is making quarter on quarter to turn around the operations and I do hope that we are able to part away with the SPV as soon as possible and as indicated by the management. Just one clarification from my end, so last month the NCLT cleared a target platform for the acquisition of LAVASA corporation for some Rs.1,800 odd crores. So, I just wanted some insights from your or Mr. Dhawan in the way that affects HCC or the SPV per say, any quantitative or qualitative terms, does it make the SPV much more attractive to a forthcoming investor or anything regarding that.

Arjun Dhawan: I think Mr. Gangal has

already answered this question but I will give you a little colour. So first of all, the corporate guarantees that were given to LAVASA by HCC which have resulted in debt have fully been accounted for in the books of HCC, in fact, when we looked at the bifurcation of the debt between HCC and SPV, it is HCC that has actually got the LAVASA corporate guarantee debt holders on its books. The SPV has actually been largely effectively the working capital lenders, our CC limit and our term lenders that was spun off along with our awards and claims that's one from a point of view of clarification. Second, there is no commercial impact on HCC as result of this resolution in fact when LAVASA went to IBC, we took the very painful and conservative decision to not only write off all our equity investment as an HCC group had in LAVASA, but also took the responsibility of taking on 100% of the debt obligation of the corporate guarantees onto HCC's books. So, it didn't matter what happened to LAVASA whether the resolution would have actually happened high or low, the settlement that we achieved, that our lenders achieved that and the reverse is true. In other words, now that LAVASA has actually been approved through NCLT, there will be no reduction in HCC's debt because the decision that was taken and the settlement that was achieved with lenders was basically understood that this is the fixed number in HCC and LAVASA and HCC are two separate items. So first of all, we have not had any local standee, lead shareholders of LAVASA so we only just received certain details of what is in the public domain in terms of order and I think once we actually look through it will be purely interesting academic exercise for us to hopefully wish the best for all of LAVASA's stakeholders to now after such a long delay to see something that HCC's group has started, hopefully prospers in the future. But as far as HCC is concerned, we have no commercial relationship with LAVASA including any potential liability in the future on account of whatever is decided in NCLT.

Naitik Mohata : Ok Sir that was really helpful, thank you.

Chirag: One question, given the nature of the contracts you do and the risk of environment in general, be it any time of projects you undertake, how are you ensuring that this escalation issues don't come up or you are well protected against that. For that you may need to inflate your initial application versus what you used to do in the past. So, if you can just help us understand internally how are you ensuring or trying your best that these kind of issues don't arise again in future.

Arjun Dhawan: So just a quick answer, I think these are fundamentals of risk management, you know when we actually price our tenders we do so responsibly, I don't chase the

market, we obviously need to be competitive but we are very clear in terms of the quality of our client, the quality of the contract, what the contract stipulates and what the contract does not. Many of our clients are very reasonable in terms of their own interpretations of the contracts and as far as aspiration is concerned it is a fairly reasonably mathematical exercise. Now, the question comes when projects get delayed and clearly when projects have been delayed on account of client, those escalations will obviously get paid perhaps working capital issues again, all of these matters are priced very carefully. Now if you ask me what the learning are, the learnings are very clear, I think that if you look at the way the government in the last 10 to 15 years has started to improve the quality of their detailed project reports, has started to procure the environmental clearances, the land, the right of ways, they have started to do that in a far responsible manner than was done in the past. And I think that is a learning that we have had in our India infrastructure evolution over the last 30 years. I think

the government is very clear about the execution, the quality of it, the pace of it, but they have also ensured that the projects are set up to succeed. There is no point in just trying to have numbers not actually have execution on the ground. So, I think our learning has been as we scaled our business 20 years ago or 25 years ago to now, is that clearly we will not ever jump into a project and certainly central government projects are at the highest levels of kind of quality intelligence, at the state level it depends in the state you're in and the clients that you are working for. I think we have a clear learning in terms of understanding where, what, how and we price that accordingly into the way we think about our execution.

Chirag: And just to understand, what are generally the time durations of your projects or the projects that you intend to bid, whether 2-to-3-year projects?

Arjun Dhawan: Anywhere between 30 to 60 months, but on an average, we are looking at 40 to 48 months. And that average is driven higher by sort of our portfolio plus being in hydroelectric sector, so those projects are typically 4 to 5 years jobs, typically transportation jobs are complexity including for example, on bridges are generally anywhere between 30 to 40 months.

Chirag: You have explained to us very well on your thought process of how much you want to bid for orders and how you want to go about it. When do you think you will be prepared to accelerate the gears on that side.

Arjun Dhawan: When we execute.

Chirag: So, as the current backlog starts...

Arjun Dhawan: To be honest, what I can expect and thank you all for your support and encouragement and belief. But really, I think the proof in the pudding is going to be for us to actually have those very profitable jobs in our order backlog.

Chirag: Because even if you look at last 2 to 3 quarters, the bids that you are submitting and in which you are participating are like 2000 and 3000 maybe 5000 crore range not more than...

Arjun Dhawan: But I covered that, I think it is going to take us at least a few years before we start to on our own bid for Rs.3,000 to Rs.5,000 crores jobs. Where we are in our stage of evolution, our sweet spot is going to be Rs.1,500 to Rs.2,000 crores and if we do a job which is basically more than that, we will probably do that in joint venture just for the purpose of diversification of risks.

Chirag: So, the way I understand this and please correct me if I am wrong, that for next 2 to 3 quarters or 4 quarters you intend to bid for on quarterly basis Rs.2,000 to Rs.3,000 crores of orders, annualize Rs.12,000 odd crores, plus minus.

Arjun Dhawan: I think we probably plan to bid on twice that amount in order for us to achieve a result by the end of the year that would probably be closer to about over 12 months between Rs.7,000 to Rs.10,000, right Santosh.

Santosh Rai: Yes exactly.

Chirag: I was under the impression that you are looking to participate in Rs.10,000 to Rs.12,000 crores of orders.

Arjun Dhawan: No, double of that

Chirag: And when do we expect the pace from government side to really increase, in your ordering from the client side to improve so that you can participate in bigger orders in terms of aggregate value because even now the pace doesn't seem to be that aggressive, so are the orders not coming or you're not choosing.

Arjun Dhawan: To be really frank, we have to play catch-up. I think that the market for infrastructure jobs is very strong, both at central and state level. I think that we are frankly behind. And we will play that catch-up. A hard question was asked last time, I think that this is going to be lumpy for us like I said we are only going to be looking at 4 to 5 jobs a year that are highly profitable and best suited for our needs and so you going to have to hopefully be a little patient with us in terms of the lump

iness, I mean in terms of how we achieve this.

Chirag: Ok thank you very much and all the best .

Arushi : Can I get a tentative timeline for execution of our projects, is it possible to give a tentative timeline or ballpark number would do?

Santosh Rai : I think the order backlog that we have right now, we believe the average duration if we calculate, it would be between 36 to 40 months.

Arushi : Ok, what would be our maintenance capex if any we do on our regular basis for every project or overall business, just like a maintenance capex, as a percentage of sales and so on?

Santosh Rai : These usually arise in N HAI contracts which we have none actually as of now and normally our contracts are, I won't say they have maintenance pay but they have something called as DLP period that is called Defect Liability Period. We try to do everything in a manner that our expenditure during DLP is minimized to an extent of keeping some manpower. So, it would be a very miniscule number.

Arushi : And going forward, do we expect any kind of suppression in our costs side like probably the raw material or the subcontracting, do we expect a compression in any of those?

Santosh Rai : Of course, going forward we will take the advantage of economies of scale once we have these orders coming in and that will help us slightly here and there but these forces are so much market driven.

Arushi : Actually

Santosh Rai : So, it is very difficult to say anything on this , at this stage.

Arushi : Thank you and best of luck.

Chirag: Have we started increasing our team size of engineers and regulatory team? As over past few years many employees would have left because of the declining balance sheets.

Santosh Rai : Answer is yes, we have recruited lot of people who are required for the business and who are quite competent ones.

Chirag: And for our hydro power projects, are we going to bid on standalone basis or we are going with a joint venture partner based on our track record we have always bid on a standalone for Rs.2,000 to Rs.3,000 crore orders?

Santosh Rai : You can expect a similar trend except that if the job sizes are much bigger and more than size the technicality demand for us to involve some other joint venture partners. But we would always be looking for a partner who is contributing equally and is making the joint venture stronger for us.

Chirag: Ok understood, thank you .

Surya: You mentioned that in the next 6 months we are expecting around 40000 crores of hydro tenders coming up. I wanted to confirm is it right in the next 6 months?

Santosh Rai : If you take the announced jobs of hydro power, when we say hydro power, we also talking about pump storage plus hydro power both. And they fall under the category of hydro power. This number will stand true.

Surya: After the SPV debt transfer supposedly by end of this quarter, when will it reflect in our balance sheet? Whether it will be in the immediate quarter or in the next financial year on consolidated basis ?

Santosh Rai : See if it is completed in this quarter then, Girish can you please answer this question.

Girish Gangal: Same quarter, September quarter.

Surya: Ok, thanks a lot

Santosh Rai : Thank you everyone for your encouragement and your cooperation. We look forward to see you in the next quarter . Have a good evening ahead. We close this call, thank you.

Call: Nov 2023

Q2 FY24

Santosh Rai : Good evening, ladies and gentlemen , it is my pleasure to have you all for this analyst presentation for Q2-FY24 of Hindustan Construction Company . From HCC, we have our senior management team on this call including our MD and CEO, Mr. Jaspreet Bhuller. Our Vice Chairman, Mr. Dhawan will join us shortly, I am Santosh Rai, Operations Director and Chief Business Officer and will be taking you through this presentation. We will be happy to have your questions after the presentation.

The key highlights for Q2 FY24, the consolidated group revenue is at 1832.6 crores versus 2257 crore in Q2 FY23. We have a standalone E & C turnover of 1138.8 crore in this quarter versus 1249.1 crore in the corresponding quarter of FY23. Standalone net profits of 52.3 crores versus a profit of 312.8 crore in Q2 FY23. EBITDA margins stands at 14.4% in Q2 FY24 compared to 18.3% in Q2 FY23. Some of the other highlights is prepayment of 65 crores of debt inclusive of 24 crore of yield waiver , leading to equity gain , Company in the process of evaluating further such proposals . We have also received completion certificate for 3 of our important projects that is Soane bridge, Bistan Lift Irrigation and Tata Memorial Centre. The investor for our SPV company , Prolific Resolution Pvt. Ltd. is onboard. With this , Prolific Resolution Pvt. Ltd. has ceased to be subsidiary of HCC with effect from 30th September 2023. As a result of that, 3300 crores of debt has reduced on a consolidated basis . You will also notice that HCC has picked up the pace of bidding for new orders on standalone basis. Means , we are bidding more projects on HCC alone rather than getting into joint ventures . Business Development highlights, we have submitted bids worth 6000 crores which are under evaluation and we expect them to be out for results in next two to three months. In addition to that a good bid pipeline worth 20,000 crores have been identified and on which the company is working and we expect to submit these bids in coming 3 to 6 months. During the quarter , the order backlog also increased 900 crores through awards of variations in existing projects. We also secured L2 position on Kanpur metro bid, wherein we had 9 bidders and this was one of our recent standalone bid. This was a good performance by the bidding team and the company . What we look in terms of the business outlook , what we understand that whatever the national infrastructure pipeline was set by the government , it is expected that the government will achieve around 70% of those targets. We are clearly seeing that renewable share is being enhanced and as a result of that we are seeing more and more opportunities in the Hydro power pump storage projects , nuclear projects which is good news for the company. In addition to that, there are higher budgetary allocations in the National Rail Plan, which means more railway tunnels, which we have been doing a lot. And lot of other regional rapid transport systems plus metro transport systems in the offering. Order backlog at Q2 FY24 stands at 12,344 crores, transport leading the pack, followed by hydro, water, nuclear and then special projects. Geographically , Uttarakhand continues to be a state where we have our maximum order backlog as of now, followed by Maharashtra and other states. We continue to focus on large value civil infrastructure projects , in urban spaces also as well as in areas where we are good at such as hydro and nuclear. Operations update, what you see on the screen is the Mumbai Coastal Road project, the works are in full swing, you can see lot of superstructures has come up and we are equally pleased to let you know that the additional works which we got through superstructure works are in full swing, the additional steel bridge work which is 136 -meter steel span bridge, the works have commenced on a good scale. Lot of work is being done

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offsite and soon you will see lot of progress in the month of November and December at the stretch 2. Mumbai Metro Line 3 which is again one of our major jobs in the city of Bombay, CST Station all structural works are complete and now we are nearly in completion of MEP and completion works. Kalbadevi station also, 80% of the works are completed, finishing works are in progress . Girgaum, almost 60% job is done and the other structural works are being taken. Grant Road also 75% of the civil works are done and now we are concentrating both on civil works as well as finishing works. Anji Khad bridge, Main bridge, all structural works are complete. Slope stabilization works are in progress and other miscellaneous works are ongoing. Track laying of this bridge, we can start seeing track laying in a month's time from now and that will also start. Delhi Metro DC -06, again one of our signature jobs for DMRC. All civil works are completed and now we are in the process of doing the architectural and finishing works. Numaligarh Jorhat Road project in state of Assam, we have substantially completed the project. Service Road and other balance works are in progress. This also will be completed very soon. Tehri PSP project, majority of the civil work on the TRT outlet has been completed with few finishing jobs in progress. This is another view of the Tehri PSP, you can see the Powerhouse, civil works are completed. All the electromechanical works are in progress. On the right -hand side, we have the Penstock which is the part of the hydro mechanical works and the liner erection is also in progress

here. Vishnugad Pipalkoti, the good news is that the TBM operations has commenced here. And we are going at a very calibrated pace now, HRT lining has also commenced by the drill and blast method. Nikachhu HEP, 99% of the job is done, the water impounding, the filling of the dam reservoir can expect to start on November 13 and the water on turbines is scheduled on December 17, 2023, which is National Day of Bhutan. Railway Tunnel T-49A, civil works are completed, track laying is going on with full swing. And we have also received a variation order from the client for 135 crores. Which are some outside works of stroke stabilization and other things, that is also going on well. Sawalkote Tunnel, this is an access tunnel to the Sawalkote dam, this job is also completed, lining done and some minor firefighting and miscellaneous works are in progress. Here are the consolidated financial numbers of Q2 FY24 and the comparison on Q on Q as well as Y on Y basis for the previous years. I will not go through the numbers; we can discuss them when we take the question and answers. Here are the HCC's Standalone Financials.

Some update on Steiner AG, the company headquarter is in Zurich, it is a leading real estate developer and TCGC contractor. We specialize in turnkey development of new buildings and renovation of existing properties. Closing order backlog as of September 30 is around 4123 crores. Order intake of 277 crores. Here are the financials on the slide you can see comparing Q2 FY24 versus Q2 FY23. And with this, we have come to the end of the presentation. We can take the questions as we go forward, thank you.

Sanjeev: Good evening and happy to note a lot of good developments. My question was regarding our arrangement with Steiner AG, so how much percentage we hold there.

Girish Gangal: We hold 100%.

Sanjeev: So that company continues right, it is a foreign company it appears.

Girish Gangal: It is a Swiss based company having offices in Switzerland, Germany, France, etc.

Sanjeev: Ok, so we own it fully and that is also now a profitable company?

Girish Gangal: Yes and no, in the sense, in this quarter there is a marginal loss but otherwise yes.

Sanjeev: Ok, secondly, you had announced intention of coming out with rights, so is there any thought about

it or will it not be required?

Girish Gangal: See we are considering that and we will come out at the appropriate time.

Sanjeev: So, can you give one figure of the pending order as on September 30, the pending order to be executed and which have already started, which are ongoing?

Girish Gangal: 12300 crores

Sanjeev: Ok, so that much work we have got in our hand and they are progressing and there are no hurdles, all sort of clearances is in place and we have to only execute. So, in the next quarter that is coming after September, that is December end, March, how much work will we be able to carry out?

Girish Gangal: See we have our internal budgets and targets but unfortunately, we cannot make any forward-looking statements. That is not permitted at the SEBI, so I am restricted from making such statements.

Sanjeev: Ok no problem, thank you. Happy Diwali to all of you and God should make this wonderful company go back to its green days.

Prashant: Good evening, this is regarding the order books basically, so could you tell me in detail about the client wise orders?

Santosh Rai: Prashant, I think we can share this offline as it is a long list. But what we can tell you is that some of our key projects are like Mumbai Metro, for which the client is Mumbai Metro Rail Corporation, we have coastal road which is the client, DMC, Delhi Metro is the client. For some of the bridges and tunnels, Railway is the client. And some of our hydro projects, Tehri Hydro Development Corporation is the client. So, it's a long list, should you need this, we can share this offline.

Prashant: Ok, thank you.

Mahesh: Two things, first is the Steiner AG, if one sees across the quarters, it has some volatility both in revenue and profit. So, I would like to have some insight as to what leads to this volatility. That is one part. And let's say if one were to look into the future, let's say 3 to 4 years, do we still see ourselves owning this business or at some point we will be looking at divesting, is that a thought that has crossed the top management's mind?

Girish Gangal: As far as divestment is concerned, yes, we will look into it in the future, there is no immediate plan as such to divest in this company. It depends on market condition, position of the company and what is the position in the market about the requirement of this type of a company, etc. It is a futuristic decision.

Arjun Dhawan: Can I just jump in? I have heard the first question, so that doesn't need to be repeated, the lumpiness sometimes in the turnover and the profitability of the company is driven by the sale of our real estate developments, so there is two parts to the business, one is the contracting business which is very steady on the basis of order backlog, that gets

executed fairly steadily but the developments that we do for real estate as and when we actually see quality, market conditions to exit a particular development, the liquidity at which it can be reinvested into other opportunities, that's what tends to sometimes drive the lumpiness. So that is the answer to the first question. Just to elaborate a little further on what Girish has said on the second part, I think as far as we are concerned at HCC, the parent Company, the role of any subsidiary is to be able to either pay dividends or to return capital, you know ultimately. There was certainly a plan to have that which kind of again unfortunately with post Covid and war in Ukraine, some of the lumpiness or some of the volatility we see in Europe, that has been a little delayed and I think we are very sensible about looking at return of capital from, whether it is our SPVs, our assets or our non-core assets add what we consider to be a very good market value. Can we expect a return of capital from Steiner in the coming future, absolutely we can? At this point and time, it would be a little premature for us to actually give you any kind of

forward -looking

statement with regard to when that happens. I will basically point out and you know and this was disclosed in our message to the exchange, that we were in exclusive talks to sell one part of the business, which is the construction business to a French company, Demathieu Bard, those, that exclusivity and that intent to divest the construction still continuous when that transaction reaches a stage where we can actually disclose the details to the market, we will do so. And obviously along with that, will come information in terms of what the use of proceeds extra will be. But overall, at HCC, we are very clear that our responsibility to the shareholders is obviously for you to see a growth in earnings and to see our subsidiaries very much like we have with HCC Infrastructure and our concession assets, to see a tremendous return of capital, at the right time and at the right valuation.

Mahesh : Thanks a lot Mr. Dhawan for a detailed answer. One small question, this SPV now ceases to be our subsidiary just at the end of this quarter. So, in third quarter, what would the approximate interest cost would look like. Because second quarter, it happened at the end of the second quarter, and our interest costs are the same, approximately the same, first and second quarter. So how would they look in the third quarter?

Girish Gangal: You're asking the interest cost for HCC or a consolidated interest cost?

Mahesh : HCC, because see currently, once the debt SPV ceases to be our subsidiary, I suppose the interest cost would come down right?

Girish Gangal: No, as far as HCC Standalone is concerned, which is exactly same cost as last quarter and this quarter, that will have not impact, one ok. As far as consolidated debt is concerned, see consolidated debt has gone down from HCC books. Naturally the interest cost has come down but however, you will not be able to see it individually because the accounting henceforth, will be under a joint venture accounting, wherein, you don't have to consolidate line by line. So, you will only get a proportionate to our share, which is 49%. The proportionate profit and loss getting accounted in consolidated books. There will be no separate interest booking on account of this prolific.

Mahesh : I understood Mr. Gangal, so it essentially means on the consolidated level, the interest cost we see in our P&L will come down right?

Girish Gangal: 100%

Mahesh : So how much? That was my question?

Girish Gangal: No, the entire interest cost will disappear from the interest column above, and the net result of this prolific, suppose the net result of prolific is 10 crores profit, then 49% of that profit, that is 4.9 crores will get added as a profit. So, you will not get interest separately included. That's what I was trying to tell you.

Mahesh : Yes, so what will that amount be?

Girish Gangal: That is whatever the interest cost presently, 50% of that.

Mahesh : No, what is the reduction in the interest cost? 50% of that will come below the line but in the interest cost, in the consolidated...

Girish Gangal: Entire 100% will go away. The entire 100% for prolific interest will go away.

Mahesh : I understand, but currently the consolidated interest cost also has HCC interest costs right, so I just want to know the absolute amount of shrinkage in the interest cost that will happen. So currently it would be 130 crore interest in HCC Standalone right? So, in consolidated it is 130 plus XYZ, so actually the numbers came a bit late, so I don't know have the consolidated...?

Girish Gangal: No, see it is like this, the consolidated will not only have interest on account of prolific by consolidating, it will have for other subsidiaries also.

Mahesh : Ok, so what is the difference that will come now that it ceases to be our subsidiary, that was my question? So, the current finance cost in the current quarter is 256 crores, right. Last quart

er it was 246 crores, so around 250 is where we are at. At Consol level 130, give or take few crores we are at a standalone level, 130 to 250, so this 250 will move to

which range, 200 , which range? How much?

Girish Gangal: I will not be able to give you the exact number, but it should definitely move down by at least 100 crores. I don't have the exact number right now.

Mahesh : That's fine, I don't want the exact number, I just want to get a sense of the difference it will make to the P&L ? So about 100 crores is what you are saying?

Girish Gangal: That's right .

Mahesh : Thanks a lot, and all the best.

Neeraj: We have been given some understanding on Steiner, but I would like more clarity on the Steiner front, the business that you sold, was that a large revenue for Steiner in the early pre -sold part of the business?

Girish Gangal: First of all, we are yet to sell that business, we have not yet sold the business. That business still continues with Steiner as such , however, next quarter, the actual sale would happen first and the construction business was separate and real estate business was separate. In the present quarter, there is a loss in the construction business of 9 crores with a turnover of 540 crores .

Neeraj: So, you have sold the construction business which will be reflected next quarter right?

Girish Gangal: No, the business will be sold in next quarter , however presently, in the results is reflected as a discontinued operation as per the requirements of accounting.

Neeraj: That I have understood. So, what I understand is that the real estate business was of meaningful value for Steiner rather than the construction business.

Girish Gangal: That is right.

Neeraj: So, can you give some colour on Steiner real estate business, because this has not been discussed for sometime and is like a black box to lot of investors as well, so can you share more colour on how much is the cumulative cash flow that you can get out of that business in the next say, 7 or 8 or 5 years whatever you can share some data point on that?

Arjun Dhawan: May I just suggest, Girish what we do is , I think in the coming weeks and obviously the transaction is not yet closed but in the coming weeks when we do have a final closure of a signing of an SPA and further details shared, we will actually have a special analyst call or actually provide you with details that will answer these questions in the appropriate amount of detail that will give you comfort. So if you can be patient with us for a few weeks , we will get that information to you, hopefully before the end of the calendar year.

Neeraj: Ok.

Arjun Dhawan: We are very happy to answer some questions now but it would actually be incomplete and would not be comprehensive, there is a fair amount of data and what we would like to do is have some information shared in advance so you can have a pre -read and then we can have an analyst call or meet to actually go through some of that to discuss some of the other HCC developments as well.

Neeraj: Ok. Understand that. The second question is on the potential industry orders that are coming up , so you shared a large number of 20,000 crores , so can you share some colour on those type of orders and how is HCC placed in the future potential orders that may come?

Santosh Rai : Neeraj for that basically, we will continue to focus on areas which has been traditional HCC areas and that is in line with you can also see what is the government focus now. So, we can see, lot of the government focus is going on renewables which means more projects will be coming up into hydro power and pump storage projects where we have a good amount of credentials and we have good knowledge that is what we will be focusing on. Second thing is the rail infrastructure, when we say rail infrastructure, they are largely tunnelling jobs for railways and some tall bridges. Again, that is an ar

ea where we have a

good hold in terms of experience. Third area which we see clearly is going to be the regional rapid transport system and expansion of the existing metro systems, so that is also one place where we will focus more. Coupled with that you know, some jobs in marine sector, there could be sea links or there could be some expansion of marine facilities, that is the mix what we are looking at and we are also seeing a lot of traction into those sectors. So that's how we believe we have a good bid pipeline of around 20,000 crores in next 3 to 6 months and we should be making proposals in those areas.

Neeraj: Ok. Got it. Do you see the delay in bidding for hydro projects, because hydro projects are large in numbers which are coming up in the next 2 to 3 years, so do you see a delay because of the upcoming elections?

Santosh Rai: Look , I think the traditional impact which comes due to application of model code of conduct and some of the procedural things, could derail this by 6 to 9 months that's what we see , not much.

Neeraj: Thank you. If required, I will get back on queue.

Suriya: I wanted to ask, recently there has been two accidents in hydro power projects, like

Suban Sree in Arunachal and T sar in Sikkim, so how does these affect the medium -term project launches by the central government? Does it affect adversely?

Santosh Rai : Suriya, what we are seeing that this kind of incidents naturally strengthens some of the pre -bid engineering practices which the owner has to do and this will lead to them making a more robust proposal, doing detailed geo technical study and kind of method chosen to construct these facilities. But as I said with the given focus of green energy and everything, we don't see that this will completely stop such kind of projects. But for sure there is going to be more attention to these details. And if we go by the record, I mean there are so many hyrdo power projects, these are very unfortunate incidents which I am sure the government and the concerned team members will be looking into , what is to be done with that and how to avoid such things in future.

Suriya: Ok, thank you.

Ravi Kiran: Have we got any orders for this quarter? New orders to the existing order book we have already?

Santosh Rai : Ravi as we declared, you know we got some orders from our existing projects, where we got some additional works and that's to the tune of 900 crores. But as far as any fresh order is concerned, no we have not been successful in doing that though we turned out to be the second lowest bidder for a metro job which we bid amongst 9 bidders. There are couple of bids for which we are now going ahead and we hopefully would be securing some of them.

Ravi Kiran: Ok, thank you. One more question I have, the status on the bullet train stations? What is the progress?

Santosh Rai : It is moving as per the schedule, the preliminary activities largely have been , the site has been set up, the team is there and we have commenced with the initial operations of sheet piling and excavation in line with the program.

Ravi Kiran: Ok, thank you.

Sanjeev Damani: Regarding this SPV, where we have removed the debts, so is it the same SPV which was created to transfer our liabilities as well as awards in the company. So, is it the same SPV?

Girish Gangal: Yes, it is the same SPV.

Sanjeev Damani: Are any there any awards that got realized and debts were reduced to that extent?

Girish Gangal: No debts will get reduced eventually but awards, yes, few awards got realized.

Sanjeev Damani: So naturally, physically also some loan amount? Because it is a contingency in our case, so that much contingency will get set off once the awards are received and then those loans are repaid? So, to that extent, our company will be relieved? Am I correct on this?

Arjun Dhawan: No, it is absolutely correct. Girish let me interrupt. You know it is very impor

tant first of all in the waterfall, there is enough and ample liquidity for the next 12 to 18 months. To h ave best in class, you know completion of our arbitration and our court matters and obviously free cash flow has to be evaluated on a quarterly basis could be considered for the pay down of debt and we will certainly let you know when there is a material debt reduction that has happened. There had been cash that has been realized in the SPV but at this stage it would be fair to say that there is no material reduction in debt in the SPV at this stage. We will come back to you on that.

Sanjeev Damani: Final question, are we also going to get some more awards, if at all we have raised our escalations or our demands with various government agencies, so are they being converted through arbitration or our persuasion with them. So, any such amount that is realized or is likely to be realized, if you can indicate?

Girish Gangal: See, this is a process, getting an award is a process and that keeps on happening from time to time. Since it is a decision from our arbitration tribunal, which is an independent tribunal, we expect that it will happen quickly, we will ensure it happens as quickly as possible. But of course, we cannot say exactly the date or amount or whatever at this stage.

Sanjeev Damani: But I wanted to be specific , awards that were received were transferred on that day but thereafter have we received any such awards for HCC? For more liquidity?

Girish Gangal: No, the receipt of awards doesn't bring the liquidity. The payment of awards gets the liquidity.

Sanjeev Damani: Agree.

Girish Gangal: So, we have got the awards, after transfer of arbitration awards to SPV.

Sanjeev Damani: More awards have been received at HCC . So can you quantify them, once realized how much money we are going to get because that will get transferred directly to P&L, if I am not wrong.

Girish Gangal: There is a little disconnect between the understanding that you have. Once

you get the award, that in any case gets transferred to the P&L account, what is postponed is only the cashflow from that.

Sanjeev Damani: Right, agree.

Girish Gangal: Now what is the amount of cashflow that we will receive will depend s at what time the client is going to pay the money because the interest keeps accruing on that.

Sanjeev Damani: I agree but if at all we have received after transferring those, if at all we have received more awards, if you feel like quantifying it for our understanding.

Arjun Dhawan: So, I think, we do have on an annual basis, certain claims with our clients that have not been settle d convert to awards. We have not traditionally, as you know on a quarterly basis, share the specifics on that, Girish correct me if I am wrong and do our stakeholders have a sense on an annual basis as to what basically kind of award c onversion that actually happens.

Girish Gangal: No that is intrinsic part of the results, it is not generally available.

Arjun Dhawan: And so, it would be fair to say, that even after the transfer of our carve -out of this SPV which deconsolidates about 3500 crores of our debt, 3.3000 to be very accurate. There still exists within HCC a considerable amount of award assets which are north of about 1000 crores and on an ongoing basis we will expect which is reasonable. Let's say, look at the turnover business and the order backlog business, it will be normal course of business like any other E&C company . That we would basically have a generation of certain claims to awards.

Sanjeev Damani: Got it, only thing I wanted was that whatever has been transferred, is the thing which is already done, so thereafter if we receive any awards, do we account for straightaway or on realization we will account for in our books.

Arjun Dhawan: The definition, Girish has already said this , as conservative accounting practice we have accounted it only when the

claim is converted to an award. And then the cashflow is obviously dependent on when the award either gets settle or when it gets paid or through court. But yes, I think that you will always assume, that our accounts, the way we represent them on a quarterly basis reflect the conversion of any claim to award.

Sanjeev Damani: Ok. Thank you very much for your time and detailed explanation given.

Chirag Shah: So, I have 3 questions, question one on Vivad Se Vishwas, any views, any submissions, because some of your assets have preferred Vivad S e Vishwas on some projects and they expecting 50 to 60% kind of realization, including the interest part. So, have we evaluated any thoughts over that?

Girish Gangal: Yes we have been internally taking appropriate calls . Incidentally today only the scheme which is Vivad Se Vishwas has been extended by further period of two months, so the filing for this Vivad Se Vishwas can be filed up to December 31st instead of October 31st. So, we keep on analysing, discussing and taking appropriate position depending on the benefit available because as you know , it depends on the stage at which the particular award or a litigation is lying, either you get 65% or 85%, so on an and so forth. So, we do take appropriate calls.

Chirag Shah: Second question is on th is SPV that we have or which have now got created any resolution of the arbitration or any claims or any receipt of orders, awards. Does it have a positive impact on our outstanding? Banking guarantee limits or not? Just a clarification on that, so as the settlement happens over there will our BG will go up or are we to bid for more projects? The drive power goes up for us or it doesn't affect? It is more of a cashflow rather than anything else?

Girish Gangal: See, as far as the SPV is concerned, SPV has got awards and claims wherein we have not drawn any money against the bank guarante e. So, our realization of those awards , it has no impact on our release of guarantee or otherwise because at first place they are not provided any guarantee to draw the money.

Chirag Shah: Ok so it's more of a cashflow issue rather than anything else.

Girish Gangal: That's right. Your understanding is right.

Chirag Shah: Lastly on this order bid, so you said that we have submitted for 6000 crore rupees of orders and I understand from our previous interactions you can bid up to 20,000 - 25,000 odd crores of projects if you wish to right. So, when do we expect the pace to inch up, I understand that there could be some slow down till the elections, I understand that part, but assuming it's a normal business scenario, so when do you expect your bidding process , because to win orders worth 10,000 crores, we need to bid for 40,000 crores , kind of. So, I am just assuming 1:4 ratio, just for convenience. And our depletion of order book which is happening at on an annual basis say 4000 to 5000 crores, we at least need that much replacement to maintain the order book. So, when do you expect that you would be able to bid at a much faster pace. To the level that you have the potential to go for the bidding.

Santosh Rai : Chirag, so look, I think I can say that we have already picked up a good pace because we have submitted some bids, some results have been declared, there are some

bids where we are awaiting some results and some of them are large bids to the tune of 3000 to 4000 crores single bids are there. In addition to that, whatever jobs we are bidding right now are completely protected against any kind of I can say schedule impact due to elections or anything because they have already been approved for bidding so these bids are going on . I will say we have targeted 15 to 20 bids which we make in this year and we are well on track of doing that. You will see more and more of this becoming evident and you know as we move on from this quarter to next quarter, you can see more of HCC's bids into th

e market.

Chirag Shah: This is helpful, just one small clarification, when you say 15 to 20 bids, should we assume that for you the sweet spot is around 1000 crore of an average bid size or today you are confident of putting up bigger bids also. On an average basis I am saying, some bids would be big, some would be small but what is the average sweet spot for yourself that you look at today? Or for next 2 years?

Santosh Rai : I would say for us it would be 2000 crore plus .

Chirag Shah: 2000 crore plus, Ok.

Santosh Rai : Yes

Chirag Shah: Thank you very much.

Mahesh: Just one small question, you mentioned the fact that we were L2 in the metro projects, now I know some large cases where even in large projects, L2 contractors get some work , are we expecting some work there?

Santosh Rai : No, Mahesh.

Mahesh: But it does happen occasionally, right? If one matches the L1 price and the contract is large, you get some work . Not in this specific case I am saying, but it does.

Santosh Rai : I will say, we have not come across this, unless it is some private entity bid which wants to split the bid into two parts but normally the government procurement system goes by a very well laid out process. Once you are technically qualified and if you are the lowest bidder, they have to award the job to you , if you are fulfilling all the criterias .

Arjun Dhawan: Santosh, maybe the question is relating to a situation where you actually have a number of packages which are sequential on a similar line and then the client actually specifies the restriction that you know one contractor can't actually win more than a certain number, one or two, in which case there could be theoretically a situation in which an L2 bid could actually become an award in the project because restriction on any one contractor getting more. But those are very unusual situations.

Santosh Rai : Yes, that's right.

Mahesh: Ok, thanks for the clarification.

Suriya: I wanted to ask since I missed the first part of the presentation, what was the reason for such a drastic drop in profit on Y and Y and quarter and quarter basis? Which is 6 odd crores?

Girish Gangal: You are referring to Consol numbers?

Suriya: Yes, consolidated numbers?

Girish Gangal: As far as consolidation is concerned, there is definitely some amount of, there are two things that have happened, if you have seen the consolidated results , few of the things got shifted from upside to down that is as a discontinued operation especially what we spoke about sale of Steiner construction, so the results if you compare with Y and Y and quarter and quarter it may not be exactly comparable. Because you will see even the turnover, if you take an example of this current quarter, you are seeing a quarter turnover of 1800 crores ok and the similar quarter last year it was 2200 crores correct.

Suriya: Correct.

Girish Gangal: That is because the turnover of Steiner construction which is 540 crores which is shifted below and reflected under discontinued operations ok. So, if you add up that turnover above, it will match with the turnover of 2300 crores against 2200 crores. So, in short, unless we make it apple to apple, it will be difficult to comment on that part or you will be able to understand on that part. However, yes, compared to last year, there is a lower profit or a marginal loss as per our Steiner operations are concerned which has been captured, that's why there is a difference.

Suriya: Ok. Thanks a lot.

Neil: So, we had from Q3 FY24 to Q1 FY25, we will get around 900 crores from the Cube highways deal ? Is that deal on track?

Girish Gangal: We can't hear you clearly?

Neil: Cube highways deal , the road construction project which we had, the Brahmaputra?

Girish Gangal: Correct

Neil: So, are we going to get equity runs in the upcoming quarters which will lead to reduction in debt or it will go working capita

I for the business bidding?

Girish Gangal: Yes, we are expecting something as a part of a contract what we have signed in March and which will, depending upon the cashflow, as you know it is a fungible either it is working capital or repayment of debt. We will take an appropriate call, once we receive the money.

Neil: And any other divestment for HCC Standalone , real estate or any other road projects?

Girish Gangal: So, in our concession business, we don't have any road project now to divest.

Neil: Ok understood and one more question, we are bidding a lot over 4 to 5 quarters, excluding the BKC orders for the bullet train orders, we have not seen increase in order books, so we expect a huge conversion of bids to orders in upcoming quarters? Because our order book is getting over?

Santosh Rai : So, we have discussed this aspect and few other questions. To reply to you, yes, we are hopeful that bids what we make in coming quarters, we are successful in few of them.

Neil: And one more question, compared to pre Covid , Steiner AG was quite a profitable venture for us but over last week it has been loss making, so should we expect as you are divesting the loss-making asset, so you will get more profitability in the real estate business.

Girish Gangal: So, we have been explaining this as part of our normal conferences or last few quarters that post Covid due to the supply chain being affected plus war with between Russia and Ukraine and so on and so forth, there has been a slow down as far as European market is concerned. So that's why compared to the profits that we had in the past, there is either marginal profits or no profits. However, things will improve, we expect that to improve with two things, that sale or divestment of construction business which was making losses as you rightly observed and naturally the improvement in the overall market condition.

Neil: So could we get a big value from the divestment of construction business which will help in reducing our overall debt or it will be a slump sale basis or low value.

Girish Gangal: Let's wait for a quarter, I can't make a forward -looking statement

Neil: Ok, understood, thank you.

Girish Gangal: Next quarter, I will reply to you with numbers.

Neil: Ok, thank you, no problem.

Santosh Rai : I don't see any more hands raised. With this , we will bring this presentation to an end. I would like to thank all of you in being a part of this presentation and wishing you all Happy Diwali in advance.

Call: Feb 2024

Transcript of the Webinar held on February 08, 2024, to discuss HCC Q3 FY24 Results

Rahul Shukla: Good evening, everyone, I am Rahul Shukla, Assistant VP Finance from HCC and I welcome you all the investors and analyst for this presentation of Q3 FY24. Joined with me are the senior management of HCC Finance Department and Corporate Communication HCC Infrastructure . Moving forward with the presentation , just a small refresher, on its almost 100 years of legacy, HCC has constructed over 4 ,000 Km of India's highways , almost 400 Km of tunnels, 60% of India's Installed Nuclear Power capacity has been contributed by HCC and 26% of India's installed hydro power capacity has been contributed by HCC. So, these are the key pillars of execution by HCC. In terms of national footprint, as you can see, we are present across India and have a very strong geographical diversification of our projects helps us in mitigating risks as well.

As of end of Q3 FY24, our order books move d slightly up to 11,000 cror es, almost 50% of that comes from Transport sector followed by Hydro, Water and other projects . In terms of business outlook, we should appreciate that the infrastructure sector has been receiving a lot of attention in terms of Government attention span as well as capex plans. In the recent budget itself we have seen that government has announced capital expenditure of almost 11 lakhs crores. Even private capex has been reviving which was subdued 2 -3 years back but in the last financial year we have seen 7-8 lakh crores of private capex going into this infrastructure sector which is a big positive sign. Public Private Partnership (PPP) is also picking up quite well. In the last few years there has not been much of traction over here. But recently with modification of model concession agreement and government coming up with more than 50 BOT projects valuing more that 2 lakh crores is a good sign for this sector. Coming to other HCC specific sectors like Hydro power, Pump storage scheme and other sectors, there has been a sustained allocation of funds as well as capacity expansion plan because India has to ultimately meet its commitment of net -zero targets. And also, the commitment of generating over 500 GW of power to non-fossil fuel by 2030. So, this sector will keep on receiving a lot of attention which is good for HCC, specially for hydro projects. You must be aware that in Arunachal project, there was a lot of stagnation in the development of hydro projects but now Arunachal Pradesh government and central government has signed almost 10 projects to various central PSUs. Which will be a boost for hydro development projects in that area. And HCC being present in those areas historically is positive for us as far as execution is concerned, we know the geography, we know the risks and rewards of the area.

Another sector, the pump ed storage scheme is also a rising sector because in order to meet peak power demand there has to be a development of this kind of projects and there is going to be a strong pipeline of 8 -10 GW of pump ed storage scheme coming for award in the next few years . Another sector of keen interest is railways as ultimately, it's the logistic which is going to drive the utilization of India's true potential of its geographies. So, under National Railway Plan there is a clear visibility of cap acity addition that by 2030 the railways have to have capacity to meet its 15 -20 years ahead of requirements which is attracting lot of investor interest and also the EPC model is being worked out for fast-track development of these projects which will help boost India's infrastructure as well as give us much more visibility in terms of order books. Nuclear sector which has been a slow -moving sector for last few years is now picking up and there is administrative approval for 12 nuclear reactors from the government and this is the first time in history t

hat fleet model has been brought

into this sector for fast-track development of nuclear power projects. HCC being a leader in this sector is clearly expected to have competitive advantage because there is a low competition in this sector and we have a very strong know how by contributing to 65% of India's installed capacity. So, we are very positive as far as business o utlook is concerned and now, we have to gear up ourselves to encash it.

In terms of key performance highlights for the last quarter as you can see, we have achieved a revenue of 1 ,474 crores which is 8.6% higher than the revenue for Q3 FY23 which was 1,357 crores. Our consolidated profit for the quarter was 233 crores against a loss of 283.7 crore last year. Standalone E&C turnover is up by 7.7 % and is it at a level of 1 ,245 crores vs 1,155 crores last year. Our standalone profit is considerably up to 68.5% as against a profit of 25.2 crore in Q3 FY23. EBITDA margin is also maintained at very healthy level of 12. 4 % in terms of industry even though it was slightly higher in Q3 FY23. But this is ok.

In terms of operations, we have achieved provisional completion certificate for Sawalkot e Tunnel project engineering . A major milestone is achieved at Nikachhu Hydro project in Bhutan wherein water on turbine has passed and grid synchronization of power generation is achieved . In terms of progress in our Rights issue, we had filed a draft of our offer letter to SEBI and also BSE and NSE and we have received BSE and NSE approval and SEBI approval is also expected shortly. We have also received upgrade in rating from ICRA , to BB (Stable) and

another rating agency CARE had upgraded us during last quarter. So, both the agencies have now upgraded us to BB (Stable). In terms of business development, HCC has submitted its bid for almost 7,000 crore worth of projects which are under evaluation. Another 14,000 crore worth of bids are in the process of being submitted in the coming quarter. And we have a strong pipeline of almost more than 46,000 crore projects which we will be bidding for in the future. This is a snapshot of our quarter-on-quarter performance for this financial year. Just to demonstrate that the performance has been quite consistent in terms of revenue, EBITDA, PAT, so this is what we have been striving for and we believe that we have reached to that level now. Here we can see, year-on-year performance and we can see consistency in revenue, EBITDA and also the PAT which was negative in FY23 has come to a considerable positive level in FY23 and also in FY24 we have clear visibility of positive profits. On operations updates, update on Mumbai Coastal Road project which is one of the largest project we are executing as on date. So, in the first photograph you can see that the monopile work is going on, so all monopile foundation work has been completed and with the help of this monopile technology in the number of piles which were supposed to be 424 has now been reduced to 79 and this is the first large scale monopile implementation in India. So, this is one of the engineering feat, we have achieved in this project. Photograph No.2 you can see that segment launching which is in progress, circular section that you see and this is progressing quite well. The bottom left photograph you can see the navigation span of composite bridge that connects coastal road to the Bandra Worli Sea link is casted at Nhava Seva yard. This is the photograph of the Nhava Seva yard which has a 9-acre facility that we have developed for casting the very long spans because last time we had updated that these are 120 m spans that we have to do. So, this casting has to be done in a special casting yard and then these segments are transported through sea, through barges to bridge location and then they are installed. This is the photograph of that and the 1st navigation span of composite b

ridge was successfully launched on February 2, 2024 so this is one of the major things we have achieved over here.

With regard to other projects, Anji Khad project, here most of the civil works has been completed and the finishing work is going on. And we hope to finish that also very soon. In DMRC DC06 project, metro tunnel civil work have been finished and now architectural and finishing work are going on at the station and the project is progressing quite well. Mumbai Metro project, again there are 4 stations, couple of stations are at a very advance stage, other two projects, stations are also progressing well. T-49A, the entire tunnel is ready in all aspects and finishing work like slope protection is in progress. So, in a nutshell, all our major projects are on track. Tehri Pumped Storage scheme, this is a 1,000 megawatt pump storage scheme that is being constructed in Uttarakhand, I just mentioned in the previous slide about the importance of PSP for peak power generation and this is a very important project and have been progressing quite well. Vishnugad Pipalkoti hydro project, our TBM is functioning quite well now and in January itself we have been able to do 431 m of HRT tunnelling. An important aspect to mention here is that it's a very large diameter TBM, 9.86 m dia Double TBM is one of the largest tunnelling is being done and a progress of 431 m in a month is quite remarkable. Nikachhu HEP project, so here we have achieved a final milestone of wet commissioning of turbines in December 2023 and grid synchronization has already happened and its updated in the previous slide.

These are some of the numbers, key number I have already explained and hence will not be going through each number. The consolidated numbers been uploaded on the website. Now a brief on Steiner AG, is wholly owned subsidiary of HCC in Switzerland. This was founded in 1915 so completed more than 100 years of its establishment. It is one of the top contractors in Switzerland and constructed many marquee projects. Company was acquired by HCC in 2010 with its headquarter in Zurich. There has been some development in this company like in 2021 the company embarked on the re-organization and in 2023 major milestone was achieved by selling its construction business. Steiner comprises of real estate development as well as real estate construction business. Since HCC is in the process of monetizing and getting capital back for its own business and growth, the business of development and construction was bifurcated in 2021 and now we have exited low margin high risk construction business and our pure focus over there is on development which requires where niche skill set that Steiner has developed over the years and we have got very strong pipeline of development projects and we are very confident that this is going to be a real value generated in the future. To give you a sense of numbers, this is a spread of project that Steiner development business has got, most of the focus is on west side of Switzerland and we have got more than 65 active projects, so when I say active projects, it means clear development activities are going on so there are various stages of development stating of signing of MOU with landowners and taking various clearances, approvals and taking the project to a level where some construction activity can begin, there is a fund that will come an invest, so all those things need to be performed before the project can be

taken to the construction level and as on date there is a pipeline value of 4.9 billion Swiss Franc from which we can expect a cumulative developer fee to Steiner of around 395 million and the total sellable area through the current portfolio is over 7.22 lakh square meter , which is huge. And obviously, company will keep on striving for new projects, expanding its portfolio and creating more value for shareholders. These are

some of the selected ongoing

and completed projects . Just to give a sense that these are marquee projects, many of them are marquee projects which have been done by the company and it continues to do so.

Some of the financial highlights for Q3 FY23, the orderbook of the company was 4,367 crores in terms of Indian rupees or 448 billion CHF. And for Q3 the turnover was 218 crore as against 800 crore in FY 23. And PAT was 56 crore as against loss of 329 crore during last year. You can see the lower number for the turnover essentially because Steiner construction business is divested now so its turnover is not being captured in these slides. So, this is pure development business turnover that you are seeing here. With this I am ending the presentation and the floor is open for Q&A. Thank you.

CA Nihar Shah: My first question is on the EBITDA margin; we are seeing a dip here so what are the EBITDA margin expectations for the year end this year and going into the next year?

Girish Gangal: First of all, I will answer your question about the dip, there is no dip as such our margins are anything between 12 -14 it depends on composition of the project, what we execute during particular quarter. So, one project may have an EBITDA margin which is giving me 15%, one may give 8% so it's a combination of those 30 -40 projects what we will get into this EBITDA for a quarter. As far as future is concerned, we can make a general statement, we have historically been making this kind of margins, anything between 12 - 15%, so hopefully we will continue to do that, I can't make any forward -looking statement as such.

CA Nihar Shah : And what is the ballpark figure for revenue that we will achieve this year like by Q4.

Girish Gangal: Any forward -looking statement I am not supposed to make because of the SEBI regulation. I can't make a statement that I will make XYZ profit, I will make this much of turnover and so on and so forth. So unfortunately, I can't directly answer this question but we will have a reasonably good run rate , that's what I can say and just as a matter of information, our last quarter, generally March quarter is always stronger than all the 3 quarters , historically also.

CA Nihar Shah : Ok thank you and all the best .

Avi Aggarwal : I don't have any questions.

Viraj: Last year you had an interest cost of 1 ,000 crores for the financial year , looks like this year you will finish at about 800 crores what is likely to be your interest cost in the next financial year given that you will use the proceeds from Steiner to repay debt .

Rahul Shukla: So, Viraj, historically yes you are right our interest cost has been around 1 ,000 crore , however we have carved out significant portion of our debt to a separate company and now we can expect that going forward our interest cost should be in the range of 400 crores or 450 crores and that is not because we are planning to make any debt repayment from Steiner but HCC debt itself has gone down that's why interest costs are going down.

Viraj: So, debt cost should halve in the next financial year approximately?

Rahul Shukla: So same number , 400 or 450 crores is the number that I mentioned, it will be in that range.

Viraj: And what is your net debt now, current, after the Steiner realization?

Rahul Shukla: So, as you can see from our books our debt is now in the form of primarily OCDs and there is around 2000 crores of worth of OCD outstanding and we will be repaying that along with accrued yield as and when it is due for repayment.

Viraj: And when is this due for repayment?

Rahul Shukla: So, this is an annual repayment that we have got so every 31st March, every year it becomes due, there is no repayment due anywhere in between not even interest so its of annual bullet payment that we have to make.

Viraj: And what will be this annual bullet payment on 31st March this year?

Rahul Shukla:

This year it is around 340 crores and we have made some part payment to the lenders already and balance we will be making before 31st March.

Viraj: So, this year you should go down by around 300 odd crores in debt?

Rahul Shukla: Correct .

Viraj: Ok. Thank you.

Mahesh : So, first of all congratulations, at last the numbers are showing , the results of efforts we have been at for years now in terms of changing the structure of our balance sheet as well as our P&L. My first question is regarding the money that has flown in Steiner AG, what is it that the management intends to do with it? Will it flow to the parent or are

there some plans in Steiner AG itself? How will that work out?

Arjun Dhawan: Part of the capital will be used to strengthen Steiner AG balance sheet and to capitalize and to fully fund our various equity projects or development projects and part will involve some return of capital to HCC and we don't get into that level of detail but one thing that we are certainly focused on in the next few quarters is to see how Steiner AG can actually contribute to return of capital to HCC as well.

Mahesh : So that's not an immediate event?

Arjun Dhawan: If you are referring right now to the current sale of Steiner construction that has happened, there has been a partial contribution and what you can expect as a more material contribution will happen when we actually do a larger capital raising or a return of capital transaction in the coming quarters and that certainly is planned. Ultimately this is a question that we have been asked repeatedly in the past and I think now that we actually are in, look I think the return of capital for us, there is two aspects to it, one that we realize the true value of Steiner AG and can clearly be reflected in the quality of transactions we do and we are not going to do that in a hurry. Certainly, HCC doesn't require that capital for , its always nice to have capital return to HCC for debt prepayment but at this point in time HCC has more than enough, sufficient means to address its various debt repayment obligations . The only question for us is what the use of capital is going to be for growth. And so we see certainly some opportunities in Switzerland for the closure of our development platform and at the same time we see tremendous opportunities for growth of our construction business in India and so it's a combination of that and so in the subsequent quarters , I am being a little vague because I obviously can't give you details at this point in time but in subsequent quarters we will basically expect to see that return of capital that all the shareholders have been patiently waiting for.

Mahesh : Thank you Mr. Dhawan. Now one blue sky question , if one looks at HCC's history and you have mentioned it in the presentation also, when it comes to nuclear power our credentials are impeccable hardly anyone can match them and Europe is a power -starved country geographically, I don't want to get into the geo politics of it at all but clearly last two years they have suffered in terms of energy availability. Do you see HCC at some point in time in the next 2 -3 years playing a nuclear, getting an EPC nuclear power kind of project in Europe given the fact that the nuclear, the political resistance to nuclear has come down quite a bit in Europe right now.

Arjun Dhawan: The answer is no, we are certainly very proud of the fact that we have partners in all of Asia and in Europe , that we evaluate opportunities with but we see a lot more opportunities in India where our infrastructure is and where our edge is by execution and where our scale of efficiencies lie. So at least in the foreseeable future, the answer is no.

Mahesh : Thanks a lot. One last thing, we are going in for rights issue and you just mentioned, I mean we have been restructuring balance sheet for 18 months now and we have done a great job of it. Clear

ly, we are in much healthier financial position . So where would the rights issue capital flow into? Where would it be utilised?

Arjun Dhawan: The entire purpose of raising any equity from shareholders is going to be focussed on growth and we have timed this equity raise with a confidence that what we basically see as a material order booking in the months to come. It's always nice to have a little extra liquidity on our balance sheet. So, we think this is the right time and as far as the promoter group is concerned it also, I think from our standpoint is a good time to kind of show our own basically contribution in terms of the confidence of what we see going forward in the business as well.

Mahesh : Thanks a lot, and all the best for the future.

Sanjeev Dhamanji : Firstly, I congratulate the company, financially now that we are coming on track but whole lot of effort has gone to conclude all messes of earlier years and problems of earlier years and further, making so much of good progress, so I really feel, to salute our teams at HCC and my best wishes for future as well. My question is that we are getting better but in the last call you had given a figure that executable order is almost 12,000 crores and the output is only 318 crores, if I am not wrong in assessing this, so kindly tell me why we are not able to make some big progress every quarter and this being a quarter in which rains may not have disturbed much at our sites, kindly reply.

Rahul Shukla: I didn't get your question; can you please repeat.

Sanjeev Dhamanji : In last call , I was given to understand that we have executable order of approximately 12,000 crores which can be executed , which are running, so our outputs per quarter are not coming to that ratio, so I just want to understand what is the problem there?

Girish Gangal: So, Sanjeev the order book was 12 ,000 crores last quarter which has come down to 11 ,000 and odd for this quarter. This turnover has to be executed over a period of 2-3 years, this has not to be executed in one year . The run rate what we have is around

1,200 crores per quarter and we are improving quarter by quarter rather if you see for last 8 quarters, rather last 2 years, March 2022 and March 2023, we have done the highest ever turnover in the company. 4,600 crores and then 5,200 crores. We are planning to even do better this year; however, this entire order book will be cleared within the next period of 2 - 3 years not in one year. That's why possibly you are getting the mismatch what you are thinking. But we are doing better every quarter.

Sanjeev Dhamanji : Yes, I know we are performing much better and we are really clearing the mess and getting into the current direction of growth in the days to come and my best wishes.

Saurabh : Mr. Dhawan I would like to congratulate you and your team on the performance and the improvement that we are seeing. I have a couple of questions. What was the cost of acquisition for Steiner AG versus the disinvestment that we have done?

Arjun Dhawan: I think what we can do is to get back to you precisely on the answer on the question of the acquisition that was done in 2010, If I recall, I don't have the number frankly on the top of my head but we will come back to you on that, just keep in mind that the amount that we have actually realized from the current sale is only for a small portion of the business. In fact, the value of the business that remains is actually far more valuable. And one more thing I will say is that certainly that when you compare the number that we will give you offline, I don't hesitate to basically say that the amount we divested, just a portion of the business today is actually itself substantially higher than what we actually paid for the entire company in 2010. I will stop there and will actually let the team get back to you potentially offline unless they have the numbers immediately right

now.

Saurabh : Will do thanks, the second question is about the rights issue if you can update what is the status and what is the likely timeline when we would see it.

Rahul Shukla: So, as I updated in the previous slide our DLF is under SEBI approval. We have received approval from NSE and BSE. And we hope that SEBI will also approve it shortly. We are not in a position to commit a timeline because we are not supposed to. But whenever there is some progress, you will get to know.

Saurabh : OK thank you and my last question, we do see lot of order bids from other construction companies and I have a generic feeling, I maybe incorrect, you may please correct me, I don't see much of HCC in the news about winning various orders, what do you have to comment on this?

Rahul Shukla: So, in this infrastructure sector, clients have got certain way of awarding a project. So there has to be a tendering process, in which first you have to qualify for PQ and then tendering evaluation, all those things happen and there are long timelines for tender submission, since announcement of a project. So, we do have, as I showed in the BD section of my slides, we do have a very strong pipeline of projects for which we have either submitted our bids or we are planning to submit our bids. However, almost 7,000 crores of our bids are under the process of evaluation and 14,000 crore worth projects are under the process of tendering.

Arjun Dhawan: To be very honest, it's been a while since HCC was in the regular mainstream of bidding on a quarterly basis so when we have been out of the market and projects we have identified and certainly to be very clear about the projects and clients which we will actually bid on, we will certainly not bid like it's a dart board. As far as we are concerned the pricing of risks for us is fundamentally important and when we just started to get into the process of identifying the projects that we want, there has been a bit of delay, 3 of our projects have got shifted by quarter or two and like I said, once we start having got into the mainstream of making those, what you are actually observing today will actually go away. So I think when we have this conversation one year from today, you will not see us not having one job on quarterly basis because there will be some wins and some stuff that will get preponed and some stuff that gets postponed but because we have been out of the market for a while and for the jobs that we were looking at and certainly have focused on and which we have made bids on, we will make bids on in the coming months, we are very confident that we will actually realise that. So that's one, second, I think that we are very conscious again that we don't want to have so many jobs in our portfolio that include a number of smaller jobs, so we are looking at our sweet spot anywhere between 1,000 to 1,500 crores is being the average size of the project, there will be other projects that will be much larger, somewhere in between the 2,000 to 3,000 crore range. And so, when we look at our target, order backlog over the next number of months, there will be lumpiness because we are looking at fewer projects that are more material in size.

Saurabh : Thanks for your candid answer.

Faisal : Now that we have had so many bad experiences at the various diversifications that we made that almost destroyed the company and the infrastructure segment now looks quite flushed with orders and we can now have a pipeline for at least 4-5 years, so why

don't we dive at the entire Steiner stake and get money into the company, so that we can then survive for years together in our main line of business. Secondly when we are executing so well and the sales are at all time high, is it not a worry that we have only a 12,000 worth order book and what are the kind of EBITDA margins that we are going to now target going forward.

Arjun Dhawan

n: We were always focussed on those kinds of projects with that level of complexity and where our edge is and where competition is limited that would generate to those sort of low to mid -teen EBITDA margin. That will not change. Second, as far as the turnover of the business is, the order backlog is concerned, yes, the order backlog is coming down but I would imagine that the market in the coming months when you see the build -up of the order back log would look beyond a few quarters in the short run where our turnover margin might actually stagnate, simply because it takes one or two quarters for the fresh orders that we have won to actually flow through our P&L and cashflow. You certainly have the visibility of the company's success in the quarters and years to come. Number three, you made a comment that I would like to respectfully disagree with, I think that as far as LAVASA was concerned it was at the time a project was pioneered by the company with the hope of creating something very special in India that would have if it had been successful might have actually generated such substantial returns for the company that no other construction company would have had. That's part of business.

Faisal : The diversification, my short point was that the Steiner funds should come into HCC and we should be doing complex projects with those funds rather than keep some part of it there and did I hear correctly that we have divested only a small portion of Steiner stake. So, what is the entire stake worth at ?

Arjun Dhawan: I presume you heard about Lavasa, We are very clear as a construction company today that engineering construction business that's kind of our clear focus. As far as Steiner is concerned, I think in various calls and in this one as well, we have talked about the need to return capital at the appropriate time and the appropriate valuation. I am afraid I can't share with you what that valuation is that would be inappropriate but I have indicated to you that as part of the business or the part of Steiner that we divested happens to be a portion of the value of the company and we expect -----

Faisal : Will it be at least 2 times of our market cap?

Arjun Dhawan: I am sorry I cannot comment on that. I think if you look at our track record as far as our subsidiaries are concerned for eg. Our PPP, our BOT subsidiaries, those were longer gestation period projects and that when we actually had developed them fully, and when they were realised at full value, generated a tremendous value for the company and the group and so I will stop here on the subject and I hope that you will be patient with regard to some of the details that we would get to you at the more appropriate time.

Faisal : So, what is the role of Mr. Ajit Gulabchand in the company now and how are we going to approach with just a 19% promoter stake and that too a lot of it is pledged, we will now have to even subscribe to the rights, so is there some thinking within the promoter group also to raise their stake to a respectable level from where they can enjoy the fruits of what they have actually sown. And, Mr. Ajit Gulabchand, we will all agree is a visionary and how much does he now guide the company at this point of time.

Arjun Dhawan: So, let me make something clear, while Mr. Gulabchand is the Non - Executive Chairman of the company, this is ultimately his company, this is as close to his heart as anything is in life so whether its being a mentor or whether its basically providing the wisdom we need as far as certain fundamental areas are concerned, he continues to be involved with the company. He is certainly not retired; I can assure you of that. And as the second point you talked about, I can't and I will not basically comment on the promoter stake but I will say that as far as the family is concerned, the promoter group is concerned, we are entirely basically committed to the success

of this company and to generate value for shareholders.

Faisal : Ok. Thank you.

Arjun Dhawan: I think I already answered this point of the rights issue, the entire principle in the rights issue is the promoter group is putting in capital alongside basically every other shareholder in the company as well.

Ashok : First congratulations on the good performance, giving a reasonable performance. My question is only one as an investor, how much land parcel this company owns as investment ?

Rahul Shukla: So, we have got 4 land parcels in different locations, in total there will be somewhere around 50 acres.

Ashok : 50 acres in Navi Mumbai?

Rahul Shukla: No in different locations. Mumbai, Thane, Pune, Navi Mumbai in different

locations.

Ashok : Ok and what will be the value of these land parcels?

Rahul Shukla: So as per our estimate currently it should be around.

Arjun Dhawan: Rahul I think that is not something that we would probably like to comment on, I think that is something that the analyst committee needs to do their diligence on and I think what would be quite fair is for you to provide some of these details offline to the community to figure out what that value would be.

Rahul Shukla: Ya right

Arjun Dhawan: Otherwise, it would be a little unfair for us to kind of speculate on that and what we can provide.

Ashok : No, it is approximate value I am not asking for exact value

Rahul Shukla: No so it is difficult sometimes to also put a value because for that you need to do a lot of market discovery to put a value for which we are yet to reach to that level.

Arjun Dhawan: Why don't what I suggest we do and part of the land for example is our headquarters in Vikhroli . So why don't we prepare something and share that with you.

Ashok Kriplani: Ok thank you sir.

Kunal: I just had two questions. First what is the strike rate for order bids? How many do we convert into actual orders?

Arjun Dhawan: We have not actually won any jobs in the last couple of quarters so then the ratio is not relevant when you have not actually won anything. What we have certainly done is actually over the last 6 to 9 months , well actually over the last year, during the fiscal year there have been about 800 to 900 crores of additions to our order book by virtue of variations but I think this answer would probably be a little more relevant in the coming quarters when you see some of our bids opened and when you see some of the successes that actually come in the subsequent quarters. The statistic today that is probably is a little less relevant , Rahul I am not sure whether we can actually share the amount of information in terms of the numbers of bids we have made but I think maybe we can provide you a little clarity if you are a little patient in the quarters to come.

Kunal: Ok. I have one more question, so the bid pipeline that you have identified for the future of more than 46,000 crore rupees , what is the time frame you expect to bid for it? Do you expect to bid for this month over the next one year or longer tenure?

Arjun Dhawan: Yes, over the next 3 to 12 months and you know obviously one of the things that I wanted to add, I guess was the fact that, I actually pointed out that the stats should actually be a little bit more meaningful in the coming months. Rahul, do you have anything to add?

Rahul Shukla: No Sir nothing to add

Arjun Dhawan: I just remembered one other important point to make and I am glad that Kunal asked the question because it goes to actually indicate the predictability of exactly what our order booking would be considering the fact that we have not actually done something material in the last 6 months. Kunal, I think it would be very fair to say that the bulk of our bids will actually now start happening. I think that there are very few bids that we have actually made in the last 6 months so I guess we are not disappointed

because for

us to actually put the bids in that we prepared have actually not really happened.

Pushpendu Chand : So first question which I wanted to understand from you is that our approximate debt by the end of September was somewhere around 2 ,400 crores on consolidated basis and the quarterly interest payment I see it is somewhere around 150 crores so I was just curious to understand the math that for 2 ,400 crores of odd debt our annual interest payment would be around 600 crores , so what is our typical interest rate for the debts that we take for our works.

Rahul Shukla: So weighted average interest if you see is close to 11% for our debt. So, when we say quarterly 150 crores it includes some other financing charges like BG commission and all apart from the interest that we pay.

Pushpendu Chand : And the second question was what is the utilization of funds that we are planning to do with the Steiner AG as well as the road assets that we have sold out to Cube

Arjun Dhawan: I think we already answered this question a number of times, we use the proceeds , the combination of working capital, debt repayment and for growth or actually have it on reserve for basically liquidity of growth.

Pushpendu Chand : And the third question is related to one of the questions by previous speaker , the land asset that you have got, if you can put up in a slide, the different land areas that you have in different geographies, approximate areas, that itself will give us an idea, the amount of land assets that the company holds.

Arjun Dhawan: Sure, we will do that.

Pushpendu Chand : Typically, real estate companies do that. So, if you can also.

Arjun Dhawan: We are not a real estate company but I appreciate what you are saying because some of this value is arguably material. So, we will share something of this sort.

Pushpendu Chand : And related to the real estate business that we have or the developmental business that we have with Steiner AG, I understand from your last call is that you also have a future plan to hike that off in the days to come so is there any thought in that direction?

Arjun Dhawan: Again, I think we have already answered this question and in all sorts of shapes and forms , like I said.... Rahul why don't you take the question please.

Rahul Shukla: So, with regard to Steiner stake divestment basically, this is already answered previously. For us HCC is fundamental and it is not that HCC needs any money today but we are in the process of evaluating standard construction...

Arjun Dhawan: The return of capital from a subsidiary in which we have invested considerably needs to be well timed with evaluation and opportunity and the return of capital can come in various forms, whether it is in the form of a buy back or whether it is in the form of dividend whether it is in the form of a partial or material stake sale. So, all these options will be evaluated in the coming quarters to see what is the best I hope that is clear.

Pushpendu Chand : I understood what you are planning to.

Arjun Dhawan: And maybe on a lighter note I will actually have the team draft out a little paragraph which is exactly the same and put it on our presentation so that our position of the same is very clear.

Pushpendu Chand : Appreciate that, one more question is related to the pledging of shares by the promoters' group, usually what we have seen in the market is that the market won't give right evaluation if the promoters shareholdings are in pledge condition, so is there any thought of coming out of the pledge from promoter's side on their holdings?

Arjun Dhawan: Of course, and as the company goes from success to success there will be opportunities for us whether it is basically from via a debt prepayment or refinancing of the company that will basically release any or all of these obligations. So, I think that is something certainly a focus area for us but we

are doing think step by step . As we actually continue to grow our business, get new jobs in, generate cashflow , pay down our debt, I don't think that this is not something that we will not be able to achieve obviously in due course. I want to take the opportunity as time has bound down to thank many of you who have actually complimented us , it is really heart warming to get your thanks as it pushes us to do a better job so I appreciate that, thank you very much.

Pushpendu Chand : Thank you.

Dell: My question is like, we have realised some of our projects and we get some funds from there, so what kind of debt we are currently on and after completing all this what will be our debt at the end of this financial year?

Rahul Shukla: So, as I mentioned that we have got outstanding OCDs of around 2 ,000 odd crores and we keep on paying them at the end of the year along with the accrued yield as per the formula that has been agreed with the lenders. So accordingly, debt will go down slowly like in this financial year when we make 340 crores of payment, so along with interest the debt as on that day will go down by that number. But at the same time this would have also accrued around 200 crores of yield so net debt reduction could be around 100 crores at the end of this financial year. In the similar fashion going forward when we keep on making repayment we can see debt reduction year -on-year. Our debt repayments are bullet payments at the end of the year so in between there will not be any debt reduction.

Dell: Alright thank you, that's it.

Arjun Dhawan: Incidentally, I want to qualify what Rahul said, there will be obviously I have already talked about our focus on refinancing which is something that we will focus on once we actually build our order backlog and our operational cashflow basically grows that is something we will focus on but there will be an opportunity for us to also prepay debt selectively we are able to actually see a yield waiver for our debentures. And as basically we utilize some of the arbitration awards that we actually have, monies deposited in court for, so if there are basically opportunities for us to avail of monies against our awards and prepay debt, we will certainly do that, the market and you will be informed of that as and when that happens.

Dell: So, is there any internal target for the same?

Arjun Dhawan: There is an internal target but I can't share that with you . Our goal is very clear that we want to prepay debt and we want to be debt free as early as possible. That's what I can say is the goal.

Dell: With this kind of fund, how big order we can tender for?

Arjun Dhawan: First of all, we have the capacity to take on new orders of about 15 ,000 crores as I think the opportunities continue to become visible to us and as we scale the organization , I don't think that stops us if opportunities exist and the capital exist for us to take on many more jobs as well. But again, I don't want to get ahead of ourselves in an analyst call , what I would like to do is that on a quarterly basis just discuss that as we start

to kind of walk, job and the sprint.

Dell: Thank you.

Rakshit (Fair Value Capital) : First of all, echoing what a number of investors have said like to place on record our appreciation for what you and the team have done in turning things around at HCC. Truly commendable, we applaud you for it. Just a little sense, if you could give a little flavour, I also noticed that the rights issue size has been increased so I am presuming that there is some visibility in order offtake in front of you, what sectors are seeming a lot more interesting and typically I know it can be lumpy but what size of projects are we more inclined to bid going forward, thank you.

Arjun Dhawan: So, the board today has approved rights up to 350, we still have to take a call whether it's up to 300 or 300 plus or minus . I think 50

crores is not really going to move

the need le much but I think it is something that we will decided most likely close to 350 but again I think that is a decision the committee will make in the coming weeks simply because we have had a lot of investor interest, I think that is one. Second, when it comes to jobs, you know our core area of expertise underground metro s, transportation work, including bridges, more complex transportation infrastructure and then you have got hydro, where we are now actually seeing a pipeline of fresh hydro being tendered in the coming months and that's perhaps part of the reason why some of our wins will be a little lumpy because hydro, the permissions taken, the clearance s required, especially the security clearances that require to bring hydro to market sometimes can actually be a little complicated so 3 months in the grand scheme of bringing a hydro project to market is not a big deal but once we actually see many of these projects that have been planned for many quarters come to market, you will see a flurry of them basically come in. And I think with the Prime Minister's goal and the government's goal to actually pu sh our 2047 goals of net -zero and green power I certainly expect a huge amount of renewable push to come from hydro and pump storage schemes, etc. That's a huge and ever green area for us. So, I think that basically covers it, nuclear, while have contributed to India's 60% of nuclear reactors but that is a really small portion of our order backlog but it is again something that we have a tremendous edge in and qualifications and credentials, so when you see that happen, that will come in but again that will be lumpy. So, for us, 50 -60% and I think in the very near future, next 6 months , you are going to see our bread and butter in largely transportation. And you will see that odd hydro projects that will come in basically every quarter or so. So, I hope that answers your question.

Rakshit (Fair Value Capital) : Yes thanks Arjun.

Arjun Dhawan: I forgot, there is also irrigation, so there are dams and barrages for the purpose of irrigation that are also in the pipeline . Santosh Rai is unfortunately not here, he would have probably been able to give you a little more colour, he is busy pr eparing for the inauguration of our co astal road which we are very glad and honoured to have our Prime Minister come and inaugurate in the next few days , so that's why he had to actually excuse himself from this analyst call but I think that he will give you a little more colour in our next call.

Rakshit (Fair Value Capital) : Appreciate and thank you

Jaya Sharada: Thanks for the opportunity and congratulations on the good set of numbers. I wanted to know in 3 to 4 years' time where do you see HCC in terms of turnover and size of business and what areas we would go, I am not asking for guidance but would it be a ballpark of 10 ,000 crores, 15 ,000 crores of turnover or would you be at 5 ,000-7,000 crores?

Arjun Dhawan: Let me put it this way, I think it would be a shame if we have only basically grown at modest double digits. We are privileged to be part of one of the largest infrastructure programs in the world which will actually continue to be for the next few decades just transforming India completely. And I think that if we are going to be part of that opportunity and if we are going to have to compete frankly speaking as project sizes get bigger , more complex, there is no question in my mind that we have to consider multiples of where we are in terms of order backlo g and revenue. So, I will leave it at that, I think that we have to do that responsibly , we have to do that basically in a way which doesn't compromise our work ethic, our pricing of risks and there is no question as we have actually worked so hard to actually get where we are, even one project for us should not actually be a compromise in terms of the quali

ty of our execution and our free cashflow.

Jaya Sharada: And follow up to this is, what kind of challenges do you envisaged because I believe for contracting compa nies bank guarantees become very critical , that determine s how much you can actually bid and also the man power . Because if you are doing complex projects then having good man power is critical so where do we stand there?

Arjun Dhawan: So, I think as a company actually shows off its track record, I don't think that bank guarantees and capital from banks is an issue at all. I think the quality of the company

and its execution is a testament to the bank supporting it and I think that is not something that HCC will have a problem with. Second, there is no shortage of quality projects in the country led by very quality clients so that's not a concern for me either. There will be in certain areas fairly ruinous competition and we are not going to be basically chasing those kinds of projects which are little more commodity type. So, HCC is going to continue to take on projects which suit its engineering edge. Yes, I think that the point you made on labour is a constant focus area for us. I think as we see a more perennial crop plan ting in India as agricultural basically demand increases, you have a migrant labour population that is starting to kind of being squeezed and in special urban areas where the cost of living is actually high so it is obviously very important for us to have quality relationships with our supply chain and with our stakeholders to ensure we have a continuous supply of very quality skilled man power and as large and populous our country may be, I think we all understand the quality of education and skill among a substantial portion of our work force. So I think that as India grows, this is going to probably going to be one of the biggest concerns for the construction industry is that how we skill people and how we actually harness that kind of man power so we are actually able to scale infrastructure program that this government wants to achieve.

Jaya Sharada: Ok thank you and all the best

Chirag Shah : So I think this question was repeatedly asked over the last 3 to 4 quarters, just wanted to ask once again as you know at that time, this Vivaad se Vishwas scheme was announced, the second version of it and the finance team whoever was answering the question back in the day, they had basically shared with us what is under consideration, under contemplation, whether or not we want to participate because it depends on what are the kind of returns we are expecting and what is our success rate otherwise in the litigation that is ongoing. So, if there is any development on that front?

Arjun Dhawan: Ok I will give you the very quick answer there, HCC's awards, arbitration awards are claims are very boring actually. They are not equity awards and they are largely basically extension of time awards. Basically, these are claims that are very precisely calculated on the basis of escalation, equipment and so on and so forth that we have at site for when a delay takes place for a project and these are the projects, we have completed years ago. So, when we look to do a Vivaad se Vishwas, especially if it has not crossed one hurdle in court, for us to leave 35% on the table and in addition to that there is a simple interest of 9% that is applied in the calculation from when an award is been given. In many cases, our awards carry with them post award interest of 12 to 13%. So, if it's an old award, for example, its 5 years old and the spread between what Vivaad se Vishwas basically offers is 9% and what we have let say is 13 requires for us to give up an additional 4% a year for 5 years then I am not only giving up 35% on the principle but I am also giving up another 20% on interest. So that tends to make it unbuyable for me to in some cases do Viva ad se Vishwas. Number two there ar

e certain awards for example have crossed a stage in the court process which are 85% plus and in those cases, it is attractive because we just want to reduce litigation and move on with life and we have applied as a company 4 Vivaad se Vishwas for few of our awards and at the time we actually have a result and an outcome on the settlement we will inform you with regards to what those are. The process is taking a little longer than we expected because you know as government is responsible for the tax payer there has to be reconciliation to the last decimal point in terms of what we think the number is and what they think the number is and when you have interest that is being calculated over many years, that's also one of the reasons for the delay. So, I think that in summary, is Vivaad se Vishwas something that HCC is going to rely on hugely, the answer is no but yes, we will basically be selective in terms of where it makes sense for us and there 5 awards or 4 or 5 awards where we have approached the government to close those litigations out and as and when they basically conclude we will let you know. There is one other aspect that is important, we have also got a sanction from our lenders for special bank guarantees for court for the procurement of money that are in court that are against arbitration awards which are effectively a 100%. So those are far more attractive to us at this point in time then let's say a Vivaad se Vishwas settlement would actually leave a considerable amount on the table. These are various considerations. As the government continues to extend the scheme or if it becomes available in the future on an ongoing basis depending on the needs of the company, we will take a very clear call in terms of when and where and how to kind of take a decision there.

Chirag Shah : Thank you, this is what I basically wanted to understand because what has been identified that was under evaluation stage at the relevant time and its good to be pragmatic, as a practising lawyer, I can only say that these things so much more time than originally envisaged. So that's about it and congratulations, I think we are making nice and steady improvements and congratulations on the good results.

Rahul Shukla: Thank you everyone, so we understand there are no further questions, so we

are closing today's call . Thank you for joining and look forward to connecting in future.

Call: Aug 2024

Transcript of the Webinar held on August 05, 2024, to discuss HCC Q 1 FY25 Results

Rahul Shukla: Good evening, everyone. Welcome you all to this Analyst Presentation of Q1 FY25. I'm Rahul Shukla, Vice President - Finance. And joining from HCC side are our Vice Chairman, Mr. Arjun Dhawan, our CFO, Mr. Girish Gangal and other members of the team. So, I'll just share this presentation.

Rahul Shukla: So just a quick reminder, HCC with 100 years of legacy being present in highway sector with completion of 4,000 lane k m of highways, almost 400 k m of tunnelling, 60% of India's nuclear power capacity, and 26% of installed hydro power capacity of India has been contributed by HCC. National nationwide footprint, as you can see, we are present all across various geographies, and current project portfolio of 30 projects is also spread across various states, including, outside India, which is Bhutan.

Our current order backlog is 9,534 crores, and, again, we're diversified across various sectors and geographies. On sectors, transport, as usual is the leading.

On Q1 FY 25 performance, our standalone E & C turnover, for Q1 has been 1,265 crores versus 1,230 crores in Q1 FY24. Standalone net profit for the quarter is 22.7 crore versus 19 crore last year. EBITDA margin stands at 12.6%, which is same as last year. Consolidated Revenue is 1,116 crores, versus 1,926 crores. Consolidated net loss is 2.5 crore versus a profit of 43.6 crore last year.

We have received completion certificate for N umaligarh Jorhat Road Project and NH-34 Pkg 3 project. We have also received substantial completion certificate for a project in Bhutan, which is Punatsangchhu hydroelectric project. And, we have received part completion certificate for a tunnel T49A, which is in Jammu and Kashmir.

Phase 2 of Mumbai Coastal Road project has been completed; so basically, the connector to Bandra Worli Sea Link, one side of it is completed and inaugurated by the Chief Minister of Maharashtra. And the work on other side of the connector is in progress.

We are lowest bidder in project worth 4,633 crores, and work is well under way for future bid pipeline of 40,000 crores. So, in some substance, we have been moving quite well in terms of project execution. Our bid pipeline is strong, and which will cater to our growth going forward. Key performance highlights from finance side are basically that we plan to raise 600 crores through QIP, to fund our accelerated growth. Now that we are targeting accelerated order booking, obviously we need to have a reasonable amount of working capital plus cushion for any future contingencies. So, that will be done through QIP.

And, strategic was focused on high growth and accelerated debt repayment and deleveraging. So, this is the next target that management has now.

As you can see, we have been consistently performing quarter on quarter basis in terms of Revenue, EBITDA, Profit, as well as EBITDA margin which is being maintained. On a consolidated basis also, our performance, has been quite consistent if we look at quarter on quarter numbers.

Some of the project updates, Coastal Road project, as I just mentioned, that, project has moved quite well. We have completed one of the connectors to Bandra Worli Sea Link and the second one is in progress. This is Delhi Metro. Here also, the work is almost completed. Trial run for the train has also been completed. So, we will very soon be coming out of this site. In fact, most of the demobilization has also happened.

Mumbai Metro, this project also most of the work is happening at a very fast pace, and you will see that 1st - CST station, is almost in the finishing level. Other stations also, MEP work is going on. So, the project is well on track.

Tehri Pumped Storage Scheme, here, this is a 4 x 250 MW, total 1,000 MW project. And the 2 units of 250 MW have been installed, and the spinning of the same is expected very soon. We

are in fact expecting that Prime Minister will be inaugurating this project, these 2 units, once they are connected to the grid. So, we have done quite well here and, hoping to keep the project on track.

Financial Performance is I briefly mentioned key numbers in the previous slides also. You can just take a look. Maybe one point to note here is that our finance cost has gone down in comparison to last year, which obviously, outcome of our repayments that we have made in the previous years.

Consolidated financials: Steiner, with a portfolio of almost 4.37 billion Swiss francs. This RED portfolio, RED project development, has given us a revenue of 60.3 million Swiss francs in Q1 which is equivalent to 546 crores. And PBT stands at -1.9 million Swiss francs, which is equivalent to loss of 17.5 crores.

Now since the company has transformed into real estate development, naturally, there will be slightly different number that the investors are used to seeing historically. We have sold our construction business. So now this is the new normal that we'll be able to see going forward.

Thank you.

Now we are open for questions.

Shyam Garg: Thank you for the opportunity, sir. And my first question is with respect to the order book. Can we conclude that in Q1 we didn't have any order inflows as such? And what is the expectation regarding next 3 Quarters?

Rahul Shukla: So, regarding Q1 order booking, as I mentioned, we are L1 in 4,600 crores worth of orders. However, they were not converted into awards. Awards are LOA's are yet to be issued, so we don't consider them in our order booking. So whatever 9,000 odd crores of order booking you are seeing is exclusive of that. So, once they get converted, that will get added to this. Regarding future, we generally don't like to give forward looking statements, but, obviously, company is certainly planning to accelerate on order booking, and we will keep on updating. Like, as I mentioned, we are working on more than 40,000 crores worth of strong project pipeline. And, certainly, we can see, much better conversion of our bids that we are making because we are quite selective in terms of projects that we plan to bid. And when we decide to bid, we would like to convert them.

Shyam Garg: So, what is the conversion ratio of Q1?

Rahul Shukla: So, historically, our conversion ratio had been 15 to 20%, but in Q1 it had been quite good. I mean, in terms of amount of bids submitted and conversion, it would be comfortably above 30% of conversion rate.

Shyam Garg: In terms of number of projects, sir?

Rahul Shukla: Number of projects, that we'll have to check how many numbers of projects have been submitted. But obviously, it is much higher than historical conversion rate that we have achieved.

Shyam Garg: Okay. So, we have not won any specific project which is a very large amount. It's different number of projects.

Rahul Shukla: Yeah. So, there are 3 projects that we have. I think couple of them are highway projects and one of them is hydro project. And all of them are more than 1,000 crores. One of them is 2,600 crores.

Shyam Garg: Okay. So, any update regarding that spin-off of our one of subsidiaries, Steiner AG?

Rahul Shukla: Yeah. So, I mean, last time, we had given quite detail briefing to analyst and investors in the last meeting. So, I think maybe you can refer to that as well. And the company is moving ahead with its plan of finding investor. And as I mentioned in the last presentation, the RED portfolio is being separated from the parent company. And that process is going on and investor finding will also be also going on in parallel.

Shyam Garg: Okay. So, any revenue guidance and margin guidance for the current year?

Rahul Shukla: We generally avoid giving forward looking statements, so you will have to have a little patience over here. And only thing we can say is that we will try

to maintain consistency. I

have shown you last four quarter numbers, and we would like to improve them, certainly.

Shyam Garg: Okay. Thank you so much, sir.

Prachi Pisal: Hello, sir. So, I was just wondering the AVI, TDA margins and the overall income margins, comparison to in comparison with the last quarter, they have declined. So, is it seasonal? How would you justify it?

Rahul Shukla: So, if you compare it from last quarter, it's seasonal. So, a fair comparison would be to compare it with the Q1 of last year. So, there you would see that margins are more or less the same.

Prachi Pisal: Sure. Okay. Thanks.

Viraj Mahadevia: Hi sir. You mentioned in the opening remarks that you're gonna be focused on growth and more aggressive deleveraging. Can you give us a sense of how you plan to achieve this more aggressive deleveraging apart from the QIP, and how much of the proceeds of the QIP are planned for debt pay down?

Arjun Dhawan: Okay. Let me address this question, Rahul. I think it and I'd also basically probably add to some of the comments on the questions that came before this. So, we in the past, we've talked about, having equity I mean, when we've had a higher visibility on growth. And, we've decided to, you know, at this point in time, the visibility we have on our order backlog and what we consider to be a fairly, aggressive build in our order backlog. This is something that, we believe from a timing perspective, given the opportunities we see and the conversion that we expect, is can be supported by this extra liquidity on our balance sheet. So, what we, at this point in time, will not probably provide you is the details of what percentage of the proceeds will be used where. What I can say is the bulk of the proceeds will be used for the growth of our business and not for deleveraging. Today, we have, a substantial liquidity on our balance sheet, in any case that addresses, upcoming debt repayments. So, we're very, very comfortable today from a liquidity standpoint. The purpose of this QIP is to grow our order backlog widely aggressively. And I think if you can work backwards from the previous question that was already

asked, which was about how what our guidance is gonna be, that's something we don't do. But if you if you look at where, how we need to actually, in the next few years, literally double our turnover, we need to be able to generate, you can work backwards into what kind of order backlog that we need to actually get, to really catch up on the growth that we've not been able to do in the last, basically, you know, couple of years.

So, I hope that gives you a little bit of color. Obviously, I'd like to avoid, giving you specific details, but it gives you a sense as to what the strategic direction of the company is. As far as the comment on deleveraging strategic here as a company, I think that, you know, the goal is to deleverage HCC completely. How quickly we're able to do that is a function of how strong our order backlog growth is in the next 18 to 24 months. That in turn will generate a substantial amount of free cash flow, that will help, accelerate the deleveraging. And then at this point of time, we have a fair amount of interest, with regard to equity investment in the company. So, if we haven't come back to equity investors with a proposal, it will certainly not be diluted, but it will be an event that is that goes alongside, you know, a strong, basically, growth in the company's top line, bottom line, as well as basically event that could, that could accelerate the deleveraging of the business.

Viraj Mahadevia: Understood. Fairly clear over the medium term. Second question was, you know, the finance cost has come down in this quarter, versus March 2024 and June 2023 last year. Is this because of the rescheduling of the interest payments and the debt, or is it actually because of absolute debt reduction?

Rahul Shukla:

It is because of debt reduction. We have been making payments to lenders, in last 2 years. So, it's a outcome of that.

Viraj Mahadevia: Understood. Okay. All the best. Thank you.

Sanjeev Damani: Thank you very much. Sir I would just relate it to the last quarter limiting where it was mentioned that 12,000 crores worth of executable orders are pending from our side. So, I'm seeing a turnover of approximately some 1,800 crores of rupees or something like that, if I am not wrong. So, I mean, is there any difficulty in executing certain orders? Can I know, sir?

Rahul Shukla: There is no difficulty in executing order. And this whatever order book we are showing, like last quarter, it was almost 10,500 crores, now it is 9,500 crores; is distributed among certain number of projects, and their certain amount of work front is available for execution. So, depending upon those engineering technical aspect, we execute whatever is possible. And this is a good run rate that we are able to achieve from those projects. So, if you see that we at HCC, in fact, in last 2 years has been, doing its highest ever turnover. So, which itself indicates that there is no challenge in terms of execution. But obviously, when we book, more orders, we have more number of projects and more number of sites are available for execution. The run rate will further pick up and the odd revenue generation will increase then.

Sanjeev Damani: So, sir, can I know the next quarter is, almost a rainy season, this current quarter, which is going on? So, I think the work would be even less than last quarter; or it is likely to be maintained around those figures.

Rahul Shukla: Seasonal factors certainly play, and it's a known fact that monsoon seasons are generally, less efficient for construction industry. So that is also reflected in every company, including our historical performance. So, you can look at those numbers, how they are seasonal, seasonally we have been performing, how Q1 and Q2, execution differences are there. So that will be there.

Sanjeev Damani: Okay, sir. Thank you very much, and all the best, sir. Thank you so much.

Saurabh: Okay. I have 2 questions. One, what led to loss on a consolidated basis? And second, there has been lot of media articles about the nuclear plants being set up or being planned by government. So how are we as company placed and positioned to leverage this opportunity?

Rahul Shukla: So, I'll take your second question first. Regarding nuclear plant, as I mentioned in the initial slide itself, and as you may be aware that we have been pioneer in execution nuclear projects. We have contributed to 65% of India's installed capacity. So, we are one of the best companies to execute nuclear projects. Now government's plan are quite big. And, in the fleet mode itself, government is going to award I think, some 12 projects. One of them has in fact recently been awarded. In addition to those large projects, government is also coming with smaller projects. That's the plan. That almost 250 to 300 MW kind of nuclear projects they want to install, because they want to manufacture in India, and they also want to support our long-term plan of generating nuclear power through thorium fuel because thorium is widely available in India.

So, this helps us become self-sustainable in terms of nuclear power. And, as we all know that nuclear power is one of the most well established, and sustainable kind of green power, so to say this plan is there. Now how they will frame up policies, how they will bring into this thing because there are talks about doing in PPP mode. So, this, obviously clarity has to come, but obviously, HCC is well placed to do whatever comes and we are very optimistically looking at this sector and looking to benefit from this.

Saurabh: Yeah. So, my other question was about, loss on consolidated basis. What like to.

Rahul Shukla: So, loss on consolidated

basis. As you know, we have got 2 subsidiaries, Steiner and HCC Infrastructure. So, this loss, has come from Steiner's result. As you know, I have shown you that, Steiner has made a loss of some 17 crores. That has affected this revenue.

Saurabh: Okay. Thank you.

Dhananjay Mishra: So just wanted to know this 40,000 crores pipeline, we are talking about. So, can we expect some tendering process to start in terms of bid submission out of this pipeline? I mean, how many of them you are expecting, tendering process and awarding to happen in this financial year?

Rahul Shukla: It's already on, Dhananjay. I mean, as I mentioned that the work is well underway for these 40,000 crore bids. It means the team is already working on this. Some of the tenders are there. Some of the tenders are being planned. So, obviously, we'll have to rely on government timeline and the process for that.

Arjun Dhawan: Rahul, it would be fair to say that as a material portion of this pipeline is something that we would be bidding for over the course of this fiscal year.

Dhananjay Mishra: No. It's not our chances of getting order. I'm just asking whether government will be awarding these, I mean orders in this financial year, or it is it will still our next financial year.

Arjun Dhawan: I think that's again, it's just gonna depend on client to client, project to project, and in which quarter we actually end up securing an L1 position, assuming that in some cases, you could actually have a conversion of L1 within a few months. In some cases, it might take a little longer if it is a strategically important project. In the past, we've had a little bit of delay with regard to the conversion of L1 to LOA because we've had our general elections. So that's also caused a little bit of a break. And you have the Maharashtra elections coming up as well. So, to some extent, there's been a little delay there. I just noticed that Santosh Rai has joined us. He heads the Business Development function.

There was a question on the nuclear, opportunity as well. I mean, I will give my quick perspective. These are a little lumpy. As and when they come, they will come with if you read, which we will take advantage of. But at this point in time, I think Santosh will give you a sense as to what the visibility looks like. I would just end by making one general comment on order backlog in HCC because we are working off a very low base. I'm expecting a substantial growth over our current, you know, revenue base and substantial buildup of our order backlog. And because HCC is very strategically and consciously decided that we will not be bidding by and large for projects below a 1,000 crores, know, the sweet spot, let's say, being 1,500 to 2,000 crores in size, you will effectively because of the focus we have on the kind of projects we want to basically get, and we are not gonna compromise on margins, we're not gonna compromise on cash flow, you will hopefully and this is what we deliver as far as you're concerned, a fill up and a substantial fill up of our order backlog in a fairly rapid succession. But in some cases, it might be lumpy because we're looking at a few projects of a large size.

Dhananjay Mishra: Okay. Fine. Just next question. In subsidiary business, because now we are working as a developer. So, in this quarter, whatever revenue and numbers we have shown, that is, we are seeing as a developer. So, what is this order book position? Because, I mean entire this is it under I mean, potential revenue you have given

Arjun Dhawan: That's a little confusing the way it's been represented. So, I'll let Rahul basically just explain that. And, yes, and all the works that we are now going to be executing are effectively of nature of development. So, Rahul, you wanna just quickly explain that? And next time in the future, thank you for that comment; we will basically clarify that. So that doesn't

imply that these are construction jobs. So, anyway, sorry, Rahul before you interrupt, as a result of it being a developer business, you know, you we might now see the, the profitability in Steiner being a little more lumpy. Because development businesses tend to generate fees and revenues on the completions and on substantial milestones as opposed to basically a construction business, which is sort of a daily, day and out, you know, a turnover, etc.

So, to some extent, when we look at the profitability, and the turnover of the business now as a real estate entity, I think you would need to basically look at it, on a slightly longer tenure than a 3-month end. So, Rahul, over to you.

Rahul Shukla: Yeah. So, regarding order book, when we have portfolio of 4.37, the projects are at various stages. Now, once a project reaches to the level of launch, there are customers who buy this. And, even in India, that happens. Suppose we buy some property, and the property is still under construction. So that property comes into our order book. From portfolio, it shifts to order book. And when the project is executed, the revenues are booked. So, order book is a subset of our portfolio for which the sales have already happened.

Dhananjay Mishra: Okay. Understood. And what's one last we have you can I can chip in? So in in 40,000 crores pipeline, have we considered nuclear project as well in this?

Santosh Rai: No. No. There is there is no nuclear project in this. These are largely projects in transportation and hydropower sector. You'd also ask timing. You see, I think we are looking at that. We'll be submitting the bids almost like, you know, we can say 6,000-7,000 crore every month. Some months, it'll be much more. So, our bid pipeline is already something on which we are working on. The dates are known to us. Of course, as Mr. Dhawan said, some one a month here in can be always there. But these are all work in progress, and we expect to submit those bids over the next 4 to 5 months.

Dhananjay Mishra: Okay. Thank you. All the best

Darshil Jhaveri: Hello. Good, good evening, sir. Thank you so much for taking my question. So a lot of my questions have already been answered. So, I just wanted to understand our current order book of, like 9,000 crores what is the average, you know, maybe executive period for this order book?

Rahul Shukla: So, if you simply look at our run rate next 2 years, we should be able to complete these order books. However, depending on the stage, like, at the fag end, generally, execution of the project slows down. So, we can say between 2 to 2 and a half, 3 years, we should be able to execute the existing.

Darshil Jhaveri: Oh, Okay. Fair, fair enough, sir. And the, the orders that we've won L1 currently, so what would be the rough timeline? I know it's a government thing, so you might not be able to give an exact timeline. But on an average, what would be, you know, the time that we get the order awarded and what is the ir executable timeline?

Santosh Rai: So, out of this, total order of around 45,100, we are what we are expecting, at least, you know, significant part. I'll say around 70% of that to be converted in next 45 days to 60 days. In fact, much can happen in this quarter itself. Our expectation is that; it's in the final stage of decision making now. One of the orders is in the state of Jammu and Kashmir. So there also, we are expecting that order to get converted in next, again same 45 to 60 days at the max. Unless elections are announced there and, that delays the process. That's where we are. In terms of duration, these are like average duration is 36 months of these contracts.

Darshil Jhaveri: Oh, okay. Fair enough, sir. I just wanted to ask, like, in terms of our exposure to maybe orders from Maharashtra state government due to the upcoming election, will there be any impact on order flows coming from there, is th

at slowness in issuing tenders or, you know, what kind of picture visibility can we get from that?

Santosh Rai: So, see it's a general practice that whenever elections are announced in any state, the tendering process is slowed down because of the government regulations. And depending upon who is forming the government, there can also be a time lag by which the decisions are made for the new project's announcement. So, I will say that if when elections are there, we will expect, you know, kind of break in the new order announcements or even the new order awards for 3 to 4 months.

Darshil Jhaveri: Oh, okay. And just like one last question from my end. I know we don't give forward looking guidance, but like based on just a rough calculation of a current order book and order win, what kind of because with that, maybe we'll not be able to double our revenue query in the near future; Right? So, what kind of, like maybe this year, our execution will slow down more, and FY26, it will pick up? Like, could you just maybe you'll give us some color on that? Because, currently, it would look like it that we would not be able to do as much as of what we did in the FY24. Is that a fair assumption?

Santosh Rai: Darshil, so, your look. I think your assessment is relatively in the position, but we are equally conscious of the point what you said that we have an order intake which allows us to grow our revenue, and we are exactly working in that direction is what I can tell you. So, our order intakes might be a surprising number at the end of the year itself. For the kind of bid pipeline, we identified and the number of bids we are working on, it could be a good surprise also.

Darshil Jhaveri: Yeah. Fair enough. That's what I was asking. Maybe FY 25 would be a transitioning. You're on FY 26. You would be, you know, back with a bang. In what time?

Santosh Rai: Yes. Yes. Very much.

Darshil Jhaveri: Fair enough. Yeah. That's it from my side. All the best.

Arjun Dhawan: And I and I wanted to just add. I mean, I think one of the things that, you know, is gonna be the responsibility of the management team at HCC is to is to make up for the fact that FY25, earnings are not gonna perhaps be as strong. So, we need to kind of show that makeup here is made up in spades, so to speak in the next fiscal year.

Darshil Jhaveri: Oh, oh, fair enough, sir. Yeah. Thank you so much.

Kenil: Just wanted this view on what are the opportunities in hydropower projects, hydro pump storage hydropower projects, and what is the reason for sudden burst in order tendering for PS P projects across the nation? Last week, Gujarat government had announced 10 GW. Now Maharashtra government is announcing, and many of the private players are also participating. What is a certain burst in PSP projects compared to other renewable projects?

Santosh Rai: PSPs, you know, relatively take shorter construction period compared to a

greenfield hydro power plant. So that's, you know, one of the USPs of PSP. Number one thing, PSPs are usually being built around an existing reservoir or existing plant. So that's the benefit, you know, what once takes to arrive at that. Second thing, you will also see there is a lot of push for green power. For example, green hydrogen needs a green power. So many of these companies which are going into that space are also looking to generate power through green sources. And hence you can see not only government, but there is also a mixed bag in fact. Lot of private sector participation is also there, and the government sector participation is equally there. So that's the key reason why these PSPs are suddenly being done, number one. Number two, essentially, if you look at the CA plan, the amount of hydropower addition, which India needs to do by 2030, is in north of 20,000 MW. So, a lot of action has to happen now if we want to achieve that target. And that's why you are

seeing that lot of hydro power plants are being announced, and those construction will be soon taken up.

Kenil: Oh, so the timeline for constructing a PSP will be 3 to 4 years?

Santosh Rai: Yes. Relatively. Yes. Around 4 years. Compared to compared to hydro power plant, which can take, like, 6 years, 8 years, depending upon sometimes 10 years, depending on the complexity and place where it is.

Kenil: So, majority of the project will be having environmental clearance, or it will be fresh lot. You bid and then the environmental clearance happens all.

Santosh Rai: No. We normally bid at a stage when all such clearances have been taken by the developer, be it government or be it private.

Kenil: Okay. And the QIP, will the promoter participate?

Santosh Rai: Rahul can answer this question.

Rahul Shukla: So QIP, institutions will participate. We are looking for a mutual fund and large family houses to basically participate and increase their stake.

Kenil: Understood. And, sir, I would like to know what is in Steiner AG, we had appointed an investment banker. So, what where are we reach now? Are we going to sell the remaining business, or we are we going to continue with developing the projects?

Rahul Shukla: So, the process of investor finding is going on as we mentioned, and the update is that they are well in advanced stage of sending the information document and all that and receiving some feedback. And depending on what kind of interest and what kind of value we get for the business, the decision will be taken at that point in time. If we get very good value, we can consider even exit. But, if investor wants us to continue because we have the know-how, we have the expertise, we can continue also. So, we are open to the schemes being proposed by the potential investors.

Kenil: Understood. Thanks a lot.

Kunal Tokas: My question relates to note number 7 of the consolidated account, which states that Steiner AG has provided guarantee for legacy construction projects, together with a syndicate bank facility. So, I just wanted to understand more about this aspect and, how much exposure, does Steiner AG have to its legacy projects now? And is the parent company, HCC, liable for any of the guarantee? Thank you.

Arjun Dhawan: So, let me address that. Girish, you can jump in. So, first, these are you know, in any construction business, you give bonds. And in this, construction of real estate in Switzerland, you give warranty bonds. And these are basically very, very long-term warranty bonds even after the completion of the project. It's kind of like a DLP, but they tend to be, you know, provided, on a much, much longer-term basis. They are extremely low risk, and the chances of encasement there are very very low. As far as HCC has not basically guaranteed any of these. This is just these are basically bonds that are provided for, for that particular business. And I presume that answers the question. Am I leaving anything else out? By the way, so just one more one more important point. The construction business is over. We're not gonna be taking over taking on any other further construction projects. These are just simply bonds or warranty bonds that are in place for completed projects that will basically remain through what is considered to be a Defect Liability period.

Kunal Tokas: And if I may ask, for the completed projects, the note also states that you have received some indemnification demands in this quarter. Do you have any estimate of how much you might be exposed to? How much cost?

Arjun Dhawan: So that this is effectively, as a process of the monitoring process. Right? So, there's effectively a technical cross default that then basically requires for you to provide indemnification in terms of a security. None of that is from a cash flow perspective relevant right now because we are in this in this moratorium period. And so

, once we complete

the final reorganization, we will then basically have all the covenants standardized, and you will not basically continue to have this note basically continue.

Kunal Tokas: So, are you saying that after the reorganization, you won't have any more, angle?

Arjun Dhawan: Correct. So, these effectively, this is like a covenant that is basically in breach,

which will actually then be rectified once effectively the full reorganization plan is complete.

Kunal Tokas: Okay. Understood. If you could give some figures like how much you had to from a cash flow perspective, how much you had to pay in the last year maybe for these demands?

Arjun Dhawan: From HCC? Zero

Kunal Tokas: From Steiner?

Arjun Dhawan: I don't think that we don't share that kind of detail, in terms of, specific basic payouts. So how much has been paid out is I would say, been immaterial. I mean, if it was, I mean, I can probably go out and make that statement. Though I think what the team can do is it can come back to you, personally and confirm that. I don't want to, if I made an inaccurate statement, they can probably correct that. But the point is that all of this will be normalized once we complete our plan.

Kunal Tokas: Understood. Thank you very much.

R Sangoi: Thanks for the opportunity. Today in one of the disclosures, there is a sale of Western Securities for an amount of 11 crores to a related party. Can you just brief what was sitting in this company?

Girish Gangal: We had one flat sitting in this company. So, we have got it valued and sold at you know, from the from our balance sheet.

R Sangoi: Only one flat?

Girish Gangal: At Market value. Yeah. Yeah. That that is that. Yeah. Fair value

R Sangoi: And my second question is whether at any point of time, there was an option in the parent or any of its subsidiaries wherein substantial TDR rights would have been activated pending some payments. And those TDR rights were substantial around 40 lakhs s q ft or something.

Rahul Shukla: No. Nothing like that. We don't really have any

R Sangoi: Actually, there was some payment spending wherein the TDR rights would have been released, around 50 or crores payments were pending. That's I think some years back. That is in one of the notes. So, I just wanted to clarify whether there was any such thing or not.

Rahul Shukla: No. Which note you are referring to? Because we are not able to see it.

R Sangoi: Not not in in my personal notes. There was some, some details about some TDR's which could have been encashed, pending some payments.

Rahul Shukla: No. No. Nothing like that has happened.

R Sangoi: So, this was something related to the Powai redevelopment or something. Is that so?

Girish Gangal: No. There is nothing of that sort. Just to reconfirm, as far as Powai what you mentioned, we are only land right? There is no TDR or something what you're referring to. There is nothing of that sort to our knowledge.

R Sangoi: So what is there in Powai? Can I can I just

Girish Gangal: There is nothing in Powai? As I said, we had a land parcel, which we are sold long back.

R Sangoi: That's all. There is no question of any TDR right, or whatever coming from that basis. Okay. Thank you. Thank you.

Saurabh: These 4,000 crores where you are sharing with us, that's, I believe, the HCC share, not the total value of the joint venture partner. Is that correct?

Rahul Shukla: Its HCC share. Okay.

Kenil: Sir, I would like to know any further development around the land bank 35 acre which we have in Powai, Panvel, and Vikhroli, and any other not disposable asset we have pending to get here in coming months or quarters?

Rahul Shukla: No further development in terms of disposition of land. We have already disclosed the one land sale which was there. And, yes, there are quite a few land bank, but nothing much to comment on. No further development .

Kenil: Okay.

Understood. And I would like to know any award we got for the arbitration. Award money we have got for the arbitration which is ongoing for our past cases?

Rahul Shukla: Yeah. We keep on getting some money here and there, wherever matter gets settled. So, I don't think we are able to we can, give all those numbers here. These are, I mean, multiple, small or big monies which keep on coming. They are all part of our financials.

Kenil: Understood. Thank you. That's all, Rahul.

Sandeep Sawant: You may conclude now.

Rahul Shukla: Okay. Thank you so much everyone for joining, this meeting and asking questions, and, look forward to meeting you all in the next quarter. Thank you very much. Bye

Call: Oct 2024

Transcript of the Webinar held on October 29, 2024, to discuss HCC Q 2 FY25 Results

Rahul Shukla: Very good evening, everyone. We welcome you all in this Analyst Presentation of Q2 FY25. And from company side, we are joined by our senior management, Mr. Arjun Dhawan- our Vice Chairman, Mr. Jaspreet Bhullar - our MD & CEO, Mr. Girish Gangal - our CFO, Mr. Santosh Rai, who is our Chief Business Officer, and Nitesh Jha - Company Secretary have joined in this call. I am Rahul Shukla, Vice President Finance. So, will take you through this presentation.

Before that, a quick refresher. As you know that HCC, with almost 100-year-old legacy, has completed various complex projects in the country and outside. As of now, we have completed more than 4,000 lane km of highways, 400 km of tunneling, contributed to almost 60% of India's Nuclear Power capacity and 26% of India's Hydro Power capacity has been done by us. We are well diversified with having executed projects all across India in various states. Currently our 30 projects are also spread well across various states.

So geographical diversification is quite well evident. Our order book as of now is almost Rs. 9,800 crores. Again, diversified across various sectors, with as usual Transport leading the pie with, almost 47%, followed by Hydro 26%, Water, 22%. And Uttarakhand being a centre of Hydro projects leads the pie in terms of, geographical diversification, contributing to 31% of our current order book, followed by Maharashtra 18%, Gujarat 15%, and so on. And this order book of Rs. 9,800 crore is exclusive of Rs. 1,032 crore of recent LOA that we have received in the month of October for Agar danda Bridge project.

Key performance highlights for the quarter. So our stand alone E&C turnover is Rs. 1,203 crores, versus, Q2 FY24 of Rs. 1,138 crores. So there is almost 6% jump. Net profit stood at Rs. 50 crore against Rs. 52 crore during same quarter last financial year. EBITDA margin is almost 18%, viz a viz last year's 14%.

Consolidated revenue is Rs. 1,400 crores against Rs. 1,800 crores, during last year, which essentially is because of contribution from a lower contribution from Steiner due to sale of construction business. At consolidated level, our profits stood at Rs. 64 crore against Rs. 64 crore during last year. Significant jump can be seen here. And of the operation side, also, we have received, project taking over certificate for DMRC, DC 06 project in Delhi. We have completed Southbound Arm of Mumbai Coastal Road Project, which got inaugurated on 12th September.

And as I mentioned, we have, received LOA for Agardanda project of almost Rs. 1,000 crores. In addition to that we are L1 in projects worth Rs. 3,860 crores. And a serious work is underway in Rs. 46,000 crore worth of pipeline, for which bids will be submitted subsequently. And in order to achieve this, our targeted order book for the year end ensuring growth that we are targeting, we have, started our process of QIP also as we had mentioned in the last quarter as well. And there has been some significant development. We have done our roadshows in India and abroad, and the investors are quite warmed up. In fact, our lenders have also put their best foot forward, and they have supported us by giving in principle approval to reduce HCC corporate debt guarantee to Prolific Resolution debt from Rs. 100 crore to Rs. 20 crore. Sorry. 100% to 20%. So, the debt Prolific which stands at around Rs. 3,700 crores today, for that debt, the corporate guarantee will reduce to 20%.

And you also know that HCC owns 49% of Prolific which holds almost Rs. 6,000 crore worth of claims and awards. So, and these are interest bearing claims and awards. In addition to this we have also received sanction letters for reduction of Rs. 307 crores of OCD, which will be a prepayment. And this will be settled at a payment of Rs. 234 crores.

This will lead into annual reduction of interest by Rs. 35 crores.

So, this is another step towards accelerated debt reduction that we are working on. You can see consistent performance quarter on quarter, in terms of Revenue, EBITDA, PAT. And the console level also performance is consistent, except for reduction in revenue, which I described just now.

Operational update, in Coastal Road, as I mentioned that, inauguration of Southbound traffic has happened, and this picture represents, this segment launching work that is going on. In Delhi Metro, we have received project taking over certificate. Some pictures on that. Mumbai Metro, station completion work is going on, and work is nearing completion. In next few months, it will be completed. Tehri Pumped Storage Plant. This is India's 1st variable speed pump storage scheme, and Unit 5 machine spinning was done on 4th August. Vishnugad Pipalkoti, this project has also achieved a landmark of highest TBM mining of 509 m in the month of September. Our financials, you can take a look. Broad numbers I have already mentioned. Consolidated Financials. Steiner, in this quarter, company has received, orders worth around Rs. 128 crore equivalent. Turnover was almost Rs. 200 crore equivalent, and PBT was Rs. 14.5 crore equivalent. That's it on the presentation part. Now we open the forum for question and answer.

Sandeep Sawant: You may please raise your hands so that I can allow you to talk. We are starting with Sanjeev Damani. You can unmute. Sanjeev ji.

Sanjeev Damani : Good evening, sir. And congratulations for lot of good development. And very happy to note that you are also planning and very close to getting newer funds. My first question is regarding, how much work is on hand which we can straightaway execute in the second half? Can I know the quantum of the total work? And we are likely to complete I want 2 amounts from you, pending work, which is executable in, the second half, and, how much we target to complete out of that?

Rahul Shukla: So, Sanjeev, I have displayed the order book position, which is almost Rs. 9,800 crores, which, everywhere the work is going on. However, we cannot mention the number, which is executable in next, second half because that will be a forward-looking statement, and we abstain from making that kind of statements.

Sanjeev Damani : Okay. Okay. I can now, where we are L1 in one of the projects, do you foresee that to start in this second half, or it may be in the next year only?

Rahul Shukla: It's execution start you're talking about.

Sanjeev Damani : Yes. Yes. The one, where we are so far.

Rahul Shukla: I will request mister Santosh to take up these questions.

Santosh Rai: Yeah. Sanjeev, this work I mean, works if it is our we are expecting these awards to convert in Q3. And the work will start you can say meaningful work will start only 4 -5 months down the line after the award. Because these are all in design and build jobs, we have to do a lot of preliminary works before actual execution can start on the site.

Sanjeev Damani : Okay. So when we talk of Rs. 9,000 crores worth of order, it is including all our subsidiaries that we are talking about or the figure of subsidiary and our partners abroad is, to be added into this pending order.

Santosh Rai: No. This is stand alone for HCC. Rs. 9,800 is a stand alone order backlog position of the company as of this quarter ending ? And this is the job what we do. Okay.

Sanjeev Damani : Yeah. I mean, a standalone for HCC, we have a lot of subsidiaries also. And then we have a foreign partner as well. So, there are also some pending orders are there, which will be executed, to be executed and readily available to be

Santosh Rai: No. No. That's not a part of this.

Sanjeev Damani : But, I mean, do we have a figure to disclose?

Santosh Rai: No. There is nothing like that because this is these are the works where we are directly involved, and that's what, we would like to go ahead with.

Sanjeev Damani : Okay. Thank you very much, and all the best, sir. Thank you.

Viraj Mahadevia : This is Viraj here. Congratulations on the continued progress. Quick question regarding you mentioned regarding the Prolific corporate guarantee reducing from, I think, Rs. 3,500 odd crores to 20% from 100%. What would the implications of that be on HCC and the working capital limits available to take on new projects?

Rahul Shukla: So, Viraj, as you understand, this corporate guarantee is a kind of contingent exposure. So, when the contingent exposure reduces, it's a kind of derisking, which helps in raising capital and funding our growth. So now that company has started its journey towards accelerated order acquisition and growth, we never wanted this kind of niggling things to be there. And that's how this development has started unfolding and which will certainly help us in future growth.

Viraj Mahadevia : Understood. And is this contingent on your QIP fundraising going or is already in place?

Rahul Shukla : So it is linked with QIP fundraise. And, for that approval is already in place. And, once this process is completed, C G reduction proposal, we will complete our QIP process also. Right.

Viraj Mahadevia : And you mentioned regarding a Rs. 35 crore interest reduction. What is that on account of? Is it linked to this prolific CG, or is that something else?

Rahul Shukla: That is separate from this. So, I think in previous calls also somewhere we had mentioned that, utilizing money deposited in court against our arbitration is one of the way through which we can do accelerated debt reduction. This is one step in that direction wherein a few lenders are agreeing to give us bank guarantee, to withdraw that before their own repayment purposes. Naturally, since they are getting prepaid, we are expecting some kind of yield waiver or some kind of waiver from them. In that process, some success we have seen, which we have disclosed here.

Viraj Mahadevia : So they're giving you credit against arbitration awards that are outstanding, but not yet won. Is that my understanding?

Rahul Shukla: So there are arbitration awards against which money is already deposited in court. Now bank will give us bank guarantee Which will put in which will be put in court as a security, and court will allow us to withdraw that deposited money.

Viraj Mahadevia : Then you repay the bank. Lender . Absolutely. Understood. That will reduce your your quarterly interest cost by 35 crores?

Rahul Shukla: Annual. So right now, that the amount that I mentioned around 307 crores of sanction letters are there. When we pay this, prepaid prepaid this 307 crores . At the rate of 11 half percent, this will be annual annual interest reduction by Rs. 35 crores.

Viraj Mahadevia : And currently, our annual interest cost is about Rs. 600 crores, I think.

Rahul Shukla: So in terms of interest cost, if you say, it will be, around Rs. 350-370.

Viraj Mahadevia : Okay. You just said 35. Now you're saying 3 okay. I didn't understand that last point.

No. You mentioned you asked about current annual interest in excess of 3 17.

Viraj Mahadevia : Correct. Okay. So about a 10 little over 10% reduction in annual interest cost.

Yeah. Right. Okay. All the best. Thank you. Thank you.

Arjun Dhawan: I just wanna add one, one quick point. There's two forms of capital. Obviously, capital that comes in the form of equity, which we will now basically be judiciously using for, growth and substantial you know, that's given the substantial visibility we have on, on our on our future and very near-term order group. And, the other is, as you referred to Viraj, there is clearly when there's an evaluation, obviously, with regard to working capital limits while HCC, you know, HCC's banks are fully supportive of whatever requirements that HCC will have in the

future. Certainly, when evaluations do take place from a credit perspective, from an investment rating perspective, all of these criteria actually just boost substantially HCC's ability to have the required working capital support also as well.

Viraj Mahadevia : Absolutely. I'm assuming you'd go Arjun, for the credit rating review once all this is

Arjun Dhawan: Absolutely. And that will you know, as with these events, hopefully, if we're able to execute them, you know, in in the short term, that's our expectation. You will, you know, hopefully see as a result of that a substantial basic increase in our credit rating as well.

Viraj Mahadevia : All the best.

Arjun Dhawan: That itself will basically, obviously, look to lower the cost of interest, and our plan, right, really besides the growth is to deleverage the company as early as possible.

Viraj Mahadevia : Yep. All the best. Thank you.

Deepak Poddar: This first topic you see in terms of revenue we have seen de growth both in Q1 and Q2. So for this entire year, any sort of range we are looking at in terms of execution, that would be very helpful. And what sort of margins we are looking at? Yeah.

Arjun Dhawan: Sorry. Just Rahul, before you go . I think that one of the things that we've answered when we've done the road talking to investors, and we'd like you to sort of really look beyond, you know, fiscal 25. You know, it's mathematically, you have a sense of what our current order book is. You know very clearly that any new orders we have in will actually take at least 6 months, you know, to actually start flowing very positively into our P&L and our cash flow. So , to some extent, while you might see, some of that basically impacting the next couple of quarters, you know, our point to you is to look beyond that to kind of the order book that we will build and the earnings that will actually come that will follow that. Now I'll let Rahul address the question regarding earnings of margins. That generally is, you know, historically, on the EBITDA side, has been in the low to mid-teens, and that's what we look to kind of expect to do in the near future given the lack of competitive intensity in the areas that we have an edge in and that we will continue to basically execute on.

Rahul Shukla: So, Deepak, I hope that addresses your question also. So, we essentially are not really looking at very much of a growth in this particular financial year because of limited number of projects in order that we have. But certainly, our expectation and our target lies on our growth for which we have mentioned about the project, this order with pipeline and all those things. And our order booking in this financial year will be something that will set the numbers for the coming financial years.

Deepak Poddar: Correct. Correct. So, the current order book of Rs.10,000 odd crores that we have, what is execution timeline of that if you have mentioned it

Rahul Shukla: 2-2 and a half years is something that we will be completing.

Deepak Poddar: 2, 2 and a half years? And a lot of that project will start, basically, that you mentioned in 4 to 5 months. Right? Meaningful work will start, basically.

Rahul Shukla: No. So this order book that you are seeing is already under execution. . Yes. One new project that we have mentioned, Rs.1,000 crore, is not included in this Rs.9,800 crore. And this is Santosh Rai just mentioned, execution will start subsequently.

Deepak Poddar: That is the Creek Bridge Right? Correct. Okay. Okay. Fair enough. Yeah. That's what I had hoped. I think that's it from my side. All the very best. Thank you. Thank you, Deepak.

Bharat Mani: Hi. So my first question would be on the Steiner AG Real Estate Development Party. I guess you had appointed some investment banker to do some strategic initiatives. So, is there any update on that?

Rahul Shukla: So investment maker is there. They are lookin

g for, options to divest. Naturally, you want to divest, and we'll update whenever there is an opportunity, something that we can do. Okay. Okay.

Bharat Mani: So, my second question would be on the PSP projects. So, I recently read an article where, 2 PSP projects, DPR, were awarded in record time. So, what are we doing to, you know, capitalize on this opportunity of the government, you know in this PSP sector? Can you just elaborate a little.

Rahul Shukla: Santosh, would you like to take it? Santosh, are you there?

Santosh Rai: Sorry. Can you repeat the question, Deepak? Which you

Rahul Shukla: The question is on PSP. So Deepak mentioned that there are 2 DPRs which are there on the market. So, we are going to take care.

Santosh Rai: Look. I think PSPs as a sector, we are looking at them, and we are engaged with various forms of clients. They are they are themselves private power producers and also government, itself is coming up with some schemes. Just as a matter of information, you know, we are constructing 1,000 MW Tehri PSP, which is also into the final stage of completion now, which gives us an edge. We are in discussions with some, very well renowned, I can say, private power sector players. We have also formed some strategic joint ventures, which you will come to know very soon. And we are we are looking at the sector because it is offering a huge potential. We are clearly seeing that there is an engagement to bid for nearly, Rs.12,000 -15,000 crores, in this sector in coming 6 to 8 months.

Bharat Mani: Okay. Okay. So, just one question on this. So what are the, project cost per megawatt in in the PSP?

Santosh Rai: Look. I think this is a very specific I mean, this will all depend upon how the original project is, what kind of, strata we are dealing with. I won't say a fixed number to it.

Bharat Mani: Can you just give me a range?

Santosh Rai: Maybe we can take a range like, 5 to 7. Yeah. Because it all it actually depends, you know, because let's say we are we are having a soil versus we have lot of rock. How much is the distance where the pumping is to be done? That's important. How much is what is the size of reservoir we are creating on the, you know, topside? So it's all a function of that. Because and also how much capacity are we really adding? Because sometimes by doing all this still, if you are not adding a good capacity, your per megawatt cost vary a lot.

Bharat Mani: Okay. So the turnaround time of PSP is lesser than hydropower projects. Right? So that's why you're looking pushing for this mode.

Santosh Rai: Yes. Yes.

Bharat Mani: Okay. Okay. So the other question was the, regarding subcontracting cost. It is in quarter 2, it was around 54% of the revenue, and last quarter, it was around 65%. So what is the reason for this much of a decrease? Is it because of the lesser project execution, or what was the reason?

Girish Gangal: Yeah. Good evening. See, subcontract cost is a function of which type of project and which type of, sort of a strategy we are adopted for a particular project. So, if at all a particular project is a subcontract in, you know, it was lot of subcontracting. And if that gets executed, naturally, my subcontract cost will go up. I'm giving only a example of a one project. But, like, if you collect all projects put together, this subcontracting cost will move accordingly. So, there is no, you can't apply a percentage that, you know, it depends on my execution pattern also. A particular project may be where there may be no subcontract at all. I'll be executing myself. And in some cases, I may have a maybe 60 -70% also subcontract. I'm just giving her just a number. So, you can't judge, you know, unless, you pick up, you know, overall.

Bharat Mani: Okay. So, one last question for myself. So what will be the year end total debt that you see? It is currently at 2, 102 crores. So No. How much is it by your rate?

No. Yeah. Total debt.

Girish Gangal: Debt we consider debt including accrued interest. So that that is that is roughly Rs. 3,600 today. Okay. Okay? And we can expect at least, maybe just the expectation without considering any further, repayments what we are planning. On a on a regular basis, it should be around Rs.3,000. However, we are trying to prepay also as Rahul had mentioned in earlier, you know, with, various other options. So, in that case, this debt can go substantially down.

Sandeep Sawant: Hello? Jinesh, you're not clearly audible. Oh, there is a disturbance. Oh, Oh, we can't hear you at all. We can't comprehend what is. Jinesh, I suggest you can, directly talk to Rahul. Bharat, do you have any additional question, Bharat Mani? No. No. I don't have. Okay. I suggest Bharat can talk to Rahul separately. Rahul, we have don't have any more questions, please.

Rahul Shukla: Okay. So, we will, close this, session now.

Sandeep Sawant: No. Just a moment. Ashish had just raised hand. One last question. Ashish?

Ashish Shah: Yes. Yes. Hi. Am I audible? Yes. Hi, Rahul, and hi, team. I just want to maybe you know, I'm not sure I may have missed that part. I got disconnected. But can you explain a little bit on this, you know, reduction in the corporate guarantee for the high debt that we have mentioned in the PPT? Can you elaborate a little? Can you explain a little on that, please? That the only question I have. Thank you.

Rahul Shukla: So, when this resolution plan was implemented, Ashish, a portion of our debt got transferred to quality resolution private limited, which today's stood at almost Rs.2,700 crores. HCC has given corporate guarantee to that debt also. While it doesn't affect us directly, there is enough claims and awards, which is there, which is also carrying interest. So, there is sufficient amount of receivable that is there in that SPV to take care of that liability. But still, 100% corporate guarantee to that debt is a kind of contingent exposure that is there. However, now lenders have principally agreed that they will go to their board and, try to get it reduced, and that is the process which is going on and which we are optimistically looking at. And once that corporate guarantee is reduced from 100% to 20%, naturally the contingent exposure of HCC goes down significantly from Rs. 3,700 to almost Rs. 600 crores. And that, that really helps, when investors look at HCC, investors like you or anybody else looks at HCC.

It becomes a clean slate kind of company for any future contingent risk. So, this derisking is essentially been done from the point of view of essentially making HCC investment friendly, more lucrative for investors as we are in the path of the growth wherein we might have to reach raise capital in future as well apart from the current QIP that we are working on. So this this all has been put together, and now we are here that the process has started.

Ashish Shah: Sure. I understand these things can be, you know, quite difficult to predict, you know. But what's your sense of the timeline, if any for this to happen? I mean, what's your best sort of an understanding at this point of time?

Rahul Shukla: So best understanding will be end of November. It's something that is our internal target. But, obviously, as you know, lender approval sometimes take more time. So but our target is end of November that we are working on.

Ashish Shah: But you already had some initial round of discussions, with

Rahul Shukla: Yes. Yes. Many discussions have gone have happened. K. And that's how, the consortium of lenders have in principle accepted up, and they're taking it up internally in their committees.

Ashish Shah: Got it, Rahul. Thank you. Thank you for this, and all the best. Yeah.

Jinesh Kothari: Yeah. I had a couple of questions. So, this, this quarter, I see your margins, moving, substantially higher, stand-alone

margins. So, is there any onetime income that we have booked in our revenues or something, onetime income? So that is increasing our margin, or is it purely on the operational purpose?

Rahul Shukla: So, there are couple of awards that we have received. So, while our operation margin remain intact where they are, slight bump is there because of couple of awards.

Jinesh Kothari: So, if it is possible, to quantify those amount of awards that we booked?

Rahul Shukla: So awards are contributing almost Rs. 300 crores of listing turnover, and margin wise, proportionate percentage, maybe Rs. 40-50 crores will be there. Great, sir.

Jinesh Kothari: And, sir, on the second part, you mentioned this about the 20% reduction in the contingent exposure that we have. So, from 100% to 20%. So, we I believe a lot of our non-fund based facilities will get free up. So, would there be any additional, finance cost saved on this and if you can quantify that too?

Rahul Shukla: Sorry. I could not get your question. Can you please repeat?

Girish Gangal: I think, Rahul, I'll answer that question. See, Jinesh, the corporate guarantee deduction, the corporate guarantee does not attract any you know, it's not issued by the bank. There's no commission or bank or any commission payable on that, so it will not impact the financial cost.

Jinesh Kothari: Okay. Yeah. Okay. Thank you. Thank you.

Viraj Madhavi : If I may, regarding Steiner, I think this question was already asked. Is it possible to disclose where you are in terms of that strategic evaluation with the investment banker? At what stage of the sale or the monetization process?

Girish Gangal: I think I'll take that question. Let's cross the bridge when it comes . I know it will be too early to comment either way. Okay? Let surprises be surprises, isn't it? Yeah. Yeah.

Viraj Madhavi : Have first round bids already come in? Has diligent started? I mean, just broad Yeah.

Girish Gangal: Everything is everything is going on, as expected as expected. Okay? So we we'll we'll see at you know, as soon as we have better idea which we can share with you, we'll definitely share in the earliest.

Viraj Madhavi : Thank you. All the best. Thank you

Kunal Tokas: Alright. Just a question on your, subsidiary HCC Infrastructure. As I recall from the annual report, HCC Infrastructure was looking for more toll road projects. So, any news about that or what the future of that subsidiary will look like?

Rahul Shukla: So, Kunal, we are going to be very selective as far as these, BOT projects are concerned. Not really, keen on those things. Our current focus is completely on E & C business. However, depending on, if there is some very good opportunity which, really feeds into our E & C order backlog in a big way, plus there is support from equity investors, the capability lies. And we are certainly in a position to take a BOT assignment without, putting any burden cash flow

burden on HCC. So that selective evaluation is going on, and we will look for very selective opportunities.

Arjun Dhawan: Look. Let me just add, another quick perspective on, you know, with regard to PPP. I think that it's, the PPP program in India is an essential part of the infrastructure development of the country. It will only continue to increase and scale up. As far as HCC is concerned, our focus is at least in the short run over the next, you know, 2 to 3 years until we completely deleverage the company. We would be a little reluctant to actually have a large amount of capital locked up in arguably a higher yielding BOT investment. That said, I think that we are very very clear that our focus on supporting BOT and PPP is clearly there. We understand our price risk.

We understand exactly the entire development cycle. We've had a fantastic record track record in developing BOT projects. And that's precisely why we have a number of partners that are interested, whether

they happen to be private equity or they happen to be strategic, in wanting to actually partner with us, not only from a point of view of providing their support from an EPC partner perspective. And in some cases, by the way, you know, when we actually look at our working capital lockup, we think about basically potentially partnering in some small way in a BOT project where we potentially are not just an EPC partner, but we might actually take a smaller interest. That has to kind of be aligned with our working capital and our return on capital criteria, the same way we will look at an EPC project.

And in many cases where we are actually seeing our larger development partners, whether it be strategic or financial, start to take some more sort of you know construction risk. We are actually, you know, we have handshakes and, you know, already with a number of partners where you will see us participate in BOT projects. But when you do see that, you need to rest assured, as Rahul said, that we're not gonna have large amounts of capital locked up until such a time that we're substantially cash surplus and large and, quite debt free.

Kunal Tokas: And just to confirm, you think that this year of FY25 will be muted into account, taking more orders and the major jump could be seen from next year onwards or even later? Or is that right?

Girish Gangal: No. I think you misunderstood the answer. What Rahul has said was about the revenue for the year, not the order intake. Order intake will continue.

Kunal Tokas: Revenue booking will be muted. Yeah. Yeah. That's what it is. Okay.

Avinash Na hata: This, this 20% corporate there's a follow-up on this 20% corporate guarantee thing. So, the payoff from the stand-alone balance sheet of Hindustan Construction or the, if it's not a payoff. It's, the deliverables from Hindustan Construction's balance sheet is, predicated on the raising of QIP. That's the only deliverable for that corporate guarantee to come from 100 to 20.

Rahul Shukla: So, basically, reduction in corporate guarantee will happen, even before raising that capital. It's just that we are waiting for some of the lender approvals after that, that will happen first.

Avinash Na hata: No, sir. I understood that. So my question is? I mean, why are lenders coming from 100 to 20? I mean, strengthening of balance sheet is what I can understand. So, if any, you can put more color to this.

Arjun Dhawan: Let me just give you let me give you another perspective. One of the one of the commercial aspects, right, is obviously, you know, HCC strength and success will only then basically end up, generating a high investment grade rating for HCC and a greater growth and ability to actually then have Prolific as a 49% subsidiary further supported. Right? So I think both companies have a somewhat symbiotic relationship because all the claims and awards that we are we are actually fighting to actually receive and accelerate, you know, by HCC's efforts. That's number one. But at the same time, what we have actually done to keep incentives aligned is some portion of the equity proceeds that we will raise. Very small portion is what we would actually use, you know, to provide as a loan to Prolific, you know, to end up prepaying some of the installments that we have for the for the debt basically in FY26. So it's a limited amount. It's basically less than, approximately 25% of the equity that we raised to a certain amount will actually be provided as support for Prolific. So what we actually do is achieve a result both lenders basically in Prolific, but also for HCC, and then we have, you know, a combined success for both companies.

Avinash Na hata: Yeah. That's well understood. And, if the team can, again, make us understand, I have slightly, not got the thing that Rs. 35 crores of interest saving. If you can just explain in half a minute the modus operandi.

Arjun Dhawan: It's

it's a proforma annualized figure just to give you a sense as to what so we have our regular debt repayments that happen at the end of the fiscal year. During the during the fiscal year and over the next couple of years, we will make a concerted effort to now start prepaying debt. That prepayment of debt could come in various forms. It could come, you know

obviously, equity capital is expensive. We preserve, you know, all of that for growth. But if there is, for example, the ability for us to procure through arbitration awards or through settlements, monies from court that would then come to prepaid debt. That would immediately, basically, then have a deleveraging effect. But then what we're doing for you is we're going one step ahead to actually point out that not only will debt come down by Rs. 300 crores, which is nearly about 10% of our total debt by just this one transaction, but it but the annualized interest pro forma on an annualized basis will come down by that amount as well.

Avinash Na hata: So I got the thing. Rahul explained the modus Operandi so how do we get these awards here. Is how do we get this?

Arjun Dhawan: So, you know, we've so we've talked about this a number of times before. We've got when arbitration awards, when you receive an arbitration award in your favor, it generally takes about 3 to 4 years to actually make its way, conservatively speaking, through the court system until which time when it gets upheld, then you get your monies released. There is an accelerated way that you can actually take those monies out, and that is basically through an execution petition where the then, counterparty, the client, has to deposit the monies in court. And we can, on the submission of a bank guarantee, take that money out and use it for the company.

Now as part of our understanding with our creditors, because we had that liability and asset mismatch with regard to awards and claims in our debt, our banks have issued us special guarantees, which we will then use when we actually have awards so that we can procure the monies from court, and then we can use those monies to actually prepay our debt. So, this, for example, this particular sanction that we've received is just one of many sanctions we expect to receive when we actually have excess money sitting in court to use that to prepay our debt.

Does that make sense?

Avinash Na hata: So this will just involve a fee in terms of, bank guarantee. To actually the entire process.

Arjun Dhawan: To be nominal fee for us for a bank guarantee, but what you will see is a substantial deleveraging and a boosting in earnings and a boosting in liquidity. Okay. Thanks.

Avinash Na hata: Appreciate it, Thanks, sir.

Arjun Dhawan: Of course. Anytime. Just wanna take the opportunity before, yeah, before, our corporate communications, you know, abruptly ends the call. Just wanna wish you and all your families a very, very happy Diwali, and all the very, very best basically in the coming New Year.

Tanishq: Wanted to confirm, like, reduced your 25% of the divided money raised, go towards a subsidiary repayment?

Rahul Shukla: That's correct, Tanishq.

Tanishq: Yeah. So, also, could you give us more outlook on your tax rate? That seems high in the past 4 quarters. So, you know, it would be helpful. How should we look at it going ahead?

Girish Gangal: I think see, the till last year, if you when you're comparing, are you comparing with the same quarter last year, or you're comparing with last quarter of this year only? So that I can answer very specific.

Tanishq: I think, both last four total seems high, and then it was very low, and then it was high in the 4 stage.

Girish Gangal: It is like this that we have substantial, brought forward losses available for the company, okay, which we can set off against the income what we earn during the year. So that's why there are no provisions which are there in the past as far

as that account is concerned. But

since we are following a regime, which is either you have to pay tax on a regular income or you have to pay on a MAT or book profit tax, whichever is, you know, higher. So, though my regular income setup happens to my broad forward losses, if I have a book profit, I have to pay tax on that amount. Okay? So, because of this book profit coming in last year as well as this year, if you see 31st March also had a book profit, and this year also have a book profit till September.

That's why the provisions are high. It is coupled with few changes in the tax laws also. One of the law is, if you know this, capital gains tax had been changed effect from July 24 wherein instead of indexation benefit, you are only supposed to pay tax at a flat rate on long term capital gains. So that also affects a notional competition on deferred tax liability. So, these are the various reasons for which there is a tax increase pursued tax increase rate as far as compared to the earlier. Is it a sufficient explanation, or you would like to know something more? Oh, thank you.

Tanishq: I think it was comprehensive. Thank you. Thank you so much.

Pratik Kothari: This is Pratik Kotari. Thanks for taking my question. Just wanted to understand, you know, for the coming years, if you can give some colour on, which segment will be a growth driver for us. And lastly, a little bit on the nuclear power, EPC mandate that we have in our order book, And how do you see that growing, in the coming years?

Rahul Shukla: Santosh, request you to take this question, please.

Pratik Kothari: Yeah. The question is that for the coming years, which is 25-26-27 in the EPC segment, where do you see our majority growth coming from in the order book, slash revenue

recognition happening? That was my first question. And the second was, you know, we have shown around 5% of the order book, to be in the Nuclear Power sector. So how do you see that progressing ahead in the next couple of years? If you can just give some colour on that and kind of margins, we are looking in that segment.

Santosh Rai: So, first question, I mean, how do we see our position and everything in 26-27? And I continue to foresee that transport segment and hydropower, these two segments. And Hydropower would be a mix of, you know, Hydropower projects as well as PSPs. Transport would be largely ruled by Railways. Railways will bring out lot of surface as well as underground transportation network. Roads will continue to do whatever, you know, is happening, and I think that program will further get strengthened with more PPPs and other I mean, HAM projects coming in. EPC, anyway, is on a, you know, downward trend. But Road is a sector that you will see some growth. Somehow for us, the majority of the volume would be coming from railway projects, which would be a mix of tunnels and bridges. There will be lot of focus on Metros and which we will continue to participate into. That will be underground metros largely, plus overground. And, of course, urban infrastructure transportation projects, which are like elevated corridors within cities and everything. So this will, in my view, approximately will continue to be 40 to 50% of our business going forward. And that is evident even in the order mix today also. Nuclear, to the second question, what you asked, Nuclear, look, it's a very specific kind of business. And though the government is planning to, you know, do a lot of things in that, the nature of the business is such that you get 1 or 2 projects announced every year. And right now, it's a very it's a heavily controlled segment. Department of Atomic Energy is owning on the design drawing, and NPCIL is implementing body through which all the projects come. So, we I see that this segment will continue to be like this. Maybe the sizes of the projects will keep changing, and the government will experiment with differ

ent types of, you know, modes what

they can use for procurement. Maybe what I mean to say, some large projects, some stand-alone projects, that's how they will keep bringing. So right now, you know, there were few jobs which were very large size.

At the same time, now they are coming up with small jobs, which are like Rs. 2,000 crore, 3,000 crore. And let's say, NDCT, other things will keep coming. So, on an annual basis, if you ask me, nuclear sector could be, like, only civil, I'm saying, because nuclear sector is very big. But civil wise, it could be, like, you know, Rs. 15-20,000 crores of opportunities coming every year. Within that, we shall be in a position to secure, you know, Rs. 2,000-3,000 is what I clearly see.

Pratik Kothari: Understood. Understood. Thank you so much, and all the best. Thank you.

Thank you.

Saras: Yeah. This is one question. The trade receivable seems to have gone up substantially. Y-o-Y business. If I'm not wrong, I could just check the in a very short time. So Rs. 1,000 odd crores in consolidated, cash flow statement that credit receivables. Any reason for that?

Girish Gan gal: See, you need to see, this 'Ind AS' accounting requires you to project this account receivable at 2 stages. One is current and one is noncurrent. What do you mean by current rate receivables, which are due or receivable within 1 year, and which is noncurrent, which is the receivable beyond one year. Now this composition keeps on changing depending upon the situation. Just to give an example, during this quarter, we have received certain awards. Now they will stand in my current receivables because as on date, there is no appeal or there is no objection filed by the clients, again, the same. In case the client files your objection within the statutory period of 4 months, okay, then it is going to take a longer period to realize. So that will shift from current to noncurrent. So, if at all you are to see the overall scheme of things, the account receivable, you should see totalling both current and noncurrent for both the periods. You'll find no much difference. What you are talking about Rs.1,000 crore, it'll be only restricted to the accrued interest as well as some portion what you received during the quarter.

Saras: Thank you. Yeah. Just to continue that nuclear thing, which my predecessors were asking, we are asking. In this budget also, they had announced for a small nuclear thing. So, is it, a ground level something is happening or, nothing of that sort is there?

Santosh Rai: On nuclear sector? Look. We are already seeing, you know, for example, the already existing plants which are there, like, Gorakhpur is under construction. So, they have come out with, you know, the next stage bids for that. There are a couple of more bids which are in pipeline, but they're all around the, you know, Indian program, which is there. We are not seeing any movement on any foreign program, like, which was, like, with the Americans or with the French.

Saras: Yeah. I mean, I was actually sorry to interrupt. I mean, I'm referring to that budget speech, which they mentioned that a small nuclear thing will be the modular ones.

Santosh Rai: you are talking about the modular ones. Yes. Yes. I think this is still under, you know, this is a good thought, and this is still under our discussion stage that, how, you know, this can be implemented because when we are involving a private party into that, they want, you know, the technology to be still controlled by them. And then on the what the idea is to, you

know, have a private player who can fund some other parts of it and run the show, but then how does the liability gets transferred and everything? These are all still under discussion. There has been some movement and but they're all at discussion stage.

Saras: Nothing concr etc?

Santosh Rai: No. No. I think, we did have some meetings with our clients, but we didn't sen

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much of, you know, you can say concrete coming out of that. Thank you.

Balu: Yes. Yeah. Congratulations on the good set of numbers and the continuous improvement in the company. I think in the middle of September, we had got an approval to raise QIP. I just wanted to know the timelines for the, you know, finalization of the QIP.

Rahul Shukla: So, Balu, tentatively, looking we are looking at, this end of this Q3. By December, we should be able to complete QIP. Okay. Thank you.

Kapil Agarwal : Good evening. This is regarding that; we are having unbilled revenue of approximately Rs.3,000 cr. So that is approximately half of the annual turnover at present on a standalone basis. So, it's normal or in, future also, it will be like that only?

Girish Gangal: Are you referring to the cons ol results, or you're referring to the stand alone basis. So stand alone, it'll be Rs.2,000 crores roughly, if I'm not wrong.

Kapil Agarwal: So it's Rs. 3,000 something. Rs. 3121.

Girish Gangal: Okay. See, it has a see, the accounting, what is required to be done as far as WIP or the work in progress is concerned is based on the accounting standard 'Ind AS'. Recognition of revenue 115. So wherever we are to, we have to follow a particular method, call input method or output method. Okay? So it require that wherever I have I have incurred expenditure under a contract; However, I have not built to the client because I have not completed a particular milestone. You know? Suppose I took I have to build only once I complete a 5 km of road. Okay. But I have done a work for complete 2 km. So, the work has been already done. Whereas I have not I'll not be able to build a client. So, at that point of time, estimating the profitability of that project, you have to build in a WIP . For a fair accounting that you will eventually get this much of, you know, billing. So that is that is one part. And the other part is a regular WIP, what you have completed, for which you are yet to bill to the client. So that is generally 1 or 2 months, billing cycle for which you'll have a WIP, which is around Rs.1,000 – 1,500 crores . Roughly, I'm not getting into the individual, you know, breakup. One is account of that, what actual work order you completed, yet to be billed. And second thing is the actual expenditure you incurred, but you are not in a position to bill because of the contractual condition or the milestone. And you require to account WIP based on the 'Ind AS' accounting .

Kapil Agarwal: I got it, so I just want to have an idea that, like, our, stand-alone basis, our quarterly turnover is Rs. 1,400 odd cr. And that unbilled re venue is Rs. 3,100 cr. So, it's more than double of the quarter turnover. So, it's normal for us?

Girish Gangal: It is, I mean, if these numbers, you know, I mean, I am not yet confirming the numbers. I'll have I don't have the numbers in front of me, but it generally, it should be Rs. 2,000, 2,500, not more than that.

Kapil Agarwal: Okay. Yeah. Okay. Thank you.

Kunal Tokas: So, it was, told that, the L1 project should get converted into orders in Q3. So, those will be new orders ? Apart from that, what is the sort of quantum of new orders that we expect in the remaining two quarters of this financial year?

Santosh Rai: So, Kunal, the L1 position is where we are is approximately Rs. 3,700 crores. Right now, one of them is a hydropower project. Another one is a transport project. In addition to that, we have submitted bids in, you know, metro segment, then we've also submitted bid for a port project, for a PSP project. So, our estimates are that, you know, in addition to this current LOA which we have received for Rs.1,030 crores plus this L1 position, we should be looking at a number which is around, you know and, of course, this is like an estimate. Around Rs.10,000 is the kind of number we are looking at for the whole year. No. For the whole year.

Kunal Tokas: For

the whole year. Okay. Got it.

Girish Gangal: Thank you. Yeah. Just a clarification, we're asked a question on WIP. The first question whether we are talking about console or a stand-alone. So, the stand -alone WIP is Rs. 2,148 crores to be precise, not Rs.3,000. Rs.3,000 is the WIP for the consolidated number.

Pratik Kothari: Sir, hi, Pratik again. Thank you. Yes, Pratik. Sir, I have one more question. This was regards to the total outstanding that they're showing to Micro Enterprises, right, which has gone up by almost about 29% from Rs. 2,400 to almost Rs.3,100 crores, Rs.3097 as I see. So, is there any plan to sort of bring that down, or are we waiting for, you know, the QIP arrangement and the funds to come in? Because apart from prepayment of debt, I think, you know, faster execution, if you can throw some light, if you were to is there a plan how to reduce this also? Because this looks to be a very substantial chunk higher than the borrowings also for us at this point in time.

Girish Gangal: See, as far as MSME is concerned, that is a regular activity what we'll try to settle

within the designated time. Depending upon the execution of a particular project where there could be more MSMEs, our liability can increase in particular quarter, and it can go down in the quarter. So, there is always a focus to settle MSME as early as possible. It will have no direct impact on the revenue growth or whatever it is. It is independent because this is more of a liability what you need to clear. Okay? So, I frankly did not get the correlation what you are trying to do with that.

Pratik Kothari: Basically, trying to judge it as a percentage of sales or as a percentage of order book, what can we expect it to be maintained that is there a level that you guys look to maintain it at?

Girish Gangal: No. That's what I'm repeating once again. See, as far as you don't select the MSME depending upon the order of a particular project. MSME is a vendor which whenever you select a vendor and in a particular project, if at all you have 10 vendors, you don't select the vendor whether it is a MSME or a large vendor. Okay? what is required for the project, we select accordingly. So, there is no specific, what you can say, theory to select or not select MSME. It depends on the actual work to be executed by that particular person and the capabilities of that person. So, there is no focus as such that, you know, when you execute a project, you select MSME or non MSME. It happens, but naturally, you know, I mean, depending upon the as I earlier explained, depending upon how many how many people you are employed in that particular project.

Pratik Kothari: So okay. My question was from the fact that, you know, while our outstanding has gone up by almost Rs.700 crores, and if I was to look at the first six months, tails right, Rs. 3,200 cr, and the profit in correlation to that. So, would that be a right way to look at it? Because, you know

Girish Gangal: No. There is no correlation. There is no correlation. There is there is no point in correlating that way because Okay. It is it is on the class of vendor viz a viz I mean, profit doesn't have any role to play with the class of vendor.

Pratik Kothari: Right. Yeah. Yeah. Understood. Okay.

Rahul Shukla: Thank you so much. Thanks, everyone, for joining this call, and wish you all a very Happy Diwali. Have a good time and look forward to see you again in next quarter. Thank you all. Good night.

Call: Feb 2025

Transcript of the Webinar held on February 13, 2025, to discuss HCC Q3 FY25 Results

Rahul Shukla: Very good evening, everyone and we welcome you all in this today's meeting for our quarterly results. Joining with us are our senior management, Mr. Arjun Dhawan - our Vice Chairman, Mr. Jaspreet Bhullar - our MD & CEO and shortly our CFO, Mr. Girish Gangal will also be joining.

Sandeep Sawant: He's also joined.

Rahul Shukla: Okay. Already joined. So, we will take you through this, presentation. As a quick refresher to someone who is new to HCC. HCC is a pioneer in construction industry. HCC has completed more than 4,000 lane km of highways, almost 400 km of tunnelling, especially in the complex Himalayan region. 60% of installed nuclear capacity has been contributed by HCC, and almost 26% of installed hydro power capacity has been done by us. We have got presence across India and executed project in almost every state. Apart from India, we have executed projects in Bhutan, Nepal, and Bangladesh as well.

Our current audit backlog as of December 31 stands at ₹9,773 cr. Primarily dominated by Transport sector, which accounts for 47%, followed by Hydro 26%, Water 22%, and Nuclear 5%.

Geographically also we are very well diversified, with Uttarakhand leading the show because of our Hydro projects being there followed by Maharashtra and Gujarat. This order book position excludes L1 position worth ₹3,513 cr which we expect to realize very soon.

On our quarterly numbers, on a stand-alone basis, we have achieved a turnover of ₹1,002 cr for this quarter versus ₹1,244 cr in the Q3 of last financial year. Our EBITDA margin had been quite well, 14.7%, which is also consistent with our historical track record. However last financial year it was 12.3%. Profit before tax excluding exceptional items was ₹18 cr for this quarter viz-a-viz last year's Q3 of ₹21 cr.

However, on a stand-alone basis, we have booked a loss of ₹216 cr during the quarter because of certain exceptional item, which I will be explaining in the next point, against the net profit of ₹68.5 cr during last year. Now on the exceptional item, company has opted for new tax regime. You know, we have been working on old tax regime. Because of that we had to restate certain deferred tax assets and liabilities and accordingly ₹147 cr of deferred tax assets had to be reversed. Also, since this new tax regime doesn't allow MAT provisions, we had to take write off ₹154 cr of MAT credits. However, at the same time, this has helped us in boosting our liquidity, because we have received tax refund of ₹54.74 cr. So, this, this was written back. So, the net impact though, accounting wise, it appears that we have made a loss of ₹216 cr. But net, if we exclude these items, we have made a PBT of ₹18 cr.

Now on a consol level, our revenue has been ₹1,006 cr against ₹1,474 cr during Q3 of last financial year. Essentially on account of Steiner divestment, because those numbers are not there now. On a consol basis, we have made a net loss of ₹38.9 cr versus net profit of ₹233 cr, because of the tax regime change that that I explained just now.

On Business Development side, we have received the letter of award for Agaranda Creek Bridge of ₹1032 cr. In addition to this, we are also L1 in projects worth ₹3,513 cr. And we have also submitted bids for ₹17,679 cr, which essentially comprised of three metro rails, two pumps, storage projects, one elevated road, and one railway corridor and one dam. So, these bids are yet to be opened. Last year had been a little slow in terms of announcement of bids, but we certainly expect that this quarter being last quarter of the year, bulk of with results should be announced. And we hope to get decent amount of L1 positions during the quarter. In addition to this, we are also very closely working on projects worth almost ₹36,000 cr, which we plan to bid in coming quarters. We are

so

completed the qualified institutional placement of ₹600 cr, which was, well subscribed by very renowned investors.

And we have divested stake in Steiner AG, which is our Swiss real estate entity, to focus on core operations in India. I'll take you through the Steiner transaction. So, as I mentioned, that company wants to focus on growing Indian market. This last quarter there has been divestment of this Steiner business. And Steiner was initially owned by HCC through its Mauritius entity, HMEL and HMIL, which were wholly owned subsidiaries of HCC. And our goal has always been to divest our non-core businesses. As far as Steiner is concerned, our focus has been to maximize return on capital in the right timing for this was the target. We faced challenges in the past when we look to divest the business as a whole.

The transaction with M3 last December has helped us provide a clear liquidity path as we have been able to bifurcate the construction related asset receivables, which we have retained while the development business was sold to a Swiss based developer with whom we can look forward to joint success by ₹200 cr of earnout. To summarize, HCC has retained, claims and receivables worth almost ₹1,000 cr that will be bound down in next 5 to 6 years. Earnout from Steiner Development AG up to ₹200 cr and ownership of Steiner India, which has land assets worth almost ₹43 cr. So, these are all this slide summarizes transaction. M3 group retains Steiner AG, and Steiner

development AG.

Moving on to the operational updates.

- Anji Khad project - we have received the completion certificate.
- Mumbai Coastal Road project - northbound arm of this project was inaugurated by chief minister of Maharashtra. So, project is, fully functional now.
- BARC Tarapur - all structure works completed and handing over is in progress.
- Tehri Pumped Storage Scheme – synchronization of Unit 5 has been completed and finishing works are in progress.
- Vishnu ghad Pipalkoti HEP - here we have achieved 4.8 km of TBM mining out of 12.1 km in the HRT.
- Mumbai Metro project - to the flag end almost finishing works of almost every station is being done and we are hoping that by March, trial run will also be started.

Stand-alone financials, key numbers I have already explained, and you can just take a look. You will notice tax expenses here which are quite high because of the shifting to new tax regime that I explained in the previous slide. Consolidated numbers.

Thank you so much. Now we are open to questions.

Sandeep Sawant: We request to kindly raise your arms so that I can allow you to speak. I can unmute you here. Viraj, please go ahead.

Viraj: Yeah. Hi. Still a little unclear. Can you please let us know what is the net debt in the business as it stands today? And what are the implications on that absolute net debt over the next FY 26 and 27 given the staggered payments and earnouts connection on Steiner AG?

Rahul Shukla: So, Viraj, net debt, today stands at around ₹3,500 cr, which includes almost ₹1,700 cr of principal and

Viraj: You're a little soft. Sorry. If you don't mind being a little louder.

Rahul Shukla: So net debt today includes around ₹3,500 cr. And, going forward, we can see that year on year, we are making repayments.

Arjun Dhawan: Rahul, let me interrupt for a second. Net debt as I'm guessing Viraj and the analyst community would like to probably have a sense would be net of cash, available on balance sheet. So, you take the gross debt position, subtract all the cash, and then actually project these numbers out. And maybe if Viraj requires a little more detail, that can be provided separately offline. But you can go ahead and communicate, but just subtract all the cash, please.

Viraj: And, also, if you can tell me of that net debt number, how much is term loan and how much is working capital debt?

Rahul Shukla: So, total debt as of now is almost ₹3,500

0 cr, which is a term loan, not a working

capital loan. And cash wise, we have almost ₹600 cr. So net debt, you can say almost ₹2,900 cr. Cash number, I'll have to recheck. So, we don't have working capital loan as of now. Hope these answers

Viraj: And how do we see this ₹2,900 cr reducing over as an absolute over FY 26 and FY27? Best guess estimate?

Rahul Shukla: So, if we clearly go as per the repayment plan, it will reduce by every year by almost 15%. So next year, it will reduce by almost 15%, which is our repayment plan. However, we plan to accelerate the repayment process and there are quite a few avenues which we are exploring with lenders, including repayment through code BG transaction, which in the previous call, some of the previous call we had explained also, and generation of cash loan from other avenues. So that will be extra that we will be doing.

Viraj: Okay. And the Steiner monies that will come in, the ₹200 cr earn out from SDAG, is it linked to anything in a particular year?

Rahul Shukla: So, it's an earn out, and it's linked with performance of the company as well as, new acquirers' ability to raise. They are planning to go public and all that. So, there are quite a few milestones that need to be achieved. So we are, at least, today, not in a position to put a strict timeline to that.

Viraj: Okay. And is this over the next 2-3 years, or is it a shorter period?

Rahul Shukla: Yeah. Correct. You're right. 2-3 years.

Viraj: Okay. Thanks. I'll come back with anything.

Bharat Mani: So, thanks for the opportunity. So, I was looking at the HCC stand-alone numbers. So, I guess in the corresponding quarter, we did ₹1,200 cr of revenue, and this quarter, you've done ₹1,000 cr. So, what has been the reason for this decline? The stand-alone, not the console. I can agree console level, Steiner AG divestment took place. But what about stand-alone numbers?

Rahul Shukla: So, Bharat, this is what we had budgeted for the quarter, and this is a good performance in terms that, we have completed a lot of projects, like, we have completed Anji Khad project; We have completed Delhi Metro; Mumbai Metro and Coastal roads are also in the flag end of completion. So, with limited availability of work front, this is a very good outcome as per our budget we have achieved. And certainly, with new orders which are lined up in which one is already there, others are about to come. We will be able to ramp up the turnover once again.

Bharat Mani: Okay. So, you expect the next quarter to be better than this? what is the outcome on the next quarter?

Rahul Shukla: So next quarter, generally, we don't give future forward looking statements.

Bharat Mani: I know that, but just a just a general Yes.

Rahul Shukla: But looking at current, order position and the work from that will be available, we should be in the same range.

Bharat Mani: So, one more question on the consolidated statements. So, I could see a change in inventory of ₹305 cr. So, could you just, you know direct me what is that regarding?

Rahul Shukla: I will request, Mr. Gangal.

Girish Gangal: See, as you know, we have divested Steiner. So, because of divestment of Steiner, there are a lot of moments on these expenses, whether it is inventory or if you'll find finance cost or other expenses. Because since all business have moved out, then there is typical transaction. For example, depreciation and other expenses have gone up because various lease transaction, what we had in Steiner and you have to create as per I ND AS the lease equalization fund, okay, which slowly releases cost to the profit loss account. Whereas when you transfer this completely to a different party, the entire balance, what is lying in the balance sheet, has to be written off. So similarly, all these adjustments including for the inventories have been written off as far as Steiner is concerned on a deconsolidation because of you'll see that variation.

idation because of you'll see that variation.

Bharat Mani: So, in the finance and, depreciation cost result, you could see the lease being written off partly in terms of interest in the business. And that's what you're saying. In the inventory as well. So, but is it is it a one time or should we one time.

Girish Gangal: No. No. No. That is over. See, this is related to Steiner. So, for us, Steiner is over now. Chapter is over now. This is the last quarter. We'll have all this adjustment. Next time, you will find more or less a stand-alone and consol. Numbers will be more or less, you know, matching more or less, I precisely I mean, particularly you say that. Because there is no standard turnover or related cost coming in into HCC anymore.

Bharat Mani: Okay. And, in the last quarter, you had said about you had submitted a few bids for the metro segment, the port project, and the PSP project. So, what is the status on that?

Girish Gangal: Those bids are unfortunately got delayed as far as, you know opening up those tenders is concerned, but few of things are expected in this, this month itself, especially PSP and some metro bid, and something will go to next quarter.

Bharat Mani: And there were a few, projects that you were L1 as well. Like I guess ₹3,500 cr worth of projects. So, what is the status on that?

Arjun Dhawan: Bharat, let me just give you, Girish, let me just jump in. Let me give you a just a broader perspective right now on order book. And, so certainly, I think we're a little disappointed that at the closure of this quarter, we're not able to communicate a strong, a much stronger LOA position. And that's a little unfortunate in terms of the timing of what we are expecting hopefully in the coming weeks, would be a little more of a flurry of kind of not only L1, but the conversion of L1 into LOAs. And so, I think, our expectation certainly is that we will have a much, much stronger Q4 that will make up for, the previous couple of quarters. So, we have also had a change of government in two states, in Maharashtra and J&K. That's where both our L1 orders basically are.

And as a result of that, we've actually had, you know, I think probably three -to-six-month delay that has been in our Maharashtra project, a land acquisition position that is going to probably get completed fairly soon. And so, as expectation is that we should probably end up having, those conversions, done there. There was a question also that you had with regard to the turnover being lower. Yes. As I already said, it's as per our budget, and it's comparable, on an operating basis, you know, historically. Our business is seasonal. Yes. But it also is a little lumpy depending on claims settlements and arbitration awards that we get from time to time. And, so to some extent, the comparable quarter that you have before is not entirely comparable to this in the previous.

Bharat Mani: That that that I agree. But at the same time, the corresponding quarter in the last year is when you did around in stand-alone, you did ₹1,200 cr plus revenue.

Arjun Dhawan: And I and then this is where, you know, we request, basically, you as the analyst community and our shareholders to look beyond this coming fiscal year. So, we've had such strong operational performance. And as we wind down our current order backlog, what is really going to see the growth in our future turnover and our, profitability is gonna come from new orders.

So, to some extent, as we've said before in previous calls that we'd like for fiscal at least large portion of fiscal 26. This is now we're closing 25. So, over the next 2-3 quarters, you will see some softness in the top line because the conversion of our current, new jobs that we intend to win will probably take about six months or so. And the current order backlog as it winds down will show a little softness in our numbers, but that's certainly as far as

s basically fiscal 26-27-28. When you look

at the future growth in turn of the business and the and the profitability, we're not really, from a shareholder perspective, really be disappointed.

Bharat Mani: Okay. So just one last question. So, did you receive any claims or awards in this

quarter?

Arjun Dhawan: You know, we don't. Girish, I think I let me ask you to answer that question. We tend to not answer the question as directly, I'm afraid, as to whether we did or we did not. Unless, of course, Girish, you may clarify that we did not in this quarter get any.

Girish Gangal: You know? I think I can answer it, in a such a way that we did not receive any material claim or award in this quarter. There were there is some marginal thing, as compared to what we have received in last quarter. That's why you are seeing also the reduction in turnover, what you have seen in this quarter vis a vis last quarter. But specific numbers, naturally, we would not like to share. What is included, what is excluded.

Bharat Mani: Yeah. That's it for me, sir. Yeah. Thank you.

Sandeep Sawant: Gaurav, you may please start.

Gaurav : Thanks for the opportunity. My question is on the subcontracting expense. So, looking at the December figure, we have ₹316 cr against the September number of ₹759 cr in So quite a significant drop in that number. So, can you please provide some more colour on it? Is does it mean slower execution this quarter compared to last quarter?

Girish Gangal: Gaurav, that is not the case. See, you the accounting as far as this cost of material consumed and subcontract expenses, it is it is it is based on the accounting standard of accounting revenues and cost. That is AS115, which has a particular method in which you can account. That is the first statement. Secondly, we have certain turnover which is of our own and which is something what is subcontracted. So, if at all in a particular quarter, if at all we have done a turnover more where we have subcontracted the work, naturally, the subcontracting cost of that quarter goes up. And in particular quarter, when this execution of subcontracting is less as compared to our own execution, the subcontractor cost goes down. So, it's it depends on composition of my revenue, what I have, and the typical nature of accounting standard, the way it is accounted, which call which is call if at all, you know, just for your information, cost to completion method. So because of that, this, I mean, typically, abnormalities will be seen.

Gaurav: But it doesn't mean the slower execution this month.

Girish Gangal: Absolutely not. Absolutely not. Rather, that's what Rahul confirmed, and I'm reiterating that we have done the turnover, what we are envisaged for the quarter fully. We are not even down by 1% than our estimation, from our budget or expectation. Both.

Gaurav: Okay. Thanks a lot. Yeah. Yeah.

Sandeep Sawant: Shikha Mehta, you may please start,

Shikha Mehta: I just had a few questions. One thing our growth for this quarter and next quarter, if I refer to the last few concalls, earlier, we had said that FY25 would be a washout year, FY26 onwards, we would start seeing growth. I think we have deferred that guidance from what I understand that, FY27 onwards, we'd start seeing, meaningful growth. Is that the right way to look at it?

Girish Gangal: No. I don't think that is the situation. We continue to state the same thing that this year, that is FY25 we might be, you know, more or less, having a flattish turnover. But next year onwards, you can see the results once these tenders or the orders are converted, I mean, orders are issued in our favour during the next few months.

Arjun Dhawan: Little bit of a lag, I guess you would probably it'd be fair to say about six months. You know, there's been about, you know, a delay in sort of our plan, but we respond. But I think the goal is for us to actually make

that up considerably. And as far as we're concerned from a profitability standpoint, I think that we hope to kinda still be on track for what we actually have planned in terms of growth and profitability and margins.

Shikha Mehta: Understood. So internally, you are expecting FY26 to be better than FY25 and FY27 better than FY26. Would that be the right way to see it?

Girish Gangal: Yes. You can take it that way. Yes, please.

Arjun Dhawan: And look, one of the key measures for us, Shikha is, as Rahul has already pointed out before, is an accelerated deleveraging of the business. You know, we have a considerable amount of assets in the forms of our arbitration awards and claims. There's settlements that we expect to accelerate with our clients. There's, award monies that deposit court that we plan to actually have with our banks, taken out and prepaid debt. So, you will see a substantial reduction in finance charges is what our goal is to achieve.

And, yes, the while I think that you will have a combination of new jobs building in, pushing up turnover, I think next couple of quarters year over year, I think you could probably expect to see some softness, and that's because it will take time for the new jobs that we actually convert to actually flow into our P&L, which will probably be about six months from today.

Shikha Mehta: So, when we say softness, do we mean, around the same as this quarter, or do we mean this quarter is the bottom and then what's the I mean

Arjun Dhawan: you know, it's I guess I've it would be unfair for me to be more precise than the broader general statement, you know, that I've made. I think that my CFO would actually probably, not be too happy if we actually, give a little more detail in that. And, Girish, do you wanna give any more colour? Is that

Girish Gangal: No. I think that is fair because we'll not like to make too many specific, you know, forward looking statements, you know, because this is not, permitted also as per the

Shikha Mehta: So, I had a few more questions if you would allow me. One was with regards to the exceptional item this quarter. I understand we've seen, restructuring of our tax structure. I would just like to understand going forward, do we have any other exceptional items expected? Because I guess Steiner is done. Our tax structure is done. So, going forward, it would just be business as usual.

Girish Gangal: Right? Perfect. That is that is that estimation is perfect.

Shikha Mehta: Understood. And lastly, on the nuclear side, we've been reading and hearing about a lot of things happening on the nuclear power side. Are we seeing any traction? Are we seeing any orders coming out? Or is that still very initial

Girish Gangal: See, the government all initially had announced even last year that budget budgeted expenditure, what they have planned, ₹11 lakh cr, etc, they could not spend in full. Though at that time also, they were expecting that nuclear jobs of 2-3 lakh cr will be issued.

However, there are not forthcoming as they were planned or expected. To best of our knowledge, only one project got awarded Kaiga. That is the only thing where we had also participated, but, through our, you know, other partner. But, that went to somebody else. So, except that, we have not come across any other nuclear job in recent times.

Shikha Mehta: Alright. Got it. I'll come back in the queue. Thank you. Thank you.

Arjun Dhawan: Can I just, request while we're on the subject of nuclear? You know, can I just request, our CEO, Mr. Jaspreet Bhullar to give some comments on what we can probably expect? You know, it is, something that, that we are entirely focused on. We have a large market share nuclear. We have a fantastic track record with the Department of Atomic Energy, and we do see these prospects actually be fairly bright in the future. So maybe he can give you some additional colour in terms of w

hat our plan and preparation is there.

Jaspreet Bhullar: Mr. Dhawan, thank you. So, Shikha, basically, you know, we have been involved in this sector since long, and, we have executed many works recently. We have completed BARC Tarapur. We are doing quite well at FRFCF. So, NPCIL which is the client for basically nuclear projects, they are gaining momentum, and I believe that in next one year or so, we'll get some good traction on the orders. I think nuclear projects require a lot of planning that has been done by them, and we're quite hopeful that we'll have some decent target to aim for on these projects.

Government of India is planning big projects. It takes time. There are units which are coming up which are smaller units of 250 MW. Some of the private players are also getting into it. But I would say that six to nine months, you will see some good movement in the sector.

Sandeep Sawant: Thank you Shikha. Gaurav, do you have anything to add?

Gaurav: Yeah. So, today morning, there was one news regarding Engineers India getting into nuclear power segment. So, does it affect our positioning in the sector? And how is the company landscape looking like for the nuclear power segment?

Jaspreet Bhullar: Can you repeat the question once again?

Gaurav: Today morning, there was an article in the newspaper that Engineers India, the government of India company, get it into nuclear power segment. So, does it affect our positioning in the sector? And how is the competitive landscape looking like? Like, we have L&T also in the sector active. So how is your company looking like?

Jaspreet Bhullar: So, Engineers India's Limited is basically looking at design. They are not into construction. They are, working for the government agencies to do the design, and they are expanding their field into nuclear also now. So, execution agency is Nuclear Power Corporation of India (NPCIL). They have joint ventures now with NTPC. So, we are contractors, so it doesn't affect us at all. Okay. So, we construct that projects, Engineers India Limited is more towards consultancy in terms of designing the project.

Gaurav: Okay. Sounds good. Okay. Thanks a lot.

Viraj: Going back to your proforma Steiner transaction, you referred to Eagle AG, having claims receivables of about ₹1,000 cr. Who are these claims and receivables against? Is it in Europe? Is there a process court process for these claims? Is it bilateral with clients or older clients? Can you explain that a bit, and what are the timelines there?

Arjun Dhawan: So, let me just quickly take that, Rahul. These are all counterparties in Switzerland, for projects that have already been completed, because the construction business was wound down. And, in some cases, these are just basic receivables that require, the closure of final bills, certain kind of reconciliations. In some cases, they happen to be, substantial amounts that involve a portion of which are, let's say, in dispute, but do require to have an effort made with the clients to end up closing settlements of final bills.

And some cases, there are a couple of matters which are in litigation. For us, this is something that we have targeted in entirety to see wound down in the next, let's say, conservatively five to six years, but our goal is to try to achieve as many closures and settlements as early as possible. When we wound down the construction business in Steiner, I will basically say in a fairly circumspect fashion, there were certain counterparties, who, because we were winding down the business,

thought that they could probably take advantage of the situation and withhold payment, or for that matter dispute payment. And I think as a function of this transformation, that has been affected, with the bifurcation of the, the assets, and the receivables, as well as the real estate development business, it's now fairly clear that, we have an entity, which is now

now focused on entirely basically

closing these receivables out. And we should basically have a clear focused team on this that will see these, see these obligations through in the in the coming months and years.

Viraj: Understood. And, Arjun, are these receivables due entirely to HCC or does

Arjun Dhawan: They're entirely due to HCC. Earlier, you know, we had a structure where, within Steiner, we had Steiner's banks. We had effectively, other liens, we had banks. We are so the banks, we had liens, we had other counterparties cross collateral. And now as a function of this transaction, really, as soon as basically the money is received from any one of these counterparties, the money comes directly to HCC. So, that's structure basically is a much cleaner way to have these payments actually in the cash flows that flow directly to us. And so let me say it another way. The structure that you saw that Rahul presented earlier, is within H56 Immo and channels are all debt free entities without any kind of liens or without any other kind of cross collateral, etc.

Viraj: Right. Understood. And, Arjun, again, the \$1,000 cr or the \$125,000,000 CHF, are these equally split between court processes and bilateral conversations or is everything in litigation.

Arjun Dhawan: Well, I mean, I would rather basically not go into that level of detail at this point in time. I think that what we let us reflect on exactly how we'd like to how we should and how we'd like to present this going forward. I will basically limit my comments to state that we expect a material portion of this to be recovered in the coming months and years.

Viraj: That's good to hear. As you can see, I'm just trying to drill down on the balance sheet fix.

Right? As simple as that. I mean, I am trying to get some timelines around that. Is it a FY26 event, 27 event, etc.

Arjun Dhawan: No. You and I appreciate exactly your first question in terms of, you know, figuring out how soon the deleveraging will take place and how the earnings growth and where the earnings growth is gonna come from, which is a function of, obviously, the new jobs that we get in, and it's also a function, frankly, of the finance charges and how those basically come down from our balance sheet.

These are two these are two these are the two simple metrics. Absolutely. I can just tell you with confidence that as far as the team is concerned, these are the two fundamental metrics that we are focused on as well.

Viraj: Excellent. And the last piece is Steiner India, the land assets. Is that more easily monetizable? Can we see that

Arjun Dhawan: Yeah. It's that would be fair to say that these are less liquid. You know, some of these land assets include land in Lavasa, which frankly, and unfortunately is seeing this very prolonged process of resolution. And so, I think that we could probably expect, I mean, as far as we are concerned, obviously, return on capital and any liquidity that we have today that we can have back in HCC and then generate that sort of higher return on is much better than it's sitting on our books. So, we will be focused on a resolution very soon. We're talking about a fair amount of acreage, which is reflected at book value. So, you can imagine it's a substantial amount of acreage. And I think that we could, expect something hopefully, basically, in the next year and a half as we've seen a huge interest, a much bigger interest be evinced in Lavasa's resolution, you know, more recently, than it was the first time around.

Viraj: Understood. And maybe if you can spend thirty more seconds on that, Arjun, on Lavasa. It's going through an NCLT court process, and there are bidders coming in, and lenders are taking haircuts, and you would get a certain amount of land pay. Is that correct?

Arjun Dhawan: No. So, let's be clear. HCC has nothing to do with Lavasa any further after that. I think about nearly ab

out seven years ago or eight years ago, we took our full write off, you know, when, to Lavasa when it went into, into IBC.

All we all we own is effectively land in Lavasa. This is so, part of this 43 cr sitting in this subsidiary is land that is owned in Lavasa, but it has nothing to do with anything else. So, we have nothing to do with the IBC process. We are, not involved.

Viraj: Understood. Is that IBC process making progress in terms of the overall Lavasa?

Arjun Dhawan: You know, as an erstwhile promoter of effectively Lavasa, we're kept the furthest away from any kind of progress and understanding as to what's going on. From what I understand, because, obviously, we would like to see it, succeed.

My understanding now is that the process has been restarted. The previous shortlisted bidder has been cancelled. That guarantee was encashed. The banks have decided to restart the process again. And, I hope that, obviously with all the infrastructure and urbanization that's happening in Maharashtra, we're gonna see a much greater value and appreciation for the project in the coming future.

And because of that, I guess we could get some satisfaction that the project will see some light of

day at some point in the future just as an erstwhile promoter of it. And then the minor benefit that would happen is the monetization of whatever land assets that we have in Steiner India books. This land was acquired at the time, because Steiner had actually, as a real estate development business, had an idea to actually develop that land itself, but it never happened. And so, we have now inherited it as a part of this transformation.

Viraj: Understood. Thank you. Good luck with the deleveraging.

Arjun Dhawan: Thank you very much.

Kapil Agarwal : Yes. Yes. So actually, at the moment,

Arjun Dhawan: Kapil , let me interrupt, immediately so they don't have to repeat yourself. Your voice is not coming in clearly. So, if you can kindly just maybe speak up or actually probably just shift the phone.

Kapil Agarwal: Okay. So, I will skip for now. Okay.

Arjun Dhawan: Sandeep, please make it a point that you follow -up with Kapil with regard to the question he has and just offline, basically, please get it answered.

Sandeep Sawant: Sure. Sure, sir. Thank you. Bharat Mani?

Bharat Mani: Hi. Yeah. Just one small question. So, could you just elaborate a little on why have you made, like, EBIT loss in the engineering and construction division?

Girish Gangal: No. we haven't made any losses as said. What from where you are referring these two? You are referring to stand -alone? Or

Bharat Mani: The consol level segment revenue, I could see the engineering and construction division making a ₹7 crore EBIT loss.

Girish Gangal: No That is that that see, that is that is I think, when you get into a segment, possibly, I need to also check for the detail, but it would include some portion of the Steiner also. Because as I mentioned to you, some Steiner losses also have been I mean, the expenses have been booked in part.

Bharat Mani: That is real estate. Right?

Girish Gangal: No. We had a construction division also. Not earlier. So, there are some deals in been

Bharat Mani: that has been divested for a while. Right?

Girish Gangal: That's right, but a few liabilities were also carried by us. Like, we are carried this Eagle Receivables. We are carried certain liabilities also of this construction business even after divestment. So, because of that, you might be seeing that loss.

Bharat Mani: Yeah. How much how much is the liability, and do we should we expect something further in the next quarters?

Girish Gangal: No. I already explained that since we are divested Steiner completely, there is nothing on account of Steiner. Either revenue or cost will come from next quarter onwards. So, we don't expect anything further than

Bharat Mani: This is the last quarter.

er. Right?

Girish Gangal: This is the last and only quarter where we are having this charge because of the close closing down on the selling of that, asset completely.

Bharat Mani: Okay. Okay. Yep. That's it from there. Thank you.

Sandeep Sawant: Shikha Mehta, you have the additional question?

Shikha Mehta: No. That's all from my side. Thank you.

Sandeep Sawant: Okay. Anybody else?

Jaspreet Bhullar: Sandeep, I would like to come in just to explain that subcontract question. I think Gaurav had raised it. So, you know, when we are executing our jobs, when we get the project, every project has a different subcontract component depending on the nature of the job execution strategy. When I say subcontract, it is job which is to be done through a subcontractor, and we manage all the other enablers. And certain work we do directly. That means self-delivery .

We deploy our own equipment, our own manpower. So, every project has a different component of subcontract and direct delivery. Then every project at a different stage, like in beginning, in between, in finishing, has, again, a mix which is different than the total mix. So, whenever you compare from quarter -to-quarter subcontract expenditure, it doesn't yield to anything. It is just a figure because that quarter probably, a particular project would have lesser component of subcontract or the stage of that project at which it had lesser component of the subcontract that was executed.

So, there is no direct relationship between what we are executing as a total turnover. There is no relationship as a percentage. So, it's a total mix, which is quite complex. I hope I have answered it in the right perspective.

Gaurav: Yes. Thanks a lot.

Kenil: Just I wanted to know, does the private PSP project include in the order tender, order bidder segment or it's only PSUs?

Rahul Shukla : It's included Kenil .

Kenil: Okay. And should we expect, there has been heightened government intervention in PSP segment. So, should we expect majority of our order wins in coming quarters will be majorly heavily related to PSP projects, 40 or 50% of our order wins? Because the order size will be also huge.

Arjun Dhawan : No. I think, we are our order backlog, that is currently represented will largely be something that you will see going forward . PSP. So, I think if we look at transportation, we'll continue to form the bulk of our order backlog probably, ranging from about 50 to 60%. But when I say transport, we're talking about metros, we're talking about bridges, we're talking about, complex, basically, highway networks, and then hydro, which accounts for about, let's say, 30%, which is gonna increase because we have our remaining order backlog increase. I think of that, basically 30 to 40%, you could probably expect one or two jobs to certainly continue to be PSPs, but a traditional hydro will continue to be the bulk of our order backlog.

Kenil: And wanted to know there has been one huge order from, Arunachal Pradesh for the Dibang Hydropower project. So, have you bided for that order, or we are in the process of getting L1?

Arjun Dhawan: So, we don't comment on the projects that we've bid on until they've been , opened and we communicate at the appropriate time. So, once we are L1 on a particular job, at that point in time, we will communicate then we'll know where we stand on it.

Kenil: No problem. No question further. Thank you. Great results. Congratulations.

Sandeep Sawant: Thank you. Anybody else? Please raise your hands. Rahul, you may please close then.

Rahul Shukla: Since there are no more questions, we would like to close this, call for today. We thank you all for participating and, your encouraging words also. And look forward to meeting you again in the next quarter. Thank you so much. Thank you, everyone.

Call: May 2025

Transcript of the Webinar held on May 08, 2025, to discuss HCC Q 4 FY25 Results

Rahul Shukla: Good evening, everyone. Sandeep, am I audible? Can you please confirm me?

Sandeep Sawant: Yes, you are audible. Please go ahead.

Rahul Shukla: Okay, thank you. I welcome you all in this quarterly result presentation. I am Rahul Shukla, Deputy CFO - HCC. Joining me are our senior management Mr. Arjun D hawan - our Vice Chairman, Mr. Jaspreet B huller - our MD & CEO, Mr. Girish G angal - our CFO and Mr. Santosh Rai - our Chief Business Officer and Operations Director.

Moving on to the next slide. A quick recap, HCC being a pioneer in infrastructure development and construction. Over last almost 100 years we have completed over 4,000 kms of highways, almost 400 kms of tunneling. We have contributed to 60% of India's installed nuclear capacity and 26% of India's installed hydro capacity. As of the end of this quarter, our order backlog stands at ₹11,852 crores, which excludes L1 positions worth ₹3,513 crores, which will be materializing in subsequent quarters. As you can see from the graph, our order book is well-diversified. Sector wise, as well as geographically, with transport leading the show in terms of sectors and Maharashtra being the highest one in terms of states of constitutions. Performance for this quarter as well as the year, as you can see, for the financial year we have achieved turnover of ₹4,800 crores, viz-a-viz ₹5,000 crores during last year. For this quarter, our turnover is ₹1,330 crores, viz-a-viz ₹1,429 crores last year. Our standalone PAT for the year is almost ₹85 crores, viz-a-viz ₹178 crores last year. For this quarter, PAT is ₹228 crores against ₹38.8 crores during FY24.

Our EBITDA margin stands at 19.4% for the year and for the Quarter it is 31%, viz-a-viz 13.6% for the complete year last year and for Q4 last year, it was 15%. On a consolidated level, our turnover has been ₹5,600 crores for the financial year and ₹1,300 crores for Q4, viz-a-viz ₹7,000 crores in the last financial year and ₹1,700 crores for relevant quarter last year.

Consolidated PAT is ₹112 crores in for this financial year and ₹90 crores for the quarter, viz-a-viz ₹478 crores for entire year last year and ₹246 crores for the last quarter of last year. This year, we have secured three projects amounting to ₹5,700 crores with HCC's share of ₹3,471 crores. In addition to that, we are also lowest bidder in projects worth almost ₹4,000 crores with HCC's share of ₹3,500 crores. We have submitted bids worth almost ₹31,000 crores for which bids are under evaluation and we can expect outcomes in due course.

We have also received completion certificate for five projects which is a significant feat for the financial year. In this quarter, we have repaid lender dues of ₹534 crores as you are aware that it is an annual repayment that we have to make to lenders. So, this has been done on timely manner.

In addition to this ₹534 crores, we have also prepaid entire exposure of a few banks amounting to ₹134 crores. This is an effort to accelerate the deleveraging that this is the way we had communicated previously also, and we will try to continue doing that. We have also completed settlement of one of our awards under VIVAD SE VISHVAS SCHEME 2 and we are expecting cash flow of ₹250 crores by Q1, I mean in this quarter.

We are also at advanced stage of settlement of certain large claims with our clients which will improve our liquidity condition as well as profit margins going forward. It is a significant development, we have achieved, we have received the investment grade rating from care ratings and now we are at BBB (-) which will also enhance confidence of our lenders as well as investors. We have completed the ₹350 crores rights issue in April 2024 which was oversubscribed 2.5 times and ₹600 crores of QIP was completed in December

2024. And with regard to our corporate HCC

corporate guarantee reduction from 100% to 20% to the exposure of Prolific Resolution Pvt. Ltd. the SPV; we had updated last during last quarter that the lender consortium has in principle approved this and the formal approval process from lenders is going on and there has been quite good progress on that as well.

On operations front these are the projects where we have achieved commissioning

- RAPP - Units 7 & 8.
- Integrated Nuclear Recycle Plant at BARC Tarapur.
- Anji Khad Cable Stay Bridge in J&K and just to point out that this is first cable stayed bridge for railways and the tallest cable stayed bridge in India with a pylon height of 193 m.
- This is T49 -A tunnel in Jammu & Kashmir. This is a 12.7 km tunnel which is second largest tunnel in India for railways.
- We have also commissioned Delhi Metro DC06 package which is Janakpuri to Krishna Nagar station and we have contributed to all four packages of Delhi Metro with this.

Some of the operation updates you can see the beautiful picture of the Mumbai Coastal Road. All arms of this project have been now completed.

Tehri Pumped Storage Project - this is 1,000 MW PSP in Uttarakhand. We have synchronized unit 5 & 6. Vishnu ghat Pipal koti hydroelectric project which is a 444 MW project that we are doing for THDC. Here HRT is being done by TBM, and we have done TBM mining of 5.8 km out of 12.1 km. Updates on Mumbai Metro Line 3 - you can see pictures of stations and tunnels. Almost significant completion, so trial run is in the progress.

Some of this you can see the results here. I will just pause for a minute so that you can take a look. Standalone numbers ; Consolidated numbers. Key numbers I have already highlighted during previous slides. Standalone P&L; consolidated P &L. With this the presentation comes to an end and now we are open for question s.

Sandeep Sawant: I request you to raise the hand so that I can allow you to talk. Jainam Jain please you may start .

Jainam Jain: Good evening, Management. Congratulations on the great set of numbers. So somehow first question is how are we seeing the tender pipeline in this coming year in the FY26? Can you just elaborate? Can just give a brief of on that ?

Rahul Shukla: Can you please repeat the questions? Sorry.

Jainam Jain: Hello, I am audible now.

Rahul Shukla: Yes. You are audible but the voice is not that clear .

Jainam Jain: Okay so my first question is how are we seeing the tender pipeline in FY26?

Santosh Rai : Okay shall we answer that? So, look as Ra hul explained we for this current point of time we have bids worth ■30,950 crores which are under evaluation and as far as FY26 is concerned we have identified a bid pipeline of ■54,000 crores which we will be submitting during the course of the year.

Jainam Jain: Are there any specific larger projects in these ■54,000 crores ? Can I just give us some few names on that?

Santosh Rai: So largely I can tell you that largely the opportunities will be in the urban infrastructure space and hydro power space. These are the two spaces where I can say 75% of the bid would be concentrated and they would include major metro cities where the metros are coming up and also you know that India is focusing a lot on the green power energy so we will also see hydro bids which would be in the range of you know some average you can say it could be like ■2,500 crores single opportunities.

Jainam Jain: Okay so and what about the urban infrastructure like is there any state specific to which we are seeing the tender pipeline?

Santosh Rai: I can say when we say urban infrastructure it is linked to the mobility, and they are mainly metro systems. They are some transport corridors. They are largely you can say are in Maharashtra, in Delhi some of them are in southern cities so there is no specific

area as you know

our order we are well diversified geographically also but you can say 40 -50% of that would be is in the metro cities.

Jainam Jain: Okay sir. Sir, my second question is like where are we expected to reach the LOA for the projects in which we are in L1?

Santosh Rai: So New Ganderbal is a hydro power job it's in Jammu and Kashmir. Of course, the arrangement between the centre and the state is taking some time and also, I believe the current situation has added to the problem but we expect that in next two to three months this order should materialize as an order for us.

Jainam Jain: All right sir that answer s my question thank you so much and all the best.

Santosh Rai: Thank you.

Sandeep Sawant: Shikha Mehta you may please unmute and start talking.

Shikha Mehta: Hi good evening am I audible?

Sandeep Sawant: Yes, you go ahead please.

Shikha Mehta: I'm one looking to understand what kind of growth we are eyeing at a revenue and a PAT level for F Y26 and F Y27 and secondly trying to understand what plans we have on the debt side if we have any internal targets as to how much to reduce our debt by in the next in the coming financial year and lastly if you could just go into a bit of details to explain the difference between the standalone and the consol numbers because as per what I understand all our transactions with regards to our subsidiary work completed last quarter and we said the standalone and consol numbers would be quite similar so I'm just trying to understand that as well.

Rahul Shukla: Yeah so , I'll address your first question regarding growth, so we have communicated earlier also during our previous presentation that we are now in the phase of building our new order book in an accelerated manner that's the target . But unfortunately for last couple of years we have been a little lagging in that front so naturally we have achieved very rapid execution last three financial years . So our order book is not to the level which we would have expected it to be as you have seen almost ■11,800 crores is the current order book we would have liked it to be at least ■20,000 crore s, so we have limited work front to execute these existing order books so naturally if you say immediately next year what will be the turnover - we are not eyeing any growth in the next year, we should try to maintain the level at which we are operating ; however the kind of order booking pipeline we have , once it materializes which is it has started showing results we will start seeing accelerated execution in numbers FY27 -28 onwards and then achieving 30 -40% kind of CAGR for next 4 to 5 year is not something that we cannot do ; we can very conveniently do that and you can estimate that from our order bookings that you will see going forward. So don't want to put any number for short term one or two years but long term yes there is very clear visibility of growth

Shikha Mehta: so, what we are saying is that ■20,000 crore s order book is our current target right if

the first target we want to do

Rahul Shukla: yes, there's the first target that we have to reach there

Shikha Mehta: okay if you could also explain the Debt side

Rahul Shukla: yeah, so yeah so see there are some regular repayments that we have to make to lenders; we just as we have been continuing to do that so next financial year in March when we make that repayment our debt will come down to around ₹2,500 level. So with that March 26 repayment our debt level will come down to ₹2,500 crore s level and there are some other ways of debt repayment that we are exploring ; one of them is co re BG transaction modalities we have explained in earlier calls as well ; so we are targeting that at least ₹500 to ₹600 crores of debt should be repaid through that mode however we cannot commit it today because lenders have to be convinced for issuing bank guarantees for th

at; but the dialogues are there with some of the lenders

at advanced stage and we will update you whenever things materialize . One of them I have already updated like we have prepaid ₹134 crores of some of the lender exposures so that is through that and going forward also we will keep on doing and our goal is to prepay as far as much as possible and reduce our debt levels.

Shikha Mehta: So, one could look at it as even though you might maintain a flat growth for FY26 because your debt levels will reduce there should be some interest saving and hence the life that would be the right way to say and so lastly if you could help me understand the differential between console and standalone numbers that will be very useful.

Rahul Shukla: So, you would notice that there is not much difference in consol and standalone and going forward there will not be I mean it will reduce very considerably . So there was one major subsidiary - our Swiss subsidiary which we have de-consolidated during last quarter so that was those numbers were being consolidated for the three quarters so you are seeing some difference between a standalone and console there , however going forward we only have one HCC Infrastructure which has got some minor number , so there will not be much difference between the two numbers.

Shikha Mehta: So, what is this differential again the quarter for PAT difference that is being seen that is because of what?

Rahul Shukla: Because of Steiner we have sold Steiner

Shikha Mehta: Steiner would not be there in Q4 right we sold it in Q3 right.

Rahul Shukla: So, I am telling annual number difference in annual number consol numbers.

Shikha Mehta: So do you let me just Q4 numbers because the PAT differential is significant.

Rahul Shukla: Can you please specifically tell me which two numbers you are comparing right now?

Shikha Mehta: I'm comparing Q4 25 numbers which is ₹228 crore s for your standalone numbers, and I think ₹90 crore s or ₹85 crore s for your consol.

Rahul Shukla: So, as you must be aware there is one subsidiary Prolific Resolution Pvt. Ltd. in which we are building 49% stake. So, there had been some loss incurred by that entity and 49% . so, and that two is a fair valuation loss there is no business in that entity. So, quarter on quarter we keep on doing valuations and whatever change in valuation is there we keep on accounting, so this is just an accounting entry and since we are 49% stake holder on in that entity with that proportion it has come to consol level and th at that's the difference that you are seeing that.

Shikha Mehta: Okay so that is the only difference in your standalone console.

Rahul Shukla: Right

Shikha Mehta: and that too it's just an accounting entry is what we are saying . Okay so you were saying something.

Rahul Shukla: Yeah , that entity is not really having any business apart from some claims and awards which it is working for realizing so it's a fair valuation which keeps on happening and based on that whatever number comes that we have to consider .

Shikha Mehta: Okay so thank you I'll come back in the queue.

Sandeep Sawant: Saurabh you may please start.

Saurabh: Yeah, thank you good evening, everybody. So, I see over the last few years we have raised considerable capital in form of Rights or QIP and we have strengthened the balance sheet considerably, but the order plus still seems to be sluggish as compared to the peer or the competitors. One of the notable things is a newcomer company 'Megha Engineering ' got a major nuclear power project while all this time we have been saying that HCC has expertise into this , so I wanted to hear the narrative about what is our strategy for tapping work in the nuclear power field ; and second I would also appreciate if you can put some colour on what is the impact of a lot of Indus water treaty suspension , do we see more hydrop

ower projects coming to our kitty out of this?

Santosh Rai: Hi Saurabh, Santosh Rai here. So, look I think two things first of all is the pace of the orders I'll say we have of course our previous year has not been up to our expectations , we have been able to manage order intake in terms of conversion of only ₹3,800 crores . Though still we have some L1 positions, and I can also say some of the bids which we have submitted where we are having good hopes they are delayed and we are expecting those financial bids opening in this

quarter, so hopefully you know we can see some good news in this quarter is our expectation, that's one thing. Other than that, you know some newcomers or other players are coming and taking away some jobs that doesn't trouble so much because I think their philosophy of winning a bid and our philosophy of winning bids in our sector is very different. We are properly pricing our risks we are looking into the job in a very detailed way and aligning them with our strengths. So, you know you are definitely watching that over last three years how we have been growing operationally how you are you know taking our turn overs to a right level and that is by a good execution and we want to maintain the same stand we don't want to dilute our order book with you know risky jobs or something like that. So, I think the two companies have or two or what any other companies may have a very different philosophy of taking up jobs. What I can tell you I think this year we will see considerable growth in our order book as we have told you we have around ₹31,000 crores of bids which are under evaluation, on the top of that there are another ₹54,000 crores of jobs which are identified and we are going to make a bid for that, so it should be a good year for us.

Saurabh: okay and what is the impact of Indus water beauty suspension do we see more orders coming on hydro power side

Santosh Rai: well look I think government of India already had plans to develop some hydro power projects in Kashmir namely you know Salalkote, Uri and all this so our expectation is that this may get expedited and we will see couple of projects you know coming up maybe earlier than expected and also we are seeing lot of hydro potential in Bhutan and you can see there are PSPs and there are other agreements getting signed in Bhutan by private players also. And we have a very strong position in Bhutan, so that that will be another very good market for us in hydro power sector

Saurabh: thank you wishing all the good.

Sandeep Sawant: Kunal Tokas, you may please start. Kunal, we can hear you please go ahead. Turning to Kenil, Kenil you may please start

Kenil: sir just wanted to know any future plans for fund raising? Second my second question was now the central government has given funding for the Chennai Metro, when should we expect the bids to get a tender and commercialized in coming days?

Santosh Rai: I'll answer the second question first. Chennai Metro I still believe you know the bids are at least you can see these bids in next financial year. Let me put it like that Chennai Metro bids.

Kenil: okay and the Patna projects 05 & 06 one should get come should that open in coming months or it will be delayed by 4 to 5 months more.

Santosh Rai: I believe the owners are following the process of you know taking requisite permissions from the lending agency and the state government, that is in progress. We are also watching that. We are hopeful this should happen in a month's time max.

Kenil: okay and I should answer one more question just wanted your guidance on the PSP projects as there is a lot of projects approved by the government of India in last few months so should we expect new orders apart from the private ones

Santosh Rai: I think so yes because we are seeing that there is there is definitely a traction in PSP

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and this traction you will continue to see your next 5 to 10 years is our expectation. Apart from you know private players like Tata and Adani and JSW or other people there is definitely government agencies like NHPC, THDC, they have made MOUs on some projects and on in certain projects things are moving pretty fast. So, you will see a lot of development in PSP sectors centres.

Kenil: I just thanks and congratulations for the great set of numbers after a long time thank you

Sandeep Sawant: Viraj you may please start

Viraj: Hi, good to see things moving in the right direction. Aspirationally when do you see a net debt to EBITDA of one turn in the future by which financial year

Santosh Rai: net debt to EBITDA

Rahul Shukla: so, I think it should take a couple of years assuming the accelerated deleveraging that we are working on in next couple of years I think we should be able to achieve that

Viraj: okay can you throw light on the recent order wins in partnership with Tata Projects I think you had one or two back-to-back orders with them. What was the thought process behind bidding with Tata Projects was it because of a limitation in working capital or constraint at your end or was a genuine synergy in terms of capability between the two companies?

Santosh Rai: No, I think look I think HCC's philosophy or partnering on jobs always have been that both partners bring complementing capabilities on the job. So, I'll say that's fundamental and that's how we get associated. Naturally in these jobs, the two jobs what you have seen one is a Pumped Storage Project another is a Metro Rail. Tata's do have a good presence in metro rail system like we have and I think we brought some common synergies together that's what made us to bid this job together with HCC being the leader in the joint venture. Another job also, I can say we looked upon what we bring together and there were certain very deep values which Tata Projects is also bringing on the table with that project. So, there is no working capital constraint or something because of which such partnerships are being made. I think we are completely capable to do them on our own but definitely when things allow us from a risk sharing perspective and from a capability complementing you know situation we look at these partnerships. And we may continue to do so in future with right partners

Viraj: Understood on a Steiner the subsidiary sale there was it was a very complex deal and slightly difficult to understand what comes into the HCC kitty. Can you give us a sense of any earnouts or proceeds that are expected over the next 12 months from that transaction ?

Rahul Shukla: so, we had explained the transaction during last meeting, and these are not immediate recovery that we are expecting here . We will take some time I think last time we had mentioned around 24 to 36 months is something that we are expecting money to start realizing and it will come in stages . So, we will keep on updating whenever there is recovery .

Viraj: Okay great ; my last point is just a suggestion if we can release our results well in time before the earnings call , I mean the numbers are coming out after the earnings call has begun , which is not particularly helpful I think either we need to change the earnings call time or really endeavour to get the results out on the exchanges well before the call .

Arjun Dhawan: So, this is Arjun D hawan, look I want to apologize to everybody for that personally it was the quarter four and the fiscal year end and the presentation of our budget and strategy for next year and the board meeting ran a little longer . We will ensure basically we build that question in the next time .

Viraj: Thank you .

Sandeep Sawant: Ankita Shah you may please start .

Ankita Shah: yeah, what explains the margins of 31% this quarter versus the 13% for last year ?

Rahul Shukla: so,

Ankita as I mentioned this, we have achieved some settlements during this quarter which has brought some cost efficiencies that's why there is improvement in margin .

Ankita Shah: can you quantify please ?

Rahul Shukla: Almost ₹200 crore s has been contributed in the margins by these settlements . Otherwise, it's in the same range almost 14% EBITDA margins which we maintain from the project we are there and balance is coming from settlement .

Ankita Shah: okay and you know what has been the recent fundraise utilized for because I see overall a debt reduction of ₹231 crores, I'm including long -term and short -term borrowing nos. so, you know what has the funds being utilized for other than this repayment?

Rahul Shukla: So, as we had declared during capital raise that the funds will be utilized for our working capital and growth as well as debt repayment . So, it has been under the similar fashion a part of it has been utilized for debt repayment and balance like we are achieving , we are getting new orders, and we continue to get new orders . so, some capital reserve has to be kept for growth purposes so it's in the same fashion the way we had declared during the time of fundraise .

Ankita Shah: what is the size of the J &K order which is included in L1?

Rahul Shukla : So, it's almost close to ₹800 crores .

Santosh Rai: the total job is ₹1,200 crores and HCC's share is ₹894 crores .

Ankita Shah: so, you've included ₹894 in L1 or ₹1200 in L1?

Santosh Rai: ₹894 only .

Ankita Shah: okay and also could you help me understand the loss or the face value loss that is reported in prolific given that you mentioned that there is no business there is your claims and advances which are being put up there against the debt that is transferred to Prolific , so this reduction in face value is for the claims and advances that you've put up there those have been downward revised?

Rahul Shukla: No, it's not downward revision Ankita . See the valuation is carried out by considering time value of money right so you have to make cash flow projections and then you have to apply discounting factor to arrive at a valuation . Now depending upon how the recovery timeline is being modified and looked into your valuation changes , so this time during valuation a conservative estimate has been taken that it is going to take a little longer to realize those cash flows and recovery also we have estimated slightly reduced recovery percentage to make it a little conservative that is how this a discounted NPV basis there is slight reduction in the fair market value.

Ankita Shah: Could you help me with the number for this I mean what would be the current outstanding claims that are in favour of HCC, both in the entity as well as in Prolific right now , outstanding status as on March end?

Rahul Shukla: so outstanding status, I will broadly tell for detail we can discuss subsequently separately also . Broadly is you must be aware we had transferred almost ₹2,500 crores of awards and ₹4,000 crores of claims which are, so it was ₹6,500 crores currently we have almost ₹6,000 crores because some of the claims got converted into awards like that . so currently still there are almost ₹6,000 crores of claims plus awards . we have just revised a little bit of their methodology of cash flow and discounting factor which has returned to valuation loss.

Ankita Shah: Okay and in standalone similar numbers or in your HCC entity basically similar numbers

Rahul Shukla: No, so your numbers are different because in its HCC,

Girish Gangal: HCC we should have awards worth roughly closer to ₹5,000 crores and the claims could be you know they are ongoing so maybe ₹7,000 to ₹8,000 crores but they will not be visible in the balance sheet as such .

Ankita Shah: I will take it separately . Thank you.

Sandeep Sawant: Kunal Tokas , you want to ask questions because you coul

d not hear.

Kunal Tokas: Can you hear me now?

Sandeep Sawant: Yeah, we can hear you.

Kunal Tokas: I was not able to hear you. So first question is that you have talked about the guarantee reduction for PRPL to 20% in the notice for your March 13th Board meeting you had said that it is conditional on you forwarding ₹400 crore s rupees to PRPL by raising ₹1,500 crore s rupees of equity in the next three years of which ₹600 crore s rupees you have already done in the QIP out of which ₹200 crore s rupees you have sent to PRPL. Is that information, correct?

Rahul Shukla: We have not sent to PRPL . It is parked with HCC and will be sent to PRPL once the CG reduction is actually implemented. We have achieved.

Kunal Tokas: Sorry, including it will be in the form of an NCD that PRPL will issue to our HCC , is that correct?

Rahul Shukla: No, we will infuse ICD, we will infuse it in the form of ICD which will be recoverable from PRPL. Subsequently after lender recommends here.

Kunal Tokas: And the total amount will be ₹400 crore s.

Total will be ₹400 crore s, ₹200 crore s from this current capital raising which we have completed and ₹200 crore s from the subsequent one.

Kunal Tokas: Okay and the difference within consol and standalone members you had contributed to fair value loss in PRPL. So that loss from associated was ₹141 crore s. All of that is attributable to PRPL.

Rahul Shukla: Right

Kunal Tokas: And you said at ₹5,000 crores of awards, HCC standalone has ; out of which is it correct that around ₹3,500 crores you have sort of realized through bank guarantee route ?

Rahul Shukla: Correct.

Kunal Tokas: So, remaining is 1,700 crores and something out of which only 600 to 700 is shown as long-term trade receivable on your balance sheet. The balance is not recognized.

Girish Gangal: No, see IND AS balance sheet consists of current portion and noncurrent portion. Correct. So, awards which are realized or could be realized within one year it will be considered as a current portion and beyond one year will be considered as a noncurrent portion. So, if you add both two together you will get to that number of 1,674 but you will not be able to get that number exactly by two lines because on this receivable you will have some retention portion also. You know some other GST receivables also. So, this is the number what you can take it as 1,674. However, you will not be able to get adding two lines 1,674. You will get more larger number. Adding current is correct receivable.

Kunal Tokas: So, it is depending on when you expect to realize the award or how long that award has been outstanding after being awarded in favour of HCC ?

Girish Gangal: No, Once the award is published in favour of HCC as the arbitration award, thereafter the client has a process to file appeal against section 34 to high court. After section 34 this year it goes to section 37 and thereafter it could go to even Supreme Court. So, it takes five to seven years after the award is published to realize actual cash there from. So, till the time it will remain in the balance sheet as receivable.

Kunal Tokas: So, do you market to fairly do you recognize any provisions against that or no?

Girish Gangal: No, see there is no need to do that because arbitration award carry interest from 12 to 15 %.

Kunal Tokas: Because PRPL will take a time that's why the loss you record time.

Girish Gangal: No, no, no. You are you are mixing two different things as far as HCC is accounting on real-time basis the awards and accrued interest. As far as PPRL or the Prolific is concerned they are accounting that on a fair value basis because it is not their awards. They have only got a receivable from these awards or the money claim from these awards as their asset, correct? So, they are doing a fair value assessment. Now fair value assessment depends on various things. Jus

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to you know I will not take much time for others also, but I will explain in just two, three lines.

Wherever you do fair evaluation for awards naturally you will have fair evaluation based on the interest what is embedded with that award. But for claim you have to understand based on your past experience how much you are going to convert that claim into award and the related interest. This is further discounted or worked out on the basis of number of years it would take to realize that money. Thereafter you apply discounting rate to bring it to the current level of what is the cash value as on today. So yeah because of all this adjustment this is more of a fair value thing not a real value thing like HCC . That's why you can't compare it is not Apple to Apple. It is Apple to Oranges. So fair evaluation is based on this moment as I said the discounting factor , the time taken to convert what is there? I mean arbitration separately , claims separately. So, it's a little complex working.

Kunal Tokas: I think I understand. Okay and in the board meeting I referred to earlier you also plan to consolidate all awards into a single subsidiary against issuance of NCBs. So, is there any

progress on that? What's the thinking behind it? Do we want to money crisis?

Viraj: No, there are two different objectives to this. First of all, we want to continue with our engineering and construction business or our operation within HCC and we have very specific kind of energies for recovery of this award through parking into a separate company. Now the permission from shareholders through EGM has been obtained on 13th of March 2025. However, since these are the assets are securities for lenders, we would need lenders approval before transferring that to a separate company. So, pending this lenders approval we should be possibly happen in this quarter thereafter will be able to transfer into a subsidiary 100% subsidiary. Arjun Dhawan: There are two other ancillary benefits. One is that we create the right incentives for the team that is actually chasing these awards in another opcode and then we also have the ability and the option to monetize this settle these and whatever cash flows that then come or the tax impact of that arises from that ends up basically being limited to that company. Yes, obviously it's a pass through you know any cash actually received will come to HCC immediately. So really from a from a value perspective HCC is not actually being disassociated all from you know even one rupee of these amounts. So, it helps basically from an organization perspective from a tax perspective and you know there's considerable savings on that on that front. Just on the subject of valuation that was just answered earlier the SPV you know as far as Prolific is concerned over that matter even this SPV in the future will be concerned we will take a we've assumed a very high and conservative discount rate which is and that you know that's the purpose when you do a valuation but it doesn't really change the value or the time value or the equity value or the underlying equity value of what we have there. This is a theoretical analysis and when you have a much higher discount rate you know used for future cash flows then naturally that would basically from an NPV perspective for the purposes of accounting, end up having a bit of a different basically outcome than it would be from a free cash flow perspective.

Kunal Tokas: Definitely, and by isolating of your non-operational vaccine the subject rate will also make the standalone balance you could please much clearer and transparent for investors. Thank you very much the operational exercise.

Arjun Dhawan: No absolutely and I think that you're exactly right the lumpiness would basically be we come out of there and then obviously from a you know as we want to now have our quarterlies be

entirely predictable from a growth EBITDA earnings perspective we want to take some of the lumpiness of some of the legacy matters basically out of there and so when you see cash flow basically recovered from this in the future they will come you know in a manner that is much easier to kind of represent to you but we actually meet on a quarterly basis.

Kunal Tokas: Okay thank you very much. Have a good time.

Sandeep Sawant: Kenil, you have any additional questions please? Okay Viraj if you have some additional questions please may start.

Viraj: Sorry previously we mentioned our order win or conversion rate for the orders we bid for.

What is that percentage in the past? Is it being of the order of 20 %?

Santosh Rai: Look I think from the bids what we submitted and what we won't actually is high but for our guidance for those we would like to keep it at 15% and that's what you're saying? Yeah because if you see that's the volume what we have calculated for and we expect around 15% from that.

Viraj: And this ₹30,000 crore s orders that we bid for primarily hydro, nuclear, those kinds of projects.

Santosh Rai: Largely hydro and urban infrastructure projects.

Viraj: Okay thanks very much. Thank you.

Sandeep Sawant: Sanjeev Damani you may please start.

Sanjeev Damani: Am I audible sir? thank you. Good evening to all. Sir actually only thing I would like to know is what is the estimated amount of work that we will be executing during this quarter that is April, May and June? Any rough figure if you have in your mind?

Rahul Shukla: No, I mean we cannot give such short -term forward -looking statement. We generally abstain from doing that. Sorry for this.

Sanjeev Damani: Not only thing is that I mean we have pending orders to be executed. So based on the work going on some sort of estimate could be made anyway. Anyway, sir any new project that we are starting from April based on the acquired order during the last year or have we made any beginning from 1 -4-2024 on any new project?

Santosh Rai: Yes, yes. In fact, there are three jobs which you are seeing which has been awarded. Considerable mobilization activities have been completed, and works are going on in you know at a good pace I will say.

Sanjeev Damani: When you say mobilizations means a pre preparation to start real execution. Am I right sir?

Santosh Rai: Yes, you are right. You are right.

Sanjeev Damani: So actual execution has also started in some of the projects. If you can mention them also.

Santosh Rai: So, like one of our bridge projects there some execution activities have started but on

others you know on our Hydro job also some basic site execution activities have started but, on our metro, we are in the beginning of a design phase. So naturally we are doing the investigation activities .

Sanjeev Damani: Because actually I could not see the presentation and the results. Usually, you mention the pending order to be executed which were approximately ₹12,000 crores in December. So, what is the status today sir as on 31st March?

Santosh Rai: No, it was around ₹9,000 crores in December. Now it is ₹11,852 crores.

Sanjeev Damani: That is including the new one but if we segregate the new one which we thought started after December . Can you kindly give some figure of pending orders?

Girish Gangal: No, as on December we had outstanding orders of ₹9,700 crores . Okay. We got roughly ₹3,600 crores worth orders in this quarter that is January to March. However, we have executed also you know at least ₹1,300 crores of orders during this quarter. So net figure is ₹11,800 crores outstanding as on 31st March 2025 .

Sanjeev Damani: Okay. Sir if you can just give me estimate that are we likely to achieve ₹2,000 crores turnover in this quarter? You completed ₹1,300 crores last year. I last quarter.

Girish Gangal: Yeah. I think you can't hold me from

the other side. Okay. I can't make any forward -making statements .

Sanjeev Damani: Okay. Okay. Sir. Thank you very much. Thank you and all the best sir. All the best sir.

Sandeep Sawant : Thank you. Any more questions? Please raise your hands. Kunal. Okay. You may please go. Go ahead.

Kunal: One quick question. For next year, for example, for a contingent receivable of Steiner considering IPO. So do we have any other receivables that might not be showing up on the balance sheet but that can support liquidity and if you can just give a broad idea of the point.

Rahul Shukla: So, there are no other receivables as such but other than whatever we have declared no contingent receivables, we have certain assets like there are land parcels then there are awards which are not completely reflected in our books. So , these kind of assets and things are there which can be realized subsequently.

Kunal: Okay. Thank you very much.

Sandeep Sawant: Harish Shiyad , you may please start.

Harish Shiyad: Good evening, sir. Am I audible? Can you share some update on the BKC bullet train registration?

Santosh Rai: Yes, so works are ongoing and almost 70% of excavation works have been completed. Okay. So, the base slab and other works are in progress. Okay. Yeah, that's the status of the job right now.

Harish Shiyad: Because recently the railway minister visited the site, and some news were there in the paper but there was no mention by you in the conference. Thank you. Thank you very much.

Sandeep Sawant: Okay. Ja inam, you may please start.

Jainam: Thank you for the opportunity. So, my question is like we are L1 at roughly ₹3,500 crores worth of project , one first you mentioned is the hydro project of ₹900 crores, right? And like what are the other projects in which we are at one. I do not have the details of that.

Santosh Rai: Another one is an elevated corridor worth ₹2,700 crores.

Jainam: Okay. I mean is it a metro?

Santosh Rai: No, it's a road project. It's a road project road in the sense. It's an elevated bridge. Viaduct, you can say .

Jainam: Okay. Okay. Thank you.

Sandeep Sawant : No more hands are raised. So, Rahul, you may please conclude the meeting.

Rahul Shukla: Okay. Thank you so much. Thank you everyone for joining this call and we look forward to connecting with you in during next quarter. Okay. Good night. Thank you everyone. Thank you. Thank you.

Call: Aug 2025

HCC Ltd

Analyst Call Transcript to discuss HCC Q1 FY26 Results

Date: August 07, 2025 | Time: 5.30 PM

Company Representatives

- Arjun Dhawan - Vice Chairman & Managing Director
- Rahul Shukla - Chief Financial Officer
- Santosh Rai - Operations Director & Chief Business Officer
- Girish Gangal - Senior Advisor
- Ravi Jain - Deputy Chief Financial Officer

Moderator: Sandeep Sawant, General Manager - Corporate Communications

Transcript :

Rahul Shukla : Good evening, everyone. Welcome you all to today's meeting of Analysts and joining us from HCC side are our Vice Chairman & Managing Director Mr. Arjun Dhawan , our Chief Business Officer & Operations Director, Mr. Santosh Rai and Mr. Girish Gangal , who is our Ex CFO and Senior Advisor to the company currently. So, we will take you through this quarterly presentation.

So, just a quick refresher, HCC with 100 -year-old legacy, this year we are celebrating our centenary year, and we have completed 4,000 length kms of highways, almost 400 kms of handling including in complex geographical region of Himalayas, 60% of India's nuclear capacity has been contributed by HCC and 26% of India's hydro for capacity is done by us.

This is our order backlog, a robust order book of ₹11,188 crores and dominated by transport sector followed by hydro, nuclear and water and very well diversified geographically as well with Maharashtra leading the pie.

Coming to key performance highlights, for this quarter our standalone turnover was ₹1,069 crores, viz-a-viz ₹1,265 crore during the same quarter last year. Our standalone profits stood at ₹38 crores, almost 50% up of the previous year. Standalone EBITDA is at 14.9% , again there is improvement with the previous year. We have received ₹250 crores through Viva d se Vishwas settlement of one of our awards , which has given good liquidity to the company's this quarter . In terms of business development, we are lowest bidder in projects worth ₹6,000 crore HCC share and we have got a very robust order pipeline, a Bid pipeline of ₹40,000 crore, which will be reflecting in our order book going forward.

Some of the key operation updates, Anji Khad Cable Stayed Bridge in J&K has been inaugurated by Prime Minister on 6th of June. In another project, Tehri Pumped Storage Scheme, the commercial operation of unit 5 & 6 has been achieved in this quarter. Vishnu gad Pipalkoti Project which is another large hydro project, which we are doing for Tehri hydroelectric development. There the Tunnel Boring Machine (TBM) , which is key aspect of the project. We have completed 6.5 kms out of total 12 kms of that. In Sone Bridge , DLP has been completed, so we have received a certificate, which updates the scheme of the complete from that project. And the three new projects, which we had acquired, their mobilization is moving on quite well. The projects are Agardanda Cable stayed bridge, the Bhivpuri Pump ed Storage Project and the Indore Metro Project . In addition to that, we have in this quarter, we have received a very strong claim to award conversion of almost ₹450 crores. So, these are financial summaries. Now we will move to operational highlights and I'll request Santosh Rai to take over.

Santosh Rai : What you see in the screen is in auguration of Anji Khad Cable Stayed Bridge . This bridge being the country's first cable stayed bridge for Indian railways and happens to be the second longest cable stayed bridge in the world for railways. This bridge also houses the tallest pylon in the country at 193 m. And it's one-of-a-kind engineering structure bridge for the railway projects. Tehri PSP, what we see here is the powerhouse where the unit number 5 is also now put into the commercial operation and all the other works are progressing well.

Vishnugad Pipalkoti , this is the main HRT, which we are doing by Tunnel Boring Machine. We are already 50% through i

nto the tunnel and the works are steadily progressing into these challenging mountain conditions.

Parwan Dam is an irrigation dam, which is almost completion and by December, this project will be again put to use for irrigating large parts of Rajasthan.

Mumbai Metro Line 3 , almost you can say 95% project is overall done. On the screen is the pictures of all these stations which are there, and these pictures are at the platform level where all the platform safety doors are already put into place. System checks are in progress now to make the train running smooth in just we can say a couple of weeks from now.

Mumbai Coastal Road, fully operational, very minor works left like car park etc, which are going to get completed in this month.

Rahul will take you through these financials now.

Rahul Shukla: So, key numbers we have already discussed in the previous slide. Again, just to

reflect in ₹1,000 crores of turnover and EBITDA margin of 15% with ₹159 crores of number. PAT is at ₹39 crores. Consolidated level will be ₹1,100 crores of income. This has reduced from the previous year because last year we had Steiner. So, the impact is only that and that's the reduction over there. And then, EBITDA again, very robust EBITDA, how almost 16.5% that we have achieved. And at PAT level, we are at ₹50 crores. Thank you so much. This ends our presentation. Now, we are open for question and answer.

Sandeep Sawant: I request you to raise the hand so that I can allow you to into the discussions. Sourav, You can go ahead.

Sourav: (Q) So, I just wanted to ask the question. So, what is the current order book? And is this ₹6,000 crore order included in the ₹11,000 crore?

Rahul Shukla : (A) No, no, Saurabh it's not included. So, our current order book is ₹11,800 crores close to that.

Santosh Rai : (A) Almost true, yeah.

Rahul Shukla : (A) So, these ₹6,000 crores in addition to ₹11,200 crores that we have shown is order.

Sourav: (Q) Okay. And so, it's from which, sir, hydropower or something? Any?

Santosh Rai: (A) Yeah, there are transportation jobs, two metro jobs, one is a hydropower plant, another is a bridge project where we have the lowest positions.

Sourav: (Q) Okay. So, when it will be signed?

Santosh Rai: (A) We are expecting over next, you know, we can say, one month to 45 days, these all orders should be signed largely.

Sourav : (Q) Okay. Okay. Thank you. I will come back again.

Santosh Rai: Thank you.

Sandeep Sawant: (A) Pratik Bohra, you may please unmute and start.

Pratik Bohra: (Q) Yeah, the congratulations for a good set of number? So, I just want to know the level of debt, we are having right now. And what's the future number? And we are going to state it.

Rahul Shukla : (A) So, Pratik, currently we have, we are at the debt level of almost ₹3,200 crores. And that is mentioned earlier also, we are working towards accelerated de leveraging. And our target is that in next 15 -18 months, they should come below ₹2,000 crores. And for that, we had described core BG mechanism through which we are availing BG's from lenders. And we're withdrawing money against our awards and repaying them. So, that is one way apart from that, we are also working on the normal routes through our own cash flows as always, capital raising that we plan to do. That will give additional boost to our deleveraging exercise. And that is how I am saying that in next 15 -18 months, we should be sub ₹2,000 crore level.

Rahul Shukla : (A) Pratik your voice is not very clear. Can you please repeat your question, there is background noise.

Pratik Bohra: (Q) In last quarter there was a claim that is told we will be getting ₹250 crore. What is the status of that?

Rahul Shukla : (A) So, the same thing which I mentioned, Vivad Se Vishwas we have received that cash ₹250 crore, which we had applied for settlement under the scheme. So, we have received the money.

Pratik Bo

hra: (Q) Okay, so thank you sir.

Sandeep Sawant: (A) Harish Shiyad if you can please start.

Harish Shiyad: (Q) Yeah, hello. Thank you for the opportunity given. Congratulations on the good set of number? What is the order inflow during the quarter ?

Santosh Rai: (A) No, we haven't booked any order. We only have the L1 positions.

Harish Shiyad: (Q) Okay, can you give some update on your book? BKC railway station of the Bullet Train .

Santosh Rai: (A) Yeah, so the bullet train terminal is going on. The majority of excavation works are over. We have already started the concreting of the base slab and even at the other shaft location, the concreting has started. So, work is, work is progressing. Just to just to give you a feel, you know, that that station is, I mean the one station is equivalent to 10 metro stations. It's like almost a kilometre long, so the excavation normally takes long time in this congested area and we have successfully completed that.

Harish Shiyad: (Q) But there is no hold on that project because of environmental or anything of that.

Santosh Rai: (A) No, no such thing, no such thing.

Harish Shiyad: (Q) You have started booking the revenue of this project in our books?

Santosh Rai: (A) Yes,

Harish Shiyad: (Q) okay, okay, okay, thank you and all the best .

Santosh Rai: Thank you.

Sandeep Sawant: Kunal Tokas, you may please start.

Kunal Tokas: (Q) Okay, my first question is about your debt repayments in March 26, if you can quantify our interest, principle, plus accrued interest.

Rahul Shukla : (A) So, total almost ₹900 crore is something that we have to pay in March.

Kunal Tokas: (Q) And the repayments for PRPL will also come in second from September of next

year,

Rahul Shukla : (A) right, right.

Kunal Tokas: (Q) March 26 payment, do you expect it to be needed using your existing cash and general accounts, or will you have to raise some equity

Rahul Shukla : (A) for PRPL or HCC

Kunal Tokas: (Q) for March 26 repayment.

Rahul Shukla : (A) So, March 26 repayment, there are three ways of doing it. One, we are in any case executing certain core BG transaction through which it will come down by some amount. Then we have got our cash flow from operations and then we will have to certainly work towards raising capital also. So, a combination of these three will be used for making these repayments. And this March, as you must be aware, is the largest repayment that HCC has to make after that these repayments are coming down. So, this ₹900 this year will go down to say almost ₹700 crore next year and it will keep on be at the level of almost ₹650 crore after.

Kunal Tokas: (Q) How much will you reckon you would need to raise in equity?

Rahul Shukla : (A) So, debt repayment is one thing in addition to that, as you know that we are now accelerating our new order intake. So, we also want to have a decent amount of cash in our books for this quarter, it is almost ₹500 crore is something that we have. But still almost ₹200-300 crore we would certainly like to have in our books as a cushion. So, some part will be kept for that and ₹700-800 crore something we can plan to raise depending upon situation in the market and naturally promoters will have to underwrite that. So, that also is one factor that we will consider. But comfortably, we are looking at somewhere around ₹700-900 crore that we can target during next quarter.

Kunal Tokas: (Q) Also, just mechanism that we use today's funds using Bank Guarantees against awards. So, if there is some cost associated to it right, do we show it as part of your finance cost?

Rahul Shukla : (A) So, Kunal if I have understood your questions correctly, the cost of raising capital whether we treat it as a finance cost or not. Is that the question?

Kunal Tokas: (Q) The cost of using Bank Guarantees.

Rahul Shukla: Okay, that is a part of our finance cost. BG

commission you are talking about.

Rahul Shukla : (A) Yeah, that is a part of finance cost.

Kunal Tokas: (Q) Who do you able to quantify; how much is it?

Rahul Shukla : (A) So, annually we have; BG commission you are talking about, right?

Kunal Tokas : (Q) Yes, yes.

Rahul Shukla : (A) So, almost ₹45-50 crore is something that goes on annual basis for this.

Kunal Tokas: (Q) I mean how much have you, how much BG have you raised?

Rahul Shukla: (A) Total BG exposure of the company is to the tune up almost ₹5,500 crores.

Kunal Tokas: (Q) Yeah, and just hypothetically this might be too farfetched, but what happens if the award goes against HCC in case, you have raised the BG against that award?

Rahul Shukla : (A) Sorry, can you please repeat your question?

Kunal Tokas: (Q) What happens if an award against which you have raised the BG goes against HCC?

Rahul Shukla : (A) So, you are going into methodology. I think this is a little detailed discussion, but I'll just answer this particular question. So, if in the eventuality of say 1% situation it goes against the award against HCC that BG will get encashed and it will become HCC's debt. It is today also HCC debt, right? So, the situation does not become worse. It just reverses to the current situation where we are today, but in the meantime, we get the benefit of lower repayment and reduce deduction in rate of interest all those things that are there.

Kunal Tokas: (Q) Okay, but does the BG become payable immediately or do you get some time from here?

Arjun Dhawan: (A) So, let me just jump in here just let's be clear. If in court theoretically speaking, if a matter basically is not upheld in our favour for whatever reason and we're not discussing the merits of basically our awards and our receivables etc which; in that situation the court would naturally effectively give the company the option to pay the amount into the court or it would basically then in the worst case situation at the encashment BG. Now, we don't like encashment of BG's. So, we wouldn't then effectively the court would give us some time. I imagine for that amount to be paid and deposited. Now, please note that there are appeals that everybody has all the way up to Supreme Court. In all our matters, as I've said, multiple times before our claims and our awards are relatively boring because all of them are very, very similar in nature for projects that have been completed many, many years ago and these are very very technically quantified in the amount of the escalation, the idling, the loss of profit, etc. But to answer your question logistically, there would obviously be a reasonable discussion with the court should basically award not be upheld and the company would have the opportunity to deposit that money and in the eventuality it does not then would theoretically have basically a BG encashment if that money is already been withdrawn and a BG has been submitted.

Kunal Tokas: (Q) Thank you very much. Very clear and just another question if I can ask. Of all the subsidies you have, I reckon only at HCC Infra is the material one, right?

Rahul Shukla: (A) Right, currently only HCC Infra is the major subsidiary.

Arjun Dhawan: (A) So, our main operating subsidiary, HCC infrastructure which is a natural basically part of our overall EPC business and as our business grows and we actually take on selective BOT projects whether they happen to be ourselves or with strategic and financial partners. There is a growing importance for PPP in the country and so we will selectively look to take on a certain amount of BOT projects which will contribute potentially up to maybe 10% of our order backlog at any point in time and this operating subsidiary will continue to be a natural part of our EPC basically strategy. The other subsidiary that we have as a function of our exit from the divestment of the Steiner Gro

up is "H56 IMO". It is a subsidiary that carries a substantial amount of receivables that we will be winding down and over the next few years and this vehicle that will be in receipt of our various earnouts and claims and receivables that we have as a function of our exit from the Steiner Group.

Kunal Tokas: (Q) And about your job, it is joint operations that you have, we are going to have a L&T or Samsung, Alpine .

Arjun Dhawan: (A) I am sorry could you repeat that your joint operations with,

Kunal Tokas: (Q) Joint operating entities with L&T or Alpine or Samsung .

Arjun Dhawan: (A) We don't have any, we don't have any JVs with L &T at this point.

Santosh Rai: (A) There is a very old one. It's a close project, Paradip .

Arjun Dhawan: (A) That's a very old one. I mean I think we will, I mean just . Does the team want to basically elaborate on why that's currently in our report ?.

Ravi Jain: (A) Because that's not fully closed as well. There are some assets that would be there. so you know, so assessments of the tax are pending .

Arjun Dhawan: (A) But I mean there's as far as the commercial impact of this potential project, Parad ip that you refer to, there is only no minimal, no material commercial impact. We will, if you like, get back to you with regard to the logistical reason as to why it's still basically, you know, mentioned in our accounts, but really there's no material i mpact .

Kunal Tokas: (Q) So, the only material joint operations will be the one with the two you recently signed?

Santosh Rai: (A) Coastal.

Arjun Dhawan: (A) In the environment, we've got, we've got three active JVs. Coastal road is closing right now with a Hyundai D evelopment where the lead partner . Also, in our Indore M etro project we are in a JV in that along with in a Bhivpuri Pumped Storage Project where we have two JVs with Tata projects.

Kunal Tokas: (Q) Okay. Thank you. Thank you.

Sandeep Sawant: Sourav, you have any additional questions?

Sourav: Yes sir, I have two more questions just.

Sourav: (Q) So why the L1 order is getting delayed sir? Can you explain me this? And in the last annual report, you have also mentioned that ■40,000 crore order book will be getting served. Can you explain me when your order book will be getting this of a ■40,000 crore?

Santosh Rai: (A) So, Saurav, you had two questions. Your first part of the why this conversion of L1 to LO A getting delayed. These are very largely, these are very bureaucratic procedures. In the sense, once an entity has become the lowest bidder. I think we have some background noise. Can we request you to mute your line? Please Saurav, I think it will be clear for everybody.

Sourav: (Q) Yes sir. Go on. Yeah.

Santosh Rai: (A) So, they have these government departments, they have their own internal procedures and also sometimes it involves taking the approval of the financing agency. So, for example, our job in Metro where we are lowest, the funding agency is JICA . There are a lot of fort h and back communications between the client and the funding agency, which they have to close as a procedure. And these are procedural delays because we have put a very competitive offer. So, it's a routine matter, but I think normally our experience has been once you have become L1 within four max, let's say three to four months, you should be getting the order and we expect that to happen in that way. Some Bids take long time because of you know, unique situations like one job we are lowest that is in Jammu in Kashmir and that's going through its own, you know, bureaucratic procedure.

On the ■40,000 crore, that's what is a bid pipeline. I don't expect to win the entire ■40,000 crore. I mean, we are working with a very good hit ratio, and we believe, you know, we should be able to secure around 25 -30% of that. That's our target. But we do, we have identified a lot of jobs which are

for real, which are in the sectors where we have core capabilities and that's the Bid pipeline on which we are very confident that we'll be able to secure, you know, good amount of orders from that. Is that clear Sourav ?

Sourav: (Q) Yes sir, yes sir. Yes sir.

Santosh Rai: Okay. Thank you.

Sandeep Sawant: S.K. Damani, if you can please start unmute your mic. S.K. Damani, please start.

S.K. Damani: (Q) Am I audible sir. Yeah, yeah, now it is. Yes sir, really, Congratulations for construction of Anji Khad Cable Stayed Bridge. Such a beautiful construction you have done sir. So, very happy about it. I have few questions sir. You have received ₹250 crore through settlement of an award under VSV2. So, can I know whether this money has come into Hindustan Construction or into a company which was created with liability transferred. So, can you please tell me about this? Rahul Shukla: (A) So, it has not gone to the company which has created for liability transfer. And, however, money was received by the concessioner who had got the award which is HCC Infrastructure and then subsequently got transferred to HCC after deducting taxes and all. So, it has been received by HCC.

S.K. Damani: (Q) So, it will help us in our working capital and all. Right. One more thing is written here as achieved claims to award conversion amounting to ₹453 crore in presentation. Can you explain I could not understand. Sorry about it?

Rahul Shukla: (A) No problem. So, whenever there is dispute with client, it has to follow dispute resolution mechanism and the claim goes through the arbitration tribunal process. And the arbitration tribunal after assessing the claim tells that this is the money that HCC or company should be getting. So, this is the award that we have received from the tribunal of this value.

S.K. Damani: (Q) Okay. Got it sir. And, in fact, I forgot that lot of our project has seen completion certificate and all that. So, very happy about all these things and lot of projects have been inaugurated also. So, now my question is about the three months that is July, August, September. Would we be able to make some progress in some of the pending work or this is going to be a lean period because of rains and all that. And in north where our project may be there, I don't remember, but can we make some progress in any of the project that we have during these three months?

Santosh Rai: (A) So, see I think some of our hydro projects where we are working inside the mountains, we are not affected that much by these rains. But of course, on surface level projects wherever the rains are heavy and all that, that disrupts, and it brings down turnover to almost 50 % for the period. But we don't see a very large effect of this. We will be continuing to work on our existing projects by every method and also the new projects are in good stage of mobilization. In fact, you know, sometime from now they should also start contributing to turnover very efficiently.

S.K. Damani: (Q) So, my last question is that how much worth of projects that are ongoing now as on 30th of June? How much is already awarded to us and we are progressing on them? Can you give amount?

Santosh Rai: (A) So, that number will be our order backlog position as on 30th June. So, that is ₹11,188 crores, that is the existing position which is balanced for us to execute. And whatever conversions happen during this quarter, they will get added to this order backlog position.

S.K. Damani: (Q) So, when you say how Bhivpuri PSP and Indore Metro Project are progressing well, so will they start in next one months or full-fledged?

Santosh Rai: (A) So, both the jobs are under mobilization stage. They have sufficient mobilization has been done. And in fact, from next one, we should be able to see some good revenue booking coming from them these projects.

S.K. Damani: (Q) Okay. So, can I know the

total amount of the project estimated for these two projects Indore Metro and Bhivpuri PSP?

Santosh Rai: (A) You are asking Indore project is a ₹2,500 crore contract. The total content is ₹2,500 and today is JV level. And our share is, our share is 55 % of that. Similarly, Bhivpuri is a ₹2,500 crore contract and our share is 50 % in that.

S.K. Damani: (Q) Okay. So, sir, like you know coastal road that we have created, some more work is to start for making some roads and bridges in the sea. So, have we bid for them or what is the stage of those whether tenders have been issued or not? Can I know from?

Santosh Rai: (A) Those tenders are not issued. We are, we are, you know, tracking those projects. The tenders are not issued.

S.K. Damani: (Q) Okay. Thank you very much, sir, for answering me and all the best for coming.

Santosh Rai: (A) Thank you. Thank you for all your compliments too. Thank you.

Sandeep Sawant: Rusmik. Can you please start?

Rusmik: (Q) Yeah. Am I audible? Yeah. Thanks for the opportunity, sir. Just based on the ₹11,000 crore auto and the ₹6,000 L1 beta. What could be the revenue run rate we would end up in FY26 as compared to last year we did around ₹5,600 crores. And secondly, what kind of any margin guidance would give for the full year FY26, sir?

Rahul Shukla: (A) So, Rusmik, as we had mentioned earlier, also this year we are not expecting increase in our turnover. We are just trying to come closer to that because as you know, our order, we have executed very quickly in the last three, four years and now we have reached to the levels that these projects only can give us this much turnover. So, we will be somewhere closer to what we did last year. In terms of margin also, maybe whatever, 13-14 % EBITDA margin is we have been maintaining. We will be on that range only because most of our turnover is still coming from old projects. The new one which are picking up will start contributing subsequently, maybe then we will see some changes.

Arjun Dhawan: (A) We've had what we've told basically investors is to have your patience with

regard to this particular year. I think that's the takeaway. The margins in our business will not change the kind of projects we do in the selective nature of the works that we execute. We will always be basically in the no-to-mid teams margins where our competitive intensity is lower, where our technical capabilities are very high. And what we'd like effectively you to do is to observe the order booking that we will now start to ramp up in a very, very dramatic fashion in the coming months, which will start to effectively deliver cash flows and turn over by the end of the fiscal. So, it will perhaps not as much impact fiscal 26 as much as it is. You will see the dramatic impact of that as we grow fairly exponentially in fiscal, basically 27, 28 onwards. So, there has the lag. And certainly, this is where we have already showed the lag that we've actually had in the conversion of our L1 positions to awards. And the build-up of our order backlogs that's not happened basically in the last three to six months, we will be looking to very aggressively make that up in the next basically 6-12 months.

Rusmik: (Q) Thanks. Subsequent follow-up, since we have around ₹40,000 crores of order bidding also and the ₹6,000 L1 orders will also come in. So, can we look at a substantial ramp up in execution in FY 27? Can we see a 15-20% revenue?

Arjun Dhawan: (A) That would be that's very fair. That's a very fair comment.

Rusmik: (Q) And Sir, can we just give us a little break up of what kind of segment orders will be this ₹40,000 crore of orders bidding which is there. How much could be Hydel, Dams, Roads some colour on that.

Santosh Rai: (A) You can expect, you know, kind of let's say 40% of this would be from hydro and another 35-40% from urban infrastructure which is like metros, elevated structures.

Remaining, you know,

15% or 20% could be from other sectors where we operate in that is water and nuclear sector.

Arjun Dhawan: (A) And the one thing I'll add is that given the fact that this is the leanest we've been in our order backlog, certainly this is the lowest we will be, is our expectation in the many years to come. You might see some lumpiness in terms of how the sectoral allocation shift. I mean, you know, some of the hydro jobs that are coming up and some of the mega projects that are coming up, when and if they come into our kitty, fortunately you will see the mix change temporarily. But I think in the long run you'll probably see the mix be reflecting effectively what way we currently are. Okay.

Rusmik: (Q) There's one more question on capex because I think we haven't seen any jump in the gross block till now, but looking forward for FY27, you know, if you have a substantial execution, does the existing capex allow you to, you know, exhibit those orders or you need some substantial capex in the next two, three years?

Santosh Rai: (A) I think we will do, we will have to ramp up this CAPEX or an all-in-project by project.

Rahul Shukla: (A) So, it will be a gradual increase. And so when we get a project, we also get mobilization, advance, equipment, and so on. So that we will be using isn't needed to build up our CAPEX, gradually to meet the requirement of that project. And that will keep on getting added.

Rusmik: (Q) Okay. And the last question is what could be our cost of interest as of now? And would it remain the same going forward or do you see it going down?

Rahul Shukla: (A) So on average, we have almost 11% and it will remain same for some time till we really grow our business and deleverage.

Rusmik: (Q) Okay. Thank you so much. I'm very excited to see the future growth part now unfolding. Thank you so much, sir.

Arjun Dhawan: Thanks very much.

Sandeep Sawant: Ankita Shah, may please unmute and start.

Ankita Shah: (Q) Yeah. Hi. So Ex of Steiner, which is, which was there in revenues last time, on a like to like this is how much would have the execution revenues would have grown this quarter?

Rahul Shukla: (A) Ex of Steiner, you were talking about revenue growth this quarter.

Ankita Shah: (Q) Yeah, for the quarter on a like to like this. We are so that you can see in the standalone.

Ankita Shah: (Q) So, Standalone is a decline on a YY basis then?

Rahul Shukla: (A) That's correct. Revenue has declined YY basis. Profit has increased. PAT has increased.

Ankita Shah: (Q) And this would be due to?

Arjun Dhawan: (A) the answer there. It's not because of the underperformance of our current operations. It's actually simply because our accelerated execution and the frankly speaking, the lack of effectively new orders flowing through our books. Right. So, our new orders now is the project ramp up and as we continue to build our order backlog is going to then you're going to see that you're going to see that impact of that growth, you know, about 12 months from today. So what we're asking you to do is actually just, you know, for the next 2-3 quarters, I think what you will see is we continue to execute our current order backlog well and you will see the real growth in our business effectively start from, you know, from the start of the next fiscal year.

Ankita Shah: (Q) Got it. And what would be the quantum of awards which are already in our favour?

Rahul Shukla: (A) Almost ₹2,000 crores. Yeah, two thousand crores are in our favour in FCC which

are not utilised yet available for regulation.

Ankita Shah: (Q) Okay. And apart from the three sources of income that you had highlighted which would be utilised for debt repayment, are there any other asset monetisation or previous monetisation proceeds which are pending which can also help this debt reduction?

Arjun Dhawan: (A) Yeah, when we have,

as I said, we have earnouts and claims and receivables coming from our Swiss subsidiary. That's one we have sort of non core assets that we own which are effectively some of our land assets. But again, we don't, we will look very, if we look at that very opportune fashion, something could probably maybe expect something to probably happen in the coming months on that. It's largely effectively substantial amount of receivable settlements claims with our clients. And as many of our projects actually wind down and we've had superior execution, we're expecting some of these settlements and some of these closures of our final bills, variations, et cetera to happen in the coming months from which we could also see some potential upside. So when projects close out, that's also basically a time that you will potentially see some additional benefits from the closure of certain matters. Our goal is never to actually be in an arbitration with a client. I mean, some of these legacy arbitrations, yes, we will see through, but the goal is on many of the projects that we actually now continue to execute. The goal is to basically, you know, have our final settlements, you know, and close out those projects as early as possible.

Ankita Shah: (Q) Got it. And just one last one, although we have an L1 of ₹6,000 crores out of this ₹40,000 crores of Bid pipeline, are the bids already submitted, or it is yet to be submitted and how much do we think can get materialized in terms of interest for the full year FY26? Thank you.

Santosh Rai: (A) Yeah, the Bids are to be submitted because these are all identified Bids and I will say a very aggressive assumption would be that we are able to secure 30% of that.

Ankita Shah: Got it. Okay. Thank you. Thank you. Thank you.

Sandeep Sawant: Sampat, if you may please start, unmute and start.

Sampat: (Q) Yes, good evening, sir. Since you are projecting high growth from FY27 onwards. If you can just give some brief idea about what sort of growth we are looking, CAGR from that year onwards.

Rahul Shukla: (A) So, Sampat we are certainly looking at somewhere around 20-25% kind of growth and that you will start seeing from our order looking also. And based on that, you can make your estimates and we don't see that, don't see that achieving 20-25% is a very big target for us from where we are sitting today.

Sampat: (Q) Okay. So, for that, would we require any further capital for the same? Will you be raising capital from next year or so?

Rahul Shukla: (A) We are, anyways, we mentioned that some capital that we are raising this year, some part of that will be kept to fund these growth objectives as well. And EPC business per se is not something wherein we need to infuse capital if we are bidding rationally, which we are identification of project cash flow profile of that project. So, we don't really have to have significant capital with us. But yes, we will keep on assessing that requirement and we will do the needful as in when that requirement comes.

Sampat: (Q) Okay. And this growth will come at a good margin. We will be keeping margin sufficient margins for yourself. What sort of EBITDA margins for these projects you bid at generally?

Arjun Dhawan: (A) Our margins will continue to be in the 13-15% range and the kind of projects that we are looking at and some of the mega projects that we are now going to be participating in where we see a return of capital that is substantially higher. You know, is the reason why we will also be looking at very, very selectively the capital raising. And look, I think that, you know, where some amount of the capital raising that we do also goes to pre-paid debt. I think that, internally, the board and the management team is very, very keen that we deleverage and have our full fund-based debt basically paid down as early as possible. And, you know, I think that with

the increase with

investment-grade rating and then the goal to actually make that even higher, I think the fact is that we would prefer to have the free cash flows of the business build up as reserves rather than actually have fund-based debt on our books that is basically continuing to accrue. So, it's, I think, frankly speaking, it's a philosophical point having actually been through a debt restructuring before and having gone through the pains of the business opportunity that we've lost during that time. I think that we simply just want to be a debt free company. And we would like to have at our disposal, we'd like to have very, very comfortable and substantial non-fund based limits for the growth and the substantial growth of our business. We'd like to have a credit facility which we will be very selective about drawing down upon when some of our projects require, you know, some working capital support. But really, I mean, you know, I think that when this question has been asked to me and we look, our equity and our share on the capital is the most valuable capital, right? It's the most expensive capital. But I think that the opportunities we see before us and are very to do that, the dearest fashion where we have no debt on our books is something that we're thinking very strongly about and that balance for us is actually very important.

Sampat: (Q) Great, sir. Now, my last question, I assume that the growth that currently we project

around 25 -25% from FY27 onwards does not include the opportunity that may arise or may not arise from the nuclear point of view. So currently also that is an example, right?

Arjun Dhawan: (A) It's true, yeah, it's completely true. I can't just talk a little bit about that. Again, the fact that we've actually contributed more than 55 % of the nuclear reactor construction, the building in the past just means that this ends up becoming a big, big option value for us. I mean, we are a choice partner for foreign strategics, but we also see tremendous basically opportunity with local players that either want to participate on the private side, but also basically with Department of Atomic Energy and the NPC IL with whom we actually have had a very, very long and fruitful relationship. But let's Santosh add to that.

Santosh Rai: (A) Fair enough, I think and nuclear anyway is a very, you know, not a very quick moving sector. You will obviously, you know, one or two projects coming in every two years or three years sometimes. Maybe the only change that may happen is going ahead if the small modular reactor and this BSMR program coupled with the clarity on the nuclear liability law and everything is clear. Then we can see some more traction in this sector.

Sampat: (Q) So, what is the best possible scenario in case of all nuclear liability also being passed by the cabinet and so what sort of an optionality value means you are looking at best case scenario

Santosh Rai: (A) you ask me, I think it will take two years to achieve.

Sampat: (Q) Okay, okay, but after two years also like what sort of project?

Santosh Rai: (A) No, so SMRs are not going to be very big opportunity in terms of in sizing, you know, an SMR reactor could be like ₹1,000 crore and it all depends upon where the developers were coming in for able to put into that. So, we may see couple of SMRs maybe four, five of them, you know, coming launched at one point of time. People will need to get their confidence on them, and I think it will be slow off take only.

Sampat: (Q) Okay, so in terms of a size of the market that the project execution will require, what could be the total size of that, sir?

Santosh Rai (A): Of which nuclear sector?

Sampat: (Q) Yes, sir.

Santosh Rai: (A) You know, I will say ₹10,000 crore yearly is a big number for nuclear sector.

Santosh Rai: (A) Yeah, ₹10,000 crores. Yes Yearly . Okay.

Sampat: (Q) Oka

y, got it, sir. Thank you, sir. Thanks a lot. Thank you. Thank you.

Sandeep Sawant: Kunal Tokas if you can start.

Kunal Tokas: (Q) First is on PRPL, can you update on the progress on claims in PRPL ?

Rahul Shukla: (A) Yes, so there are many claims in PRPL. They are at various stages of arbitration, pre-arbitration, then there are more than ₹2,500 crores of awards. There are various stages of course, some are at a final hearing level. So, very difficult to give you one answer in one statement, but yeah,

Kunal Tokas: (Q) when compared to the September 26, deadline or the start -off payments, do you think those will be fine?

Rahul Shukla: (A) Yes, those are fine. We will be able to make those payments . That's not a problem.

Kunal Tokas: (Q) Okay, and just another question a part onsite of HCC standalone in which are the entities do you have debt? Materials debt.

Rahul Shukla: (A) So, other than HCC, there is Mauritius subsidiary of HCC, there is some debt and for that we are working on a resolution and hopefully by September, that will be resolved.

Kunal Tokas: (Q) You have nothing in HCC Infra ?

Rahul Shukla: No, no.

Arjun Dhawan: (A) This is the holding company that held the Steiner business and now that the Steiner business has been divested and the cash flows from that are basically expected. We are also expecting that in the coming couple of months that the full debt of that subsidiary will be repaid. So, I mean, I would expect certainly that, I mean, I don't like making follow -up statements, but you would certainly expect certainly by the end of this fiscal year that that full debt would be repaid. So, really, we're looking at as a group, our subsidiaries will all be effectively debt -free.

HCC standalone, as we have already talked about, our goal is that by the end of this fiscal to effectively maybe within the next 15 months or so that we should be well out of ₹2,000 crores of debt. So, substantially bringing down our debt burden and then continuing to actually move towards the path of getting to a debt -free position. So, a combination of effectively a lowering of that debt and a growth of our auto backlog in our free cash flow just means that a substantial amount of free cash flow will actually then go to the reserves of the business rather than actually going to address basically dead services.

Sandeep Sawant: Viraj you can please start .

Viraj: (Q) Hi, congratulations to Arjun and the management team seems like the turnaround is well underway. So, super job on that. A couple of questions from my side. For the existing orders that you're executing, which are long cycle orders, when do you expect them to hit maturity in terms of a billing where they can start flowing through the P &L? Is it more next year, which is why you allude to next year being a higher growth number? FY27.

Santosh Rai: (A) Yeah, I mean, FY27 would be a right option where they can start throwing their maximum output.

Viraj: (Q) Great. Secondly, sir, do you have the adequate working capital limits now through your bankers in terms of limits to go and bid for new projects aggressively? Is that all completely sorted or are there any bottlenecks left?

Arjun Dhawan: (A) We do have what we need at this point in time. And as far as our consortium is concerned, the feedback that we have received is that as and when we start to basically continue to ramp up our order booking and our current limits start to sort of get utilized, we will be very, very comfortable in approaching our lenders to provide for the limits. So, I think it's a process by which I think the projections that we're giving and the growth that we're expecting, I think that we're very, very comfortable of meeting those targets.

Viraj: (Q) Understood, and then just the last point, like some of the peers who have gone through this balance sheet fix journey, what would be helpful

from the investor presentation point of view?

Maybe you can articulate a slide around non-core assets or arbitration awards that are there and what amount can be available through them, even if you don't attach timelines, it'll just give us a better sense of sort of where can this deleveraging come from in addition to operating cash flows?

Arjun Dhawan: (A) So, what we said, and I think Rahul said this before is that currently, if you look at HCC's balance sheet besides our projects and our cash flow and cash on our books, we have ₹2,000 crore approximately of arbitration awards in our favour where we can at any point in time have those money deposit in court and have that money withdrawn against court bank entries. We have a number of our banks that are very, very supportive and are keen as we have built up these arbitration award assets in the recent months to actually have a substantial deliberating done. So, as we've talked about, I mean, every quarter, I guess, we will keep you updated with regard to that, but we continue to have a substantial reserve through which we can either have settlements with our clients or we can actually execute the awards and take the money out if we don't want to leave any money on the table, but we will we will provide you with that same color every quarter.

Viraj: (Q) And non-core assets would be helpful as well.

Arjun Dhawan: (A) I just really, I don't think that there's much non-core to actually talk about. I mean, we have a substantial value in our land where our head office is basically sitting at Vikhroli. And besides that, we have some other land that is in Vikhroli as well as in Thane that is that has certain encroachments we have received offers for that from time to time. And we're waiting for the right opportunity to actually have a substantial value generation for that. But that's not something that you should hang your hat on. That's going to happen probably a few months to try a couple of quarters to try. I think it could happen as a surprise as I've tried, but it might take a little longer as well. Now, what I'm hoping off as Mumbai makes its way towards basically being slum free or actually starts to actually ramp up its slum we have efforts. We should probably see the substantial track the increase of land that we have that is encroached upon actually find some considerable value, but we're being a little patient to see the quality offers.

Viraj: (Q) understood all the way best. Thank you.

Sandeep Sawant: Kunal Tokas. You can please start. You have some additional questions. Kunal, Kunal Tokas: I just forgot to lower my hand. Okay fine.

Sandeep Sawant: Then I'm going to Kapil Agarwal because he's not been asked any questions.

Kapil Agarwal, if you can unmute and start. Yeah.

Kapil Agarwal: (Q) Good evening, sir. So, this is regarding an HCC Infra which is our subsidiary. We have investment in the approximately ₹1,300 crore at book value saying, you can't go to divestment or to say something like that.

Arjun Dhawan: (A) I am sorry. What is your question?

Kapil Agarwal: (Q) So, the question is regarding HCC Infra which is our subsidiary? Am I audible?

Arjun Dhawan: (A) Yes, you're audible. I didn't get the precise question.

Kapil Agarwal: (Q) Yeah. So, is there any plan to divest this and HCC Infra or how we can recover this ₹1,300 crore?

Arjun Dhawan: (A) So, there's no plan to so let me just say this without giving you sort of a forward-looking plan on a divestment or not, but I will just say that our BOT subsidiary has a tremendous amount of PQ. We have considerable assets in that company, form of awards. We have an ongoing business where we are ongoing BOT business. Yes, we may have divested a considerable sum of our assets there, but we're looking to have this company build up its asset base. In fact, we're actively basically sourcing projects

for it in the coming weeks and months, you will positively hear our updates in this regard.

Kapil Agarwal: (Q) The second question is regarding is there any particular reason for a certain resignation of our ex CEO and is there any impact of one hour we can say operational like that?

Arjun Dhawan: (A) No, there's nothing to be concerned about in that regard. He had served the company for over three years and there was a parting of ways which was very amicable.

So, there's nothing really to say beyond that front. As far as the bench strength in the company is concerned and the quality of our team, it's absolutely 100% solid. You don't need not be concerned with regard to our execution capabilities of that matter any gaps in the business at all.

Kapil Agarwal: (Q) And is there any plan to increase the promoter's stake to write issue or something like that at all?

Arjun Dhawan: (A) Rahul talked about that. I think that when we talk about equity raising, what we're very, very clear about is respecting equity shareholder capital and the cost of that. And so, any equity that we would be looking to raise would be actually through a right issue where the promoter group would be looking to underwrite that and we stand behind the company, solidly. And our goal is to see how we can over a period of time ensure that the dry powder we have not only comes in at the right time to support the business and underwrite matters like right issues, but also potentially over a period of time entries has taken the company.

Kapil Agarwal: (Q) Okay. And the last question is regarding that Patna project, one of that we have been estimated for minus 22% and over that we are expecting that we will be maintaining 13-15% of margin. So are we sure, I know that we would have done proper assessment regarding that. So, this kind of margin was there in the estimated cost.

Arjun Dhawan: (A) So, one of the things that in fact, I'm glad you asked that question because you know the easiest thing for us to have done in the last one year is to have actually built up our auto backlog with failing on projects any which way we wanted, right? The one thing that we are very, very clear about and certainly I'm personally very clear about is the pricing of risk with our projects. We are very, very comfortable with the Bid that we've made. We don't get into the details with that of that on the investor course. What I will say is that generically speaking, it depends on the equipment base we have depended on the manpower and mobilization or we have been in that area. And it also has happened to do with a substantial amount of planning that you do well in advance of that Bid coming up so that you are best positioned with regard to having procured all the resources including the capital equipment for that project. And that is what gives basically our edge. I don't believe that you happen to be accurate with regard to some of the figures that you mentioned. I certainly those numbers seem a bit off. We can probably offline you know continue this and to give you a little further detail in terms of where the positions were but we are very, very comfortable with our bid and as far as the property of the project is concerned in our margins we maintain our position on the side.

Kapil Agarwal: (Q) So, one more if I can ask; regarding last presentation we have given that submitted Bids was approximately ₹30,000 crore. So, in this presentation we are saying that we will be having pipeline of ₹40,000 crore. So, out of the ₹30,000 is there any some we can say bids were opened in the period or what is the status?

Santosh Rai: (A) In fact, one of a large Bid which was a very large Bid the overall system it was almost ₹17-18,000 crore for that got cancelled and has been re-invited. Yeah. So, I think that's what is doing it but that's still there in the pipeline and we are ready for it.

r it.

Kapil Agarwal: (Q) Thank you.

Santosh Rai: (A) Thank you. Thank you Kapilji. Thank you.

Sandeep Sawant: Rusmik if you can please start if you have any additional questions unmute and start.

Rusmik: (Q) Yeah, I have time for the follow up opportunity. Sir, you have given a path for the daily bridging from year on. My question was on the interest cost. Last year interest costs were about ₹600 crore. First quarter it is ₹121 crore. So, should we assume that the interest cost for the earlier FY26 will be below ₹500 crore. And maybe should it go down by ₹100 crore per year for the next 2-3 years or some colour on this will help.

Arjun Dhawan: (A) Yeah, no, absolutely. Look, I think that I let Rahul go through the specific detail but based on where we intend to end the year in terms of a substantial debt reduction on a proforma annualized basis. Certainly, we would expect if you if you assume let's say Rahul correct me if I'm wrong but if you assume a sub ₹2,000 crore debt level of ₹1,800 crore you certainly expect basically ₹100 crore plus basically interest saving on an annual basis. So, that impact is what you start seeing through fiscal 27 flow through our books. The other benefits obviously we have talked about which is the higher investment grid rating, the greater access to capital, higher market cap, obviously having an EPC company that's no longer leveraged. I think that from a point of view of freedom of business I think is something that we look at from a very positive perspective. Rahul, do you want to quickly comment on the?

Rahul Shukla: (A) Yeah. So, interest reduction that number you are seeing going to be in this same trajectory and by year end we can see that it should be somewhere around ₹400 odd crores, ₹420 kind of number will be there for entire finance charges. This financial.

Rusmik: (Q) Thank you so much. Thank you very much.

Harish Shiyad: (Q) Yeah, actually I just missed out that part because in the earlier con call also you had mentioned about in the fundraise. So, how is it going to be planned in this quarter?

Arjun Dhawan: (A) Well, I mean look, I speaking very generically I think that once the board actually takes the decision, we will communicate that. I think that, you know, anything else would be

irresponsible to say at this point in time. What we are saying is that there will be, there is a plan given our accelerated growth in the projects that we see that we will bank in the coming months along with the fact that we would like to have a substantial cash reserve as we de-leverage the business. We will be looking to do a rights issue which the promoter group will underwrite that precise timing of which we will basically communicate at the appropriate time.

Harish Shiyad: (Q) Can we expect it in next 3 months?

Arjun Dhawan: (A) I think it's fair to say that you could probably expect that for the simple reason that, you know, if we are going to raise capital or rather effectively see a prepayment or any, because we are sitting on some challenging cash in our books, I think that the conversion of certain orders that I think Satoshi has already talked about will happen very relatively soon and I think that we are expecting some of the larger Bids that we have also made to be open relatively soon. So I think it would be fair to say that we would like to be ready with all the ray powder available to us as well as actually take the benefit of using all the cash in our book to prepay debt because, you know, frankly speaking, I'd rather effectively use three cash flow to prepay debt and to really, you know, boost our PAT on an annual basis rather than to actually have that money lying around sitting in an FD.

Harish Shiyad: (Q) Any updates on the hydro project in Arunachal Pradesh? There was a big project which was...

Santosh Rai: (A) Yeah, that was a job which got cancelled and

it will be invited again.

Harish Shiyad: (Q) Is it in August? Sometimes, of course.

Arjun Dhawan: (A) Yeah, so that Bid is due now. We remain, I mean, in fact, when it was basically bid out, there were three bidders, we remain, obviously, in the hydro sector, you know, we happen to be one of the few players that are capable of doing projects like that. So, we certainly basically are looking forward, you know, to some of these basic tenders now.

Harish Shiyad: (Q) Yeah, I mean, we were one of the strong contenders. So why was it cancelled?

Any legal for that?

Arjun Dhawan: (A) I mean, we can't comment on that. I think that's the prerogative of the government of India and the client, NHPC, and they took a call for in their vision to do so. I think we can leave it at that.

Harish Shiyad: (Q) No, why I'm asking is because if there are only three people who have been were bidding and, in all likelihood, we have expertise also. So, shouldn't we contest? I mean, if there has been just cancelled without any justification?

Santosh Rai: (A) No, actually, all this tenders comes with a very crystal-clear condition that it is the client's right and he can cancel the bid at any point in the bid process.

Arjun Dhawan: (A) I mean, I think this is a, NHPC is a public company. In the question, you can ask them, there are clients. We are clients come first, and frankly speaking, the client is always right as far as we're concerned, at least mostly right. So, and I say that in the lighter way, but you know, this happens from time to time. I'm sure that they must have had their reasons. We have a view, but it would be very unfair for us to basically give a view on the subject, which would be somewhat speculative. I think it's like I said, the client prerogative.

Harish Shiyad: (Q) just on that fundraise part because we had done QIP also and rights also earlier. So, this time around, we are planning to do rights issue instead of QIP.

Arjun Dhawan: (A) That's right. I mean, the entire point is that we're not expecting our existing shareholder base to get diluted. In fact, rights would be done at an appropriate discount to have each of our shareholder's benefit considerably from it. And as a result of it, you would see, you know, you know, the reason for obviously doing it is a very positive reason. And so, as far as we're concerned, I think that we could look forward to our shareholder's all benefiting from it.

Harish Shiyad: (Q) Okay. Thank you. Thank you.

Sandeep Sawant: No more hands raised. we can conclude the call.

Rahul Shukla: Okay. Thank you, everyone. Thank you for joining this call and look forward to seeing you in the next quarter.

Arjun Dhawan: Thanks, everyone. We appreciate your support. Thank you

Call: Feb 2026

HCC Ltd

Analyst Call Transcript to discuss HCC Q 3 FY26 Results

Date: February 12, 2026 | Time: 6.00 PM

Company Representatives

- Arjun Dhawan - Vice Chairman & Managing Director
- Rahul Shukla - Chief Financial Officer
- Santosh Rai - Operations Director & Chief Business Officer
- Nitesh Jha - Company Secretary
- Ravi Jain - Deputy Chief Financial Officer

Moderator: Sandeep Sawant, General Manager - Corporate Communications

Transcript :

Sandeep Sawant: Good evening, everyone, we will be starting the analysis investor call in few minutes. Rahul sir, are you ready?

Rahul Shukla : Yes, Sandeep

Sandeep Sawant Okay. Mr. Rahul Shukla, our CFO will start with the presentation. Over to you, Rahul sir.

Rahul Shukla : Good evening, everyone. Sorry for the delay because of some technical issues. And we start with the presentation. Just a quick refresher.

We are a hundred-year-old company this year on 27th of January. We have just now celebrated our centenary here. And with our very strong credentials, we are now geared up to take forward this infrastructure and national building of India. We thank you all for your continued support. We have been receiving good support from all our stakeholders. And with this, we will just play a small video to take you through our journey.

Thank you.

Moving forward, quick snapshot of our diversified order book . As of now we have 13,000 crores of order book well diversified across sectors and across geographies.

Key highlights of this quarter. In this quarter, we have achieved 921 crores of turnover. And with standalone profit of almost 86 crores. We have continued to maintain very strong EBITDA margins of over 15%. And that's what we will continue to do. We have been discussing in the past also that while our order book and revenue take sometimes to pick up we will continue to improve operational efficiencies and demonstrate good amount of EBITDA margin as well as improving PAT. Quality of our PAT will continue to improve.

In this quarter, we have secured two orders, aggregating to almost 1,500 crores in joint venture with an NFR. And in addition to that, we are also lowest bidder in 2,700 crores of projects. We have submitted bids of almost 36,000 crores, which are under evaluation. And we have got very strong pipeline of almost 54,000 crores, which we are submitting bids in coming quarters.

We have successfully completed 1,000 crores of rights issue, which got 200% subscribed.

We have also received 84 crores from our Steiner subsidiary H56 with the total receivables of 89 crores. Balance will come in due course.

In our journey towards , accelerated deleveraging , we have prepared 680 crores to lenders in this entire financial year, and we are also in the process of paying 876 crores during this quarter by March. And we are hoping that with this payment, our substantial debt reduction will happen. Our debt will come down to 1,950 crores, which was our target for this financial year.

We have also achieved a reduction of corporate guarantee of HCC to Prolific debt. So, we have talked about it earlier also. Now everything has been completed and documents have been signed. So, this process is completed.

On the operations update, things are moving quite well. And Patna Metro real project, we had taken two packages, package 5 and 6. They have been inaugurated by Chief Minister Mr. Nitish Kumar, and projects are progressing well.

Indore Metro real project also, piling works are underway. You will see some photographs going forward. And work is well underway in all five stations. And excavation work in progress in airport station, as well as Rajwada station.

In Vishnughad Pipalkoti Hydro electric Project , which is a large project that we are doing. We have achieved significant progress in tunnel excavation. And out of 12 km of HRT, we have a completed 8.5 km .

Work is prog

ressing swiftly on other projects also. Agardanda Creek Cable Stayed Project, Tehri Pumped Storage project, Bhivpuri Pumped Storage project, all are progressing well. Now we will go to details of these projects.

- In Indore metro, certain photographs, Trial Ring assembly photo, as well as BSF, Kala nagar station, excavation work, piling work going on.
- Patna Metro inauguration photo, as well as Casting Yard development picture.
- In Agardanda, significant amount of marine work is going on. You can see photographs of piling happening, as well as segment casting work going on.

- This is the picture of Tehri Pumped Storage project, wherein out of 1000 MW, 750 MW is already generating electricity. And the last unit out to 250 MW is also expected to be completed soon.
- This is the picture of Bhivpuri Pumped Storage project. You can see excavation work going on in lower reservoir.
- On Vishnughad Pipal Koti, dam completing work, Progressive well. HRT, we already spoke about, we have completed it, 8.5 km, out of 10 km of HRT.
- On Tapovan Vishnughad Project, which is another hydro project in Uttarakhand, work in both Face 4 and Face 5 is moving on quite well. These are tunnels that we are doing there.
- And FRFC nuclear project, nuclear project again, block six and seven photographs are here and work is progressing well.

These are the financials. So, in this, I have already given key numbers and other numbers are here, which are also uploaded in the exchange.

And these are the consolidated numbers.

Now, we will just take you through another video of our Centenary Year celebration before we open for questionings.

Now, we are open for question answer. You can raise your hands and ask your question.

Sandeep Sawant: Please raise your hands so that I can allow you. Ajay Desai, you may please start.

Ajay Desai : (Q) Yeah, the question is usually to understand how the Shanti, which has come is going to impact us and how quickly we will be able to get business and orders.

Santosh Rai (A): Yeah, Ajay. So look, Shanti bill, I think what it does is definitely pay for the private sector to participate in nuclear power development and operation. This definitely is a big step and we are clearly seeing lot of entities showing interest in collaborating first of all, with H CC, given our nuclear grade safety and quality performance, which we have done over the years, as you might be aware, we have already delivered more than 65% of country's nuclear power plants, main plant construction, other related works. So, this what we are seeing is not only the Indian technology, but also some of the other technologies like Light Water or maybe EPR. These are going to come into line and next in line with the government's plan of adding almost 100 GW of nuclear power by 2047 is very close to reality. I mean, even if we say 50% of that, it's a huge program which will unfold itself over next 10 to 12 years and H CC being one of the front runners is well poised to participate in that. At the same time, we're also expanding our footprint into the allied sectors of mechanical and electrical and instrumentation works. So, by this strategy, we are going to be present in this market.

Ajay Desai (Q): So, like earliest, the revenue we can start seeing from FY27.

Santosh Rai (A): No, I think this program to I mean as a result of this, what we foresee that we'll see actions on the ground starting summer in 2027 -28 actual contracts getting placed because this will take some time for development of identification of sites, acquiring land, agreeing on the technology and post that only we can see these works actually coming to the ground. So, you can see something coming from this may be from early 2028.

Ajay Desai : (Q)Sure, thanks.

Santosh Rai (A): Thank you.

Sandeep Sawant: Mr. Kunal Tokas, you may be start.

Kunal Tokas (Q): Hello, Am I audible .

Sandeep Sawant:

Yeah, yeah, go ahead, please.

Kunal Tokas (Q): Thank you. My first question is on accounting question. As I see on the balance sheet for FY25, because those are the details that I have. Your advances from contra tea to undercut around 1000 crore rupees. And please correct me wherever I'm wrong. But your interests do on these advances to get 345 crore rupees for FY25. And so just wanted to understand why it was so high in relation to the amount of advances. And what is the interest rate that you pay on advances from contractors?

Rahul Shukla (A): So, we pay very nominal interest on contractor advances, which generally goes around bank rate plus 2% kind of thing. Not every advance is interest bearing. Now though most of them are interest bearing. So what interest approval you are seeing are in one or two projects where the repayment is has not been due or necessary at that point in time. However, we are also working about towards settling those advances with clients because there are certain receivables also in those projects. So once those settlements complete, you will see significant reduction in these client advances in comparison to FY25. However, in continuity of our business, we will keep on acquiring new orders and there will be more client advances which will be coming as a virtue of contract. So that number may not be comparable, but yes, as far as historical advances are concerned, they will reduce very significantly. And when they reduce, they will reduce along with their accrued interest. So that will get settled once those things are.

Kunal Tokas (Q): So, if I understand correct, there were some advances which are sort of on limbo but continue to accrue interest. And that is why. And first of all, also are my numbers correct, 345 crore for increase and 1,000 crore rupees of advances for FY25. 345 for the period and 1000 crore as on 31st March.

Arjun Dhawan (A): I think what Kunal, the team is checking the numbers as you are speaking and

what I think Ravi, I think is it. So, I think your numbers are correct and I think maybe. Ravi Jain, Deputy CFO or Rahul can take this up with you offline if required. If you need some further reconciliation, but I will add one perspective. Typically, client advances over the life of the project will be recovered through the cash flows of the project and the project will basically close with no liabilities. What happens when project delays take place? Sometimes the client also basically allows for further ad hoc advances until such a time certain bills and certain claims are settled. That has happened in the case of one or two of our larger projects that are now probably in the next year, year and a half closing. So, in fact, we have large independent engineer related awards and receivables against which those client advances will be squared off. Typically, there is a process and there's a lag within which period these things do happen and the expectation that we have is that these projects will get closed with those in fact, there were certain projects, certain hydro projects that actually went through a period even during COVID when certain large unusual delays took place and so as we close a couple of these large hydro projects over the next year and a half, you will see a substantial amount of this debt basically come off our balance sheet, which is actually today flowing through our P & L in terms of our finance charges as well. So that will be a substantial increase in the bottom line on our PAT when that happens because this in addition to our bank debt is another reason why our finance charges are actually a little on the higher side.

Kunal Tokas (Q): Yes, that is exactly what I saw. Now we can mention the hydropower project in the last call you said one was stuck in Maharashtra. You removed it from L1, which.

Arjun Dhawan (A): But that is that is that is that is a project t

hat was not even awarded for which we didn't even begin any work. So that's not relevant to this discussion. There are projects that we have hydro projects that we have in Uttarakhand. You know that because of some various issues that we had in Uttarakhand including you know COVID and that we had certain landslides that took place. There were court orders that prevented work from basically continuing. So, there are one or two projects that we have that have faced an unusual delay. In fact, there's only really one and I think when that basically closes out about 18 months from today, you'll see a substantial amount of this go off our balance sheet.

Kunal Tokas (Q): Thank you. My question was concerning the hydro power project related to your L1 position last quarter you had said.

Arjun Dhawan (A): We have a project in New Gandarbal, which is basically an L1 project, which has been L1 for a while and we expect for that to actually now be converted quite soon. You know, so please stay tuned in the coming months.

Kunal Tokas (Q): Okay. And the other question is regarding PRPL. You have received BG guarantee and the payments start from September 26. So how is progress towards that resolution of awards second in PRPL?

Rahul Shukla (A): So PRPL September 26 is already prepaid. And so.

Kunal Tokas (Q): Okay. And can you go progress on a semi annual basis?

Rahul Shukla (A): No, it's annual.

Kunal Tokas (Q): annual. Okay. And also in the consolidated segmental account. If we look at this segment called others, which contributed just a ticket, he lacks you top line, but there's a 84 crore ruby charge in the habit against this other segment. Can you explain that a little bit please?

Rahul Shukla (A): Okay. You are in console. You are talking about console numbers.

Kunal Tokas (Q): Console segmental numbers.

Rahul Shukla (A): Okay. So, you are talking about 83 crore number that is charged there.

Kunal Tokas (Q): Yes. Against others lying item.

Arjun Dhawan (A): I think we can. And let's limit everybody's questions to two per, you know, per maybe get back in the QB to appreciate. And there's a lot of people basically, you know.

Kunal Tokas (Q): Thank you.

Sandeep Sawant: Thank you. Rajesh Pandari, you may please start. Rajesh is not supporting any more hands. I can't see any more hands raised. Please raise your hands.

Sandeep Sawant: Okay. Ken you please start.

Arjun Dhawan (A): I'm sorry there is a lot of ambient noise. You need to please be clear with your question or we'll have to go to somebody else.

Ken (Q): Difference in Consolidated and standalone numbers in profit slide. So, I want to know what the reason was for our consolidated profit being down compared to standalone as Steiner has been sold out.

Arjun Dhawan (A): I'm sorry your question is not clear. You know, and so maybe if you can, I'll request my CFO touch base with your offline. And we can have this question answer later. If they, if your question is relating to why there's a difference between the standalone and the console numbers.

Hello. I was basically pointing out that we've actually had a very positive development in the settlement of a substantial erst while Steiner related receivable. In fact, these were matters that we were expecting receivables that we were expecting to have come in in the next, you know, two to three years. We've managed to close one well in advance and we've taken a minor right off on that to in trade off for the substantial cash flow that comes as a result of that. So that's perhaps maybe

where you see that particular right off because we've got a number of receivables associated with a few counter parties.

Sandeep Sawant: Hardik Chheda you may please start?

Hardik Chheda (Q): Sir, I just want to ask other expenses have gone up substantially. YOY and QOQ? The reason for the jump in the other expenses. And secondly,

the first you can answer that, then I'll ask my second question.

Rahul Shukla (A): So other expenses has gone up by almost 20 crores quarter on quarter and that is essentially we have settled one large tax related dispute. So, it was a very positive outcome 157 crore has got settled. So that has resulted into 20 crores of book losses. That's why you are seeing that number, but that is one time.

Hardik Chheda (Q): And the consolidated it has gone up even more on the consolidated basis. It is even more it is up even more sharply. So, the reason is only tax or something else.

Rahul Shukla (A): So other we just now explained with regard to our settlements where in cash has.

Hardik Chheda (Q): Yeah, that they understood it. So, it is because of that only right both.

Rahul Shukla (A): Yeah, both put together.

Hardik Chheda (Q): Okay, perfect answer. And sir, the just wanted to understand little more on the nuclear power side opportunity apart from the SHANTI which was launched apart from that any other. In the near term any other opportunities in the nuclear power space, which you can expect in this year. Any orders any L1 or anything.

Santosh Rai (A): When you say this year, I'm treating till December, right? And yeah, yeah. So, you know, we are clearly we are clearly seeing that NPCR will come out with some tenders for their PhDWI program, specifically my Banswara and Chutka. These two bits are going to come out in export to five ones. And you know, we can expect that those orders will get decided.

Hardik Chheda (Q): Okay, how large will be that order roughly sir, the bid size.

Santosh Rai (A): My Banswara and this if they're going on fleet mode, it will be like each order would be close to 8,000-9,000 crore.

Hardik Chheda (Q): Okay, okay, and we'll be bidding for the whole part. How much will be in terms of percentage can you just say?

Santosh Rai (A): So, look the civil constitutes almost 40 to 50% of this value. The civil works.

Hardik Chheda (Q): Okay, great. Thank you, sir. Thank you. That's very helpful. 8 to 9000 crores each you said, right? Both 8 to 9,000 crores and 40% will be the civil and that. Thank you so much. Thank you. That's all from my side. Thank you.

Sandeep Sawant: Lokesh; You may please start.

Lokesh Kashikar (Q): Yeah, hi. Thanks for the opportunity. Couple of questions from my side basically. So just wanted to understand out of these 13,000 crores of orders you have. So how much is this is slow moving or yet to start work on those projects?

Santosh Rai (A): Look, I think. In fact, there is none is slow moving here in this entire 13,000 crores. We have secured 20 almost 2500 crores of partner metro, which has just started. And even Indore metro is initially take off stage. So that's another 1200 crore. All all-other jobs are and of course, we have also secured some orders in the railway sector recently around 600-700 crores. So these are in the off take stage, you know, everything else is ongoing works.

Lokesh Kashikar (Q): Okay. And so we were basically targeting around 10,000 crores of projects in this year. I understand that we have got around 3,000, 3,500, 3,600 kind of numbers. That by daily levels. So where do you see that the order in full basically settled down for FY26? And what is your expectation for FY27 as well?

Santosh Rai (A): So look, I think I will not be able to help you with numbers specific because these are forward projections. And you're not like to do that, but I can give you some sense. Look, we already have a position where our order intake as on date, if I speak, will be around 3,800 crores. We are L1 on we are having holding L1 position of another 2000 crores. And there are bits almost worth 9,000 crores, which are under evaluation. We expect, you know, to be successful somewhere. So you can take, you can, you can consider some percentage around

that. Let's say 20%, 25%. We

think somewhere around that we should be able to close that.

Arjun Dhawan (A): One thing I want to add. I think that there's some of the most of the jobs that we are looking at now are in that sort of 1000 to 3000 crore range. And so there will be some lumpiness. And so, you know, what certainly the shortfall that we basically have on a quarterly on a fiscal year basis, we certainly look to make up within the next basically three to five months, right? And I certainly expect that while there might be a little bit of short, shortfall year to date, I think that it's highly likely that we should be able to make that up in the coming months.

Lokesh Kashikar (Q): Okay. Okay. Okay. And so on the revenues, if you can just qualitatively, if you can.

Arjun Dhawan (A): There's one more point I'd like to make on that subject without giving sort of forward guidance is that there are a number of jobs in which we are in discussions with clients and we are in negotiated discussions with clients, right? We have a certain positivity with regard to how

some of those discussions will actually unfold in the coming months.

Lokesh Kashikar (Q): Okay. Okay. Let's just last one from my side. We have basically declined on the top right in front understandably because we have got lower inflows as well. So contribution was lower, but this. I just wanted to know for our long time target is around 15 to 20% CAGR want to grow. So do you think that will basically start with FY27?

Arjun Dhawan (A): Yes, and I think we should certainly try to exceed that. I mean, certainly our order backlog growth should be substantially basically higher than that in terms of growth. And the turnover from that will obviously flow depending on when the projects mobilize and get moving. But at least, you know, from our investment community, you would have a very, very good visibility of what the earnings will look like for the next three to five years as we start to build this up. So one thing that Rahu I did mention in his initial remarks, which I wanted to just reemphasize. We are entirely basically along with top line and because that will drive ultimately the exponential growth that everybody's been patiently waiting to see. But effectively, we will continue to generate strong margins. You know, as one, our operational efficiency has increased, but at the same time, the quality of the work that we're doing is continuing to improve along with some of the major settlements that we expect to conclude with our clients for closing projects, so a combination of these three factors along with our deleveraging should actually see our profit margins actually in the short run be higher than normal. So why our top line may continue to be constrained until the order book flows into sort of a top line. Our expectation is that our margins will actually relatively speaking be stronger in the short run.

Lokesh Kashikar (Q): So that helps that's it for my side. Thank you.

Sandeep Sawant: Harish. you may please start.

Harish Shiyad (Q): Hello.

Sandeep Sawant: Yes, Harish, we can hear you.

Harish Shiyad (Q): Good evening and thanks for the opportunity. I went to during the presentation; there was no mention about the BKC bullet train. Update and there were some media report that this work has been stopped due to police and problems.

Santosh Rai (A): Thank you. Harish, you know, so bullet train see bullet train project is ongoing at a good pace, I will say. Definitely, there are some slowdowns due to issues mainly with respect to the restricted working hours. And that is why, you know, the progress has not been able to achieve to the desired pace. Also, there are some interface issues with the adjoining contractors, you know, how there are some planning related issues with that. But, but it's not, I mean, I think that's not a correct news that the work has stopped there.

opped there.

Harish Shiyad (Q): No, no, it came in the media, there are BMC has stopped your work over there.

Santosh Rai (A): That was long back and that happens for one or two days when they're when the AQI goes very high on all these things.

Harish Shiyad (Q): So, what is expected data completion of this project?

Santosh Rai (A): Right now, it is 2029 almost April, 2029.

Harish Shiyad (Q): Okay. Any more package from this project bullet train you are expecting?

Santosh Rai (A): See, the Mumbai Ahmedabad, I mean, Mumbai Ahmedabad line is almost awarded for every package. But now you might have read in the in the newspaper that there are seven more bullet train projects which government. Exactly. So, whenever, you know, that's there, we will focus on that.

Harish Shiyad (Q): But here on to there are some underground tunnelling work to be done. So, there is already awarded.

Santosh Rai (A): Yes, AFCONS.

Harish Shiyad (Q): Okay. Thank you. Thank you very much, sir. All the way.

Santosh Rai (A): Thank you.

Sandeep Sawant: Ajay Desai, you may please start. You have more questions.

Ajay Desai (Q): Sir, I just wanted to understand this. My Baswara and another project which you talked about saying 8,000 crore each. If you can give me little bit more understanding about these two projects.

Santosh Rai (A): So, Ajay, these projects are basically, you know, they are P HWR program. They're all cell and megawatt reactors. What the government is going to do in line with you, you might have seen the bids of Kaiga and PPP beforehand. They're going to be six units, which will be tender together with all the ancillary equipment's, MEP, main plant and equipment's, that's going to be the package. And that's why this package of size will be bigger in nature. What you've traditionally seen.

Ajay Desai (Q): And this will, like, bidding will start. So, effectively, the execution will start when whatever we get of contract.

Santosh Rai (A): So, Yeh Man ke Chaliye execution will start in August or October, 2027.

Ajay Desai (Q): Okay. August and October 2027. So, it will start at that time, right?

Santosh Rai (A): Yes.

Ajay Desai (Q): And I have one more question from investors point of view, like, you know, the market cap, which was pre-write issue, post-write issue. And, you know, how do you evaluate that when you look at it? Basically, the investors, you know, the change in market cap between pre-write

and post-write, effectively, are at sitting at loss. So, what's your view?

Santosh Rai (A): I think, you know, it's a function of how the market is reading the current situation, but I think it's going to improve.

Arjun Dhawan (A): So, look, I think, first of all, there's two things here. One, I think it's technically, I think, and mathematically, pre and post-money situation, you know, the market cap should actually adjust for the fact that there are obviously more shares, and you have a subscription now, I think that we have to probably take into account folks that decided to arbitrage versus basically, you know, people that were long-term investors. And I think that, you know, the right issue certainly benefited a lot of our long-term investors that subscribe for additional shares and actually got them consolidated their positions. And, you know, I think that our goal is to actually build a larger, stronger institutional shareholder base. And perhaps maybe the ... And look, I don't think that we want to comment on why a market cap either moves up or down, right? I think that what I will basically say from a positive standpoint is that we certainly look to deliver a substantial, you know, value to shareholders as we really grow our auto backlog, and that's something that I feel very positively about in the coming months.

Ajay Desai (Q): So, thanks.

Sandeep Sawant: Ken, you have any additional questions? You can unmute

and start.

Ken (Q): Sir, would like to know whether on the private side, sir, was telling about negotiating contracts with some big players. So, would like to know which industry we are and which segment we are discussing?

Santosh Rai (A): So, Ken look, we are talking about renewables. And renewables of, you know, both nuclear and hydro form, that's one part. We are engaged with the private sector.

Arjun Dhawan (A): And hydro includes pumped storage.

Santosh Rai (A): In addition to that, the minerals and metal sectors are where, you know, we have, again, we have picked up pace and we have just... We are working on some project right now for Hindalco. We are definitely seeing a lot of traction there. And we are, again, engaged with the you can say the leading players of that sector. And we believe, you know, we'll be in a position to convert some good orders over there.

Arjun Dhawan (A): We have also identified two regions abroad where we have an interest to actually work in the medium to long term. And we've made, you know, fair amount of headway in terms of establishing a presence with, hopefully, the beginning of some new business, which we will basically communicate at the appropriate time.

Ken (Q): And so, one more question asked. There was one big order, hydro power orders, bi d coming in Arunachal, so what's the status for that.

Santosh Rai (A): So, this was the Dibang and we have lost that bi d. I can say the... Some of the industry players have gone ahead with a very, very aggressive bidding on that project. And we continue to maintain our bidding discipline, post... You know, after analyzing all the risk associated with such a large job. So, we have not been successful on that bi d.

Ken (Q): Thank you.

Sandeep Sawant: Kunal Tokas, you may please start again. You have more questions.

Kunal Tokas (Q): Yes, please. Thank you. A question about your versus expect to grow very fast, do you think labour can become an obstacle to that growth?

Santosh Rai (A): Yeah, that's an industry issue. You are right. I mean, labour is a challenge for the entire industry. And I think we will have to factor this into when we are looking at growth. The solution to that is going to be some of the captive training which we have to do. Some very, very innovative retention programs with the labour workforce. We are engaged on that. But yes, we will have to live with that problem. And I think we will have to work around it.

Arjun Dhawan (A): Well, I think the one other thing that I would like to say on this front, I think that... HCC has remained very, very proud of its health safety and environment standards. And I think the respect for our labour force and the quality of our labour camps and how we treat our labour, and at least what we consider to be the joy of working within HCC is something that we tend to basically feel fairly strongly about. So that certainly helps. But we all know that there's a stretch demand supply situation in the country. So yes, I think what Santosh has said is something that we continue to be cognizant about in terms of, well, how do we better manage with our labour, with our partners to ensure that at no point in time, we have our cycle times disrupted by labour disruptions.

Kunal Tokas (Q): Thank you for your answering also. Here correctly get to say you're evaluating 2 international destinations to be working.

Santosh Rai (A): Well, sorry, we couldn't understand this question clearly.

Kunal Tokas (Q): Did I hear you correctly saying that you were evaluating 2 foreign destinations?

Arjun Dhawan (A): Yes, that's right.

Kunal Tokas (Q): When you divested for Steiner or did you also not say that you were satisfied with the amount of opportunity available in India, I wanted to focus us here.

Arjun Dhawan (A): Yes, but yeah, but Steiner was in a different line in building constructio

n. And so I

think that our goal and we still maintain that is that our core business of engineering construction is where our focus area is, period. Where we have where we see clear high margin opportunity and where we've actually frankly in some cases been invited to work and provide our expertise is in a couple of regions. It is something that we are evaluating and this is something that we don't see as a dramatic shift or distraction from our core area of working. This will always account for a very small portion of our order backlog, but then could tomorrow become, you know, could complement basically our work and our diversified order book and our margins as time goes by.

Santosh Rai (A): In fact, we are taking over on the best strength in new locations.

Kunal Tokas (Q): That's what we heard. It might not become a stretch on the working capital.

Arjun Dhawan (A): No, I know we're very, very clear. Look, I think that, you know, we're blessed with a lot of opportunity in India. And it continues to be focused on infrastructure spend and. "Jinta Infrastructure banaya apne desh mein woh kam padta hai". So, it's, you know, at least for the number of years to come. We will always have tremendous opportunity here, but we will look very, very opportunistically at a couple of, you know, just because we mentioned international is not because we don't see opportunity in India, right? it's sometimes a quality of the work, the quality of the client, the pre-qualification that comes with that and the high margin basically that comes with that is something that we don't do a blind eye to. And certainly this, this, you know, this is not something that will require any material investment. You know, very clear about why is use of our capital in the in the short to medium term.

Kunal Tokas (Q): I'm glad to hear your thoughts and excited for this next phase of your journey.

Thank you. Thank you. Have a good time.

Thank you.

Sandeep Sawant : Hardik Chheda, you may please start.

Hardik Chheda (Q): Yes, sir. I just wanted to ask regarding the margin for the next year. Do we see margins remaining at the same level or now do we see the margins going up?

Arjun Dhawan (A): I think I've, you know, I've already commented on that. I think that it would be unfair to probably see anything further.

Hardik Chheda (Q): No, I don't know the exact. I missed that part. I just wanted to understand, but let's say not about next year in general. The margin trends. Are you seeing them going up from here for the forthcoming orders that you'll execute or staying in the same range around where they are? I think asking for exact numbers.

Arjun Dhawan (A): I think if you're asking from a job specific standpoint, I think we will continue to maintain our discipline off and we've always maintained the position of the kind of work we do is in the mid EBITDA margin category. As you see our debt come down and our goal is not just by the end of fiscal 26 to see the debt come down to sub 2,000 crores, but to actually have the company completely delivered as early as possible. You know, in the next basically, you know, two to three years we want to be debt free. So that along with basically the client advances being adjusted. The kind of works that we're picking at least, you know, Rahul talks about the diversified order book as well as effectively the fact that we work across the country allows us to actually. You know, see through cycles, right, whether it's in a particular sector or in a particular region and to some extent because of our pre-qualifications and the complexity of the works we do and the appreciation that the clients have for our work. We tend to actually not have competition in more than basically three or four years in the space we look at. So, combination of all these factors is going to imagine maintain the quality of our margins. And you know, and

so certainly don't think that you should be disappointed on that one.

Hardik Chheda (Q): Okay, and let me just put it that this I got it and with the opportunity in the nuclear space say I'm not asking six months say two to three years down the line. Could that substantially take our margins up from the present level or even after that the margins you're expecting to remain same or that could be a change or in terms of margins.

Arjun Dhawan (A): The answer is yes, yes, it's a simple yes, you know, and it's a function of two things. It's a function of the quality of work, but it's also a function of scale, so.

Hardik Chheda (Q): Okay. Got it. Got it. Thank you. Thank you. That answers my question. Thank you.

Thank you.

Sandeep Sawant: HS Read. You may please start

HS Read (Q): Yeah, you mentioned about the Dibang 3 project, So if I'm not wrong Patel engineering and your group are there, so. Where's actually finally won this.

Arjun Dhawan (A): I'm sorry, who is what? Company by the name of Rithvik is one the project or is L1 the project of these that the is.

HS Read (Q): But sir, do they have any track record or something because the technical.

Arjun Dhawan (A): Look, we're not in the position to comment on our competitors or peers or any other come that would be certainly unfair.

HS Read (Q): Okay. I appreciate it.

Arjun Dhawan (A): I just wanted you to do your own due diligence.

HS Read (Q): No, I agree, sir. Thank you so much.

Arjun Dhawan (A): It's a question you can ask NHPC in your next in the next analyst thought.

HS Read (Q): Yes, just wanted to ask one thing like the guidance because we are shareholders for long time now. What kind of thing we can expect in next two, three years, what kind of guidance you can give us. Because all these rights issues and everything is over financial restructuring is over. So what we can look up to now.

Arjun Dhawan (A): We've seen I think this past year, you know, there's been a higher level of comparative intensity. I think that what you will certainly expect is at least from HCC, you will not expect us to make a mistake. You'll expect the highest quality is a basically, you know, health safety environment. I think that that's something that when we the industry goes through cycles. You know, people basically appreciate that at the end of the day are certainly our clients do.

As far as now coming down to what investors care about is growth and growth in earnings. And return on investment. And as far as we're concerned, I think that one we already spoke about the leveraging and the, the substantial growth in earnings that will come from that. That's one. But as far as turnovers concerned, we said this in prior calls. Then we want to see a doubling of our turnover every three years. You know, ultimately, we want to on such a low base. I think it would be certainly a disappointment for us if we didn't basically grow. At 20, 25% a year, right? And that's now a function of us building an order backlog and really kind of, you know, having those numbers transferred into free cash flow. And what we requested in the past, basically, quarters is that the community, and the investor community overlook this, this, this period during which time, you know, we've, we've been looking to basically do our business. I have said this on our last analyst call that I've been a little disappointed at the speed at which we've done that in this past year. But I certainly look to make that up in space. So not only will we look to make up for the last year, but we look to basically accelerate that along with this year's, you know, fiscal, and I say fiscal 27 is basically planned, right? So I hope that gives you a sense as to the ambitious plan that we have. And I appreciate the patience that people have had in us basically achieving this task.

HS Read (Q): You're giving this bid pipeline of 53,000 crore

es in your presentation. So, I could not attend that initial part of your presentation. So, I'm sorry for that at the outset. If because you might have expressed something, can you just tell me now which are the main projects in that and what is our probability of winning them?

Arjun Dhawan (A): We don't, we don't go into the bid pipeline in terms of project by project. And, you know, certainly what you can expect is that the, is that we have, we have been in our areas of co-competence, right? We look at our diversified order book where, you know, you wouldn't be that surprised to effectively see that most of our pipeline, the work we've already done and the work we plan to do is actually in that. Now, let Santosh basically add to that, but I think, you know, we look at generally speaking of 15-20% hit ratio. I mean, that's what we target. I think that in some cases, I think we'll be actually probably maybe even exceed that where there are jobs in which where the competition is lower. And we're one of two or three players that, you know, is your mark to kind of, you know, win the job.

Santosh Rai (A): So, I think just to give you a feel, this, this bit pipeline, which is there, majority of the bids are coming from hydro power sector and urban transport sector.

HS Read (Q): So, sir, our hit ratio, it is 15% let us say, then it translates into only 5,000 crores. I mean, maybe 7000-8,000 crores.

Santosh Rai (A): Yeah, 7, 8,000 crores.

HS Read (Q): So that takes care of only one year, hardly one year because now we have to grow at 25% also.

Santosh Rai (A): Yeah, but this is in addition to whatever we have secured already.

Arjun Dhawan (A): Yes. And, and by the way, this, this pipeline we're talking about is with what we're talking about currently now in the next three or four months that pipeline will continue to grow.

Santosh Rai (A): Right. Yes.

Arjun Dhawan (A): So, for us, the definition of pipeline is a project that we are getting very near, ready to bid for as opposed to the identified number. So, this is the, it depends on how we define it. The 50,000 crores is not a, it's not a definition of a fiscal 27. It's basically currently, you know, what's on our slate and what we plan to basically look to focus on.

HS Read (Q): Okay, okay. And then 35,000, which is mentioned above, is like order book.

Arjun Dhawan (A): Its bid submitted.

HS Read (Q): Bid submitted. So there, the hit ratio will be 15% of.

Arjun Dhawan (A): Again, I to be very honest, I, you know, I'd like to withdraw the comment of 15% to 20%.

HS Read (Q): I mean, look, I think that we just for understanding, sir. I appreciate it. I appreciate it.

Arjun Dhawan (A): We think about, we think about that from a growth allocation of capital, you know, capacity perspective. Obviously, it could be much higher than that. It could be slightly lower than that. We don't expect it to be lower than that, but it certainly could be higher than that, in which case, then we have to, you know, obviously have the excellent capacity to you know, to execute that.

HS Read (Q): Thank you, sir. Thank you so much.

Sandeep Sawant: Thank you. Kunal Tokas you my please start.

Kunal Tokas (Q): I just forgot to lower my hand .

Sandeep Sawant: Pranav , but now you may please start.

Pranav (Q): Hello, am I audible?

Sandeep Sawant: Yeah, yeah.

Pranav (Q): Yeah, sir, I like you. So, just, I mean, that are fast also and You were consistent when it go and proven ourselves when it comes to having the margin that you want it as a company. Right? And we started showing the results when it comes to the, you know, getting our money back , receivables , clearing our balance sheet. And just one thing for the last three, four quarters, we've always been talking on the order booking side. Where is the lack or where is the lag that is happening? Is it from the government' s end? Is it from

our end? Or is it, you know, environment business environment as such? That is not.

Arjun Dhawan (A): I don't think that first of all that we can place the blame on the government at all. The government is doing a wonderful job in bringing a very large infrastructure pipeline to market. I think that perhaps maybe, as I've said this in the last quarter, perhaps a little bit of ill luck on our part. We had 5,000 crores of L1 jobs basically in our order book, which were Maharashtra basically jobs, which were then cancelled or retende red. Right? So, then they went, we went sort of back that should have theoreti cally today been in an LOA position, which we could have executed. And I think, you know, to be very frank, I think it's a function of us not having executed as quickly. There's no other excuse for that. I think that there are, yes. You know, we tend to look at, we're looking at fewer bids, but larger bids in terms of size, 2 to 5,000, 2 to 4,000 crores. So, there's a more lump, there's a greater lumpiness in our order backlog. Hopefully there will be one or two quarters where you would be surprised with a substantial order. So, for example, Dibang was a bid that was 15,000 crores. I mean, it would have got me at one that doubled our order backlog. Now, I don't think that there's any excuse, but effectively our own performance in terms of generating that order backlog. Very simple.

Pranav (Q): Okay. Okay. So, then the path going ahead because now our balance sheet can basically support a lot of larger orders and more orders was because we are technically at the lowest debt in our last 10 years. How are we go, how as a management, how, what do you see our company becoming in the next four to five years? I mean, where will our niche be or what is our mode that is going to be as a company?

Arjun Dhawan (A): I don't know. I mean, are you asking from a financial standpoint? Are you asking from a position?

Pranav (Q): No, no, from our, from a promoter's standpoint, what do you see our company becoming or what is our niche that is that we are going to create? Or probably, you know, that this is the segment that we are going to have our foot in like an elephant or, you know, cement our position, whatever orders we, whatever tend to it or whatever.

Arjun Dhawan (A): You know, the one thing that we have been blessed with is that we've been blessed with a hundred -year pedigree and having actually done landmark projects for the nation. You know, there's been projects of incredible difficulty and complexity, which have not just basically helped the contribute to the economic growth or of the country, but also basically been associated with strategic areas and defence , etc.

So as far as we're concerned, we will continue to work in our core areas of expertise. I think you're already aware, you know, that we, we've done nearly a quarter of India's hydro out of the 24 nuclear reactor buildings today, 14 have been built by HCC. I don't think they need to repeat our credentials on the tunnelling front in terms of even building some of the most complex and most impressive bridges. Over that matter, strategic projects like effectively the dry dog for the aircraft carrier or the strategic oil cavern reserves , you know, where our crude oil basically rests. So I think that we will continue to embrace complexity. We will continue to take on projects which, which require great engineering excellence. And I think that you will not notice probably more than a few competitors in the field that we basically continue to compete in. Does HCC need to regain, you know, yes, HCC has a lot of these landmark projects to his name but financially speaking and in terms of the size of our business, are we sort of, you know, today. Do we today, in the next five years, if you ask me, do we need to regain our place among, you know, as one of the largest and most successful and fi

nancially successful companies in India doing large complex infrastructure projects. That's certainly basically where we need to be and they will be and that's basically our goal.

Pranav (Q): And our plan to reach that is basically building and showing our complexity is for us.

Arjun Dhawan (A): Yeah, it's simple. I mean, it's, it's a simple, it's a matter of simply of remaining keeping. Like I said, the most important thing is being true to who we are, the integrity with which way we work, we're a professionally driven firm. And we will continue to maintain that discipline in terms of taking on commitments responsibly and executing them with the highest standards of basically quality and safety. And, and just that's right. I mean, we just need to do much more of what we've done before.

Pranav (Q): Okay, okay. Thank you so much.

Sandeep Sawant: Kiran, K.R, you may start. Kiran is not responding.

Sandeep Sawant: Naman Ranbhan. Hello. Yeah, you can start.

Naman Ranbhan (Q): Yeah, hi, sir. So, my only question was regarding the profitability. If we see on a standalone basis versus the consolidated basis, there has been a reduction. So just wanted to understand the reason for the difference and is it a one off or how should we see it on a future basis?

Rahul Shukla (A): So, Naman, we have already explained this. And it's one off because of couple of items, which I have explained. So maybe you can refer to my comments there, please.

Harish Shiyad (Q): Thanks for opportunity. I have a two, three clarifications to ask. One is about the promoters are having some shares pledged. And depending on the company. Are you planning to add stake in the company because it's only 16, 17%. Did they subscribe to the right issue recently.

Arjun Dhawan (A): Sorry, didn't really understand your last question, but I think that look as far as the promoter group shareholding is concerned. I think the fact that the goal is to obviously have as much of the shareholding. It is possible and you know that's the goal. I can't comment beyond that at this point, but we will share that information basically with your due course. And the promoters basically are not only subscribed to their portion, but actually oversubscribed as far as this part as the right issue is concerned. I think that what you can expect in the in the in the near future is our plan to try to basically raise the shareholding at this point in time. I won't say it any further on the subject. You can please stay tuned for what our plans are later.

Harish Shiyad (Q): But the pledging is bad on the stock price. What is the road map for that?

Arjun Dhawan (A): I'm sorry, your question is not clear.

Harish Shiyad (Q): In any case, I am talking about the preaching of the says very promoter is supposed to be in the bad sentiment on the stock price. So what is the road map to remove the pledge of the promoter?

Arjun Dhawan (A): I can't comment on that. This is not the appropriate forum in which I will comment on that. What I will say what I will say and I will repeat again to you is that there is a clear plan to basically do that. But unfortunately, I will not be able to I will be unable to basically be explicit on this underscore.

Harish Shiyad (Q): Thank you very much. All the best

Sandeep Sawant: There are two more hand rays, Rajesh Bhandari and K there repeat. I'm allowing Rajesh. Rajesh you may please start. Have you raised your hands or it is by mistake?

Santosh Rai (A): Sandeep, I think you know where they have just not put it down.

Sandeep Sawant: So I think most of things are answered. Rahul sir, you may please close the call.

Rahul Shukla (A): So now that there are no questions, we will close this call. Thank you all for joining and making it a fruitful discussion. Goodbye and see you next quarter.

Call: May 2026

HCC Ltd

Analyst Call Transcript to discuss HCC Q 4 FY26 Results

Date: May 14, 2026 | Time: 6.00 PM

Company Representatives

- Arjun Dhawan - Vice Chairman & Managing Director
- Rahul Shukla - Chief Financial Officer
- Santosh Rai - Operations Director & Chief Business Officer
- Nitesh Jha - Company Secretary
- Ravi Jain - Deputy Chief Financial Officer

Moderator: Soubhik Mitra , General Manager - Corporate Communications

Transcript:

Soubhik Mitra : Good evening all. Welcome to HCC Q4 FY26 results announcement. Before we start, some house rules, please. I would request after the presentation, please limit two questions at a time and you can come back into the queue. From the management, we have our Vice Chairman and Managing Director, Mr. Arjun Dhawan, our CFO, Mr. Rahul Shukla, and our Chief Business Officer, Mr. Santosh Rai.

Santosh Rai: Hi, good evening, everyone. I'm Santosh Rai here, Chief Business Officer, and I'll be taking you through this presentation. Some part of it I'll be taking through and remaining part will be taken care by our CFO, Mr. Rahul Shukla. Let's begin.

This works. There is some technical issue. Just, okay.

So, as an organization, HCC completed its 100th year this January and we are celebrating our centenary year. For the record purpose, we have done more than 4,000 kms of highways, 395 kms of tunnelling, installed more than 60 % of nuclear power capacity for the country, and around 26 % of hydropower capacity in the country, and we plan to continue to do so. Here are the key performance highlights for Q4 FY26 and FY26.

The most noticeable thing is 142 % year-on-year increase in our standalone net profit to ₹206 crore in FY26 as compared to ₹84.9 crore in FY25. And this is largely driven by a lot of, I can say, improvement in the operational methods, operational efficiency, cost discipline into the execution of projects, and trying to focus upon to control the cost despite all the global volatility which we have into the market. We expect to sustain these margins going forward.

The next important thing for us to notice is the 38 % year-on-year decrease in the debt to ₹1,995 crore, and the full impact is not reflected in this year's result. You will see on a proforma basis that the annual interest reduction could be to the tune of ₹112 crore in FY27. We are not done yet. We will continue to focus, you know, on completely deleveraging the company and want to further reduce the debt. In fact, the objective is that we become debt-free in some relatively short-term period. That is going to the effort on the entire organization.

On the numbers, standalone turnover is ₹988.7 crore in Q4 FY26, and for the full year FY26 it is ₹3,937.3 crore versus ₹1,330.2 crore in Q4 FY25 and ₹4,801.1 crore in FY25. Our standalone EBITDA margins is 18.2 % in Q4 FY26 and 16.1 % for the year FY26 versus 31 % of Q4 FY25 and 19.4 % in FY25. In the Q4 FY26, we have been able to secure ₹2,290 crore of order and a total order intake of ₹5,654 crore for FY26. This includes a ₹1,100 crore LOA we received in April. This was a schedule point of view. It just came in the first week of April. And we are also the lowest bidder for a project on which our value is around ₹840 crore.

In addition to that, we expect that, you know, to get some more orders from the bids what we have already submitted. We have around ₹26,000 crore of bid under evaluation, and we are well prepared to submit bids in north of ₹43,800 crore in Q1 and Q2 FY27.

This is the position of order backlog as of 31st March 2026. Transport continues to be a sector where we have our maximum order backlog, followed by hydropower, then water and nuclear and buildings.

These are the geographical breakup. We continue to have projects across the country. This does not include our ₹1,100 crore of LOA, which we have received in April 26 and L1 position of ₹840 crore.

Some updates on the open

rational projects.

Indore Metro, what you see on the slide, the FAT, that is the Factory Acceptance Test of the machines are completed, and these machines are on their way to reach the job site. What you see on the right side is an excavation going on for our airport station, which we are planning to finish by December 2027, ahead of schedule actually.

This is Patna Metro PC05 and PC06. We got this job almost five months ago, and all the necessary mobilization activities are in progress. All the GC and everybody is on board. Other preparatory activities are again in progress here.

Agar danda Creek Bridge, we continue to drive the piles in the marine environment and on the land also. What you see on the screen here is a floating batching plant that is being used to cast these piers and piles, what you are seeing in the water in floating condition.

Tehri PSP, all the four units are commissioned, and you can see the picture on the picture, the commissioned powerhouse.

This is the Bhivpuri Pump Storage Project, and this is the excavation what is going on for the powerhouse.

On Vishnugad Pipalkoti, significant amount of concreting has been done, nearly 65 -70% of the dam concreting is done, and we have also completed 9.3 km of tunneling in the HRT using our TBM. This is the machine hall, unit 1 and unit 3, almost unit one you can see is like 75 -80% ready, and machine hall unit three is under preparation.

Tapovan Vishnugad, which is an NTPC project also here, things are progressing well. We are facing challenging geologies, but progress is being maintained as per the required pace.

This is the FRFC Kalpakkam, block three and blocks five and seven are under progress, and the job is progressing well in line with the schedule, what we have agreed with the department.

You know, so this being our annual kind of analyst presentation, so we thought we will also take you through our take on the infrastructure sector and how it is looking like. You will notice that this year we are targeting to have an order booking of around ₹15,000 crore, that is our guidance for the year.

So, let me explain you the sectors we are looking at and what the situation is looking like.

We believe that India infrastructure is going to grow at tremendous pace, and this is evident from the kind of plans that the government has and the needs that are there. For example, we are currently operating 1,000 kms of metro line, which has to be increased to 20,000 kms of elevated tracks. We are having 500, not having, we are in the progress of putting 508 kms of high-speed line, which has to be increased to 4,500 kms. Similarly, power PSP from 7 GW to 1,000 GW. Hydro capacity has to be increased from 50 to nearly 70. Nuclear power from 9 GW to 1,000 GW.

So are the numbers here on the screen for your road sector expansion, port capacity expansion from 820 to 10,000 M TPA. And the number of train services which has to be increased, which will again increase the demand for infrastructure related to railway works.

So, looking at hydropower, we will see that what the growth is looking like in next 10 years. In FY25, we have around 57 GW installed and the plan is to take it to almost 167 GW, which is almost 11% CAGR in terms of if I talk the opportunity in lakh crore, it will be jumping from ₹0.5 to 1.9 lakh crore.

Lot of hydropower projects are currently in tendering, which we are seeing now, and a lot of focus right now is also on the Pumped Storage Projects. I believe the current energy crisis, which is going across the world will also, you know, make the government and the developers look at alternatives and PSP is going to stand out in this thing where very long gestation of readily available power can be made ready as compared to some other modes.

So, here our advantage is we have built around 27% of India's hydropower and we, I think we are one of the few top two, three companies, which

has the experience in almost all kinds of

hydropower projects, be it EPC, be it EPC and have done all elements of that various projects.

These are some of the projects which we can clearly see coming up very soon, almost ₹40,000 crore of hydropower projects, what we have put on the screen here. Similarly, some of the upcoming pump storage projects. So, these two together is like almost ₹70,000 crore of opportunity on the screen, which we are going to be very actively participating into.

Transportation, again, as we had said, thousand kms of operational metro has to be taken to 20,000 kms, which means that lot of tier two cities will come up with this metro projects. We are seeing a lot of traction into that Delhi, Patna, Indore or for that matter, now Baroda is preparing, Srinagar is preparing for metro projects. Plus, we are going to have this new seven speed high corridors, which are under preparation. Rapid Rail Transit System, which are going to be like connecting two major cities kind of project. This project is also on the table, and a lot of such opportunities are there.

We have constructed very similar structures which are required in this kind of project, be it bridges or be it be surface works or tunnels. HCC is a company which has been specialist, I can say, in underground metro rail project. We started, the first metro in the country was built by us, followed by Delhi, Chennai, Mumbai, everywhere.

And we have done all kind of structures which are required here. So, we believe we will be able to participate on a large part of this again. Here is the list of some of the projects which are going to come. You can see nearly ₹1 lakh crore of elevated metro projects and nearly ₹37,000 crore of underground metro projects.

Nuclear, I believe this is one sector where, where we are very, very uniquely placed because the company has built more than 60 % of India's nuclear power plants. We have built the main reactor buildings. We have built plant water intake system. We have built lot of auxiliary buildings required there. And we are right now also constructing some of the projects which are related to this process. For example, the fast reactor fuel cycle complex which you saw in the presentation before.

So, here the important thing is the country wants to take the production of nuclear power from 9 GW to 100 GW by 2047. This is going to be through a mix of different technologies, something like a pressurized heavy water reactor which I can say a workhorse for the country right now, followed by light water reactors, followed by small modular reactors also with the SMRs.

And this will definitely put together the need of people who are actually, nuclear quality and nuclear

safety trained. And HCC here comes in a very unique position. To show you what it will look like, here are some of the upcoming opportunities very quickly which are going to come up. On this slide, you can also see how the different technologies will be contributing to these 100 GW by 2047. PHWR which is the indigenous program will continue to be the biggest one, you know, which will be like almost 4 %, followed by pressurized water reactors. Also, technology from France which is like EPR, that project is also coming up in Jaitapur. That will be a part of it. And here are some of the immediate opportunities which we see like Gorakhpur 3 and 4, Kai ga 5 and 6, Chutka, Mahi Banswara. And in fact, we are working on some of these opportunities already with these clients.

Building an Industrial sector, again, I think a lot of expansion is required in steel, copper and bauxite capacity into the country which we believe in the next five years can lead to a capex of nearly ₹3 lakh crore. You will be happy to know that we have already picked up our one order into the aluminium sector which is about making the pot shells and pot superstructure and the job is proceeding very good. This project we got as a result of our, I can say, super performance with the same client 10 years ago wherein they have been using these structures built by us with no complaints and that led us to be where we are.

We will continue to grow in this sector and will continue to acquire more such orders which are fast turnover, quick turnaround projects and also, they have element of technology which allows us to be little uniquely placed. So, this sector in steel, copper and aluminium is where we are going to play. We are also going to selectively look at buildings which comes up with some big complexes on a very selective basis but that is a sector also we will keep examining.

Thank you. Now, I hand over the presentation to our CFO, Mr. Rahul Shukla for the financials part. Rahul Shukla: Good evening, everyone. So, headline numbers have already been presented by Santosh. So, these are just detailing of that. So, as you can see, we have this quarter we have achieved the total income of ₹1,016 crore viz-a-viz ₹950 crore during last quarter and our EBITDA has been ₹180 crore viz-a-viz ₹139 crore during previous quarter and profit after tax has been ₹44.6 crore is against ₹85.9 crore.

So, that is where we are. We have reduced our debt very, very considerably which will be reflected in the coming financial year. Since it has been done during the end of this year, you are not seeing much impact of that. But going forward, that will start reflecting in the numbers. On the console side, because now HCC is the main company in the group, your numbers are more or less matching with the standalone. So, we are there at close to ₹1,017 crore not much difference from standalone. EBITDA stands at ₹170 crore which is 17.21 % and profit after tax is ₹58.9 crore. So, with this, we are closing the presentation and now we are open for question and answer.

Soubhik Mitra: Mr. Kapil Agarwal, you may go ahead with your question, please limited to two questions at a time. Thank you. Mr. Kapil Agarwal, are you able to hear us? Hello. Yes, Mr. Agarwal, go ahead, please.

Kapil Agarwal: Yeah, yeah. So, my first question is regarding that our trade receivable, non-current trade receivable has escalated from ₹646 crore to ₹1,178 crore. So, why such kind of spike is there?

Rahul Shukla: So, these are receivables which when our claim gets converted into awards. So, in this year, we have got significant positive development in terms of received of claim to award conversion. That is why you are seeing increase in receivables there, but it is a positive thing to have.

Kapil Agarwal: And on standalone basis, our operating cash flow is approximately ₹700 crore in this year. So, how will, how we should, going forward how we should see it like, it will be in this range or more than this only or there is something exceptional in this year?

Rahul Shukla: So, our EBITDA as we have been maintaining EBITDA margins of 14 -15% with team and we can expect to be in that range in the long term. Short term sometimes there may be some increase and then there could be some decrease, but on an average 14 -15% EBITDA we will be maintaining.

Kapil Agarwal: Yes, EBITDA I understand, but operating cash flow ₹700 cr is a normal cash flow we can see going forward.

Rahul Shukla: Yeah, yeah, that is normal cash flow because we have received a lot of our receivables from client which we have stuck. So, that is why the cash flow is there. And we can expect these kinds of things to keep on coming, but they may be lumpy in nature. In some quarter they will be there, in some quarter they may not be there, but on an average, we are targeting one. Okay.

Kapil Agarwal: And in cash flow, we have shown that finance cost we have paid ₹979 crore. So, this is only the finance cost or some repayment of loan also?

Rahul Shukla: So, we have prepaid the loans, lender loans this quarter.

Kapil Agarwal: I got that, but in standalone cash flow statement, finance cost paid is ₹979 crore.

Rahul Shukla: So, basically we have OGDs and NCDs. Our OGD number when we say there is

principal amount and there are some approved coupon amount of historical accruals. So, when we pay amount, our principal amount will be small, but the historical coupon accrual will be a larger number.

So, you will see that debt repayment is some ₹650 crore, but interest repayment is ₹900 odd crore put together ₹1,500 odd crore. So, that is why it is represented like that.

Kapil Aggarwal: And we have announced that we have transferred some arbitration award of ₹1,900 something crore to over one of subsidiary. So, it is not showing any reduction in our balance sheets. So, how is this?

Rahul Shukla: So, see we have transferred those awards at mid mill value. So, there in balance sheet, there was some receivable and there were some liabilities. Both have been transferred. So, there will not be any impact in balance sheet.

Kapil Aggarwal: But in asset side and liability side, both sides similar kind of reduction should be there. Overall balance sheet size should be reduced.

Ravi Jain: So, basically what has happened, there are some assets are there and against that we have already received the advances for that. So, that is showing as a net of advance in the balance sheets. So, there is no change as such in the balance sheet. We have transferred both the things to that.

Kapil Aggarwal: And we are having investment in HCC Infrastructure of approximately ₹1,150 crore and it is substantially eroded. It is we can say network is substantially eroded. But why we think that it will be recoverable kind like we have not written of this. So, what kind of asset is in this that company that which gives us assurance that this is recoverable, or we can say this subsidy is having such value.

Rahul Shukla: So, Mr. Aggarwal, I will answer this question. But I will request that since we have a limit of two questions at a time.

Kapil Aggarwal: Sure, I will come back in queue.

Rahul Shukla: So, there are significant receivables in HCC infrastructure which we are expecting to realize. So, this investment repayment will happen plus there are significant business prospects because HCC infrastructure has historically done very large amount of BOT project developments. And we have got capabilities, PQ, all those things. So, naturally we are aspiring to continue with that business, grow that business. So, those things are in place, intact and that is how we intend to get this ICD repaid. Okay.

Kapil Aggarwal: Thank you. I will come back in queue. Thank you.

Soubhik Mitra: Mr. Kunal Tokas, you can go in next, please. Hello, am I clear? Yes, go ahead, please. Okay.

Kunal Tokas: The first question is, the order booking for FY26 have not been what we expected. So, I just wanted your revenue guidance for FY27. What can we expect?

Rahul Shukla: So, Kunal, generally we avoid giving revenue guidance's because our revenue is generally guided by order that we book. Execution has been intact that you have seen that when there is order we have been executing well. So, as we intend to ramp up our order booking and growth, you have seen that this year we are targeting ₹15,000 crore of order intake, which if that happens, we are able to achieve that we will be at almost ₹26-27,000 crore kind of order booking by end of FY27. So, once that starts materializing, you will start seeing significant ramp up. However, for immediate year we avoid giving guidance's. So, kindly excuse us for that.

Kunal Tokas: Thank you, sir. The second question is about your L1 book being at ₹840 crore for the last two quarters, which used to be multi-thousand crore rupees. So, is there a change in how you recognize your L1 book?

Santosh Rai: Sorry, Kunal, we are having only one L1 position right now, that is for a project in Kashmir where our

share is ₹840 crore.

Kunal Tokas: Yeah, it has been, you have been showing ₹840 for the last two quarters, right? This one and Q3 and Q2 as well.

Santosh Rai: You are right. And this order is, you know, has not been converted yet because government, I think the department has its own issues to be sorted out within themselves in terms of some, you know, I can say administrative work and that is what is delaying this conversion.

Kunal Tokas: All right. Okay. Thank you very much and have a good day. Thank you.

Soubhik Mitra: Mr. Shashi Kant, you can go in next, please. Mr. Shashi Kant, am I audible? Yeah.

Shashi Kant: I just wanted to know about the current scenario after the SHANTI Bill passes, what is the, you know, ground development in the nuclear front?

Santosh Rai: So, Mr. Shashikant, look, there is a lot of discussions happening around, you know, the discussions right now are largely centred between the authorities and the developers about the kind of preparations which the industry need to be prepared with and also various rules of licensing, how the government is going to fulfil some of the condition precedents and what condition precedents developer will have to fulfil. So, this discussion is going on, I can say, in a good positive way. You must have seen reports by TERI, by other bodies which are highlighting the kind of work which is happening in this direction.

And I believe, you know, like any other new approach, this will take 6 to 8 months for things to start

getting crystallized. Having said that, that is on the developer side and what kind of power plants could be set under the SHANTI Act. But at the same time, there are the other programs which has already been into place like, you know, this Mahi Banswara project or RAPP.

These projects will keep going to be implemented by NPCIL directly and we will have those opportunities. Other than that, look, SMR, BSMR, this discussion is happening and you could see some of them actually turning on the ground maybe in 18 -20 months, somewhere around that. Shashi Kant: So, I mean, what is the, you know, the cycle once the approvals are in place, land acquisitions are in place and so, what is the normal time that the reactors take to build and get up crystallized and all?

Santosh Rai: So, if you go by the record worldwide and also in our country, our reactor which is based upon pressurized heavy water technology or a light water reactor technology, I think the average time till date has been 7-8 years.

China in some cases, I believe has been, in fact, their first EPR which was Taishan has taken quite a lot of time but some of the other programs, they have been able to do it in 6 years. So, I will say once everything is done, we can expect 7 years, 8 years as an average time. Naturally, when every learning is being put into process, some other regulatory things are, you know, further rationalized, these kinds of time cycles may come down to 5 -6 years also.

Shashi Kant: Okay, one last question. So, what is the, you know, ongoing scenario in the refurbishment of, you know, plants, old plants that we have seen in Tarapur and all? So, what is the scenario in the ground?

Santosh Rai: Look, I think some of them, I mean, all our plants are not 700 MW, some of them are smaller capacity and if government plans to do a upgradation of these plants, these are very, very technical things. We are seeing some kind of upgradation, but I think they are on routine basis. There is not some, you know, I can say fixed timeline or program to that. It is on a very, very selective basis what each plant will go through.

Shashi Kant: Thank you, sir. Thank you. Thanks a lot.

Soubhik Mitra: Mr. Rajesh Bhandari, you can go in next, please. Mr. Bhandari, are you able to hear us, Mr. Bhandari? Yes, go ahead, please.

Rajesh Bhandari: Sir, what is our present order book?

Santosh Rai: Around ₹13,000 crore as of

31st March 2026.

Rajesh Bhandari: And what can we expect in next 3 to 5 years, the order book and the debt?

Santosh Rai: No, look, out of ₹13,000, ₹1,100 is not there. That ₹11,000 is not there. Sorry, ₹1,100 crore is not there. This year, we are targeting around ₹15,000 is what we have said as an order intake. If

Rajesh Bhandari: FY26 -27.

Santosh Rai: Yes, Sorry, go ahead.

Rajesh Bhandari: How much, sir?

Santosh Rai: ₹15,000.

Rajesh Bhandari: ₹15,000 this year. And what turnover we are expecting, sir?

Santosh Rai: See, as Mr. Rahul Shukla has already said, we cannot give you exact guidance, but we are looking at a fairly good growth from where we are. You know, you can assume that by the end of FY27, we may be sitting on an order backlog of something like ₹24 to 27,000 crore . It could be something like that.

Rajesh Bhandari: Now, that order backlog has become one, sir. Execution. Because our money comes in execution, right?

Santosh Rai: Mr. Rajesh, as I said, we have done nearly ₹4,000 crore this year, right? Yes, you can expect, you know, 20 -20% kind of growth you will see in turnover in this year.

Rajesh Bhandari: And when will the debt be settled, sir?

Rahul Shukla: Mr. Bhandari, the debt is such that this year we have paid almost more than ₹1,500 crore . So our endeavour is to continue to pay prepaid debt and become debt -free fairly soon, which we have already said, and we are working in that direction.

Rajesh Bhandari: We can expect FY27 -28?

Rahul Shukla: Yes, we can assume 28 in a fair manner.

Rajesh Bhandari: Because then our profitability will also increase, right?

Rahul Shukla: Of course.

Rajesh Bhandari: Yes, yes, yes. And sir, I have one request. Looking ahead, I think the future of HCC is very bright.

Rahul Shukla: It is absolutely bright, because the execution is strong, we have a legacy, we have a qualification, and the market is also big. Yes, yes, yes. So certainly, we are very comfortable, we are very hopeful, very positive about it.

Rajesh Bhandari: But sir, our total execution of ₹4,500 -4,500 crore is very less according to the name of HCC, sir.

Rahul Shukla: Of course, we have already discussed, we are working towards ramping up that.

Rajesh Bhandari: Increase it a little bit, sir, so that everything goes well.

Arjun Dhawan: This is Arjun Dhawan, let me just add a couple of perspectives. I fully agree, and we

are definitely at this point in time punching below our weight. I certainly appreciate the patience that all our investors have had with that. One thing that I want to say is that we are very, very particular about our risk management. As far as the pricing of bids are concerned, we are certainly not going to make any compromises there. And execution-wise, as far as safety quality is concerned, there are no compromises there either. Now, as far as basically growth is concerned, I think that these questions have come up. Obviously, we don't give guidance, but we should expect a certain healthy growth from this year onwards, starting with fiscal 27 numbers onward.

And what you can expect with the operation efficiencies continuing to actually happen, and at the same time, deleveraging happening at the same time, the PAT growth and the PAT margins, you should see, will actually also substantially basically continue to improve.

This year, we have been very particular with regard to costs. We have been very particular with regard to risk management. It's not been an easy year from a comparative intensity perspective. We should expect that some of the pipeline that we have our eye on in the coming months should actually yield some substantial results. So, please stay tuned for that.

Rajesh Bhandari: Sir, as you said in the beginning, there are hydro projects all over the world, there are nuclear projects all over the world, there are metro projects all over the world. And in all of them, HCC is ve

ry, very active. So, in this, sir, there can be a huge jump in order expected and order execution.

Arjun Dhawan: I think that's a very fair expectation. So, I think that the only one thing that we can certainly look forward to actually working off a very, very low base is certainly as far as growth is concerned, both of our top line, but even greater for our bottom line, should actually be much higher. Absolutely correct.

Rajesh Bhandari: And when can we expect dividends, sir?

Arjun Dhawan: Hopefully soon. I mean, I think that, you know, the one thing we definitely do want to do is ensure that we have that healthy order book in. We want free cash flow and a substantially healthy balance sheet. The questions have basically come up about debt repayment. I'm expecting and our strategic imperative very, very clearly is that we want the company to be debt free as early as possible. That leaves a lot of room for us to basically take some very basically big decisions regarding growth.

Rajesh Bhandari: And sir, one last request. We don't get time to look at your documents, sir. So, why don't you keep the investor meeting for the next day, sir?

Arjun Dhawan: Your point is noted. We have already done this. Earlier, we used to have an investor call at 5 pm, but we have done it at 6 pm. Your point is noted. We will definitely take that.

Rajesh Bhandari: Sir, as you can see, we don't even get the results by 5 pm on the site. So, if it happens the next day, people can easily look at your documents.

Arjun Dhawan: We appreciate the suggestion.

Rajesh Bhandari: Please, please, please, sir. Okay, sir. Thank you, sir. Thank you very much. Thank you. Namaste. Bye, sir. Namaskar, sir.

Soubhik Mitra: Mr. Abhishek Leekha, you can go in next, please. Mr. Abhishek, are you able to hear us? Hello. Yes, go ahead, please.

Abhishek Leekha: Yes, thank you for the opportunity. And congrats for a good set of stable numbers. One thing, I'm also coming on to that interest question. Even if we take into account ₹1,995 crore of reducing debt to almost ₹1,995 crore, the effective interest still works out to be 14.4%. So, concrete steps can still be taken to refinance at least, so that even if we are not able to reduce it immediately, but it's not yet into the bottom line.

Arjun Dhawan: I'm sorry, could you just please repeat? We'd like to understand what this 14% number was, please, that you would come up with.

Abhishek Leekha: Like, ₹400 crore is the interest that has been for 2025 -26, and we are expecting ₹112 crore saving for this year. So, that means ₹288 crore or ₹1,995 crore of debt portion.

Arjun Dhawan: So, the accounting standard requires to actually have us report finance charges as reflecting not only interest to lenders but also interest on client advances. So, when we price projects and take them on, those automatically, over the life of the project, get regressed. So, the number that you're actually thinking about is much, much higher than what the actual number of lender interest service is divided by. So, that's, I think, number one. We have in our presentation already talked about, in fiscal 27, we intend to prepay further debt. Obviously, we can't tell you precisely what that number is, but you will see a substantial EPS accretion as a result of that further prepayment. We've talked about wanting to deleverage the company completely. Now, we can't tell you precisely when that's going to happen, but certainly, our goal is to actually have that happen in the very, very short to medium term.

And so, the point that you make on refinancing, I mean, our cost of finance is about 11%. And so, we appreciate the fact that there are financing options in the market today that are lower. We are now moving to higher levels of investment grade, and we have had proposals been made to us, one of which we are actually contemplating right now, that will potentially refinance

our current debt, which will then not only reduce the cost of our debt, but ensure that there's greater liquidity in the short term for growth. So, again, I can't see anything more beyond the fact that this is under consideration. And your suggestion actually happens to be quite timely, because it is something that we are in the process of considering it. Yeah, thank you.

Abhishek Leekha: Thank you so much. That's it from our side.

Soubhik Mitra: Mr. Aggarwal, you can go in, please.

Kapil Aggarwal: Yeah. So, my next question is regarding, are you getting?

Rahul Shukla : Yes, yes, Mr. Aggarwal, go ahead.

Kapil Aggarwal: So, now we are proposing fresh issue of, we can say, up to ₹800 crore . So, what will be the, what will be its usage and how we will raise this?

Rahul Shukla : So, Mr. Aggarwal, we are taking that enabling approval, but the idea is that we are planning to grow very fast. We are targeting to book ₹15,000 crore of order. So, when that comes, there can certainly be need of capital. So, accordingly, we want to have that enabling approval in our hand in case we have to go. It's not that we are immediately going and doing that, but we'll take a call according to our requirement.

Kapil Aggarwal: Okay. And we have given some likelihood that by end of FY27, we'll be having order book of more than ₹20,000. We can say ₹22 to 25,000 crore . So, what about FY28 we are expecting? It can be further this kind of jump, or we can say normal growth?

Santosh Rai: No, our thrust would be to continue this momentum.

Kapil Aggarwal: So, like we can expect if something, everything will be in line, then it can be ₹40 to 50,000 by March 28.

Arjun Dhawan: I think we are reluctant to put the numbers there, but I think the CAGR, long -term CAGR in terms of order backlog and revenue growth should be, you know, I think considering our low base, should be about 20 -25% in the long term. Okay.

Kapil Aggarwal: Okay. Thank you. That's it for my side.

Soubhik Mitra: Mr. Tokas, you can go ahead, please.

Kunal Tokas: Am I clear?

Arjun Dhawan: Yes, please go ahead. Okay.

Kunal Tokas: Just one quick question. In your balance sheet, we have a line item called loans under non-current asset, which has moved up from around ₹250 to 600 crore rupees. Does that reflect the amount extended to PRPL ?

Rahul Shukla: That's correct. Okay. So, you remember our contingent liability had come down substantially during the year with regard to that PRPL loan. It belongs to that. And this is an ITD that we have introduced. So, at some point in time, we expect to get it back along with interest.

Kunal Tokas: Okay. Got it. Thank you.

Soubhik Mitra: Mr. Rajiv, you can go in next, please.

Rajiv K: Yeah. Hi. So, I've seen that you have taken an enabling provision of ₹800 crore fund raise. So, what is the purpose of this? And what is the mode is going to be like a QIP or a rights or what?

Rahul Shukla: So, we have not yet decided. We are keeping it open. And I just answered a question with regard to that. So, we will come back whenever that mode and all is decided.

Arjun Dhawan: But, you know, just to be very precise, if we do go down this path, it will be a rights issue, which will benefit the existing shareholder base. And as far as we're concerned, you know, the promoter group will be entirely basically supportive of including potentially look to increase their stake. So, as Rahul has said, the goal is to actually sync that along with our plans for high growth, as well as basically a complete deleveraging of the company.

Rajiv K: But will it be planned in the near term, like in the quarter or two or like it's at the end of the year?

Arjun Dhawan: You know, I'm sorry, but that would be quite unfair for us to answer that question. I think that we would do that at the appropriate time, taking into account all the various considerations.

Rajiv K: Because if I s

ee a company has raised around two thousand crore s over the last one and a half years, and like the prices kept on reducing, like first you raised at 32, then at 16 -15 rupees. So, I mean, like what is the like the current situation? Does it make sense to raise money given that you have repaid the debt?

Arjun Dhawan: I mean, we can't comment any further to what you said. I think that the entire point is for us to generate value for shareholders. I think that's fundamental. And, you know, the return on equity considerations that we have, as far as the medium to long term is concerned, are fundamentally basically the most important considerations. So , I think that we will keep you informed. And hopefully you will be clearly convinced once we actually have the plan before you in terms of what we intend to do.

Rajiv K: OK. And the last question is regarding the amount of claims which are pending.

Arjun Dhawan: So, I do. I'm not let me just I'm not sure. CFO, do we share that information

Rahul Shukla: We don't share all that information. So , we would like to reserve it to us. Whenever there is some more conversion in award and all that can be discussed.

Arjun Dhawan: You know, one thing that one thing that we will say is that, you know, that's

something that we've been fairly conservative about as far as our accounting is concerned. The projects that we actually execute by nature have delays associated with them. And these are not delays associated with simple things like land and right of way, where HCC is involved in heavily complex works, many underground works, which are due to geology, due to uncertainty, prone to delays that there are clients entirely acknowledge.

And as a result of that, you generally see contract values increase. And as is basically clearly contractually required, there will be amounts that then get paid as a result of those delays. Many of those amounts tend to actually end up getting paid towards the end of the contract, mid to end of the contract or when substantial milestones have been completed.

And so, you can expect I mean, if you've seen HCC's track record in this particular regard, you can expect a similar track record to continue. I think that would be fair to say. One thing I will basically qualify, I'll qualify that remark. I think that considering HCC's pedigree and the fact that it's been part of HCC's infrastructure expansion all the way from, you know, besides 100 years, but in the last basically 20-30 years, we've seen the infrastructure program really basically escalate. In the last 10 to 15 years, the government has been much, much more responsible about the kind of projects it's bringing to market with the preparation that it has in its DPRs, the clearances that it has in place. And so, you would expect that in the more recent projects, projects would actually be less delayed than they were before. And you would expect the percentage of claims as a percentage of the amount of claims as a percentage of the total project cost to also come down as a result of. And then finally, basically, it depends on the client mix as well. Right.

I think that in certain kinds of projects, you generally have delays, which lead to kind of additional payments and other projects you don't.

Rajiv K: Oh, OK, that's it.

Soubhik Mitra: Mr. Saurabh, you can go in next, please.

Saurabh: Yeah, thank you. So, Mr. Arjun, I do acknowledge that there's a lot of work happening at the company side. And we have a lot of hopes coming through. The point that you just confirmed that the fundraisers would be through the rights issue. I have a little bit of concern there. In the last 4 to 5 years, you have done two rights issues and this would be the third right issue. So, every time shareholders are kind of forced to apply for rights issues so that their value is not diluted. But again, as one of the other speakers said, the share price

is not commensurate to the kind of investments

we are having to make in the company. So, what is your comment on that and what is the ray of light that we should wait for?

Arjun Dhawan: I mean, it's a fair comment. You know, I think that the last rights issue was a large one because we had clearly placed at the fore the strategic imperative to substantially deleverage the company, ensure that we had the highest grade of investment grade rating. That puts us in the position of having our facilities be at the lowest cost of capital and then allows us to kind of expand, you know, you know, for growth. Right.

And as far as basically the going forward is concerned, I think that it's a where we're in a much, much better position to address the market opportunity. And I think that as far as the rights issue is concerned, it's certainly not a it's not certainly a done deal. I think that it's an enabling provision that Rahul has taken.

And perhaps maybe what we should have done was actually not taken at all and actually come to the board at the time that it was it was required. But we decided to do so simply because there's a there's a material expectation of some very, very substantial orders and opportunities, including a potential BOT opportunity. And these are extremely sort of high IRR basically opportunities before us.

So, if those opportunities were to materialize, we need to actually be flexible. But I do take your point. And as far as the equity raise is concerned, the feedback that we have received in the past is that generally rather than actually do a QIP or raise equity in another fashion.

Given the shareholder base, we've actually had many shareholders benefit from an oversubscription or getting additional basically shares as part of the rights issue. And it is also basically sink promoter incentive and interest along with what our goals is. Right.

But your point is taken. And I think as far as we're concerned, if we do not need to raise equity, certainly this year to achieve our goals, we will certainly basically avoid doing so. Because for me personally, you know, equity rate of return is much, much higher. It's the highest as far as we're concerned.

Saurabh: Sure. Thank you. And just to just affirm that if it's done for a major, major opportunity, we would be there with you.

Arjun Dhawan: I really appreciate your support. And I deeply appreciate the fact that our investors and shareholders like yourself have been patient with regard to what we need to execute.

Look, as far as this past year is concerned or the past year and a half is concerned. The easiest thing for us is to take a job at a price that is not meaningful. But as far as the integrity of our process is concerned and how we think about our responsibility to our clients and to our shareholders and to our stakeholders, that is not something that we will indulge in.

But that said, we do need to deliver on the promise of that growth. And frankly, at some stage, a

substantial repayment to shareholders for their patience, which includes, you know, starting to actually pay dividends. So, we take this responsibility very seriously. And I think that there's always scope for improvement in terms of what we can be doing better. And certainly we will strive to actually have a much stronger year. So, we've had many achievements this year. We're very, very proud of. I think that we're happy with our results. But certainly, I think from a growth standpoint, next year, we will certainly basically hit all the boxes is my expectation. Saurabh: Thanks. Thanks for maintaining the discipline. And one last request, if you could do that. I think you need to have more analyst events and have, you know, a better perception of the company. I could see some of the reports coming on the nuclear sector projecting company on the pivotal position. A little bit more of PR, I think would help improve

the overall sentiment.

Arjun Dhawan: Thank you. We take the suggestion very seriously and we will act on it. Thank you.

Soubhik Mitra: Mr. Pranav, you can go in next, please.

Pranav: Am I audible? Yes. Hi, sir. So, I just had one question. You earlier commented saying that we are contemplating on a certain funding that, you know, we are, we have an opportunity towards us. If we have that opportunity, why do we need the rights issue then?

Arjun Dhawan: I don't think that we need to comment any further, Pranav. I mean, it's not, it would be inappropriate for us to get into the details of that. I mean, certainly opportunities that generate high returns require investment, require working capital and require, frankly, a cushion and contingency. Right. I mean, I think that the kind of size of company that we need to be requires to actually have at least that cushion in place. It doesn't mean that there will be a continual increase in fundraising as a function of further jobs, basically, and opportunities coming in. But at least that certain cushion and that certain base needs to be there for us to really avail of, I think, some very, very scalable opportunities. I can't go into any further detail on that.

I think at the appropriate time, and I think that this enabling resolution has actually raised more questions than we expected. To be very honest, I think that we might have made perhaps an error to actually have taken this board approval as a contingency. Please treat that as a contingency.

And at this point in time, when we have something material to basically talk about, and it will certainly be positive as far as we're concerned, we will come back.

Pranav: Okay. Okay. Okay. That was the only question I had. Thank you so much and all the best.

Arjun Dhawan: Thank you very much.

Soubhik Mitra: Mr. Shashi Kant, you can go ahead next.

Shashi Kant: Yeah, thank you for giving me the opportunity again. So actually, currently our order book, nuclear, nuclear is just 3%. So how do we see in coming five years, this change? I mean, how, how much percentage of the order book it can go to?

Santosh Rai: So Mr. Shashikant, look, our, this position is low right now, because the projects which we are doing, two major jobs which we're doing are already completed. And the FRFCF job, which we're also doing is nearing completion now almost 70% done. So, the point is, how it increases because these opportunities which used to come, you know, like, just once in two years or something are going to multiply much more. And we can, we expect a lot of traction in this sector because of the private developers and as well as the government.

Arjun Dhawan: You know, traditionally, the nuclear order backlog percentage is a percentage of the total has been relatively small. You know, it's been something that we've been tremendously proud of. We've been 14 of the 24 reactors in the country on the civil side. But it's been less, it's been less than 5%, Santosh, if I'm correct.

Santosh Rai: Santosh Rai: 5 to 8%

Arjun Dhawan: And, and certainly what we can expect as the nuclear program scales up and the lack of, lack of capacity in this space to execute this, these, these complex projects and the, and the qualifications that HCC has, when this program does basically take off and generate real orders and revenue, I certainly think that there's a huge opportunity for HCC to, to really scale its nuclear business such that it would actually be akin to the transport and hydro and water spaces that we've actually traditionally have occupied about 90% of our order back.

Shashi Kant: Okay, so what is the average if we take 700 MW plant? So, what is the average order size that we normally see for HCC?

Santosh Rai: Look, traditionally, traditionally, the procurement mode was very different. These orders would be in the size of you can say, I'm saying in terms of present value could be

like ₹2,000

crore. But now since the mode has changed, now the mode has changed, and these are going to be called on nuclear island mega EPC packages. That's what they call this NIMEP. These packages are in the north of ₹12 to ₹14,000 crore.

Shashi Kant: Okay. Yeah. Thank you, sir.

Santosh Rai: Thanks a lot. That's all. Thank you.

Shashi Kant: Best of luck. Thank you.

Soubhik Mitra: Mr. Leekha, please go ahead with your question.

Abhishek Leekha: Yeah, thank you for the opportunity again. My take is like commodity prices are

rising and as a result because of loss scenario. How effective are escalation clauses in protecting HCC profitability?

Santosh Rai: So, I think we have, we have, look, I can say appropriately placed escalation mechanism into these contracts and also our, our procurement strategies have been such that that we have been able to hold on to some of the prices what we have been negotiated and everything. That's how that's reflected in our results too. Largely, largely, I will say the escalation formulas are made in such a manner that we are, we are able to absorb some of the shocks.

Arjun Dhawan: You know, I will not, you know, I would say that it's not a major area of risk or concern for us. I think that, and the clients that we have as far as HCC is concerned are top quality clients with very, very deep pockets. They tend not to be certain clients at the state level that have very, very poor resource constraints or have payment issues. And I think that, that, that, that the quality of client also basically, I think, allows for a very, very fair and amicable and swift discussion as far as payments are concerned.

So, in fact, with some of the difficulties that we're seeing globally, and India is actually also facing these headwinds, I think macroeconomically, you know, the challenges that we might actually face from an inflationary perspective, you might actually see in some cases that HCC would, through its escalation formulas, actually have an efficiency rather than a risk. And, you know, to some extent, we're, as a sector, a nicer alternative to some of the other sectors there are actually probably more effective so in that sense I think that we're thankful.

They tend not to be certain clients at the state level that have very, very poor resource constraints or have payment issues. And I think that the quality of client also basically, I think, allows for a very, very fair and amicable and swift discussion as far as payments are concerned. So, in fact, with some of the difficulties that we are seeing globally and India is actually also facing these headwinds, I think macroeconomically, the challenges that we might actually face from inflationary perspective, you might actually see in some cases that HCC would, through its escalation formulas, actually have an efficiency rather than a risk. And you know, to some extent where as a sector, a nicer alternative to some of the other sectors that are actually probably more effective. So, in that sense, I think that we are thankful.

Santosh Rai: I think fortunately, we are not building a blacktop road.

Arjun Dhawan: No, correct. We are not doing that. So, we are not, exactly. So, I think that if we were doing, if we had exposure to huge amounts of bitumen requirement, where there is direct correlation with prices of crude, I think that we would have a concern. But look, I think that the inflationary expectations that would probably, that may creep in if this conflict continues, will really affect the price of everything ultimately. But I think that that's where the quality of our contracts and the quality of our clients do matter.

And to some extent, I believe that the heavy civil space, especially the kind of projects we do is relatively well insulated from other sectors in the market.

Abhishek Leekha: Yeah, thank you for the elaborate answer. And one suggestion, if I may, can we

have

an analyst day wherein we probably give a next 3 to 5 years kind of horizon where we want HCC to be?

Arjun Dhawan: Yes, I think, you know, one thing that I have not completed my commitment on, I have to apologize to everyone. We talked about this last year where we decided that at least once a year or during the fiscal year end that we will actually have a meeting in person. And so certainly what we will do, because HCC is actually in the process of finalizing its 3-to-5-year plan and its business strategy, and that is something that we're extremely excited about. So, I think in the coming months, once that is finalized, we will organize an 'Analyst Day', maybe we'll have it coincide with one of our quarterlies.

And you can expect that we will actually have a clear presentation at some point late in this calendar year to the entire community to give you a sense of what our direction is for the next three to five yrs.

Abhishek Leekha: that would be great because India at this stage would require a lot many L & T's and a lot many bays and HCC deserves its roaring lion to be back.

Arjun Dhawan: I will deeply appreciate your support. Thank you. Thank you.

Soubhik Mitra: Mr. Bhandari, please go ahead with your question.

Santosh Rai: I think Soubhik could be just that his hand is there. Yeah, he has asked his questions.

Soubhik Mitra: Okay, with that, I think we've taken all the questions, no more questions.

Arjun Dhawan: Thank you for your time. Yeah, I just want to just again thank you for your support. It's the end of the fiscal year. It has been a very momentous time for us because HCC celebrated 100 years of its service to the nation. And as far as we are concerned, we're blessed with the support that we have from all of our stakeholders, including our investors and our shareholders. So thank you very much for your support.

Santosh Rai: Thank you, everyone.